

Eicher Motors Ltd. (EICHERMOT)

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Call: Aug 2022

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August 18, 2022

Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
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Security Code: 505200 The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of SEBI (LODR) Regulations, 2015- Transcript of conference call

Dear Sir/Madam,

Further to our letter dated August 3, 2022 intimating the schedule of the conference call held on Wednesday, August 10, 2022, please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the first quarter ended June 30, 2022, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl: a.a.
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"Eicher Motors Limited
Q1 FY23 Earnings Conference Call"

August 10, 2022

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR – EICHER
MOTORS LIMITED
MR. VINOD AGGARWAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER VE COMMERCIAL VEHICLES LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER ROYAL
ENFIELD LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – EICHER MOTORS LIMITED

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Moderator : Hi, welcome to Eicher Motors Q1 FY23 Post Results Con call. We're happy that the management gave us the opportunity to host the call. We have with us Mr. Siddhartha Lal, MD and CEO of Eicher Motors; Mr. B. Govindarajan, Executive Director of Royal Enfield; Mr. Vinod Aggarwal, MD and CEO of Volvo -Eicher JV; and Mr. Kaleeswaran Arunachalam, CFO of Eicher Motors Limited. Over to you, Mr. Siddhartha Lal, for your initial comments.

Siddhartha Lal: Good afternoon, and hi to everyone. Thank you very much for joining us and thank you to ICICI for hosting this. Welcome to the Q1 FY22 -23 earnings call for Eicher Motors Limited. I hope you're all doing well.

This quarter marks multiple new milestones for Eicher Motors Limited and for VECV, our joint venture with Volvo. Firstly, at Royal Enfield, we are continuing our path to becoming a premium global consumer brand from India. And we delivered our highest ever sales in international markets. In India, we continue to define the middleweight segment and have greater than 85% share in the above 250cc segments. On motorcycle, we further strengthened our hold on the greater than 125cc segment, with 36% segment share, which puts us in number one position in all motorcycles above 125cc, that means one in three motorcycles sold above 125cc. So, now even though we are not present in 150 cc to 250 cc but we're still counting that share, and we have one in three motorcycles. This shows that we have clearly been able to grow the market towards Royal Enfield bikes in India.

Additionally, we also recorded our highest ever revenue and our highest ever EBITDA at Eicher Motors Limited this quarter. We're just getting started and all these numbers do not include the latest motorcycle in our portfolio. We just concluded a global launch of the all-new Hunter 350, which is a premium neo-retro style compact, muscular, roadster style motorcycle. We've just returned from Bangkok where we hosted global media. So, media from all over the world i.e., from Latin America, North America, Europe, India, ASEAN, Japan, Korea, Australia and New Zealand were present. And I believe they really liked the motorcycle. It was a very fresh new concept from Royal Enfield for them. And you can read the reviews as the embargo was lifted 10:00 a.m. this morning. So, you can read all the reviews from global motorcycle media. We've also launched it at a very accessible price point. It's an amazing motorcycle with great handling, with 17-inch wheels, with bells and whistles that one requires in this segment, but also extremely refined ride and handling characteristics. Very nimble, but also at an extremely accessible price point, which we are extremely confident will assure a whole lot of new motorcyclists into Royal Enfield's world. These are customers who like the brand Royal Enfield, they have a positive leaning towards it, or they love the brand Royal Enfield. But for now, some of our 350cc offerings may not be interesting to Eicher Motors

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them. So, they may not subscribe to a classic look or they may not want a cruiser bike. So, they like Royal Enfield, but they don't currently have anything in the portfolio that is interesting for them and that's where the Hunter 350 comes in. Our sole objective with this motorcycle is to get new customers who were originally not buying a Royal Enfield motorcycle. So that's on Royal Enfield and EML.

Coming to VECV, which is our joint venture with Volvo Group, the company recorded its highest ever first quarter volumes in Q1. We gained market share across light, medium and heavy-duty segments over the last year and we continue to remain a profitable truck company, which is saying a lot considering all the bad times that have passed. So, we continue our strong business and resilient business model.

What we have at VECV. The quarter also witnessed the inauguration of the first Eicher electric city bus, delivered to the city of Chandigarh which is a great milestone for us. We believe we have really strong electric offerings in the bus segment, and this is the start of things

there. Recently, Volvo Buses India has launched its next-generation Volvo 9600 platform in India. It's an all-new modern platform and we'll have a factory-built sleeper. You should see the photographs, it's absolutely stunning and it looks better than business class offering in an airplane. And we will also have seater coaches in 15 meters and in 13.5 meters buses, they represent the largest and the most modern buses in India by far.

We have also recently released our annual integrated report for FY '22. This report captures our performance from the last financial year in addition to a host of initiatives undertaken by Eicher Motors Limited towards its commitment for next stage of growth and for a much stronger ESG vision.

Now with the robust all-around performance at EML and a strong product pipeline and plans in place, we are absolutely confident to push forward on our long-term strategic business plans and objectives.

We move to the consolidated financials, for the Q1 of FY22-23. In revenue, EML clocked its new highest level quarterly revenue at ₹3,397 crores, up 6.4% quarter-on-quarter over Q4 FY22, and up 72% year-on-year. Obviously, last year there was a COVID effect, but it's still up 72% from last year. Our EBITDA for Q1 FY23 stood at ₹831 crores, which is a highest ever quarterly profit, up 9.8% quarter-on-quarter and 129% year-on-year. Our EBITDA margin for the quarter stood at 24.5% against 23.7% in the previous quarter, making a 0.8% quarter-on-quarter improvement. And it improved 6.1% in the same quarter last year. So, it's a great improvement again. And profit after tax was at ₹611 crores, which is similar on quarter-on-quarter, which was ₹610 crores previous quarter. But the fact that it changed so less is because of lower other income on account of mark - Eicher Motors

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to-market losses of treasury income, and partially offset by state government grants, which we received during the quarter. So, that our overall quarter. I believe it's an absolutely stellar quarter, a great starting point for this year and for our future plans. And there's lots of new things happening at EML and we're all super excited about those. But before I get into all of that, I'll ask Govindarajan, who is the CEO of Royal Enfield, to tell us more detail about the Royal Enfield business. Over to you, Govind.

B. Govindarajan: Thank you, Siddhartha. Just to add more points on what Siddhartha talked about the Hunter 350. Royal Enfield, if you look at the cadence, we have Classic 350, Meteor, Himalayan, and the 650cc Twins Continental GT and Interceptor.

When we started looking at it, we found that there is a space for one more vehicle, which can address the younger audience, which has an urban fit, which is very compact, nimble, easy to maneuver and a vehicle which can actually connect with the younger audience more and more. And that's where we actually brought in the Hunter 350 on the same well-refined J-Series machine.

I and Siddhartha, we were there in Bangkok along with the world's best journalists across the globe. We rode the motorcycle, actually curated what's called as a night ride and all of us rode in smaller batches. Everyone came back and then said exactly what we wanted to land in for the younger audience, and that's where we landed this on the six to eight. We did all these things and we launched.

Today is the day where the embargo on the journalists is lifted. You can see the reviews which are coming up on this. This is one such motorcycle, which we wanted to offer the pure motorcycling to a larger audience across the globe.

So, for the larger audience, we also wanted to keep it at a very accessible price point. So, we actually came up with our factory-fit series at ₹1,49,900, which is a very accessible price point, which has been very well accepted by the consumers. You can see their reviews on the social media. All the journalists who rode the motorcycle, their review started coming in. It's so well received even by them. With the launch of Hunter 350 we have become the top 10 trending in the Google searches. Everyone is now searching for it. You can see what exactly the organization wanted to launch and what the product positioning has to be, exactly it is landing in that. The booking is open. There's a lot of buzz, which is happening at our dealership format. So, all in all Hunter 350 is a global product for the younger audience who wanted a bit more compact accessible motorcycle and that's what we have delivered through the Hunter 350.

Let me now share with you some of the highlights in Royal Enfield for Q1. Total sales, we sold about 1,86,032 motorcycles in the quarter, up by 52.3% year-on-year from last year and 2.1% Eicher Motors

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higher than the Q4 FY22. In India, we sold 1,57,642 motorcycles, which is 51% higher than the previous year. On a Q-o-Q basis, its volumes are more steady. Our market share above 125cc is hitting nearly about 36% in this quarter as against 32.9% in the previous quarters, as Siddhartha was mentioning.

International success, for us, it has been a steady growth, which is happening month -on-month. We have recorded a new high in our international business. We dispatched 28,390 units, making an increase of 30% Q -on-Q and about 62% over last year. We have launched new variants for Meteor in three colorways in this quarter. All this have been received very well by the market. With the pandemic situations under control, we also did the Himalayan Odyssey in this year. We were very happy about conducting that. We had about 70 participants riding almost 2,700 kilometers for 18 days. It's been done after about two years.

On the occasion of the World Environmental Day, Royal Enfield galvanized over 1,000 riders across its community for a Pan -India cleanup ride, with a focus on creating awareness and uniting communities to demonstrate concern towards efficient waste management system.

On retail network, as last call also we have said, we are into optimizing the retail outlets. Our network expansion plan in India is as per the target. As of now, almost about 2,132 retail outlets. Internationally, during this quarter, we did an expansion, in the markets like Kuala Lumpur, Argentina, Colombia, and Mexico and 12 multi -brand outlets also which have come up. So , the total count, including the multi -brand outlet, is almost about 850 plus.

With the upcoming festival season in the market, the consumer sentiments, supply chain is steadily improving. The parts availability is becoming better. We are quite confident our sustained growth in Royal Enfield will continue in the coming quarters. Now I will request Mr. Vinod Aggarwal to talk about the VECV business. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind, and Siddhartha, and a very good evening to all the friends who have joined today. First of all, let me give you the details about the industry. As far as the commercial vehicle industry is concerned, after three years of very bad recession, the industry is on the recovery path. And if you go by the trends of first quarter, this year we are going to see very, very handsome numbers in the CV industry, which will be still far away from the earlier peak of 2018 -19, but still, it will cover a lot of lost ground in last three years. If you look at numbers, this year, first quarter, the CV industry has gone up to 105,000 , I'm talking of excluding 3.5 tons. So , 105,000 as against previous year's first quarter of only around 40,000. So therefore, even if you just consider that balance nine months number of last year which was around 300,000. So , 300,000 plus 105,000 of Eicher Motors August 10, 2022

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first quarter, gives you 405,000 without considering any growth in balance nine months. And if you add growth of maybe 10 -15%, which is the current trend, then we reach a figure of maybe around 430,000 -435,000. So, the industry is getting closer to the earlier peak levels . So therefore, industry situation is going to be good for the CV industry.

Within the industry, the buses are doing very well because schools have reopened, and the situation has improved in other segments also in buses. Similarly, light and medium duty is almost at the earlier peak levels, if you look at the monthly figures. And in heavy duty also we are now getting consistently every month, 17,000 to 18,000 units every month. If you look at our figures within this industry , which Siddhartha had briefly mentioned in his address, we have improved market shares in all the segments . In light and medium duty, we are at 27.7% and in heavy duties we are at 7.4% . In buses, we have in fact, made much bigger progress with 28.6% market share in first quarter, which earlier used to be around 17%, 18%. So . we have made improvements in the market shares in all these segments.

We have been focusing a lot on expanding our distribution reach and have improved our distribution network by adding 29 more network points in last quarter and added almost two touchpoints every week. And we are consistently focusing on improving our uptime and aftersales with our customers , through our initiatives like 100% connected trucks and the uptime center. Our product range is improving there every day with better customer value proposition in various applications.

Coming specifically to the financial figures. For the first quarter, we have total revenues of ₹3,934 crores, which is highest ever for the first quarter and is up 140% as compared to ₹1,639 crores last year first quarter, even though last year first quarter figures are not comparable because we had the COVID -impacted quarter, and these numbers were very small. Nevertheless, I think first quarter number, ₹3,934 crores, is a very respectable figure. And the EBITDA margin for quarter one is ₹207 crores , last year, we had only ₹18 crores in EBITDA . We are at 5.3% EBITDA margin as against 1.1% last year , in spite of sharp increase in the input costs as well as sustained challenges in the price management . I think we are doing reasonably well as far as the profit margins are concerned. Profit after tax for quarter one is ₹62 crores against a loss of ₹72 crores last year. And we sold 17,469 units in quarter one as against 5,806 units last year. Our exports volume was also up by 3.1%, with significant growth in some of the key export markets.

As Siddhartha mentioned, we are very happy that we could launch first electric city bus in the City of Chandigarh in the first quarter. And this month, we are going to give the balance electric buses in Chandigarh. Of course, subsequently, we have also received an order of 150 electric buses from

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the City of Surat. Recently, we launched Volvo Next Generation 9600 Intercity Sleeper Coach with absolutely state-of-the-art and which will create new standards in comfort, safety and sustainability. We are also coming out with more new models of buses, both in Volvo as well as Eicher brand name from our first quarter plant of Volvo bus.

Looking forward, as CV industry is improving, I'm sure we will continue to do well in the CV industry, and we are continuing to invest in products, services and network. And together with strong alignment with Volvo Group, we have all the elements to address upcoming market and technology needs, and we will

I continue to do it in a sustainable manner. Now I hand it over back to Siddhartha for closing remarks.

Siddhartha Lal: Thank you, Vinod. And as you've heard from Vinod, there's a lot going on at VECV. We're continuing to do well and have a great value proposition in light, medium duty, Volvo truck and Volvo bus segment. But I think the particular interest is the continued growth in our market shares in heavy duty as well, which is really big market out there. So, we have a 7.6% or somewhere in that region last quarter, and it's continuing to improve on a regular basis. It's really a story of focus of continuous improvement and now of enormous customer centricity, which is bringing a great uptime and aftermarket to the customer, which is super important in VECV.

And from Govind's synopsis, I would just like to say that one thing you can always take back from EML is that we're absolutely super focused. We don't do too many things; we do a few things and I believe we do them exceptionally well. We have a great pipeline of motorcycles. This is just the beginning, but lots of amazing motorcycles coming. We are able to enter newer and newer markets. Within the markets that we are present in, we have lines of dealers waiting to get our distribution because it's a brand that is growing and doing well and they're making money from it. So, there's a very positive virtuous cycle that is coming. We're also doing super new interesting things in the entire world of pure motorcycling experiences as we call it. So, it means breakthrough things on how we do events, activities, rides, custom motorcycles, competition, all of it with a sustainability focus and which brings desirability to brand Royal Enfield around the world. So, we continue to do that.

We have very strong and engaged teams, which is the cornerstone of Royal Enfield. And we really believe that with all of this extreme focus that we have on our customer and understanding the dealers and bringing the right product and story out is what is the advantage that Eicher Motors brings on the table, and we continue to invest in that. And we believe we will continue to meet our long-term ambitions and targets. As we've seen in the past, we've grown to a true global motorcycling company and a very strong trucking company in India and that path continues. So

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that's it for me now. Looking forward to seeing some of you tomorrow in our investor meet here in Chennai. And over for questions and answers, please. Thank you.

Moderator: Thanks sir. Requesting participants to raise their hands for questions. So, first question is from Pramod Kumar, UBS.

Pramod Kumar: Thanks Basu for the opportunity. And congratulations Siddhartha, and Govind for making the RE very accessible again. I think great pricing. So, I just wanted to understand, given how the price point is and this is where Classic used to be 4-5 years back in terms of the ex-showroom price, so how do you see the volumes evolving for Hunter in the domestic space? And on the export front, do you see this brand widening your customer base and the addressable market even in a wider way? And what could be the volume potential on the export side? Because it's a much more youthful product and much more compact and easier to handle. So, what will be your thoughts on the domestic and the export volume opportunity? And then I have a follow-up question for Kallees on the financials. Thank you.

B. Govindarajan: Thanks Pramod. Good, every one of you are liking the motorcycle. It is really a lovely motorcycle. The first question which you raised is, what does it mean to us in terms of domestic volume? As Siddhartha mentioned we are a very focused company. And we always look at what is that experience which we give. That adjacency has actually started giving us volume, that's how it is. You can see all of the

products which we have launched so far. We launched our Continental GT and Interceptor 650, it added volumes to us. We had Thunderbird when we changed it to Meteor on the J-series engine, then that actually doubled the volume there. Classic 350, when we upgraded to the new Classic 350, it has been holding its position as the number one motorcycle which is selling in 125cc and above. Now we are adding Himalayan and the Scram which we have already

added. Scram has added volume to this even in adventurous category . Now Hunter is a motorcycle which we really thought that if we bring in a motorcycle which is accessible for the consumers globally, everyone wanted a particular format. Here is one for an urban take. The consumers who are having a true love for Royal Enfield, they express their love for Royal Enfield in a acquiring some motorcycle of Royal Enfield, they wanted a motorcycle which is a bit more accessible, bit more lighter , a bit more nimble. As a result of it, they could not buy anything in the Royal Enfield offering, but they loved the brand of Royal Enfield . That's where we really felt Hunter is a motorcycle which comes and addresses that. And there's huge consumers who are actually enquiring our product, and there are drop -offs, which comes up in the journey. We feel this is the product which is going to actually address all of them, and that's how it will actually add volume to us. All our products you would have seen, are actually adding volume to us over a period of time.

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The second question which you asked is about the international market. In international market, Royal Enfield has been entering the entry segment through the 350 cc because all our J -series are now Euro V compliant. So , it's opening up that segment for us when we are entering into the market. Journalists from U.K., Europe, Brazil, North America, Thailand who rode the motorcycle with me and Siddhartha everyone came back and said "Wow, that's a fantastic motorcycle, which fits into our country also." Not even one guy turned back and then said, "Maybe it is okay for this country, may not be okay in all." Everyone said, yes, there is a space for that. So , we also see there's a good traction possible even for Hunter 350, which adds into the international markets volume.

Pramod Kumar: And Govind, any volume targets there? Because the media -- because they're suggesting 10,000 - 15,000 being cited to the management in terms of domestic volumes. So , I just wanted to clarify on that fact and also on export volume potential , if you can share that?

B. Govindarajan: We don't normally give any numbers. Pramod, we look at, how many faces are happy with our motorcycles and more we give it and then enjoying the experience. And what we want is that more and more people should come into the Royal Enfield fold, enjoy the motorcycle. We are here as a company in promoting motorcycling as a culture. And if we are focused into this and create product adjacencies, we feel probably even that number can be lower, why it should not be more. But we don't look at any numbers precisely to that.

Pramod Kumar: And second is on the pricing bit and what it means to the profitability for the company because the pricing is really accessible. I think there are wage reductions and other cost savings. But even adjusted for that, it looks like you gone for prioritizing volumes here. So , I wanted to understand from Kalees and you as to how should one read the pricing and the volume growth that comes from Hunter in terms of impact on gross margin and on operating leverage? And consequently, what could be the ultimate outcome on the EBITDA side? So , if you can help us with that. Thank you.

Kaleeswaran Arunachalam: Sure. Just as a starting point, Pramod on this, I think there are opportunities right at the variant level. So , we have an entry variant, t

here's a mid variant and there's a premium variant. We have all seen, over a period of time, Royal Enfield entry variant modeling has helped us to improve the profitability also. So , while there is an attractive launch price, the variant is one opportunity available and there will be VAV, that will be continuing as we go forward. But more importantly, the product, as Govind was rightly addressing, you have to look at a growth opportunity for India. So, as we move forward, it is important for us to balance growth, profit and profitability. So , from our perspective, we think the incremental capital employed for this particular product is already part of the J -series. So , the incremental profit that we'll be getting in absolute value will be higher. The incremental ROCE will be higher and eventually, it will be accretive to the EPS also.

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Pramod Kumar: Fair enough Kalees. And I get that. Thanks a lot and best of luck and see you tomorrow.

Kaleeswaran Arunachalam: Thank you.

B. Govindarajan: Thank you.

Moderator: Next question is from Binay Singh from Morgan Stanley.

Binay Singh: Hi team , thanks for the opportunity. Congratulations for good set of numbers. I just carry on from the earlier question on margins. Clearly, a good quarter but from here on, how do you see margins playing out? Is it fair to assume that the commodity tailwind is yet to play out? And in fact, even volumes could start to go up , so you'll see some volume leverage. But on the other side, the Hunter would be margin dilutive. So , if you could comment a little bit about directionally, where do you see margins going from here? That's the first question.

Kaleeswaran Arunachalam: Yes Binay, we don't give any forward guidance on margin. But at the same point in time , let's look

at the levers available and how are we approaching it. Starts with revenue, a large part of our pricing action that we had to do with the catch-up pricing on various accounts that is now largely behind us. There is mix that will continue to grow positively both on the domestic side and with international catching up. We do think it's very early days for us in international and the potential to grow significantly high from here.

On the cost side, the commodity inflation is probably stabilizing right now. We are getting into a phase where the super commodity cycle is over. Touchwood there are no further any global political disruption that will come in to affect it. But right now, it looks like we're getting into a zone of stability. So, there is no need for any further pricing action in a significant manner as we have done in the past, unless we are compelled to do that. So therefore, on a base business, pre Hunter, we are ready to move towards an operating leverage. So, as you could see, the number for this quarter is also a visibility from that perspective. Operating leverage has started kicking in and that's where the EBITDA margin is moving towards, 25%.

Now coming to Hunter, we need to look at the holistic business model. On our base business, if we are at the X % of EBITDA, on the incremental business, whatever it is going to deliver, it is straight coming into the bottom line. And that's where we said it will be EPS accretive at the end of the day. And on a combined basis, it should further add value to both organization and all the stakeholders.

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B. Govindarajan: Just to add, Binay, in the coming quarters inflation, as Kalees was mentioning, the super commodity cycle, is slowing down a lot. We can see that it is not that in the same cases there. We also kicked in a lot of value engineering activities because of the volatility in the supply chain which we could not get the results out of it, that will also start flowing in for us in the coming quarters.

Binay Singh: Thanks team. S

o, is it fair to assume that directionally the trend should be upwards only? And Hunter would not be so low on margins that it sort of distorts the other levers, which all seem to be pointing upwards?

Kaleeswaran Arunachalam: Yeah. Binay, maybe now we will look at Q1 results, and we will get to that as we move forward to the forward quarters.

Binay Singh: And okay, then I'll move onto the next question, which is on the volume side. Encouraging to see the market share trends. But when I look at July volumes, they are the lowest that you've done in eight months or so. So, could you talk a little bit about both the demand side of equation as well as the supply side of things?

B. Govindarajan: Sure, Binay. In the July number, I'm sure you would have seen a shift in the market. The Hunter, which are supposed to be launched around 8th of August, 10th of August. So, the entire pipeline, which has to be worked out in such a way that the inventories are built and also working capital of the dealers have to be managed. So, we have not billed, in fact deliberately, our Hunter motorcycles to the dealers in the month of July. If I have to talk about what's happening in the demand side in India especially, we have reached a good market share in above 125cc. In the middle weight also, we are continuing to grow. The market inquiries are really good. More and more inquiries are there, more and more the desirability of owning the motorcycles are higher. On the conversion level, there's a bit of a pressure point, which we saw in last 30-40 days. But with the Hunter coming in, we see that is getting addressed widely. I think it's an apt time, even in the Indian market with the Hunter coming in at an accessible price point, we'll once again give an uptick on to the demand, which is there in India.

Binay Singh: Thanks. And just one thing, what is an average consumer age now? Because we've been saying a lot about Hunter addressing younger audience. I always thought your average buyer age was actually below 30. Anyway, so what is it for the portfolio now? Kaleeswaran Arunachalam: It's about 30.

B. Govindarajan: 29-30 is the average age. Binay, I think what is more important, which you have to look at it is not only the age which has to be looked at. Young can be even from the heart, right? One can look at

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it, well, I want to drive a motorcycle. Even a guy at 60 can feel it. Hunter is a motorcycle which has to be there in an accessible form: Nimble, easy to ride, and it can actually go through an urban city in a tight corners of even the traffic and that more and more a motorcycle which is lighter in weight compared to classic, compared to our Meteor, that's going to address for the people who really love Royal Enfield and they also want to own a motorcycle from Royal Enfield with a particular format. And that's what is in Hunter, which is going to give an additional volume to us. Our average age of the consumers are coming down. More and more young guys are actually coming into the fold of Royal Enfield, fundamentally because as we mentioned, as a focused

company, we are looking at motorcycling as a company rather than a motorcycle company. And that's where the younger guys are enjoying the motorcycling as a culture in Royal Enfield.

Binay Singh: Great. Thanks team. And best wishes for the Hunter launch.

B. Govindarajan: Thank you.

Kaleeswaran Arunachalam: Thank you.

Moderator: And next, Jinesh Gandhi from Motilal Oswal.

Jinesh Gandhi: Yeah, hi. My question pertains to the RM cost pressures, which you talked about. So, is it fair to say the entire cost pressures are now in the P&L, and second quarter onwards, there would not be a material impact going forward?

Siddhartha Lal: That's right, Jinesh. We don't see any significant headwinds on the material cost as we stand right now.

Jinesh Gandhi: Okay.

And can you talk about the price hikes taken in Q1 and Q2 so far?

Siddhartha Lal: We have not taken any price increase in 2 Q2Q. In Q1, we have taken about ₹3,000 per vehicle in our 350cc portfolio, and in Twins we have taken about ₹5,000.

Jinesh Gandhi: Okay. Got it. And secondly, with the supply side issues now, given that we have on boarded additional supplier on the EBS side and broader improvement, would it be fair to say that going forward, based on the current visibility, there will not be any material supply-side related bottlenecks?

B. Govindarajan: With the visibility we have today and the actions which we have taken to protect, and it is different levers, right? You have to look at sourcing, different countries sourcing, different levels of

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sourcing. One more is holding inventory, trying to manage the whole situation. I don't see supply chain volatility to be a major problem at this stage. It is slowly settling down. From a sheer efficiency of a supply chain perspective, should I say that everything is in order? It may take some time, but it is not disturbing us.

Jinesh Gandhi: Okay. And Kalees, can you talk about the state government grant which you alluded to in the opening remarks? What's the quantum?

Kaleeswaran Arunachalam: So, it's about ₹40 crores, Jinesh. I think you need to look at this together along with the mark-to-market. So, for the quarter, because of the interest rate hikes that we have seen, we have to take a mark-to-market action of about ₹120 crores and then we have about ₹40 crores of state government incentive in the form of soft loan that has been obtained. So, we have done an NPV accounting for that. The fair value accounting has taken about ₹40 crores into the P&L. So, net-net, between mark-to-market and in terms of the incentive NPV that we have accounted for, we have lost about ₹80 crores. And the mark-to-market, as you would know is notional. It would start accruing in the forward quarters.

Jinesh Gandhi: Sure. And this ₹40 crore would be part of operating other income or other income?

Kaleeswaran Arunachalam: It's part of other income.

Jinesh Gandhi: Got it. Thanks. I'll fall back in queue. Thank you.

Kaleeswaran Arunachalam: Yeah.

Moderator: And next is Kapil Singh from Nomura.

Kapil Singh: Yeah, hi. Good evening team. Firstly, Kalees, one question to you. If I look at the difference in the consolidated and standalone revenue, it's quite high this quarter. It's about ₹150 crores. Normally, it's quite small. So, if you could give some color over there, please?

Kaleeswaran Arunachalam: So typically, if you look at our international business, the shift is slowly moving towards Americas. So, what used to be led by Europe, the business is moving towards Americas, and the lead time for Americas is slightly higher. So, as you look at it today the average lead time for us from India to Americas could be anywhere between, say 8-12 weeks. - So, any shipments that we have done until last week for Americas gets reversed at a consolidated level, because it's in transit. So that's the difference that we're seeing in.

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Kapil Singh: Sorry, I didn't get it fully. Can you explain in more detail?

Kaleeswaran Arunachalam: It's an inventory adjustment that has been built from the India standalone business, which is not retail ed out at the subsidiary level and, therefore, you adjust it at a consolidated level.

Kapil Singh: So, these are bikes that are built from India, that's what you're saying. But they are not retail ed in the international markets?

Kaleeswaran Arunachalam: Correct. Because it's in transit.

Kapil Singh: Okay. So that difference is sitting in the revenues over there?

Kaleeswaran Arunachalam: Yes, that gets reversed in the console.

Kapil Singh: Okay, understood.

But then in that case, the India revenue should be higher, right?

Kaleeswaran Arunachalam: It is right. So, if you look at from a sequential quarter perspective, India revenue was almost at the same level on a like-to-like basis.

Kapil Singh: Okay. So these were shipped in the previous quarter you're saying?

Kaleeswaran Arunachalam: Club both. What would have got reversed last time, we would have got as a positive right now. And what are billed this time would have got reversed as a negative. So maybe, Kapil, I can take it offline to give you more bridge.

Kapil Singh: Sure. And second, I just wanted to check on Hunter. Govind, you alluded to the fact that there are several customers who come, but there is nothing that is suitable for them, so they have not been buying it. What is the primary reason that those customers have not found something suitable? Is it because they want a different form factor or is it because they think that the product price is too high for them or not as accessible? And also, in terms of capacities because, historically, we've seen that for new products, we end up having a very long waiting period. So, what kind of capacities are you prepared with for Hunter? And do you think you are prepared for the kind of demand and initial trends that you're seeing?

B. Govindarajan: I will go from the capacity which you have asked about, yes, we are aware that initially, when we started using the new product launches, we always used to have a supply-demand situations mismatch. But from Classic 350 onwards, you can see in the market that situation wasn't there, because we also have built in inventory and then went into the market. The back end, we have now Eicher Motors

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sorted to deliver the Hunter also, because we have tested, everything is ready and that's why we started building the motorcycles also. So capacity was not an issue, if I have to tell you one.

Second you were also asking about who are the customers looking at Hunter and what is the reason?

Everyone who are there and who wants to own a Royal Enfield, there's always an expression of love towards Royal Enfield. He comes and then in his journey he finds all the motorcycles which are there, but sometimes they feel that, well, I love this motorcycle, but maybe it has to be a bit more lighter in handling. So Classic is nice, but someone have to like that Classic appeal. And that's why this motorcycle, which we're bringing into him and those people who really love Royal Enfield brand and who likes motorcycling as a culture but wanted bit more agile and a vehicle which is stylish, fun for him to ride and easy to manage. And for this requirement, we found this set of consumers who are yet to be addressed by Royal Enfield with our own research because Royal Enfield as a company, we always say that we make motorcycles only on listening to the consumer more and more. We go to them. The community actually tells us what they want. And this is an understanding which we got from the community that, yes, we need this motorcycle in this particular format, and we landed that motorcycle and it is getting accepted very well.

Kapil Singh: Okay. Thank you and wish you all the best for the launch.

B. Govindarajan: Siddhartha, do you want to add anything in this?

Siddhartha Lal: Sure. We do an enormous amount of work before we launch a product or before we start working on engineering. So, the Hunter was late 2016, early 2017, we started actually conceiving the idea. On the J-series, as you know, which is our new 350cc platform, both the Meteor and the Classic are replacing existing products. So that we call as renovation. But we believe we also needed innovation, which is to get new customers into our portfolio. And while riding and understanding and seeing customers who are not yet buying the Royal Enfield but are interested, this is the

kind

of insight that we get that they want something which is more agile. They don't subscribe to, let's say, Classic look. I do love my Classic, but some people don't subscribe to that look. Fair enough. But they like Royal Enfield. Some people don't want a Cruiser, fair enough, but they like Royal Enfield, right and we're understanding, who are these customers, what do they want, what is their interest, what are they doing, why and what type of look. So, with all that great insight that we build, we then come up with the concept of a new motorcycle like the Hunter. And as you can see in the past, we've been able to really get the right divisions and get the right segments and understand. So, we've not had one new product which has not hit the market and which has not got the right consumers that we wanted to. So even when we launched a sub-brand of Himalayan called Scram, we got new customers in. We did what we were trying to accomplish because we understand Eicher Motors

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the consumer need super well. That's the forte of Royal Enfield, and that's what allows us to bring a product like Hunter, which is really fresh. And we know it will attract a different audience than we've been getting today because we've been told that.

Kapil Singh: Thanks, Siddhartha. Thank you.

Moderator: Next, we have in queue, Gunjan Prithyani from BofA Merrill.

Gunjan Prithyani: Thanks for taking the questions and congratulations on the launch. I have two questions. First, maybe I'll take exports given it's not covered so far. Clearly, it's been a great journey last year. I'm just trying to understand in terms of the overall opportunity, how should we think about exports? How much can it grow? I mean we are at about mid-single digit or high single-digit market share in most markets and when you think about the overall opportunity size, is there something that you can share? How big the market is in the mid-weight category? And what is the aspiration on the market share there?

B. Govindarajan: Yes, sure. Our international story has to be understood, what our thought is. As a company, we don't rush things. We go to the market, understand the market and then grow the market, that's what we did. That's what is the success which we brought in India over a period of time. We wanted to go into the international market with at a particular product specification and we have to come to a level. So, we went to international market first with our Continental GT and Interceptor. It actually opened up a good recognition and an acceptance of Royal Enfield as a global motorcycle brand, fundamentally because it came at a different design level, different quality level because that's where our tech centers started working in seamlessly. At that point, when we started looking at the markets, we said we'll go to one market, one city, one outlet. We will not go and just sign up to all the dealers and distributors. We never wanted to take that route because we are not that sort of a company and we wanted to build a culture of the motorcycling around that. When we are building with our world-class technology centers which are there and our manufacturing facilities is viewed very well, the J-series engine, which is now Euro V compliant, which is now opening a new set of consumers. If I have to tell you how the acceptance is in U.K., almost about 8,900 people have signed up as the rider community of Royal Enfield. They just came around. So, the community build is taking place in all the countries where we are. Now in the last one year only, we are actually looking at our retail outlets going up. Today, internationally, we have almost 850 retail outlets in multi-brand format and in our own stores. There's a huge potential for us to actually open up the retail stores to go near to the consumers because every country is different and that country has

as to get suited to their retail outlet. What is giving to us is all the products which we are launching and giving into the market, compared to last year, we have doubled. In my opinion, we Eicher Motors
August 10, 2022

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are working on it and with all the products which are coming in and the market is just getting opened up, we see there's a huge potential for us outside India. The way we hit growth in India is starting outside India.

Gunjan Prithyani: Okay. Got it. So fair to assume that this can comfortably double from the levels where it is in the next two or three years? That kind of potential is there for market share to reach low-teen levels?

Kaleeswaran Arunachalam: So maybe just to add to that, Gunjan, to answer this part. I think eventually, today, we are in about 70 odd countries and the size of this market is as big as what is there in India. Our run rate which used to be about 10,000 a year, we are now clocking at 10,000 a month. And we do think it's pretty early days in terms of whatever inroads that we have made into international driven by people, product and the network backed up with CKD in certain markets. So, we do think the journey has just started, and we still have a long way to go, and it will mimic what we saw in India a few years back.

Gunjan Prithyani: Okay. Got it. My second question is on the domestic again. Now going back to Hunter launch, I know you've covered it a lot in terms of how this bike is different. Maybe I'm just trying to understand, there is already a younger population, which is buying RE. How do you perceive in your thought process, what is the risk of the existing customer down-trading to this? Because there is clearly a risk of cannibalization which can also happen. So, when you are thinking about these three models, in particular, let's say, Classic, Meteor and Hunter, how do you market or sit the narrative differently that you don't see an existing customer who was looking to buy, let's say, a Classic does not cannibalize into your existing portfolio?

Kaleeswaran Arunachalam: We brought in the Hunter 350 as a new product. It's two days now, and the Embargo has just lifted

today. As Siddhartha was mentioning, our understanding by living along with the consumer, listening to the community who are not part of the Royal Enfield. If you're part of the Royal Enfield gang, then you will be having a different view. So we went to the community, we were trying to understand what they want and all. Everybody was looking at a motorcycle which has to be very agile, and slightly lower in weight because that's where they were looking at. This is the Hunter, which is actually addressing to those set of consumers across the globe, not alone in India. As Siddhartha was mentioning, someone likes Classic, we differ there. So, Siddhartha likes Classic motorcycle, I like Meteor in our portfolio, someone else will like a different form. So, we were looking at Hunter is a form, which is actually there for that urban setup and current level of traffic situations. And the younger audience who want to use it for commuting and for my leisure purpose

and for my enjoy purpose and for fun, but I need something which is very agile, nimble, easy to handle, lightweight. So that's where Hunter is born.

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August 10, 2022

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Will it come in and then take the Classic market away? It can't. But will there be a borderline to some extent here and there? Probably yes. But that's how the market will mature over a period of time, that's how it would be. We don't see, as a company, that it is the same vehicle, it is different. Because that's what consumers told us, and that's how we brought the vehicle there. And we are seeing in the last 1.5 days, whatever the new inquiries bookings which are coming up, it is encouraging to us to see that they are new consumers who we been looking

at that these sorts of

consumers have to come in and enjoy the motorcycling in the Royal Enfield brand. That's what we wanted and that's what is happening as of now.

Gunjan Prithyani: Okay, sure. Thank you so much.

Moderator: And next, we have in queue Hitesh Goel from CLSA.

Hitesh Goel: Thank you for taking my questions. I have two questions. First, I wanted to get a perspective from management, before COVID, in peak, we used to do 75,000 a month kind of domestic volumes, right? And we have seen the impact on volumes in the domestic market, which I believe is due to pricing because the brand has not been impacted, you have been launching a lot of products also and the product feedback is pretty good. So, do you think this number will start coming in next two years when the income increases and there's no increase in prices from here on if there's stability in commodity prices, so what is the thinking on that?

And secondly, on exports front, you have talked about brand getting established. So, should we assume margins will go up significantly there because of scale, you would give lower retailer margins, right? Because initially to build a brand, you've given higher retailer margins, I would guess, and the promotional expenses will come down. Just a sense on these two aspects.

B. Govindarajan: In terms of domestic market, pre-COVID to post-COVID, I think let alone the motorcycles, all the products are being looked at, how will the market come back post-COVID situation. I think it is just coming up and it's coming to the normalcy level. Not that it has come to the pre-COVID level for everyone, any product for that matter. So, when the COVID situation comes in, it will be bad for everyone in the same speed with which the market grows. Hunter will add us more volume into the overall, that's what we are expecting our growth will be there. The next question which you are asking is about international margin.

Kaleeswaran Arunachalam: So, Hitesh the journey of international within the market is into two parts. We have developed markets and developing markets. Developed markets is already margin accretive to us. So, any further growth will only further add towards. There are markets like Brazil, which has got huge

Eicher Motors

August 10, 2022

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potential in terms of what it can offer as volume to us. Having said that, as you would note, there are challenges around the entire tax structure and the forex structure. So, we are trying to see how to go about it, and one by one we are sorting that out. And over a period of time, as scale improves, these markets will also start mimicking operating leverage that we have seen in the past for Indian business.

Hitesh Goel: Any clarification on the retailer margins in developed markets? Has they come down where you have established a brand like Argentina, Colombia, Thailand, just to get a sense on the trajectory of the margins.

Kaleeswaran Arunachalam: Just as an example, we do take a call on that, depending upon the country's growth, margin profile,

potential and what is there in the future, we have done that in the past. But I wouldn't want to give any forward guidance on that as to would be the way forward for it. That's a lever that is available.

Hitesh Goel: Sure. Thank you very much.

Moderator: Due to time constraints, that was the last questions. I would like to hand over to the management for closing remarks.

Siddhartha Lal: Thank you all very much for attending this. As you've seen, we're a company on a mission and moving forward rapidly. And we have an Investor Day on day after tomorrow. For those of you who are coming, we will welcome you tomorrow evening. And so those who can't make it, we will be broadcasting, and we'll have a pretty intense day of presentations to explain what we're doing on our business model, our plans, all of that. So, we urge you to join

online in case you're not

attending physically. Thank you very much and look forward to seeing you soon. Bye -bye.

Kaleeswaran Arunachalam: Thank you very much.

B. Govindarajan: Thank you very much.

Call: Nov 2022

Eicher Motors Limited
Corporate Office:
#96, Sector – 32
Gurugram – 122001
Haryana, India
Tel +91 124 4415600
Registered Office
CIN: L34102DL1982PLC129877
3rd Floor – Select Citywalk
A – 3, District Centre, Saket
New Delhi – 110 017, India
Email: info@eichermotors.com

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200

Subject: Regulations 30 of SEBI (LODR) Regulat

Dear Sir/Madam,

Further to our letter dated November 02
on Thursday, November 10, 2022
held inter alia to discuss financial results for
2022, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015.
the website of the Company www.eichermotors.com

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl: a.a.

CIN: L34102DL1982PLC129877
Select Citywalk
3, District Centre, Saket
110 017, India
Email: info@eichermotors.com Online intimation/submission
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

SEBI (LODR) Regulations, 2015 – Transcript of conference call
her to our letter dated November 02 , 2022 intimating the schedule of the conference call held
2022 please find attached transcript of the aforesaid conference call,
to discuss financial results for the second quarter and half year ended September 30,
pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on
www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.
You are requested to take the same on your records.

November 17, 2022

Exchange of India Ltd

Floor, Plot No.C/1,

Kurla Complex, Bandra (E)

Transcript of conference call

, 2022 intimating the schedule of the conference call held

pt of the aforesaid conference call,

ended September 30,

The same is also available on

The conference call started after the conclusion of the Board meeting of the Company.

"Eicher Motors Limited

Q2 FY23 Earnings Conference Call"

November 10, 2022

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16

Eicher Motors
November 10, 2022

Divya
Purohit:
Good
evening,
ladies,
and
gentlemen.

I
would
welcome
you
to
Eicher
Motors
Results
Call.

I
would
now
like
to
hand
over
the
call
to
my
colleague,
Basudeb
to
make
the
introduction
of
the
management. Basudeb, over to you.

Basudeb
Banerjee:
Thanks
Divya.
Thanks
to
Eicher
Motors
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giving
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conference
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We
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with

us
Mr.
B.
Govindarajan,
CEO,
Royal
Enfield;
and
Mr.
V.K.
Aggarwal,
CEO
of
VECV ,
representing
the
management.
Today ,
Mr.
Govindarajan
will
take
us
through
Eicher
Royal
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related
discussion.
Over
to
you,
sir,
for
your
initial
comments.
B.
Govindarajan:
Thank
you,
Basudeb.
Hi,
everyone,
and
welcome
to
Eicher
Motors
Limited
Call
for
the
Second
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I
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Page
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16

Eicher Motors
November 10, 2022

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got
addressed through this Hunter 350.
We
are
just
opened
in
India
till
now.
In
the
month
of
November ,
we
are
opening
in
APAC.
Subsequently ,
it
will
be
to
EMEA
and
to
RENA
and
upon
all
other
areas
in
the
markets.
The
Hunter
is
also
ramping
up
now.
So,
to
that
extent,
we
will
start
opening
up
the
market.
But
as
I mentioned, it is a J-Series, which overall is Euro 5 compliant.

It
is
a
global
product,
that's
how
it
is
envisaged
and
that's
how
it
is
landed.
So
anywhere
it
can
go,
doesn' t
need
to
wait
for
some
more
allocations
and
all
those
things,
those
things
are
done
and
dusted
and
it's
ready ,
so
the
vehicle
can
be
exported
as
of
now.
On
November
8,
or
two
days
back,
we
unveiled
all
new
Super
Meteor
650
at

EICMA
2022
in
Italy.
We
have
seen
very
exciting
initial
feedback
from
the
media
and
from
the
community
who
has
been
seeing
this
and
now
everybody
is
now
looking
at
and
asking
a
lot
of
details
on
this.
The
Super
Meteor
650
is
an
authentic
retro
thoroughbred
cruiser
and
on
a
successful
650cc
platform.
And
we
have
a
lot
of
learning
and
legacies
of
the
Cruiser

making,
in
1950s,
we
were
making
Cruiser
and exporting to the United States.

The
Meteor
has
actually
taught
us
a
lot
more
in
cruising,
doing
what
it
has
to,
and
what
the
consumer
wants.

Super
Meteor
650
which
has
been
there
in
the
thinking
and
making
for
the
past
three
years
plus
when
we
launched
it,
and
exactly
the
Meteor
came
back
and
then
said,

that's the very accessible, simple, easy to handle Royal Enfield looking Retro style cruiser .

We're
looking
forward
for
a

great
success
even
in
that
particular
product.
For
the
quarter ,
we
sold
about
2,03,451
motorcycles,
which
marks
about
65%
growth
from
1,23,515
last
year,
sequentially ,
9%
growth
over
the
previous
quarter .
Domestic
volume,
we
sold
almost
about
1,83,067
units
during
the
quarter
in
India,
reporting
an
increase
of
73%
YoY
and
a
growth
of
about
16%
sequentially .
The
festive
retail
feedback
from
the
field
has
been

very
strong,
and
we recorded our second largest festive retail during the Sep-Oct window .
Our
international
market,
we
continue
to
progress
on
our
vision
of
becoming
a
global
motorcycle
brand
from
India.
On
a
YoY
increase
of
more
than
about
14%
at
20,384
units
against
17,900
units
in
the
previous
year.
International
retail
performance
for
H1
has
been
very
robust.
We
have
got
this
solid
growth
of
almost
about
40%
to
55%
across
various
regions.
RE

is
now
the
leading
mid-weight
brand
in
the
U.K.
and
among
the
Top
3
in
Europe,
a
proud
moment
for
all
of
us
as
we
were
reaching
that
market
share
position.
Our
market
share
has
climbed
up
to
~7%
in
Americas
as
of
now
and
9%
in
APAC
and
about
almost
10%
touching
in
EMEA
region,
backed
by
robust
pipeline
of
new
products,
which
we
are

launching.

This

all

Page

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of

16

Eicher Motors

November 10, 2022

is

without

Hunter ,

which

was

there

because

Hunter

will

open

up

the

entry

level

even

in

an

international market.

As

far

as

the

retail

network

expansion

is

concerned,

we

have

been

steadily

moving

ahead

in

our

domestic

network

expansions.

We

have

a

network

of

almost

2,130

retail

outlets,

1,083

dealership

outlet

format

and

about

1,047

studio

formats.

On

international
market,
we
continued
expansion
with
an
addition
of
another
six
stores,
exclusive
stores
in
Philippines,
Mongolia,
Vietnam,
and
Thailand
where
we
are
slowly
opening
up
one
by
one
in
all
the
markets.
As
we
have
been
seeing
as
a
brand,
we
always
wanted
to
be
a
full
brand
to
go
there,
open
one
showroom,
make
the
product
experience
and
people
start
feeling
the
product,
and

that's
how
the
experience
we'll
start
building
the
brand,
then
we
will
go
in
for
an
expansion.

And
that's
the phase we are entering. So, the expansion phase, which is taking place.

As
of
now,
totally ,
we
have
almost
710
multi-brand
outlets
and
about
175
exclusive
stores
outside
India.

And
that
expansion
plan
is
continuing
with
the
new
products
which
are
coming
up,
the
expansion
also
will
go
on
in
that
sequence.

As
far
as
the
motorcycle
and

ride
events,
we
did
the
11th
edition
of
'One
Ride'
where
Royal
Enfield
enthusiasts
across
the
world
gathered to ride that One Ride on a particular day .
And
we
also
kick
started
the
Royal
Enfield's
Continental
GT
Cup
we
did
last
year
and
this
year
also
it's
been
received
very
well
by
the
young
guys.
There's
a
lot
of
traction,
which
we
are
seeing
for
this
sort
of
racing,
as
is
not
a
true
racing

motorcycles,
but
a
fun
type
of
retro
racing, it's a sport and that's getting a traction in the GT Cup through that.
Before
I
conclude,
I
would
like
to
share
another
achievement
from
Royal
Enfield
is,
in
the
Dealer
Satisfaction
Survey ,
which
was
conducted
by
FADA,
Royal
Enfield
emerge
as
a
second
runner
up,
which
compared
to
last
year
it
was
a
great
change,
which
is
there.
The
dealers
also
started
looking
that
the
growth
is
coming
back,
and
things

are
better ,
our
connect
is
becoming
better .
And
overall,
this
quarter
had
been
an
outstanding
one
and
at
the
H1
level,
it's
been
a
record
growth
for
Eicher
Motors
and
at
Royal
Enfield
also.
Now
I'll
hand
it
over
to

Mr. Vinod Aggarwal walk us through the VECV financials and updates. Over to you, Vinod.

Vinod
Aggarwal:

Thank
you,
Govind,
and
good
evening
to
all
of
you.
Let
me
first
start
with
giving
you
an
update
on
the
commercial
vehicle

industry .
If
you
look
at
the
CV
industry ,
as
you
all
know ,
after
three
years
of
recession,
the
CV
industry
is
on
the
growth
path,
and
it's
continuing
to
grow
every
month.
And
first
six
months
have
been
very
good
for
the
industry ,
where
the
industry
for
>3.5
ton
has
grown
by
68%.
And
even
in
the
month
of
October ,
the
growth
has
been
15%.
So

based
on
this
growth,
of
course,
it
is
expected
that
this
year,
we
will
make
good
progress for the overall industry .
Even
though
we
may
not
still
touch
the
earlier
peak
of
2018-19.
But
in
some
of
the
segments,
it
might
be
a
new
peak,
like
for
example,
in
5-15ton
trucks,
it
is
likely
to
be
new
peak
even
though
in
heavy-duty
and
in
buses,
still
it
will
be
away

from
the
earlier
peak.
But
of
course,
we
have
also
seen
in
the
past,
whenever
the
recovery
happens
after
the
recession,
it
always
leads to a new peak in two to three years.
So
therefore,
this
time
also,
I'm
of
a
firm
belief
that
we
are
likely
to
see
a
new
peak
in
the
coming
two-three
years.
Of
course,
there
are
headwinds,
which
are
there,
which
are
coming
from
inflation,
global
situation
as
well
as

interest
rates.
But
at
the
same
time,
I
think
the
outlook
for
the
Indian
economy ,
for
the
current
year,
as
you
all
know ,
it
is
7%.
And
future
also
is
relatively
much
better
than
the
global
markets,
because
of
our
own
situation
in
the
Indian
Page
4
of
16

Eicher Motors
November 10, 2022
markets
because
of
our
dependence
on
the
domestic
consumption,
even
though
there
may
be
impact on exports.

And
we
also
experienced
a
similar
impact
in
our
export
markets
like
the
truck
export
markets,
we
are
having
headwinds
because
of
the
global
situation,
especially
the
foreign
exchange
situation in some of these South Asian markets like Bangladesh, Nepal and Sri Lanka.
And
as
a
result
of
that,
the
markets
there
are
down
because
there
are
a
lot
of
import
restrictions
in
those
countries.
Nevertheless,
as
I
mentioned,
the
growth
for
the
industry
is
good.
And
even
in

the
month
of
October ,
we
have
seen
the
industry
growth
of
15%
as
compared
to
October
last
year.
And
as
you
all
know ,
last
year,
second
half
itself
was
a
much
better
year
and
with
a
good
base.
And
with
the
higher
base
also,
we
have
seen
the
growth
of
15% in the month of October .
Now
in
line
with
the
industry
growth,
we
continue
to
also
grow
in
VECV .
And

specifically ,
I
think
the
highlight
has
been
our
good
growth
in
the
Heavy-Duty
Truck
segment
where
our
market
share
in
the
first
six
months,
both
Eicher
and
Volvo
put
together ,
Eicher
and
Volvo
trucks,
it's
now
8%+.
We
are
at
around
8.2%.
And
for
Eicher
brand
itself,
it
is
around
7.5%.
As
you
all
know ,
this
has
been
our
--
one
of
the
biggest
objectives
that

we
should
grow
in
the
Heavy-Duty Truck market because Heavy-Duty Truck market is very large.
And
if
we
start
growing
in
that,
then
of
course,
the
potential
for
VECV
in
Heavy-Duty
Trucks
is
going
to
be
much
stronger
in
the
coming
years.
And
then
we
are
also
growing
very
well
in
buses.
Buses,
our
market
share
in
the
six
months,
we
now
reached
between
24%
to
25%.
So
that
is,
again
a
very
good
growth

as compared to the previous years. In the Light and Medium Duty Truck segment, we continue to maintain our strong position of 28% to 30% market share. And our strategy is to sustain that strong position while slowly and steadily growing in the Heavy-Duty Trucks as well as the Bus segments. Now coming to our financials. Our revenue for Q2 this year, including the other income,

it
is
■4,215
crores
as
against
■3,152
crores
last
year,
a
34%
growth
in
the
total
income.
And
first
six
months,
it
is
■8,148
crores
as
against
■4,792
crores
in
last
year
first
six
months
with
a
growth
of
70%
in
the
top
line,
in
the
first
six
months.
As
far
as
EBITDA
is
concerned,
Q2,
our
EBITDA
is
■249
crores,
which
is
6%
at
net

sales
and
as
against
■170
crores,
which
is
5.6%
of
net
sales
in
the
previous
year,
Q2.
And
H1,
our
EBITDA
is
■467
crores,
and
5.9%
to
net
sales
as
against
■188
crores,
at
4.1%
as
on
the
net
sales
for
H1,
last
year.
Our
Profit
after
Tax
this
quarter
has
been
■81
crores
at
2%
as
against
■17
crores
at
0.6%
last
year
and
H1

our
PAT
is
1.8%
as
against
loss
in
the
first
half
of
last
year at 1.3%.

So
therefore,
in
spite
of
very
strong
competitive
pressures,
as
you
can
see,
we
have
continued
to
show
good
performance
in
financials
and
with
a
good
potential
to
grow .

And
relatively ,
we
are
doing
better
as
compared
to
the
competition
as
far
as
the
margins
are
concerned.

And
then,
of course, last quarter , another highlight has been introduction of our electric buses.
We
have

just
executed
40
electric
buses
order
for
Chandigarh
city
which
are
running
very
successfully
there.
We
also
launched
new
models
both
in
the
Volvo
bus
and
Eicher
bus,
sleeper
coaches
which
are
again
state-of-the-art
buses,
and
we
also
introduced
drive
trucks
for
the export markets and also new bus models in the export markets in the Middle East.
Page
5
of
16

Eicher Motors
November 10, 2022
And
another
good
recognition
for
VECV
has
been
the
second
year
in
a
row,
we
ranked
#1

in
Dealer
Satisfaction
in
the
survey
conducted
by
Federation
of
Automotive
Dealers
Associations,
FADA
and
we
continue
to
be
number
one
this
year
as
well
as
we
were
number
one
last
year
as
well
in
this
survey ,
which
puts
us
in
a
good
advantageous
position
to
create
good
customer
satisfaction.
All
in
all,
I
think
we
are
in
a
good
position,
and
we
are
doing
very

well
as
far
as
the
volumes
are
concerned,
and
we
should
grow
with
the
market.

And
of
course,

the financials also should grow in line with that.

So, with that, now I think I hand over back to Govindarajan for any last remarks.

B.

Govindarajan:

Thank

you,

sir.

Just

one

point

is,

Mr.

Siddhartha's

is

slightly

under

the

weather

and

he's

not

able

to

attend

this

call.

So

that's

why

me

and

Vinod

are

actually

handling

it,

I'm

just

reading

it

on

behalf

of

him.

Thanks

for

joining,

I

think
it's
been
a
good
quarter
and
H1
for
VECV
and
Royal
Enfield,
and
overall
for
Eicher
Motors
Limited.
Thanks
for
joining
this
call.
I
think
we
can move to the question and answers. Back to you.
Basudeb
Banerjee:
Thanks,
Mr.
Govindarajan
and
Mr.
Aggarwal.
Participants
we
can
now
start
with
the
Q&A
session.
Requesting
you
to
raise
your
hands
or
write
your
question
in
the
chat
box.
We
can
start
with
the
first
question

from
Gunjan
Prithyani.
We
will
request
you
to
unmute
and
ask
your question.
Gunjan
Prithyani:
Sure,
thanks
for
taking
my
question.
Sir,
in
your
introduction
comments,
you
mentioned
that
the
Hunter
350
has
seen
a
different
set
of
customers.
Could
you
share
a
little
bit
of
colour
on
how
the
addressable
market
has
changed
either
in
terms
of
the
age
profile
or
the
geography ,
a
little
bit

more
colour
around
that?
And
what
sort
of
order
backlog,
wait
periods
are
going
on
there?
And
is
there
a
thought
process
to
ramp
up
the
capacity
on
the
Hunter
350
platform?

That will be the first question.

B.

Govindarajan:

As
far
as
Hunter
350
is
concerned,
the
first-time
buyers,
who
used
to
be
normally
about
15%
that
range,
it
has
jumped
to
almost
about
18.1%
to
18.2%
in
this
year

post
the
Hunter
launch.
In
terms
of
first-time
buyers,
if
I
have
to
talk
about
the
existing
Royal
Enfield
consumers
to
Hunter
is
26%,
first-time
buyers
going
up
and
upgrades
are
also
coming
up
into
this.
What
is
Hunter
doing
and
what
is
the
confidence
which
we
are
having,
I
think
during
the
launch
also
we
were
explaining
--
this
is
a
product
for
those
consumers

who
love
the
brand
Royal
Enfield
and
wanted
to
associate
with
the
brand
Royal
Enfield
but
wanted
a
motorcycle,
which
is
a
bit
more
accessible,
slightly
lower
in
weight
compared
to
the
motorcycles
which
we
are
having
in
like
Classic
350
and
Bullet
650,
and
it
has
all
the
rider
handling
ability
for
tight
situations
in
a
traffic level.
And
that's
where
we
were
looking
at,
and

it
should
get
new
consumers
and
not
cannibalizing
with
the
existing
thing.
Happy
to
share
with
all
of
you,
the
cannibalization
is
almost
nil.
Marginally ,
it
will
be
there
because
of
the
price
point,
some
people
can
take
a
decision
here
and there, but it hasn't been any materially different in terms of the cannibalization.
In
terms
of
age
group,
the
Hunter
in
this
new
format,
it
is
the
18-25
age
group,
it's
almost
touching
40%
and
about
26-30

age
group,
is
another
43%.
It
is
more
the
younger
audience
who
are
coming
into
that.
So,
what
we
wanted
over
the
Hunter ,
it
is
exactly
got
positioned
in
that
particular
form.
It's
adding
volume,
and
it
is
adding
the
new
consumer
set
into
Royal
Enfield and that's where we were looking for , which has answered to us.
Gunjan
Prithyani:
Anything
on
the
geography ,
wait
period,
order
backlog,
production
related
thought
process,
if
you can share on that?

Eicher Motors
November 10, 2022
B.
Govindarajan

:
Yes,
Hunter ,
it's
a
product
now,
it
is
available
PAN
India.
And
in
terms
of
numbers,
we
have
rolled
50,000
motorcycles
we
produced
--
so
to
that
extent,
you
can
see
that
it
is
continuously
in
a
waiting
period
as
of
now.
Not
because
of
anything
else,
we
anticipated
both
Retro
Hunter
and
Metro
Hunter ,
and
that's
what
we
launched.
Retro
Hunter

at
about
■1.49
lakh
and
Metro
Hunter
at
■1.6-1.69
lakh.
And
at
that
price
point,
when
we
launched,
we
were
assuming
the
Retro
model
~1.49
lakh,
people
will
also
look
at
it.
It's
good
for
us
as
a
company
and
the
consumer was enjoying. Now for the Retro Hunter , the percentage is very low .
The
Metro
Hunter
is
the
highest.
It's
actually
an
upgrade,
which
is
actually
happening,
which
is
a
very
good
sign,
that's
what
we
were

wanting
to
do.
So,
what
has
happened
is
the
exclusive
part
for
Metro
at
an
assumed
level,
we
wanted
to
increase
it
so
that
the
higher
percentage
of
Metro
can
be
given
to
the
consumer .

We
kickstarted
looking
at
the
initial
responses
and
from
November
onwards,
the
existing
numbers
and
Hunter
per
day
also
will
be
slightly
going
up.

But it is very good in terms of booking, and it is constantly increasing the numbers for us.

Gunjan
Prithyani:
Okay .
The
second
question

is
on
the
export
side.
Now
everybody
has
been
calling
out
a
lot
of
volatility
in
export
markets
given
where
the
macro
is,
is
there
any
slowdown
that
you
all
have
seen?
And
how
should
we
think
about
the
export
scale
up
over
the
next
12-18
months?
Do
we
see any headwinds on that part of the business?
B.
Govindarajan
:
Exports,
as
far
as
Royal
Enfield
is
concerned,
I
will
tell
you
because

even
in
the
Q2,
the
retail
has
been
very
good
for
us.
We
have
been
gaining
market
share.
In
fact,
some
countries
where
inflation
is
very
high
to
be
honest,
as
the
energy
cost
is
so
high
in
Europe
and
all.
Even
in
those
markets,
we
gained
the
market
share
and
we
have
almost
booked
10%
market
share
in
the
middle-weight
category
in
those
countries.
Americas,

both
in
North
America
and
Latin
America,
our
retail
has
been
outstandingly
good.
Will
there
be
a
pressure
point,
that
nobody
can escape from the kind of an inflation and all those things.
But
what
is
promising
to
see,
that's
what
we
are
at
EICMA
2022,
and
we
are
meeting
all
the
European
people
who
are
here,
and
we
are
launching
our
Meteor
650
at
that
point
of
time
we
were
discussing,
the
mobility
and
the
demand

has
not
gone
off.
To
that
extent,
everybody
is
looking
at
what
are
the
new
products
which
are
coming
up
and
when
we
will
actually
be
bringing
out
to
the
motorcycles.
And
somehow ,
we
feel
our
motorcycles
which
are
accepted
very
well
and
continue,
maybe
one
month
because
of
the
cold
non-rainy
season
the
retail
will
be
lower
but
we
are
building
up
for
the
season

in
coming
years.
So,
to
that
extent,
we
will
start
continuing
the
production
because
that's
what
our
entire
dealer
network
is
also
asking
for
more quantities.

Gunjan Prithyani:

All right, thank you so much.

Basudeb Banerjee:

Thanks. Next, we have a question
from Pramod Kumar .

Pramod

Kumar:

Yes,
thanks

a
lot.
Hi,
Govind
and
Vinod
sir.

Congratulations

Govind

on
the
Super
Meteor
650.

That
looks
pretty
good.

My
first
question
is
on
the
kind
of
discussion
we
had
during
the
Investor

Day
as
well,
that
incrementally ,
you
would
like
to
focus
on
the
absolute
growth
and
the
ROCE
rather
than
kind
of
focus
too
much
on
the
percentage
margins
on
the
EBITDA
front.
This
quarter ,
we
have
seen
a
bit
of
a
step
down
on
the
margin
and
also
on
the
ASP
because of Hunter 350, right?
How
should
the
investor
communities
look
at
the
margin
profile
of
the
organization,
as

you
see
Hunter
350
ramping
up
going
forward
and
then
getting
into
international
markets
as
well,
because
on
the
domestic
front
itself
Hunter
is
doing
very
well,
and
I'm
pretty
sure
international
markets
also
will
be
a
big
success.

So
how
should
we
look
at
this
in
the
context
Page
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Eicher Motors
November 10, 2022
of
ASP
and
EBITDA
per
vehicle
compared
to
the
portfolio
that

we
had
so
far,
which
was
much premium. If you can just help us understand that will be great.
B.

Govindarajan:

Yes,
Pramod.
Hunter ,
as
a
product
when
we
wanted
to
launch
it,
had
an
addressable
market
at
a
price
point
which
is
also
very
accessible
as
a
motorcycle,
as
we
said.
That's
why
we
are
growth
focused
now.
There
has
to
be
a
rebalance,
and
that's
the
strategy
which
we
looked
at,
there
should
be
a
rebalance

between
the
profit
and
the
profitability .
When
we
launched
Hunter
350,
there
were
some
headwinds
also
when
we
were
launching
that
point
of
time,
which
is
not
baked in.
One
is
the
commodity ,
at
a
point
when
we
were
launching
in
the
current
level,
immediately
there's
a
lot
of
softening,
which
is
taking
place.
When
we
launch
a
new
product,
I
always
say
that
first
three
months,

let's
have
a
pipeline
of
VAV
activities
which
are
required,
because
it
has
to
reach
the
consumer
and
the
value
proposition,
which
we
wanted
to
give
it
to
the
consumer .
In
the
first
three
months,
we
have
to
actually
look
at
whether
it
has
landed
to
them
very well.
For
us,
the
opportunity
for
the
profit
pool
on
an
overall
number ,
in
which
Hunter
is
moving
in

on.
And
on
the
profitability
part
which
also
we'll
start
working
on
is
through
the
commodity
softening,
which
is
helping
us
as
a
tailwind.
As
I
mentioned,
there
is
value
engineering
activity ,
which
we
will
be
doing.
Also,
our
capex
is
not
going
to
be
very
high
because
as
I
mentioned, it will be immaterial.
For
example,
in
the
Metro
to
Retro,
ideally
in
the
platform,
the
number
of
componentry

which
we
have
changed
in
all,
there's
just
about

■1-1.2

crore
additional
investment
here
to
debottleneck,
we
can
actually
move
the
whole
product
to
a
100%
Metro,
even
that
is
what
the
market
requires.

And
that's
the
good
sign,
and
we
assume
that
our
profitability
also
with
the
Retro
and
the
Metro
at
a
particular
percentage
combination.

Now
the
Metro
going
up
more
and more, it's also a good sign.
And
because

there
is
a
demand,
we
have
also
increased
the
price
you
would
have
known,
in
the
month
of
November

-
■3,000,
which
we
have
done
for
Hunter
350.
So,
the
pricing
option
is
there,
commodities
won't
help
anyway .

So,
what
we
are
looking
at
is
the
growth,
and
that's
what
the
Hunter
350
is
bringing
in.
And
let's
keep
going
in
that
side,
we
will
start

looking
at
profitability parallelly , and decide what we have to work on.

Pramod

Kumar:

And

Govind,

could

you

kind

of

guide

from

the

current

quarter ,

would

you

expect

the

percentage

numbers

and

the

EBITDA

per

vehicle

to

kind

of

improve

as

the

benefits

of

commodity

kind

of

come

in,

and

the

price

increases

also

kind

of

help

you?

And

what

would

be the sustainable profitability , what you would be quite happy with in terms of?

B.

Govindarajan:

Pramod,

as

an

organization,

we

don't

give

forward

guidance.

I

can

only
tell
you,
as
an
organization,
we
wanted
our
growth
focus
to
come
in.
For
growth
focus,
we
wanted
to
bring
in
a
particular
product,
and
that's
in
Hunter
350,
which
answered
our
requirement.
It
started
giving
us
a
higher
volume
and
not
cannibalizing
the
existing
one
which
is
number
one,
which
is
good
in
a
way.
Second,
there
is
no
commodity
pressure
now.
We
were

all
assuming
the
super
commodity
pressure
will
continue
for
a
longer
period
of
time,
which
is
now
not
there.
In
between,
we
had
our
semiconductors
and
all
those
things,
we
were
buying
it
from
the
resellers
as
the
price
was
higher
and
the
logistics
cost
was
also
higher .
All
those
things
are
behind
us
now by and lar ge.
The
value-engineering,
which
is
possible,
is
just
now
kicking
in
the

organization,
let's
start
looking
on
one
by
one
of
these
things.

Also
new
product
launches
will
come,
now
there
is
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Eicher Motors
November 10, 2022

Super
Meteor
650,
which
is
going
to
come
in.
Initially ,
I
thought
that
probably
we'll
give
it
only
in
the
first
quarter .
Now
it
is
coming
up
slightly
ahead.

So
overall
mix,
I
see
a
positive
trend for this or ganization overall.
Pramod
Kumar:
That's

great
to
hear.
And
Govind,
a
follow-up
more
on
the
industry
terms
as
well
on
the
ODB
norms,
what
would
it
be
because
we
are
hearing
that
on
the
four-wheeler
side,
the
cost
implications
will
be
big.
How
do
you
see
that
in
terms
of
a
cost
for
the
two
wheeler
industry ,
for
a
category
like
350cc
and
above,
what
ideally
will
be
the
cost
inflation,

what
you
will
see
on account of ODB norms for two-wheelers.

B.

Govindarajan:

ODB
has
two
phases,
ODB-IIA
and
ODB-IIB.

IIA
is
only

a
minor
thing.

IIB
when
it
comes

up,
that
is

a
CAT
deterioration
monitoring,
which
has

to
come
in

as
need
to

watch
out
close.

And

IIB
when
it

comes
up,
that

is

when
probably

there
may
be

a
bit
of

a
loading
in

the
precious
metal,
possibly
which

can
happen.
Everyone
has
already
started
working
on
it,
if
that
comes,
how
do
we
protect
it?
For
example,
when
we
were
doing
a
BSVI,
after
implementation of BSVI, we started looking at optimization.
Now
there
is
a
time
which
is
there
for
OBD-II B,
very
recently ,
in
fact,
it
is
the
final
notification,
it
will
reach
us
maybe
in
a
day
or
so.
Now
Vinod
is
the
President,
so
it
will
come
through

him.
So
once
that
comes
in,
at
least
we
have
time
for
IIB,
it
is
only
2025.
So,
all
our
optimization
activity ,
which
we
may
have
to
do
it,
that
can
be
done.
That's
the
time
under
which
we
asked
for
from
the
government
and
government
has
given.
And
hopefully ,
that
should not put burden on the consumers also because of this.
Pramod Kumar:
And can I take one question with Vinod
sir?
Pramod
Kumar:
On
the
CV
demand,
we
have
seen
somewhat
of

a
moderation
at
the
start
of
third
quarter .
And
we've
got
some
feedback
from
fleet
owners
that
they
probably
may
be
in
a
wait
and
watch
mode
at
least
in
February
before
they
kind
of
get
a
color
on
the
macro
situation
and
the
interest
rate
scenario.
Given
that,
what
are
you
picking
up
from
the
market
in
terms
of
the
demand
in
the
near-term,
on

the commercial vehicle side, and whether this global uncertainty and higher interest rates has resulted in some bit of a pause or rethink for large fleet owners?

Vinod

Aggarwal:

I think we have to look at the overall scenario, because we won't be able to answer based on the MoM figures or month-wise figures.

If you look at the overall scenario for Indian economy ,

I think everyone is having consensus that we are going to have 7% growth in the current year. And

sentiments
for
India,
they
are
relatively
much
better
as
compared
to
the
global
situation.
If
you
look
at
our
GDP
tax
collections
month-after -month,
they
are
quite
handsome,
in
fact,
■140,000
crores
plus
if
there
are
any
concerns,
they
are
largely
the
trade
balance
concerns.
There
again,
there
are
a
lot
of
things
that
the
government
is
doing
on
the
ethanol
mixed,
10%
has
already
happened
in

20%
what
he
is
talking
of.
So
therefore,
I
think
government
is
trying
to
address
all
these
concerns
with
respect
to
these
global
situations
of
the
increasing crude oil prices.
At
the
same
time,
when
the
economy
grows,
there
is
a
requirement
for
more
and
more
trucks
to
move
the
goods
and
services.
And
as
you
know ,
these
periods
have
been
bad
years
for
the
industry ,
and
it
was

at
rock
bottom
in
2021.
Therefore,
since
it
is
cyclical
industry
and
economy
can't
do
without
trucks.
And
you
also
need
more
modern
trucks
to
take
care
of
the
demands
of
more
tax
heavy
customers
or
customers
who
focus
a
lot
on
the
productivity
as
well
as
timeliness
and
the
costs.
Like
I
should
talk
to
any
customer
today ,
they
always
dictate
that I need delivery in so and so period, and I need at this cost.
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Now

if

they

have

to

meet

these

requirements,

you

can't

meet

those

requirements

with

the

old

trucks.

Therefore,

it

is

imminent

that

old

fleet

of

trucks

have

to

be

replaced.

And

since

replacements

have

not

happened

in

past

two

to

three

years,

these

replacements

are

going

to

happen,

not

only

because

of

the

pent-up

replacement

requirement,

but

also

because

of

the

need

of

more
productivity
and
cost
reductions,
which
can
be
delivered
only
by
the
new
technology trucks.
Therefore,
I
would
say
that
overall,
we
are
going
to
see
good
trends
in
the
CV
industry
in
the
coming
two
to
three
years,
because
we
are
in
the
recovery
cycle.
And
still,
we
are
far
away
from
the
earlier
peak
as
far
as
heavy-duty
trucks
and
the
buses
are
concerned.
Light

and
medium
duty
still
this
year
itself
we
may
touch
the
new
peak.
So
therefore,
my
own
feeling
that
we
are
going
to
see
a
good
time
for
the
CV
industry .
There
may
be
different
indications
in
some
months
or
the
other ,
but
that
doesn't
mean
anything.
Even
in
the
month
of
October ,
the
industry
has
grown
by
15%
over
a
much
better
base
of
October

last
year
because
last
year,
October
itself,
the
industry
has
started
growing.

And
last
year's
second
half,
the
growth
had

started. And even on that base, we have seen a growth of 15%.

Pramod Kumar:

And the pricing continues to get better ,
sir?

Vinod

Aggarwal:

Pricing

will
get
better
as
the
industry
grows;
the
pricing
will
get
better .

As
of
now,
it
is
still
not
better ,
but
you
have
seen

a
lot
of
press
statements,
which
are
coming
from

competitors

that we are also concerned about profits. How long we will continue to show losses.

Pramod Kumar:

Thanks a lot sir . Best of luck.

Basudeb

Banerjee:

Thanks.

We'll

request

participants

to

limit

their

questions

to

two

questions

max.

And

next,

we

have Pramod Amte. Please unmute.

Pramod

Amte:

Thanks

for

this

opportunity .

Since

we

touched

up

on

OBD-II.

Wanted

to

check

one

of

your

entry

level

product

still

runs

on

the

old

engine

platform.

What

are

the

plans

to

comply

on

the

same? Can all of your products easily go for OBD-II?

B.

Govindarajan:

Yeah,

so

all

our

products

as

of

now

for

OBD-IIA

we

are
ready .
And
IIB
we
are
working,
as
I
was
just
explaining
for
the
IIB,
we
have
to
be
careful
that
it
is
not
adding
cost
to
the
consumers
and
to
us
also.
To
that
extent,
we
started
working
on
and
we
have
time
for
it.
But
time
to
come,
the
transition
to
IIA,
we
don't
anticipate
any
problem.
We'll
be
comfortably
transitioning into that.
Pramod
Amte:
And

second
follow-up
question
is,
if
I
had
to
look
at
your
ASP
rise,
the
first
quarter
was
impressive,
and
once
you
launched
a
new
product,
it
seems
to
have
seen
a
sharp
QoQ
drop
and
because
of
its
first
half,
there
is
literally
a
flattish
ASP.
And
if
I
hear
you
right,
you're
already
seeing
a
better
product
mix
within
the
Hunter
350.
If
it
goes

down,
do
you
see
a
further
pressure
on
your
ASP
in
the
second
half
and
hence,
you
might
have
to
take
more
pricing action to drive our top-line and margin expansion?

B.
Govindarajan:

In
the
ASP,
once
again,
first
is
the
growth
focus.
That
is
what
we
actually
said
it's
a
rebalance.
It
has
to
be
growth
focused
and
we
should
get
more
consumers
into
this.
We
look
at
it
the
business
of
holistic.

One
is
about
that
motorcycle
alone
and
ASP.
We
actually
look
at
the
accessories,
the
GMAs,
which
all
get
added
on
to
that,
when
the
Hunter
was
launched,
in
fact,
our
GMA
penetration
has
been
slightly
lower ,
because
we
also
have
not
brought
it
in
time,
we've missed out.

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of
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November 10, 2022
Commodity
is
the
way
we
priced
it
at
that
point
of
time,
the

commodity
has
not
shown
anything
substantially
and
that
we
are
expecting
that
it
will
come
down.
The
third,
which
I

mentioned
is
as
it
is
a
new
product,
the
value
engineering
projects
have
not
kicked
in.
It
is
all
in
the
pipeline.
We
were
envisaging
and
has
all
host
of
activities,
which
must
be
looked
at
for

the cost angle and all those things. But it will actually start certifying now on.

Another
one
lever ,
which
is
there,
is
the

international
market.
International
market,
as
of
now,
the
product,
Hunter350
has
not
come
in,
because
we're
just
opening
into
country-by-country .
So
overall,
as
we
wanted
it
as
a
growth,
that's
what
it
was
meant
for,
and
it
has
given.
Now
when
we
look
at
ASPs,
profitability's,
how
do
we
work
on
it.
And
obviously ,
the
avenues
and
levers will be pulled whenever it is required, and we'll be continuing on that path.
Pramod Amte:
Thanks and all the best.
Basudeb Banerjee:
Next, we have question from Raghunandan.
Raghunandan:
Good
evening,
sir.

Congratulations
on
the
unveiling
of
Super
Meteor .

Sir,
I
wanted
to
understand
that
there
are
expectations
of
multiple
launches
ahead
at
the
650cc
space.

How
would
you
look
at
the
opportunity?
Would
export
be
a
bigger
opportunity?

Or
would
you
see
these
models
as
credible
upgrades
for
domestic
market?

Which
one
would
be
the
bigger
area
you would focus on?

B.
Govindarajan:
Look,
first
of
all,
the
entire
cruiser

in
India,
we
had
Lightning,
city
bike,
Thunderbird,
Thunderbird
X
then
we
came
out
with
Meteor .
We
understand
long
distance
ride,
we
understand
cruising.
So,
we
came
out
with
the
350
Meteor
Cruiser ,
which
is
a
simple
cruising
one.
The
650
platform
has
come
over
the
time
when
we
were
riding,
and
we
were
also
talking
to
our
riding
community .
Everyone
started
looking
at,
we
should

also
come
out
with
one
more
cruiser
on
the
Twin
platform.
When
we
were
contemplating
and
consuming
the
Twin
platform
at
that
point
of
time
itself,
we
said
the
platform
must
come
with
a
cave
racer ,
roadster
and
a
cruiser .
So,
we
came
with
Continental
GT
and
with
Interceptor
650.
Globally ,
it
has
been
a
resounding
success,
and
it
actually
created
that
category
and
groomed
the

category
in
that
particular segment.
Now
we
see
this
is
another
one
product,
which
everybody
has
been
looking
for,
not
a
very
heavy
cruiser ,
a
guy
who
doesn't
like
cruising
can
also
get
onto
the
motorcycle
will
enjoy
cruising
and
it
should
be
accessible
and
simple,
not
a
complicated
cruiser ,
ours
is
a
feet-forward
cruiser ,
you
don't
feel
it
is
a
very
heavy
machine.
So,
in
the

cruiser
space,
we
feel
there
is
a
good
space
which
we
are
entering.
That's
what
our
riders
were
looking
at
across
the
globe,
and
it
is
helping
us
in
a
right
time,
which
you
are
bringing
in,
when
I
were
just
unveiling
it
two
today's
back
and
all
the
media
when
we
were
talking
all
the
European
customers
who
were
here
now
and
we
are
generally

chatting
with,
it's
coming
out
to
be
clearly
that,
that's
the
product
exactly
you
are
looking
for
and
you
brought
the
proper
fit,
finish
and
in
all
those
things.
And
we
will
come
out
with
a
very
good
price
point
also
in
an
accessible
way.
So
that's
across
the
globe,
that
will
also
show
a
growth
potential.
But
more
products
which
are
in
pipeline
for
us

to
bring
in
for
India
and
others.
As
far
as
India
is
concerned,
today ,
I
think
with the long roads, which are coming up and the riding culture, which is gaining momentum.
And
post-pandemic,
once
again,
people
are
out
there,
weekend
raids
are
starting,
with
people
started
actually
asking
me
by
when
are
you
opening
the
booking
on
the
Super
Meteor
650.
So
that's
the
demand
which
is
coming
up.
So
hopefully ,
I
will
be
seeing
that
both
in
India
and

outside both ways, it will be addressing the easy cruising for even the non-cruisers.

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Raghunandan:

Got

it

sir.

All

the

best

for

that.

Sir,

my

second

question

was

on

how

much

was

the

commodity

impact

in

Q2

because

gross

margin

QoQ

could

be

impacted

both

by

mix

as

well

as

by

commodity? Also commodity deflation impact, do you expect from Q3 onwards?

B.

Govindarajan:

Yes,

in

Q2,

it

hasn't

impacted

into

the

P&L

to

that

extent.

So,

it

will

start

flowing

in

Q3

onwards.

Raghunandan:

Thank

you,

sir.

But

would

you

be

able

to

give

some

numbers,

how

much

benefit

do

you

expect?

B. Govindarajan:

Very certainly in the next call,

yes.

Raghunandan:

Thank you sir . And all the best on the

650 side.

Basudeb Banerjee:

Next, question is from Jinesh Gandhi.

Please unmute.

Jinesh

Gandhi:

Sir,

my

first

question

pertains

to

the

domestic

market.

So,

excluding

Hunter

can

you

give

some

color

on

how

our

core

portfolio

is

doing?

If

I

look

at

the

numbers

on

the

wholesale

basis,

do

we
have
to
see
material
pickup
in
demand
or
a
pickup
in
volumes
from
our
normalized volume perspective. So, any color on that?

B.
Govindarajan:

If
the
question
is
towards
Hunter
coming
and
all
the
other
models
are
not
growing,

Jinesh

I
can
tell
you
there
is
a
festive
season
anyway
and
all
our
models
also
has
seen
growth
which
is
also
a
good
sign.
So,
on
the
booking
trend
Classic,
Bullet,
Meteor

everything
has
actually
gone
up.
What
we
are
doing
now
is
within
Hunter
launched,
we
are
watching
every
counter
and
whether
it
is
giving
an
additional
number
or
cannibalizing?
That's
what
I
mentioned,
it
is
not
cannibalizing
at
this
stage
which
is
a
good
sign
for
us.
The
consumers,
even
in
the
rural
side,
are
also
looking
at
the
metro,
so
that
is
also
increasing.
In

the
process,
other
models
are
also
coming. Having said, we are ramping up our digital presence in all the products.
Even
for
Classic,
we
once
again
did
Classic
refreshed
in
the
market
with
the
digital
media,
and
we
started
doing
a
lot
of
track
dates
for
our
Himalayan
and
Scram.
We
are
doing
a
college
connect
for
all
our
Scram.
We
have
started
the
flat
track
and
dirt
track
racing.
All
those
areas
are
actually
helping
us
at
the

product
level
also.
Whenever
the
GT
Cup
things
comes
up
and
there
is
a
buzz
in
the
social
media,
in
fact
even
for
Continental
GT's
requirement
and
inquiry
is going up.
So,
with
a
lot
of
news
on
the
Super
Meteor
lot
of
more
guys
have
started
enquiring
about
Meteor .
So,
the
inquiry
for
Meteor
also
has
gone
up.
So,
it's
a
combined
effect
as
an
organization
when

you
come
out
with
new
products
in
adjacencies
and
convey
that
to
the
consumer
authentically ,
this
is
what
we
wanted
to
come
and
give
it
to
you.
The
rest
of
the
products
are
also
growing
at
this
stage.
But
I
have
to
give
you
one
thing
with
the
rider
as
this
is
the
festive
season
everything
has
grown.so,
we'll
have
to
wait
and
watch.
I
also

feel
the
refreshes
will
also
start
kicking
as
we
have
refresh
plans.
So,
to
that
extent,
we
see
there
will
be a growth in every product which we have.

Jinesh
Gandhi:
Okay .
And
secondly
on
Hunter ,
any
sense
on
what
proportion
of
demand
comes
from,
beyond
top
10
cities
or
top
20
cities
Primarily ,
is
it
more
broad-based
in
terms
of
demand
through
regional lens?
B.
Govindarajan:
We
don't
do
it
in
that
form.
We

normally
categorize
in
terms
of
more
than
125cc
motorcycles
per
month
in
that
particular
region,
AA+
types.
If
I
have
to
tell
you,
the
booking
which
is
actually
coming
out
city
wise,
it's
across
until
it's
actually
having
a
response.
Having
said,
in
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the
initial
field,
which
we
wanted
to
give
for
the
test
rides,
we
have
covered
only
about

70%,
remaining
30%
in
the
studio
stores
which
were
yet
filling
up.
So,
we
are
slowly
doing
the
more
opening,
which
we
will
be
bringing
in
more
consumers.
So,
it's
a
pan-India
and
it
is
not
any
one
particular
area.
But
we
have
been
seeing
the
growth
in
all
the
top
10
cities
which
we
have been watching, everywhere there is growth.
Jinesh
Gandhi:
Got
it.
And
sir
one
last
question
on

CVs
to
Vinod
ji.
Sir
with
respect
to
demand
from
small
and
single
fleet
owners,
are
we
seeing
them
coming
back
as
that
has
been
one
segment
which
was yet to show any material recovery . So, what are the trends we are seeing there?

Vinod
Aggarwal:

If
you
look
at
the
trends
in
the
light
and
medium
duty
trucks
or
in
the
sub
5
ton
trucks,
the
maximum
growth
is
there
in
those
segments.
And
those
are
the
segments
which
have

either
single
truck
owners
or
very
small
plays.
So
therefore,
yes,
of
course,
for
the
small
operators,
the
interest
rate
and
the
sentiments
they
matter
more.

But
at
the
same
time,
I
think
there
is
demand
for
movement
of
goods
that
has
to
be
met.

So,
I
think
it's
coming
because
of
the
economic requirements.

Jinesh Gandhi:

Got it. Thanks. I'll fall back in queue.

Basudeb Banerjee:

Thanks. Next we have question from
Kapil Singh. Please unmute.

Kapil

Singh:

Yeah.

Thanks

for
the
opportunity .

Govind
sir,
first,
the
question
is
to
you.
When
we
look
at
your
production,
in
the
past
been
facing
supply
shortages.
So,
when
I
look
at
the
current
volumes,
are
you
able
to
supply
as
per
market
demand
or
you're
still
facing
shortages
and
therefore, you need to build out production from where you are currently?

B.
Govindarajan:

As
of
now,
we
are
almost
more
doing
about
3100-3200
numbers.
So,
the
capacity
is
not
a
constraint.
Number

one,
because
we
have
already
built
capex,
so
that's
not
the
constraint
now.
Second,
we
had
an
issue
of
the
semiconductors,
availability
of
steel
itself
which
are
not
in
the
headwind
as
of
now,
by
large
it's
getting
sorted
out.
I
am
not
saying
it
is
completely
gone
or
something
like
that
but
that's
not
the
top
of
the
main
issues
now.
We
also
started
off

doing
inventorization,
substitutions,
all
those
activities
which
are
required
also
kick
started.
So,
production
is
not
a
constraint.
It's
a
exact
model
mix,
which
we
have
to
align
and
we'll
give
it
to the consumers, and that's what it is. It's not a concern any more.

Kapil

Singh:

Okay .

Great

to

hear

that.

Vinod

sir,

one

question

to

you,

please.

BS

VI

Phase

2

is

coming

up

and

if

you

could

help

us

understand

what

is

the

kind

of

cost
increase
we
should
expect
for
LCV and MHCV portfolio? And what are the elements that are going to get added for that?
Vinod
Aggarwal:
BS
step
2
is
going
to
come
from
1
st
April
2023.
And
basically ,
there
are
much
more
stringent
compliance
requirements.
But
it
means
that
the
manufactures
are
responsible
for
ensuring
the
tail
emissions,
they
continue
to
meet
the
standards
on
the
road
for
a
long
period
of
time
after
the
vehicles
are
sold.
So
therefore,
the

regulators
can
pick
up
any
truck
from
the
road
and
can
see
that
whether
it
is
complying
or
not.
So,
I
think
that
is
the
major
change
that
the
emission
standards
have
to
perform
absolutely
in
line
with
the
law.
And
if
they
don't
perform,
then
there
can
be
major
implications
for
the
manufacturers.
As
far
as
the
costs
are
concerned,
there
will
be
some
increase

in
costs
but
at
the
same
time,
we
are
also
working
on
various
other
cost
reduction
avenues.
So
hopefully ,
let's
see
how
it
lands
and
when
we
are
closer
to
the
date
of
implementation,
we
will
take
a
call
that
how
much
price
increases
we
will
take,
because
of
that.
Kapil
Singh:
Sir,
just
wanted
to
understand,
I
know
you
will
not
have
an
exact
estimate

right
now
but
directionally ,
when
BS
IV
to
BS
VI
happened
there
was
a
big
concern
regarding
this.
There
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was
an
element
of
pre-buy
also
that
was
expected.
So,
is
it
going
to
be
that
large?
And
will
there
be
some
segmental
disruptions
in,
for
example
LCVs
could
see
much
higher
cost
increases or something like that.
Vinod Aggarwal:
No, it will not be that large.
Kapil Singh:
Okay . All right. That's it from my side.
Thank you so much sir .
Basudeb Banerjee:
Thanks. Next, we have a question

from Ankush Agarwal. Please unmute.

Ankush
Agarwal:

Hi
sir.
Thank
you
for
taking
my
question.

Sir
my
first
question
is
on
the
product
portfolio.

So,
in
the
recent
analyst
meet,
we
had
highlighted
a
lot
of
products,
but
what
I
wanted
to
understand
is
the
product
portfolio
expansion
in
terms
of
new
categories.

So,
for
example,
Hunter
is
a
new
category
of
products
that
bring
a
new
set
of
customers

to
us.
Himalayan
was
a
different
set
of
products
that
got
a
different
set
of
customers
to
us.
So,
in
terms
of
product
portfolio
that
you're
looking
to
launch,
which
are
the
products
that
will
expand
this
category
of
customers
and
not
just
product
that
are
expansion
of
existing
line
up
products,
if
you
can
talk about that?
B.
Govindarajan:
So
Ankush,
product
portfolio
per
se,
we
were

only
one
platform
company
and
now
there
we
have
two
platforms.
Earlier
because
UC
was
the
only
platform
which
we
had,
now
we
have
J-Series
and
P.
We
are
also
working
on
an
upgradation
cycle
for
all
these
platforms,
because
we
have
just
launched
and
we
have
done
a
transition
in
this.
In
the
product
portfolio,
we
always
look
at
what
is
it.
There
are
some

products
like
Classics
or
Meteor
which
are
all
innovations,
but
it
is
a
replacement
for
an
existing
product.
Adjacencies
like
we
did
in
Himalayan
for
an
adventure
trailer ,
then
we
found
Scram
is
one
more
variant
which
we
can
bring
in,
let's
see
what
kind
of
an
experience
the
consumer
is
looking
at.
Globally ,
in
these
sort
of
categorization,
one
have
to
understand
is
only
the

experience.
So
now
we
had
Meteor
with
an
experience
we
said,
okay ,
in
the
platform
of
Twin,
we
can
come
out
with
an
accessible
cruiser
of
a
retro
cruiser
style
from
Royal
Enfield.
That's
what
we
are
doing.
Similarly ,
we
did
a
Cafe
Racer
in
650cc,
in
a
sports
category .
Is
there
something
else
which
we
can
do
at
what
point
of
time
it
is
required,

we
will
definitely
come
out
with
that.
A
Roadster
category
in
that,
what
is
the
product
adjacencies,
which
is
required.
And
those
are
all
the
thought
process
for
the
product
lineup,
which
we
continue
to
evolve,
that's
why
we
always
had
a
healthy
pipeline
of
new
products
on
a
platform-based
and
category
base
have
to
be
signed
up
and
then
the
organization have to start working on, and our c are also dedicated only for that.
To
that
extent,
our

pipeline
is
very
healthy .
We
have
a
lot
of
products
which
we
have
been
working
on.
And
in
this
year,
you
would
have
seen
we
came
out
with
a
Scram,
Classic.
Now
we
have
the
P4D
which
we
are
coming
up.
So,
like
that
all
these
products
will
start
coming
up
at
an
interval
when
the
market
is
ready ,
and
we
will
time
that
and
then

we'll
do
the
launching.

You will see a lot of new products which will keep coming from Royal Enfield.

Ankush

Agarwal:

Yeah,

I
get
that.

What

I
was
asking

is,
will

there

be

products

that

could

expand

category?

So

obviously ,

we

have

now

launched

Meteor

650,

which

is

an

extension

of

existing

Meteor

product,

but

something

like

a

Hunter ,

which

was

a

new

segment

all

together .

So,

do

we

have

those

kind

of

products

which

would

be

our

new

segment

and
would
bring
a
new
set
of
customers to us?

B.

Govindarajan:

Yeah.

That's

why

I

said,

somewhere

the

Roadster

as

a

category ,

which

is

very

strong

in

350

but

there

is

a

space

for

650,

we

can

look

at

that.

So,

we

as

a

company

don't

do

too

much,

that

is

also

very

clear .

We

don't

have

very

relenting

and

do

a

focused

approach.

Whatever

product

which

we
bring
in,
it
has
to
be
successful
because
we
don't
bring
product
and
then
start
Page
14
of
16

Eicher Motors
November 10, 2022

looking
at
what
is
an
experience
which
we
can
give
it
to
the
consumer .
We
actually
go
ride
along
with
the
consumer ,
we
spend
time,
get
the
whole
thing
as
I
say
well
consumer
is
looking
at
this
sort
of
an
experience.
So,
whether

I
can
come
out
with
a
variant
rather
than
giving
a
full
new
platform
development.
Full
new
platform
development
is
a
huge
effort.
So,
what
we
are
looking
at
is
when
we
were
doing
this
J
and
P
platform,
we
thought
this
platform
should
be
expandable
in
a
way
that
it
can
give
adjacencies
experience
to
the
consumers.
So,
the
core
product,
then
adjacencies,
then
variants,

then
color
refreshes,
that's
the
cycle
which
we
are
normally
looking
for
these
two
platforms.
That
way
if
you
look
at
made
in
India
and
international market, there's a huge potential for us to exploit these two platforms itself.
And
in
terms
of
addressable
thing,
which
we
were
talking
about,
outside
India
the
market
potential
is
so
much
like
what
it
is
there
in
India,
and
we
have
just
started
exploiting
into
their
international
markets.
So,
our
focus
also

has
to
be
how
we
capture
that
market
outside
with
the
platforms
which
are
so
successful
now.

And
all
the
platform
and
the
product
are
just
one
year,
two
years.

So,
it
is
just
hitting
the
maturity
cycle
and
it
takes
time
for
product
to
get
the

maturity cycle, then it has a huge potential. So, we will not be doing these things.

Ankush
Agarwal:

Okay .

Got
it.

Sir
my
second
question
was,
internally ,
like
when
we
look
to
price
in

new
product.
So,
do
we
look
at
profit
on
per
bike
basis
or
it's
more
like
a
cost-plus
kind
of
approach that we look at?

B.

Govindarajan:

Pricing

is

never

on

a

cost

plus

Ankush.

We

normally

look

at

what

is

the

product,

what's

the

kind

of

accessible

price

point

which

he

is

looking

at

from

Royal

Enfield

and

who

is

the

source

of

growth,

where

the

growth

is

coming

and
what
is
his
EMI?
So,
it
has
to
be
market
focused
rather than cost plus focused Ankush.

Ankush
Agarwal:

That's
right.
So
just
to
get
a
sense,
what
you're
saying
is
you're
broadly
looking
at
the
profit
pool that you can capture rather than per bike
B.

Govindarajan:

We
never
approach
it
like
that
way
Ankush.
We
always
looked
at,
there
is
a
consumer
who
wants
an
experience
from
Royal
Enfield
and
what's
the
value
proposition
which
he

is
looking
at
from
the
Royal
Enfield.
Today
Royal
Enfield
success
is,
the
price
which
is
being
paid
for
the
Royal
Enfield
he
feels
it's
a
jewel,
which
I'm
just
holding
on
and
the
value
proposition
is
very
good.
That's
why
we
always
look
at
it
from
the
customer
in
the
market.
What's
the
value
which
we
can
deliver ,
which
the
consumer
feel
that,
Royal
Enfield

has
delivered
a
fantastic
value
to
me
for
the
kind
of
money
which
he
has
given
and
that
has
to
be
very
authentic.
So,
we
always
come
focus
on
this
rather
than
looking
at
the
entire
material
cost
plus
add
up
which
we
don't
do.
Internally ,
we
do
the
benchmark.
We
have
to
do
the
case
in
point
of
any
product
which
comes
in.
We
always

look
at
it,
what's
the
relative
price
index?
Where
is
the
source
of
growth?
What's
that
price
point
for
them?
What
does
it
mean
in
terms
of
EMI
per
month,
if
in
case
a
price
is
like
this
those
calculations
we
do,
but
we
always
look
at
the
value
for
the
consumer rather than just giving the pricing.

Ankush Agarwal:

That was very helpful. I have further
question, I'll get back in the queue. Thank you.

Basudeb
Banerjee:

Thanks
participants,
that
was
the
last
question.
Thanks
to

Mr.
Govindarajan
and
Mr.
Aggarwal
for
replying
to
all
the
queries
of
the
investors.
For
any
unanswered
question
or
any
other
query ,
please
feel
free
to
reach
Investor
Relations
team
of
Eicher
Motors
Limited.
I'll
like
to
hand over to Mr . Govindarajan for any closing comments.

B.
Govindarajan:
Thank
you
very
much.
It's
been
a
wonderful
interacting
with
you
people.
As
an
organization,
we
always
look
at
being
long-term
focus.
Internally ,
anyplace
anything
which

we
do

we
always
look
at
it
long-term.

And
that's
why
even
in
an
Investor
Meet
myself
and
Vinod,

we
all
Page
15
of
16

Eicher Motors
November 10, 2022

came
and
then
explain

to
you
that
it
is
a
growth-focused
organization,
and
that's
what
we
will
be
at
it.

When
we
are
growing,
whatever
correct
things
which

are
to
be
done
for
the
organization, we'll continue to do that.

In
Royal
Enfield,

EV
is
another
one
space,
which
we
are
now
getting
into
that
very
intensely .
In
fact,
I
and
Siddharth
is
here,
we
are
all
spending
time
and
understanding
the
whole
ecosystem,
what's
happening,
what
sort
of
a
technology
has
to
be
looked
at
immediately ,
so
those are the things. And maybe Vinod can add anything from the VECV side for closing.

Vinod Aggarwal:

No, I think you've summarized it very
well.

B. Govindarajan:

Thank you very much. Thanks everyone
for attending this.

Basudeb Banerjee:

Thank you very much.

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of

16

Call: Feb 2023

Eicher Motors Limited
Corporate Office:
#96, Sector – 32
Gurugram – 122001
Haryana, India
Tel +91 124 4415600
Registered Office
CIN: L34102DL1982PLC129877
3rd Floor – Select Citywalk
A – 3, District Centre, Saket
New Delhi – 110 017, India
Email: info@eichermotors.com

February 20, 2023

Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200 The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of SEBI (LODR) Regulations, 2015 – Transcript of Conference call

Dear Sir/Madam,

Further to our letter dated February 06, 2023, intimating the schedule of the conference call held on Tuesday, February 14, 2023 please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the third quarter and nine months ended December 31, 2022, pursuant to regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl: a.a.

"Eicher Motors Limited
Q3 FY23 Earnings Conference Call"
February 14, 2023
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ANAGEMENT
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OVINDARAJAN
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—

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L
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Page
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of
16

Eicher Motors
February 14, 2023
Basudeb
Banerjee:

Hi,
good
afternoon,
everybody ,
and
good
evening
to
the
participants
from
other
parts
of
the
world.

Welcome
to
post
result
Q3
FY23
Eicher
Motors
Conference
Call.

We
are
pleased
to
get
the opportunity to host them on.
We'd
like
to
welcome
the

senior
management
of
Eicher
Motors
presented
by
Mr.

Siddhartha
Lal,
MD,
and
CEO
of

Eicher
Motors;
Mr.

Vinod
Aggarwal,
MD
and
CEO
of

Volvo
Eicher
Commercial
Vehicle
Limited;
Mr.

B.
Govindarajan,
CEO
of

Royal
Enfield
Limited;
and
Ms.

Vidhya Srinivasan, Chief Financial Officer, Eicher Motors.

Without wasting more time, I'd like to hand over the call to the senior management.

Siddhartha

Lal:

Hello,
everyone,
and

a
very
good
afternoon,
evening

to
all
of
you,
and
welcome
to

Eicher
Motors
Limited
earnings
call

for
Q3
FY2022-23.

I

hope
you're
all
doing
well.
As
we
finished
three
quarters
of
the
financial
year,
I'm
very
happy
to
report
that
we
are
faring
well
across
all
business and financial parameters, both at Royal Enfield and at VECV , so all is doing well.

At
Royal
Enfield,
we've
seen
two
big
launches
over
the
last
couple
of
quarters,
with
both
motorcycles
doing
extremely
well
in
the
market.
After
a
hiatus
of
two
years,
we're
back
with
the
largest
celebration
of
the
motorcycling
community

that
we
have
at
Royal
Enfield,
which
is
Rider
Mania
and
late
last
year
in
its
new
avatar
called
Motoverse.

We
also
had
a
very
successful
global
media
launch
for
the
Super
Meteor
650,
the
new
flagship
motorcycle
in
our
range,
called
journalists
from
all
over
the
world
in
Jaisalmer ,
Rajasthan
this
year,
and
that's
in

January , and we've got absolutely tremendous reviews from everyone on that.

While
our
overall
growth
story
in
the
international
markets

continues
to
gather
a
lot
of
momentum,
we've
also
performed
extremely
well
in
India
this
quarter .
We've
registered
our
highest
ever
market
share
of
8.1%
in
all
motorcycles
sold
and
nearly
one
in
three,
that's
nearly
33%
of
all
motorcycles
above
125cc
segment.
So,
nearly
one
out
of
every
three
motorcycles
above 125cc is a Royal Enfield now .
And
we're
really
expanding
the
market
of
premium
motorcycles
as
we
speak.
In
addition

to
all
of
that,
we
also
taken
some
large
strides
towards
our
long-term
vision
of
sustainable
mobility
by
making
a
strategic
investment
in
Stark
Future
with
an
initial
equity
investment
of
Euros
50
million, translating to around 1.1% of the equity .
And
we
also
started
a
partnership
and
collaboration
by
completing
our
collaboration
agreement
with
Stark
Future
for
research
and
development,
parts,
aggregates,
sharing
of
technology ,
technical
licensing,
and
manufacturing.
We've
scouted
around

for
years
in
the
electric mobility space, and we've looked at scores of different manufacturers and startups.
And
we
really
like
the
team,
the
product,
the
philosophy
at
Stark
and
we
believe
it's
an
excellent
collaboration
for
us
for
years
to
come.
We're
really
excited
about
that,
both
in
supporting
Stark
for
the
tremendous
potential
that
they
have
and
back
for
Stark
Future
to
support EML and RE in our very ambitious EV program.
So
that's
on
EV
for
this
time.
And
at
Volvo
Eicher
Commercial
Vehicles,

we've
continued
to
strengthen
our
market
presence
across
all
key
segments,
which
is
light
and
medium
duty
trucks, heavy duty trucks and the full range of buses.

We've
showcased
our
capabilities
through
multiple
future-ready
products,
which
include
13.5m
electric
Eicher
bus.

This
was
at
our
Auto
Expo
last
month,
hybrids
and
power
truck,
a
combination
CNG-LNG
hybrid
vehicle.

Of
course,
Vinod
Aggarwal
will
tell
us
more
about
the highlights of VECV and the Auto Expo a bit later .

Page

2
of
16

Eicher Motors
February 14, 2023
And

coming over to our financial performance this quarter , I'm delighted to announce that we reported our highest ever Revenue, our highest ever EBITDA and our highest ever Profit after Tax at EML. The consolidated financials of the third quarter is the revenue was **■3,721** crores, which is up 29% from last year for the quarter . EBITDA at **■857** crores, up 47% from last year. And a PAT of **■741** crores, which is again the highest

ever
for
EML
and
up
62%
from
last
year.
So
overall
at
EML,
we
continue
to
maintain
a
razor -sharp
focus
on
our
future
strategic
growth
plans
along
the
robust
ESG
vision.
I'm
elated
to
share
that
for
the
second
year
in
a
row,
we
are
amongst
the
top
10
global
automakers
on the prestigious Dow Jones Sustainability Index, which is a very important measure for us.
And
to
conclude,
I'm
extremely
confident
that
we
are
on
a
great
and
accelerated

and
sustainable
growth
path
for
Eicher
Motors
Limited.
Thank
you
very
much.
And
over
to
Govindarajan,
CEO
of
Royal
Enfield,
who
will
tell
us
more
about
the
business
at
Royal
Enfield.
B.
Govindarajan:
Thank
you,
Siddhartha.
Hi,
everyone.
Belated
New
Year
wishes
for
every
one
of
you.
At
Royal
Enfield
with
our
strong
and
robust
business
fundamentals
and
a
passionate
team,
that's
what
we
are,
I'm

happy
to
say
that
we
are
continuing
to
make
excellent
progress
towards
our
near
and
long-term
goals,
continuing
our
vision
of
becoming
a
truly
global
motorcycling
brand.
We've
made
definitive
progress
this
year
and
specifically
in
this
quarter .
As
Sid
mentioned,
we
launched
the
Super
Meteor
650.
We
have
unveiled
in
EICMA,
there's
an
excellent
review
that
was
just
unveiled.
Then
subsequently ,
we
showcased
it
in

Rider
Mania,
which
is
our
Motoverse and the third, we launched it across the globe from Rajasthan.
It
has
been
a
brilliant
response
from
everyone
across
the
globe.
We're
super
happy
to
share
even
the
Hunter
350,
which
we
launched,
won
the
Indian
Motorcycle
of
the
Year,
IMOTY2023
this
year.
Since
its
launch
in
August,
this
motorcycle
has
been
receiving
unprecedented appreciation and love from consumers across the globe.
First,
we
launched
it
in
India.
Now
it
is
also
available
across
the
globe.
Rider
Mania

in
2022,
as
Siddhartha
mentioned,
we
opened
it
as
Motoverse
to
our
rider
community .
We've
reimagined
the
Rider
Mania,
which
brought
in
new
spaces,
new
stories,
new
activities,
and
experiences.
This
year,
in
Rider
Mania,
we
brought
together
almost
about
14,000
riders,
their
journeys,
their
stories,
their
missions
and
much
more
in
one
inclusive
space
at
Goa.
There's
tremendous
enthusiasm
from
the
community ,
which
we
have

represented
by
riders
from
25
countries
across
the
globe.
As
far
as
our
international
footprint
is
concerned,
just
to
give
you
a
highlight
what's
happening
is
there
is
the
strong
growth
momentum,
which
is
continuing
in
our
international markets.
With
markets
like
Americas
region,
Europe
and
APAC,
there's
a
significant
growth,
which
has
been
happening.
In
all
these
markets
towards
our
longer -term
ambition,
we
also
started
looking

at
CKD
facility .
This
quarter ,
we
inaugurated
a
new
CKD
facility
in
Brazil,
which
is
our third motorcycle assembly unit in Americas region and our fourth across the globe.
The
inauguration
of
the
CKD
in
Manaus,
which
is
in
Brazil,
is
a
testament
to
our
commitment
to
the
region
and
the
significant
potential
that
the
Brazilian
market
holds
for
RE
in
time
to
come.
During
this
quarter ,
we
also
signed
an
agreement
to
set
up
CKD
units
in
Bangladesh

Page
3
of
16

Eicher Motors
February 14, 2023

and
Nepal
because
all
the
other
countries
are
also
looking
at
CKD.

And
both
these
markets
are
also
promising
potential
for

Royal
Enfield,
these
facilities
will
be
coming
into
action
in
course of time.

Our
Vallam
Vadagal
manufacturing
plant,
which
is
the
second
plant
we
commissioned,
has
been
awarded
as
the
Future
Ready
Factory
of
the
Year
by
Frost
&
Sullivan,
which

has
been
a
proud
moment
for
all
of
us
who
are
involved
in
setting
up
to
the
world-class
manufacturing
facility .

To
share
some
of
the
highlights.

Our
total
sales,
which
are
domestic
and
international
put
together ,
we
did
a
sale
of
almost
about
219,898
motorcycles
in
this
quarter ,
which
is
up
by

about 31% YoY basis and 8.1% higher than the Q2 FY23.

Domestic
market.

India
sales
was
about
202,100
units,
which
is
34%
YoY
and

10%
higher
than
the
Q2
FY23.
The
volumes
are
steadily
increasing,
and
it
is
improving
for
us.
As
Siddhartha
was
mentioning,
our
market
share
gain
is
growing
at
a
healthy
pace,
highlighting
our strong brand positioning in all these markets.
International
market
sales
in
international
market
is
about
17,789
units
in
Q3,
marking
a
growth
of
almost
about
4.4%
over
last
year.
We
continue
to
progress
on
our
vision
of
becoming
a
global

motorcycle
brand
from
India,
notwithstanding
the
macroeconomic
headwinds in global markets.
International
retail
performance
for
the
nine
months
of
FY23
has
been
robust,
and
we
have
clocked
a
solid
growth
range
from
37%
to
48%
across
various
regions,
backed
by
our
robust
launch
of
new
products
which
are
present
in
the
pipeline,
we
are
committed
towards
sustaining
the
strong
growth
momentum
in
the
international
markets
as
well.
We
are

looking
forward for a very positive Q4.

Now

I

will

hand

it

over

to

Mr.

Vinod

Aggarwal

to

walk

us

through

about

the

VECV

financials.

Vinod

Aggarwal:

Thank

you,

Govind.

Good

afternoon,

and

I

will

begin

with

financials

for

VECV .

Our

total

sales

in

Q3

have

been

18,162

units,

up

13.2%

from

16,044

units

in

Q3

FY22.

Our

revenues

from

operations

are

■4,603.9

crores,

up

27%

from

■3,625.7

crores

in

Q3

FY22.
Our
EBITDA
has been ■304.95 crores, up 26.2% from ■241.55 crores in Q3 FY22.
Our
EBITDA
margin
is
6.8%,
and
this
is
same
as
in
last
year
Q3.
And
our
Profit
after
Tax
has
been
■160.3
crores,
up
from
■67.7
crores
in
Q3
of
last
year.
We
listed
robust
volumes
across
the
board
with
the
highest
Q3
sales
at
18,162
units
and
we
listed
highest
ever
Eicher
and
Volvo
heavy-duty
truck
sales
in
the
quarter
of

5,241
units,
and
our
market
share
in
heavy-duty
trucks now is more than 8% of both Eicher and Volvo trucks.
Our
continuing
focus
on
improving
dealer
satisfaction
and
uptime
for
our
customers
is
showing
in
high
levels
of
service
and
parts
sales,
as
our
customers
utilize
our
expanded
dealer
network.
We
have
highest
ever
quarterly
parts
business
of
■295
crores,
registering
more
than
20%
growth
over
Q3
FY22.
At
the
recently
conducted
Auto
Expo
2022,
we
have

showcased
a
glimpse
of
our
capabilities
through
multiple
future-ready
product
lineups
aligned
with
the
Government of India vision for efficient logistics and decarbonized Auto Industry .

And
we
are
as
Siddhartha
has
mentioned
in
his
address,
we
unveiled
India's
longest
Eicher
13.5m
electric
Intercity
Coach,
we
unveiled
Eicher
2049
4.9-ton
GVW
electric
distribution
truck for near city and intracity distribution.

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We
unveiled
LNG
drivetrain
for
long-haul
trucking,
both
in
Volvo
and
in
Eicher
brands.

And
we displayed hydrogen ICE and hydrogen fuel cell technologies.
With that, I hand over back to you for further questions-and-answers.

Anubhav Bajpai:
We can start off with Q&A Basudeb
and Divya.

Moderator:

Thank
you.
First
question,
we
will
take
from
the
line
of
Prithyani
Gunjan.
Prithyani,
please
go
ahead.

Gunjan Prithyani:
Hi, can you hear me?

Moderator:

Yes.

Siddhartha Lal:

Yeah, loud, and clear .

Gunjan

Prithyani:

Yeah,
okay .
Thanks
for
taking
my
questions.

I
had
two
questions.

Firstly ,
on
the
margin
side,

I
just
wanted
to
get
some
sense
from
you
all
as
to
where
are
we
on
the
metal
correction
as
large

part
of
that
reflected
in
this
quarter .
And
in
terms
of
incremental,
how
should
we
be
looking
at
the
margins
because
there
was
a
mix
impact,
which
is
quite
significant
for
the
last
two
quarters?
So
maybe
some
color
on
incrementally ,
how
should
we
be
thinking
about
the
levers
both on the positive and the negative side on the margins?

B.
Govindarajan:

Gunjan,
let
me
give
you
on
the
GC
level,
which
you
are
talking
about.

First
and
foremost,
every
one
of
you,
I'm
sure
now
you
all
would
have
seen
it,
the
commodity
pressure
is
not
there.
It
has
to
start
flowing
in.
So,
coming
quarters,
it
will
start
flowing.
It
started
flowing
even
in
this
quarter .
In
the
coming
quarters
also,
it
will
start
flowing
in.
There
is
one
more,
which I just wanted to bring in, maybe Vidhya can add on.
At
Royal
Enfield,
when
we
do
a
price
action

or
something
like
that,
for
us,
more
than
the
price
action,
the
consumers
have
to
get
protected.
What
we
have
done
is
for
all
those
consumers
who
have
actually
booked
our
motorcycles
even
though
at
a
particular
point
of
time,
we
increase
the
pricing,
we
said
we
will
give
the
price
protection
for
all
of
them
till
we
offer
the
motorcycle
once
to
them.
If
they

take
a
decision
of
not
taking
the
motorcycles
and
I'll take it later , that's fine.
Till
we
actually
give
the
opportunity
for
them
to
say,
yes,
I'm
taking
the
motorcycle,
we
will
do
the
price
protection,
that
will
also
flow
in.
In
the
last
quarter
call
as
I
was
just
mentioning,
we've done a platform change, which is the J platform.
It
has
just
been
there
in
the
market
for
the
past
two
years
starting
from
the
Meteor
350.
Now

the
value
engineering,
all
those
activities
will
start
kicking
in.
There
are
a
lot
of
activities
which
are
happening
around
the
GC.
I
hope
that
gives
the
overall
sense
of
what
are
we
doing
on that area.
Vidhya
Srinivasan:
I
think,
Govind
let
me
add
to
that.
I
think
on
an
absolute
level,
first
off,
our
gross
profit
has
increased
to
about
■1,555
crores,
which
is
an
increase

of
4%
QoQ,
34%
YoY.
On
a
YTD
basis,
our
gross
profit
per
bike
has
increased
about
2%
versus
the
same
quarter
in
the
previous
year.
Also,
on
a
YTD
basis
also,
it
has
increased
by
about
2%.
So
those
are
the
good
things
which are happening on a gross profit standpoint.

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As

you

rightly

mentioned,

there's

obviously

been

an

impact

of

product

mix

as

well

as

the
international
mix
which
is
flowing
into
our
things.
And
I
think
what
Govind
has
already
mentioned,
we
have
taken
price
corrections
of
about
1.5%
on
Hunter
as
well
as
Bullet
in
the
last quarter .
And
as
we
mentioned,
we
have
been
protecting
the
customers
from
order
book
standpoint
as
far
as
the
margin
is
concerned.
But
I
think
we're
expecting
to
see
that
benefit
flow
through

into the GC.

Gunjan

Prithyani:

Okay .

So

just

to

get

this

right,

when

you

mean

price

correction,

you

mean

that

you

all

have

taken

price

increases

and

you're

still

giving

the

prior

order

book

at

the

locked-in

prices?

Is

that understanding, correct?

B.

Govindarajan:

That's

right,

Gunjan.

To

an

extent,

as

I

clarified

because

consumers

have

come

back

and

then

say,

"We

love

your

motorcycle,

and

we

are

booking

and

willing
to
wait."
In
between
because
of
whatever
the
business
increase
the
price,
as
an
organization
for
as
consumer
comes
first,
we
always said, till we offer the motorcycle to them, we will do a price protection for them.
It
does
mean
the
price
increase,
which
is
to
flow
into
our
P&L
will
happen
later
point
of
time.
But
that's
important
for
us
because
the
consumers
must
be
respected
in
that
form
because
they
believe
that
there
is
a
possibility
that
this

motorcycle
will
be
available
to
me
at
a
particular
point of time.

Gunjan
Prithyani:

Okay .

The
steel
benefit
is
also
yet
to
flow
through,
and
this
price
benefit
is
also
yet
to
flow

through, that are the incremental positives that we should keep in mind?

Siddhartha

Lal:

Partially

to
that,
we
can't
say
that
it
will
flow
through
100%
now,
right.
Partially ,
it
would
have flown through.

B.

Govindarajan:

Yes,

Gunjan,
what
happens

is
all
these
commodities
corrections,
which
you
do

it
in
a
particular
cycle,
we
take
a
quarterly
cycle,
but
the
cycle
can
flow
in
between
the
quarter
also.
So
sometimes
what
happens
is
with
the
inventories
there
at
a
particular
price
point,
then
that
gets
consumed,
the
commodity
advantage,
which
is
there,
it
will
start
flowing
in
the
quarters.
Partly , we have taken, the money will flow in.
Gunjan
Prithyani:
Okay .
Got
it.
And
the
second
question
I
had
was
on
the

model
launch
pipeline.
I
know
you
don't
talk
what
model,
what
timelines,
but
maybe
some
color
on
how
should
we
be
looking
at
FY
24
in
terms
of
new
model
introductions
or
refreshes
to
the
existing
portfolio,
even
a
broader
commentary
on
the
number
of
interventions
that
we
could
see
will
help
us
think
through the volume growth for next year?

B.
Govindarajan:

In
2023,
we
launched
Hunter ,
and
I'm
sure
everybody

will
be
doing
the
market
check
has
been
doing
outstandingly
well
for
us,
which
we
wanted
the
new
set
of
consumers
must
come
in
into
the
Royal
Enfield
fold.
That's
what
it
is
exactly
doing
to
us.
Then
on
the
learning
which
we
had
on
the
cruising
through
our
Meteor
which
we
used
it
for
J
platform
launch,
we
launched
the
Super
Meteor ,
we
launched
a

Scram
on
the
Himalayan
platform.
As
we
always
mentioned,
constantly
we
keep
looking
for
what
are
the
adjacencies
which
are
there,
which
the
consumer
wants and experience across the globe.
We
being
a
rider,
we
also
constantly
keep
looking
at
what's
the
kind
of
an
experience
that
the
consumer
wants,
and
we
keep
doing
it.
And
there's
no
new
product
which
can
come
in
one
year,
right?
All
these
things
must

be
thought
through
almost
for
three
years,
four
years
Page
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window .

So,
we
have
a
very
healthy
new
product
lineup
which
are
there,
which
we
will
come
in the next few years one after the other .

Gunjan Prithyani:

Okay , I will join back the queue.

Thank you.

Moderator:

Thank
you.

An
announcement
for
the
participant,
we
would
request
you
to
restrict
your
questions
to
two
as
we
have
a
long
queue
of
questions.
Also,
if
you
could

announce
the
organization
name
before
asking
your
questions.

Our
next
question

is
from
the
line
of

Kumar

Rakesh. Rakesh, please go ahead.

Rakesh

Kumar:

Hi,
thank
you
for
taking
my
questions.

Good
evening,
everyone.

My
first
question

was
around
Bullet
350cc

that
should
go

on
the
J

platform,
and
I'm
guessing

it
could
be

any
time
soon

we

will be launching that. Will this transfer increase the cost and price for the product?

Siddhartha

Lal:

I'm
sorry ,
Rakesh,
we're

not
going
to
comment
on

future
products.
So
that's
a
potential
future
product we are talking about, so we can't comment on that.
Rakesh
Kumar:
Fair
enough.
I
have
a
question
on
VECV
margin
as
well.
So
VECV
margin
expanded
by
about
100
bps
QoQ,
while
commercial
vehicle
peers,
we
have
noticed
expanded
much
stronger
margin
on
a
QoQ
basis,
more
than
200-300
bps.
So
where
did
we
lag
in
margin
expansion?
While
we
are
hearing
that
discounting
pressure
has
reduced

at
least
in
the
last
quarter . Or do we expect more mar gin expansion to happen in the coming quarters?

Vinod
Aggarwal:

I
think
you
must
look
at
the
consistency
in
our
margins.
If
you
look
at
the
margins
of
other
companies,
there
have
been
significant
ups
and
downs.
This
quarter ,
they
have
shown
good
margin
and
whereas
the
earlier
quarters,
they
have
been
showing
very
low
margins.
Whereas
we
have
been
very
consistent.
As
we
mentioned,
there
may
some

positive
impact
growing
partially
due
to
the
mobility
prices.
So
therefore,
we
cannot
make
the
forward
statement
that
how much it will go up. However , we are on the right trend.
Rakesh
Kumar:
Correct,
thanks
Vinod
for
that.
And
just
kind
of
clarification
to
Gunjan's
question.
Govindarajan,
you
talked
about
the
price
protection
to
customers,
in
our
current
order
book
for
the
models,
do
we
still
have
some
orders
left
with
price
protection
or
is
that
largely
over

in
March ended quarter?

B.
Govindarajan

:
At
a
particular
point
of
time,
if
due
to
a
price
increase,
if
there
is
an
order
which
was
there
for
those
consumers
first
will
be
offer,
obviously ,
we
will
do
the
price
protection.

So
that's
a
philosophy we will continue Kumar .

Rakesh Kumar:

Thanks. I will fall back in the queue.

Thank you.

Moderator:

Thank you. Next question is from the line
of Pramod Kumar . Pramod, please go ahead.

Pramod

Kumar:

Thanks

a
lot
for
the
opportunity .

My
first
question
is
on
the
export
outlook.
Given

the
macro
headwinds
what
we
are
facing,
if
you
can
just
help
us
understand
how
do
you
look
at
the
export
potential
in
the
near
to
medium
term?
And
given
the
fact
that
we
are
also
establishing
CKD
plants
now,
will
that
help
us
further
in
terms
of
pricing
in
the
end
markets?
And
how
should
one
look
at
export
outlook
for,
say,
FY24
because
we've

had
a
spectacular
run
for
the
last
three
years?
And
now
even
with
Hunter
export
starting
in
the
last
quarter ,
how
should
one
expect
export
growth
outlook
for
FY24,
Govind,
in
terms
of
--
should
we
be
looking
for
the
10,000-15,000 units of monthly run rate going forward?

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B.

Govindarajan:

Pramod,

thanks

for

the

question.

It

has

been

always

said

outside

India,

the

potential

is

very

high

for
us.
We
always
look
at
it
as
it's
a
long-term
growth,
which
we
have
to
take
in.
And
as
an
organization,
we
are
also
the
long-term
aggressive
company .
From
the
Twin
platform,
which
we
first
brought
in,
then
subsequently ,
we
had
the
J
platform,
all
the
products
around
that, today , they are all Euro V compliant.
So
globally ,
you
can
sell
those
motorcycles.
What
we
have
done
is,
we
started
looking
at

community
building
and
retail
outlet
expansion
activities
in
all
the
countries
and
started
looking at CKD in all those markets, where the market is very good.
So
all
those
areas,
what
we
have
done
is
all
the
background
activities,
which
has
done
in
the
market
growth
is
what
we
have
been
focusing
on.
This
year,
it
has
been
showing
that
the
market
is
growing.
We
also
touched
on
the
macro
economies;
nobody
can
escape
from
any
of
that

sort
of
an
impact.
But
as
of
now,
the
proxy
which
we
are
looking
at
is
how
is
the
schedule
of
auto
component
industry
from
the
Europe
manufacturers
and
how
is
it
going,
that's
not
showing
anything
very
adverse.
So
that's
the
positive
sign
and
mobility
area
is
continuing.

We
are hopeful that we will not have any major impact because of the macroeconomic indicators.

Pramod

Kumar:

Thanks,

Govind.

Second
question

is
on
the
domestic
demand
side.

Given
the
kind

of
steep
price
inflation,
what
we've
seen
because
of
regulations
and
various
other
factors.
The
Hunter
350cc
launch
has
kind
of
really
been
a
big
hit
to
the
customers
because,
in
a
way,
we
have
kind
of
dialed
back
the
price
increases
effectively
without
compromising
the
product
and
the
entire Royal Enfield appeal.
So
given
the
success
of
Hunter
350,
is
there
a
thinking
that
potentially
you
can
do

more
on
those
lines
in
terms
of
probably
more
fresher
designs,
which
can
kind
of
attract
more
younger
customers
and
widen
the
addressable
market
for
Royal
Enfield
because
Hunter
350
has
been
one
of
the
biggest
hits
in
the
entire
tool
industry
in
the
last
few
years.
Is
this
something
which
you
are
looking
that
we
can
probably
do
more
on
that
kind
of
slightly
more

affordable
and
lower -priced product as a strategy and more designs along with that?

B.

Govindarajan:

What
we
know
as
a
team,
which
we
have
been
also
discussing
with
the
team
is,
we
also
need
to
do
a
lot
more
even
in
Hunter
350.
We
launched
it
in
August
2022,
it's
a
partial
year.
And
this
year,
it
is
going
to
be
available
in
full
year.
We
also
had
the
mix
changes,
which
were
there
between
the

Retro
and
the
Metro,
and
now
the
focus
is
brought
back
in
the
company .
And
all
the
rural
market,
hopefully ,
the
spend
also
starts
up
in
that
particular
area,
so
there's
a
huge potential of all the youths in that particular area also.
It
is
actually
doing
what
we
were
intending
to
have
it
in
the
company
of
getting
a
new
set
of
consumers,
younger
audience
who
love
the
brand
Royal
Enfield,
but
they
wanted
a

motorcycle a bit more agile and easy for them to maneuver .

And
that's
exactly
answered.

There's
a
huge
potential
for
Hunter
itself
in
the
domestic
and
in
the
international
market.

We're
yet
to
exploit
that
itself.

So
that's
why
we'll
be
focused
on
this
now.

Pramod

Kumar:

Govind,

do
you
expect
Hunter
share
to
kind
of
volumes
to
keep
getting
better?

If
I
understood

what you said, you're seeing more upside to the Hunter volumes in domestic market?

B.

Govindarajan:

We
feel
that
all
our
products
are
in
a

better
position
to
grow .
When
the
market
opens
up
more,
all
of
our
products
should
grow .
And
as
an
organization
we're
also
early
new.
All
those
products,
along
with
the
market
has
to
grow
now.
The
best
thing
is
Hunter ,
is
getting
new
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consumers,
it's
not
cannibalizing
Classic.
That's
a
good
sign
for
us.
And
all
the
markets
wherever we have seen order -wise it is getting new consumers.
As

the
market
opens,
you
all
know
in
the
domestic
market,
the
market
is
not
so
good
for
everyone.
When
the
market
opens,
it's
going
to
be
healthy
for
us
because
that's
how
we
have
been
gaining
the
market
share.
The
lead
indicator
for
anyone
to
understand
that
the
brand
is
being
loved,
the
products
are
very
good,
there
is
an
acceptance
in
a
market
which
is

not
so
buoyant,
but
still
when
the
market
share
is
being
gained.
When
the
market
is
coming
back,
we
hope to see that all our products also will be doing well, Pramod.

Pramod Kumar:

Thanks a lot Govind. And wish you guys
all the best. Thank you.

Moderator:

Thank you. The next question is from the
line of Hitesh Goel. Hitesh, please go ahead.

Hitesh

Goel:

Thanks

for

taking

my

question.

My

question

is

if

I

look

at

the

consolidated

EBITDA

minus

the

stand-alone

EBITDA,

there's

not

much

contribution

in

this

quarter ,

right?

Can

you

talk

us

through

what

has

happened

here

because

it

was
showing
17-18
INR
crores
kind
of
EBITDA
contribution
coming
from
subsidiaries?
Can
you
please
talk
about
that
first?
Then
I'll
take
my
second question.

Vidhya
Srinivasan:

I
think
to
some
extent,
obviously ,
there
has
been
EBITDA
which
is
happening
at
various
subsidiaries.

A
little
bit
from
a
timing
standpoint
because
we
are
building
up
inventory
for
the
season.
And
because
of
that,
there
is
a
little

bit
of
a
reversal
of
EBITDA,
which
we
are
booking
locally .
I
think
we've
talked
about
it
in
prior
quarters.
I
think
that
is
what
is
showing
up in the difference between standalone and consolidated.
Hitesh
Goel:
There
are
no
launch
expenses
or
something
in
the
abroad
subsidiaries
because
of
Hunter
exports starting?
Vidhya
Srinivasan:
No,
basically ,
when
we
send
inventory
from
India
to
global
subsidiaries,
we
are
building
up
for
the
season
because

we
are
moving
with
the
season
in
Europe
as
well
as
North
America,
that reversal is taking place which is essentially impacting it.

Hitesh

Goel:

Okay .

My
second
question

is
on
the
stand-alone
business.

Basically ,

if
my
understanding
is

right

that

on

a

QoQ

basis,

there

has

been

a

5-6%

shift

towards

Hunter

350,

like

you

had

spoken

in

earlier

quarters,

there

is

an

8%

lower

gross

margin

on

Hunter

350.

When

I

compute

this,

there's
a
50
bps
impact
on
gross
margin
from
Hunter
350.
There's
a
70bps
coming
through raw materials in this quarter , is that the right way to look at it?

Vidhya
Srinivasan:

I
think
approximately ,
the
ways
to
look
at
it
is
that
we
have
a
0.5%
upswing
in
terms
of
commodity price improvements, which is reflecting in our gross mar gin.

Hitesh

Goel:

Okay .

Okay .

And

going

forward,

you're

saying

there

will

be

more

commodity

benefits

yet

to

flow through because of the lag ef fect, right, in the fourth quarter?

Vidhya Srinivasan:

Well, I can't give you too much
information.

B.

Govindarajan

:

As

it

has

been

discussed,
Hitesh,
as
it
has
partially
flown
because
commodities
as
of
now,
it
is
not
showing,
but
there
are
enough
researches,
which
is
also
coming
back
and
then
saying
if
China
picks
up
how
the
commodity
will
behave
on
all
of
those
things.
But
yes,
when
the
commodity is easing out, it flows into the P&L.

Hitesh Goel:

Great. Thank you and all the best.

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Moderator:

Thank

you.

We

have

next

question

from

the

line

of
Raghunandhan
N.
L.
Raghunandhan,
please go ahead.
Raghunandhan
N.

L.:
My
first
question,
considering
the
positive
reviews
for
Super
Meteor ,
how
do
you
see
the
potential
for
the
product
in
domestic
and
export
markets.

I
mean
providing
critical
upgrades
for
existing
350cc
vehicle
owners
has
been
an
objective
for
the
company .

So
how
do
you
look
at strengthening the portfolio in lar ger CC products and looking at upgrading customers?

B.
Govindarajan:
Raghunandhan,
maybe
I'll
rephrase
the
question,
if
you're

asking
how
the
Super
Meteor
650
will help in the upgrade cycle for Royal Enfield, if that's the question? Am I right?
Raghunandhan N. L.:
Yes, sir .
B.
Govindarajan:
Okay .
So
let
me
just
articulate,
and
Siddhartha
can
add
on
this.
As
Super
Meteor
650
is
on
the
platform
of
650
Twin
engine.
We
came
out
with
a
cafe
racer ,
and
then
we
also
came
out
with
an
Interceptor ,
which
is
a
roadster .
Now
we
wanted
to
come
out
with
one
more
motorcycle,
which is a cruiser . So that's what the Super Meteor 650, which we launched.

When
we
launched
in
our
Motoverse,
without
even
announcing
the
price
and
all
those
things,
so
there's
a
good
response
of
people
coming
and
booking.
We
got
a
good
number
of
bookings
then on that day itself. Now it is also being exported to other markets.
It's
just
opening
a
segment
for
Royal
Enfield,
which
is
already
existing.
Cruiser
is
existing
everywhere.
But
everyone
is
looking
at
an
easy
cruiser ,
thoroughbred
from
Royal
Enfield
which
is
easy
for
them

also
to
maintain
and
is
not
too
heavy .
I
mean
people
won't
get
intimidated,
but
it
should
have
a
solid
presence,
and
that's
what
our
Super
Meteor
650
does.
And
all
the
journalists
who
came
road
along
with
us
at
Rajasthan,
everybody
came
back
and
then said, Royal Enfield has got a good cruiser for the global audience.
It's
in
initial
stages,
the
response
from
the
journalists
and
from
the
consumers
have
been
very
good.
We
are
very

happy
about
it.
It
opens
up
for
our
consumers,
as
I
mentioned,
it
can
be
a
Continental
GT,
which
they
can
take
on
or
Interceptor
650
they
can
take
on
or
Super
Meteor
they
can
use
depending
upon
what
sort
of
an
experience
he
wants
from
the
particular
product.
Now
we
are
giving
more
offering
on
the
650
platform
for
our
350
existing
consumers
who
want to do an upgrade.

Raghunandhan

N.

L.:

Got

it

sir.

Thank

you.

My

second

question

to

Vinod

Sir,

with

the

RDE

norms

coming

up,

by

when

do

you

expect

the

model

changeovers

to

happen?

And

broadly ,

what

is

the

range

of

cost

increases?

Anubhav Bajpai:

Raghu, this is for OBD-II norms for

VECV , are you asking?

Raghunandhan N. L.:

Yes.

Vinod

Aggarwal:

Yes.

Model

changeover

is

going

to

happen

in

Q4FY23

in

a

phased

manner .

And

by

1st

April,

we

will

move

100%
to
a
OBD-2.
As
far
as
the
cost
increase
is
concerned
for
that,
it
is
not
going
to
be
like
earlier
the
BS
IV
to
BS
VI,
it
will
be
much
lower
than
that,
which
should
be
within, I think 3% to 5%.
Raghunandhan N. L.:
Sorry , sir, I missed it. It will
be below 5%?
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Vinod Aggarwal:
Yes. Between 3% to 5%.
Raghunandhan N. L.:
Thank you sir . That's very helpful.
Moderator:
Thank you. Our next question is from the
line of Chirag Shah. Chirag, please go ahead.
Chirag
Shah:
Yeah.
Thanks
for
the
opportunity .
Sir,
the
first
question

is
for
Vinod
Sir,
so
are
you
looking
to
build
up
some
inventory
in
anticipation
of
presales
kind
of
a
thing?
Or
are
we
looking
to
transition
from
here
on
and
willing
to
sacrifice
some
volumes,
not
take
the
risk
of
creating
an
inventory in the system?

Vinod
Aggarwal:
Of
course,
I
don't
think
we
are
going
to
create
any
inventory
for
having
this
benefit.
There
is
no
such

plan.
And
I
don't
think
we
will
suffer
because
a
lack
of
production,
because
a
lot
of
our
models
will
move
to
OBD-II
even
before.
So,
there
is
no
concern
on
production
in
our
inventory buildup of OBD-II. We don't see any concern.

Chirag

Shah:

Okay .

No,

I

was

just

trying

to

understand,

are

you

looking

at

presales

or

inventory

built-up

for

old vehicles?

Vinod Aggarwal:

No, we are not going to build any
inventory for earlier models.

Chirag

Shah:

Sir,

second

question

is

Royal

Enfield

on
Hunter
350.
If
I
must
understand
after
five-six
months
of
Hunter
350
performance,
what
is
the
assessment
in
general
in
terms
of
potential
ramp-up
of
Hunter
350?
And
is
the
production
capacity
geared
up?
Given
the
commentary
by
Govind
that
rural
markets
are
still
unexplored
or
not
completely
explored.
Can
we
expect
a
significant
ramp
up
in
Hunter
350
volumes
from
the
current
monthly
run

rate
and
is
production geared up for that?

B.

Govindarajan:

Yes,
Chirag.

I
think
production-wise,
initially ,
as

I
mentioned
between
the
Retro
and
the
Metro,
we
had
focused
activities,
which
has
been
done.

Now
it's
all
sorted.
So,
ramp-up
is
not
a
problem.

Second
is,
as
far
as
the
market
is
concerned,
as

I
mentioned,
now
because
of
the
ramp-up,
which
has
come
in
and
all
those
things,
so
now

we
will
start
looking
at
actually
exploring more and more markets with Hunter 350.

Chirag

Shah:

Can
we
assume
that
if
there
is
a
demand,
you
can
increase
the
supply
of
Hunter
350
by

25-30% from current run rate. Is that a fair way of look in terms of your capacity planning?

B. Govindarajan:

Yes, Chirag.

Chirag Shah:

Yeah. Thanks a lot for this. And all
the best.

B. Govindarajan:

Thank you.

Moderator:

Thank you. Our next question is from the
line of Amber Shukla. Please go ahead.

Amber
Shukla:

Yeah,
thanks
for
the
opportunity .

Sir,
just
one
question
on
supply
chain.

So,
is
there
any
supply chain issues still persisting or we will see production recovery from here on?

B.

Govindarajan:

Supply
chain
is
not
the
top
of

the
mind
issue
at
this
stage.
Having
said,
if
I
have
to
tell
you
is
it
all
completely
sorted
for
every
month,
still
some
niggling
issues
then
and
there,
but
that's
not
a
top
of
the
mind
issues
that
everyone
have
to
be
alert
at
every
point
of
time.
So,
it's
pulling its weight now .

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Amber Shukla:

Sure sir . Thanks.

Moderator:

Amber you have any more questions?

Amber Shukla:

That's it from my end. Thank you.

Moderator:

Thank you. The next question is from the

line of Nishit Jalan. Nishit, please go ahead.

Nishit

Jalan:

Thank

you

for

the

opportunity .

I

have

two

questions.

Firstly ,

in

the

last

con

call,

you

had

talked

about

that

since

Hunter

350

model

was

just

launched.

The

sale

of

accessories

with

Hunter

model

was

on

the

lower

side.

So

just

wanted

to

understand

how

are

things

picking

up

on

that

front?

And

secondly ,

on

the

production

side,

correct

me

if

I'm

wrong,

we
have
a
capacity of about 1 million units on an annual basis? And any plans to ramp up the capacity?
B.

Govindarajan:

Nishit,
first
is
about
the
motorcycle
accessories,
which
you
asked
for
the
Hunter
350.

Our
motorcycle
accessory
business
has
been
steadily
growing.
We
have
almost
about
587+
SKUs,
which
we
have
added
up
in
terms
of
styling,
safety ,
comfort
in
various
experiences,
which
we
can add on to the motorcycle.
Initially ,
when
we
launched
Hunter
350
at
that
point
of
time,
the
GMA
testing
and

all
those
things
were
going
on.
Now
those
are
all
sorted
out,
now
the
consumer
can
actually
go
through
the
configurator ,
which
is
there
through
which
he
can
book
and
visualize
the
Hunter
model
along with the motorcycle accessories and book.
Second,
you
asked
about
the
overall
capacity .
Yes,
in
Q1
itself
we
have
mentioned,
our
installed
capacity
is
protected
for
the
near
future
requirement.
Having
said,
any
increment
which
is
required,

it
is
not
that
we
must
do
it
from
a
scratch.
It
will
be
an
incremental
investment
of
debottlenecking
some
of
the
areas.
And
that's
also
not
a
very
long-term
kind
of
an
activity
wherein
you
have
to
wait
for
it
to
get
the
capacity
coming
in.
It's
all
sorted,
some
areas
where
you
have
to
do
a
balancing
activity ,
which
is
short-term
activity
is
possible

for
us
to do.
Nishit
Jalan:
Got
it
sir,
just
a
follow-up.
This
accessories
on
Hunter
350.
So
fair
to
assume
that
in
the
quarter
gone
by,
whatever
way
you
track
your
accessories
that's
a
percentage
of
vehicle
price.
On
that
metric,
was
Hunter
at
par
with
other
models?
Or
do
you
think
it
is
still
ramping
up,
and we will see that happening in the coming quarters and was not the case in Q3?
B.
Govindarajan:
No,
we
normally
look
at
more

than
per
motorcycle
and
all
those
things,
which
is
an
internal
metric.
What
we
look
at
is
our
offerings
to
generate
motorcycle
accessories,
how
many
consumers
are
buying
the
motorcycle
are
looking
at
our
motorcycle
accessories
also
when
they
are
buying
the
motorcycle
at
their
dealership
or
at
our
retail
outlet.
Adoption
is
good.
Everybody
started
looking
at
the
quality
of
our
motorcycle
accessories
at
a

different
level.
So,
at
the
time
of
purchase,
people
started
buying
our
motorcycle
accessories.
And
the
number
of
SKUs also have gone up.
There's
a
choice
for
the
consumers
to
look
at,
as
I
mentioned,
on
different
experiences,
which
you
can
take
it
through
our
motorcycle
accessories
as
I
mentioned
it
is
comfort,
different
seat
configurations,
which
are
there,
style
on
different
color
configurations,
which
can
be
actually
taken
up

through
that.
And
on
the
safety ,
on
the
engine
guard,
we
have
different
varieties
which are there.

In
terms
of
other
touch
feel
components,
all
those
areas.
The
SKUs
are
going
up.
So,
to
that
extent,
the
penetration
of
the
accessories
by
all
the
consumers
when
they
are
buying
the
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motorcycle
it
is
going
up.
Also,
for
the
older
motorcycles,
when
they

come
for
service,
there
also now we started selling the motorcycle accessories and the traction is good there, too.

Nishit Jalan:

Okay . Thank you. That's it from my side.

Moderator:

Thank you. Our next question is from the
line of Aditya Jhawar . Aditya, please go ahead.

Aditya

Jhawar:

Yeah,

hi.

Thanks

for

the

opportunity .

Sir,

if

you

can

just

clarify

on

the

previous

participant's

question that Hunter is about 800 bps lower gross margin versus others?

Vidhya Srinivasan:

I don't think we've actually made
any such statements.

Aditya Jhawar:

Yeah. So that is not the case you are
saying, right?

Siddhartha Lal:

No, we've not made such statement.

Aditya

Jhawar:

Yeah.

My

second

question

is,

sir,

do

we

have

a

target

in

mind

in

terms

of

what

could

be

our

volume

contribution

from

Hunter

350

on

an

overall
basis.
In
the
initial
year,
possibly
it
is
slightly
on
a
higher
side?
Or
should
we
expect
a
contribution
in
the
similar
range
in
the
next
couple of years?

B.
Govindarajan:

Aditya,
we
don't
look
at
the
numbers.
For
us,
numbers
is
always
a
derivative.
We
always
look
at
what
sort
of
an
experience
we
give
to
the
consumer ,
whether
what
we
envisaged,
the
kind
of an experience which we have to give it to them, whether we have given.
What

we
look
at
is,
we
go
back
to
the
community
and
then
say,
this
is
what
is
the
motorcycle
which
we
have
made.
This
is
the
kind
of
an
experience
which
we
can
offer.
The
community
takes
on,
and
that's
how
our
numbers
come.
So,
we
don't
put
a
number
to
ourselves
also
and
then say , oh, go and gun for that number . That's not the way we work as a business.

Aditya Jhavar:

Perfect. Okay . Thanks a lot. That's
it from my side.

Moderator:

Thank you. Our next question is from the
line of Kapil Singh. Kapil, please go ahead.

Kapil

Singh:

Yeah,

hi.

Thanks

for
the
opportunity .
Sorry ,
I
joined
in
a
bit
late
in
case
it's
a
repeat
question.

I
can
take
it
offline.
Just
wanted
to
understand
your
views
on
pricing.
Where
are
you
comfortable
at
the
current
level
of
pricing?

Or
do
you
think
that
we
need
to
raise
the
pricing
and recoup mar gin over the next two-three years?

B. Govindarajan:

You're asking comfort on the pricing?

Kapil

Singh:

Yeah.

Basically ,

our
current
level
of
pricing
and
gross
margins,
is

it
something
that
you
are
comfortable
at?
Or
do
you
think
you
need
to
raise
it
and
improve
gross
margins
over
the
next
two-three years from current levels?

B.

Govindarajan:

I
think,
Kapil,
pricing
is
not
always
the
businesses
have
to
be
looking
at
internally ,
right.
Pricing
have
to
be
looked
at
from
what
value
proposition
we
give
it
to
the
consumer
as
a
product
and
what's
the
overall
thought

of
the
particular
product
from
all
6Ps
which
we
do
that.
Time-to-time,
we
always
look
at
what
is
the
market,
what's
happening
in
that,
what's
the
affordability
and
accessibility
which
the
consumers
are
looking
at.
And
what's
our
product
offering
them
and
where
should
we
price?
We're
always
look
at
it
strategically
from
the
consumer rather in than from cost plus type.

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February 14, 2023

Kapil

Singh:

Okay .

Is

there

a
target
margin
range
you
want
to
operate
in
or
this
will
remain
dynamic
depending on operating conditions?
Siddhartha Lal:
We don't get forward-looking tar gets
and all that, so we can't help you with that. Sorry .
Kapil
Singh:
Okay .
But
is
there
a
target
margin
range
that
you
look
at?
I
don't
want
the
numbers,
but
I
just
want to understand how you think about it?
B.
Govindarajan:
No,
Kapil,
to
be
honest,
maybe
you
joined
late
also,
as
we
mentioned,
we
don't
give
any
target
contribution
level,
target
numbers.
That's

not
the
way
we
work.
We
always
look
at
what's
an
experience which we must give, let's be focused on that. That's what we do.

Kapil Singh:

Okay . Thank you.

Moderator:

Thank you. Our next question is from the
line of Shridhar Kallani. Shridhar , please go ahead.

Shridhar

Kallani:

My
question
is
regarding
other
income.

If
some
light
could
be
thrown
up
on
the
same,
because
since
I

can
see
it's
like
100%
YoY
growth
can
we
see
on
a
25%
increase
from
QoQ.

So,
if
the
management could share some details on the same?

Vidhya Srinivasan:

You're talking about other comprehensive
income, right?

Shridhar

Kallani:

No,
the
other

income,
other
income.
So,
from
the
non-motorcycle
segment,
I
can
see
some
other income being shown up?

Vidhya
Srinivasan:

Yeah.

I
think
it
is
the
interest
income,
which
is
coming

in,
but
we
will
give
you
the
details
of
that, separately .

Shridhar Kallani:

Is there just interest income or
Forex gain also?

Vidhya Srinivasan:

No, it's largely interest income.

Shridhar

Kallani:

Okay .

If
you
could
give
us
a
sense
about
the
international
market,
how
is
the
ground
level
demand?

Because
as
per
other
OEMs,

there
seems
quite
some
weakness
for
the
next
three
to
six
months.
However ,
since
Royal
Enfield
caters
to
the
premium
segment,
some
views
on
the
ground level from international market from your end?
B.

Govindarajan:

Look,
Shridhar ,
I
think
as
I
mentioned,
if
there
is
are
macroeconomic
indicators
are
showing
there
are
as
a
market
conditions,
nobody
can
escape
out
of
it.
At
a
current
level,
what
exactly
is
happening
for
the
Royal

Enfield
that
demand
is
good,
the
interest
of
our
motorcycles
are
good.
Super
Meteor
650
which
we
have
launched,
they're
just
getting
delivered
into
the
international markets.
And
that's
one
such
motorcycle,
which
the
international
consumers
have
been
looking
for
from
the
Royal
Enfield
stable,
and
we
have
stocked
well
for
the
coming
season.
We
are
prepared
to
address
to
the
market.
But
if
the
macro
is

turning
out
to
be
negative
for
everybody ,
nobody
can
escape
it.
Everybody
has
to
look
at
it
strategically
that
we
can
do
at
that
point
of
time.
We
must
wait
and
see
for
some
more
time,
how
would
this
turn
out
to
be
in
the future.

Shridhar Kallani:

Okay . So, I can say that we are
a bit cautiously optimistic on the whole demand side, right?

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February 14, 2023

B. Govindarajan:

From Royal Enfield angle, yes.

Shridhar Kallani:

Okay . Thank you so much.

Moderator:

Thank you. Our next question is from the
line of Hiran Kumar Desai. Hiran, please go ahead.

Hiran

Kumar

Desai:

Yeah.

One

question
is,
again,
regarding
the
exports.

Over
a
medium
term,
let's
say
two
to

three years, are we targeting any proportion of revenue coming from exports?

B.
Govindarajan:

We
look
at
international
market
as
a
huge
potential
as

I
mentioned,
we
are
a
focused
company .

We
look
at
how
do
we
build
the
community
outside
international
market.

That
is
what
is
the
focus. That's very promising to us.

Siddhartha

Lal:
Yeah.

And
what
we're
tracking
is
our
market
shares.

So,
we
look

at
our
relevance
in
each
of
these
international
markets.
That's
of
supreme
importance
for
us.
The
actual
proportion
of
international
to
full
business
is
a
resultant,
right.
I
mean
it
is
going
up,
it
will
continue
to
go
up.
But
we
don't
care
about
it
as
much
because
we
can
also
grow
India
market.
In
most
likelihood,
international
will
outpace
in
the
long-term.
Of
course,
in

some
years
India
may
outpace,
in
some
years
international.

But
really ,
I
think
the
most
important
thing
we
look
at
and
we
track
and
we're
actually
doing
extremely
well
in
is
in
market
shares
in
midsized

market. In U.K. I believe we're already number one in that midsize, is that right?

B. Govindarajan:

That's right.

Siddhartha

Lal:

And

we've
crossed

all

the

Japanese

players

and

we're
number

one

in

midsize

segment.

In

Europe,

we

have

double-digit

overall

market

shares

in

midsize.

In

other
markets,
in
U.S.,
Brazil
and
all,
we
are
in
high
single-digit
market
shares.

So
that's
what
we're
tracking
very
closely right now to start improving our market shares in middle-weight motorcycle segment.

Hiran
Kumar
Desai:
Yeah.
And
second
question
is
related
to
the
supply
part
of
our
motorcycles.

So
right
now,
do
we
have
enough
capacity
to
serve
local
as
well
as
export
markets
or
we
are
having
to
sort
of
ration in either local or export markets?

B.
Govindarajan:
No.
Supply
chain

is
not
at
top
of
the
mind
issue
right
now,
Hiran.
So,
we
can
actually
supply
the
demand
depending
upon
their
model
mix,
depending
upon
the
country
requirement,

all
those things is possible now .

Hiran Kumar Desai:

And just one last small thing.

Do we have a waiting period at the moment?

B.

Govindarajan:

We
have
a
healthy
waiting
period
for
products.
It
depends
upon
the
product
and
the
period
varies.

Hiran Kumar Desai:

Okay . Thank you. That answers my
questions.

Moderator:

Thank
you.
We
have
our
next
question
from
the
line

of
Vipul
Agarwal.
Vipul,
please
go
ahead.
Vipul
Agarwal:
Thank
you
for
taking
my
question.
It's
again
on
export
side.
Now
since
we
have
strong
product
line
and
decent
penetration
in
export
market
in
terms
of
presence.
Can
you
give
some
flavor
on
how
the
marketing
strategy
working
out
in
export
market,
maybe
region-wise
or
country-wise,
if
possible?
Like
where
are
we
in
creating
the
segment

for
Royal
Enfield
in
developing
countries
like
you
did
in
India?
And
how
is
it
the
segment
expanding
in
the
developed markets?
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Eicher Motors
February 14, 2023

B.
Govindarajan:

See,
first
and
foremost
is
our
focus
is
in
the
middle
weight
outside
India
also.
Our
North
America,
Europe,
and
APAC
region
were
top
focus.
Now
LATAM
is
also
added
into
this.
That's
why
we
have
gone

in
for
the
CKD
operations
also.
So,
what
our
focus
is
on
the
community
build
and
on
the
brand
building
activities,
which
you
have
to
do.
What
we
have
done
in
the
regions
is
to
begin
with
community
building
and
riding
activities.
We
haven' t
taken
short
term
measures,
we
don't
do
that.
So,
it
will
be
a
targeted
marketing,
building
the
community ,
reaching
out
to
the

consumers
in
the
way
they
wanted
us
to
which
is
picking
up
very well and the rides and activities are picking up as well.

Vipul
Agarwal:

Okay .
I
was
more
towards
like,
for
example,
in
Indonesia,
how
are
we
approaching
the
market?

And
how
far
we
have
reached
over
there
just
talking
about,
get
some
since
like
now
Hunter 350 is a very good threat for these markets?

B.
Govindarajan:

Vipul,
On
Indonesia

-
I'm
sure
you
would
have
studied
it,
but
it
has
restrictions
on

the
local
content.

There
is
a
quota,
which
are
there.

We
are
trying
to
work
around
all
those
things.

It's
a
good
market,
but
it
has
its
own
nuances,
which
we
have
to
look
around.

So,
depending
upon
the priority in the business, we will keep working on it.

Vipul Agarwal:

Thank you.

Moderator:

Thank
you.
That
was
the
last
question
for
this
session.

I
would
now
like
to
hand
over
the
call
to the management for closing remarks. Over to you, sir .
Siddhartha

Lal:
I'd
like

to
thank
you
all.
Thank
you.
I
think
we've
had
a
great
quarter
at
Eicher
Motors
Limited
and
lots
of
interesting
developments.
looking
forward
to
the
coming
quarters
in
the
coming years. Thank you very much for attending.

B. Govindarajan:

Thank you very much.

Vinod Aggarwal:

Thank you, everyone.

Moderator:

That will be all for today . Thank you so
much everyone for joining us.

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Call: May 2023

Eicher Motors Limited
Corporate Office:
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Gurugram – 122001
Haryana, India
Tel +91 124 4415600
Registered Office
CIN: L34102DL1982PLC129877
3rd Floor – Select Citywalk
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New Delhi – 110 017, India
Email: info@eichermotors.com

May 17, 2023
Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated May 4, 2023 intimating the schedule of the conference call held on Thursday, May 11, 2023, please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the fourth quarter and financial year ended March 31, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl: As above

Q4 FY23 Earnings Conference Call"

May 11, 2023

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CEO, EICHER MOTORS LIMITED
MR. VINOD AGGARWAL – MANAGING DIRECTOR & CEO, VE COMMERCIAL VEHICLES LIMITED
MR. B GOVINDARAJAN – CEO ROYAL ENFIELD AND WHOLE TIME DIRECTOR , EICHER MOTORS LIMITED
MS. VIDHYA SRINIVASAN – GROUP CFO, EICHER MOTORS LIMITED

Eicher Motors Q4 Earnings Call
May 11, 2023

Page 2 of 12

Basudeb Banerjee : Hi, good evening, good morning and good afternoon to all of you, wherever you are in the world. Welcome to Eicher Motors Q4 & FY23 Post Results Investor Call. We have with us senior management of Eicher Motors represented by Mr. Siddhartha Lal, MD & CEO, Eicher Motors Limited; Mr. B. Govindarajan, CEO of Royal Enfield and Whole Time Director Eicher Motors Limited; Mr. Vinod Aggarwal will be joining shortly, who is the MD and CEO of Volvo Eicher Joint Venture and Whole Time Director of Eicher Motor Limited; and Ms. Vidhya Srinivasan, Group CFO, Eicher Motors Limited. So over to you, Sid.

Siddhartha Lal: Hello, everyone, and a very good evening to all of you, and thank you so much for joining this late hour in India at least, on our call for Eicher Motors Limited earnings for the quarter and the year ended March 31, 2023. So overall, the financial year has been absolutely fabulous for Eicher Motors. We made really good progress towards our long-term vision, our goals and have registered an absolutely stellar performance this year. So it's been our best ever financial and business performance as it were this year.

And I'll begin with the business highlights for Royal Enfield. We registered our best ever sales of more than 834,000 motorcycles this year, beating our previous best, which was a pre-pandemic 2018-19 year.

We also took huge strides in our international business front and for the first time, we received over 100,000 units sales in the export market. So it's a big inflection point we believe, because that's when also in the domestic market, we had enormous growth. Of course, there are different challenges, but we have also started our CKD operation in Brazil this year, which is an extremely high potential market. So overall, we have 4 CKDs. In addition to Brazil, it's Argentina, Colombia, and Thailand, all relatively large potential markets. We also had two outstanding launches last year. Again, the first physical launch after the pandemic was the Hunter 350 in Bangkok with global media, which really highly appreciated the launch, the motorcycle, the refinement of this Roadster style of motorcycle, which is a totally fit for the city roads in Bangkok and also for longer distances. So it went off super well. We had our Super Meteor 650 launch in Jaisalmer in Rajasthan with a long stretch of ride that we were on with the global media again, and it really proved itself to be the absolute best middle-weight cruiser in the world today. And that's the kind of reviews that we've gotten also if you have had a chance to look at those. Both motorcycles are doing extremely well both in India and in international markets in their segments to gain two new product successes behind us in segments that we've not necessarily been in the past.

And again, after a break of two years we returned to Goa with our new format of Rider Mania, which we call the Motoverse now. And we had 3 outstanding days of motorcycles across Goa, but also entertainment, music, talks, art, shows of all sorts of things that really got the hearts and souls and bodies of our rider community moving, and it was extremely well taken. I believe even though we had an absolute record number of 14,000 visitors, I believe this year will be a hell of a lot more based on the success that we had last year. So it's been absolutely fantastic. It's also starting to become a bit of a global event with a lot of international participants also coming in. So that's the business

highlights on Royal Enfield.

Then we moved to VECV and just in time with Vinod also joining us now, Vinod Aggarwal as you can see on the screen. And we've had an absolutely tremendous year of excellent performance in VECV this year. We had a highest ever sale of Eicher trucks and buses at 77,000 units, and record performances in our other business segments in our VE Powe

rtrain where we sell engines to Volvo

Group globally at Volvo Trucks, where we distribute and sell Volvo Trucks in India, and the engineering components business as well.

We had robust profitability, improved profitability through the quarters and improved market share across the board in our light-duty, medium-duty and heavy-duty, and buses and Volvo Truck segment everywhere. We made huge strides, market share gains and had a very successful year overall. We also celebrated 15 years of the joint venture with Volvo. We had a lovely event in our state-of-the-art new manufacturing unit plant in Bhopal, where the entire Executive Board or the management team of Volvo Group, all of them came down. They spent time with us in Bhopal and reconfirmed our commitment towards modernization of commercial transportation in India and of working closely together between Volvo and Eicher in the coming years as well. So it was really a very good highlight last month in April with our 15th year anniversary of the joint-venture.

Eicher Motors Q4 Earnings Call

May 11, 2023

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Coming to consolidated financials for Q4 and for the full-year that ended March 31, 2023; we had five quarters in a row of record revenue, which again, last quarter was record revenue for EML consolidated and our best ever annual revenue. For Q4, we had a revenue of over ₹3,800 crores, up 19% and for the financial year, revenue at ₹14,442 crores which is a 40% growth over last year. Our profit and EBITDA have also been growing YoY and sequentially, and we registered our highest ever PAT and EBITDA for four quarters in a row and for the financial year. So again, record numbers through. Our EBITDA for Q4 was ₹934 crores, up 23% for the full-year was ₹3,444 crores, up 59%, and PAT was at ₹906 crores, up 48% and PAT for the year was at ₹2,900 crores, up 74%. So good absolute profit growth at EML and EBITDA margin for the quarter stood at 24.5%, against 23.7%. And for the full year, a 23.8% against 21% last year. So again, big growth in profitability as well from previous year.

And overall, in the Board meeting that we held today, the Board of Directors of Eicher Motors Limited has declared a final dividend of ₹37 per share for the last year, implying a payout sum of ₹1,012 crores, which is around 35% of our profit after tax. And the dividend per share is the highest ever for EML and is around 76% higher than the previous year.

In addition, the Board has also approved a cash outlay towards capital expenditure for Royal Enfield business at ₹1,000 crore for FY23-24, which is the year that we're in already, which includes investment towards EV manufacturing, EV product development, and of course product development for our internal combustion engine portfolio. The large chunk of it is only for product development in both ICE and EV. So that's the overview of Eicher Motors Limited. Now we'll have Vinod Aggarwal talking to us about VECV. But before that, I'll hand over to Govindarajan, CEO of Royal Enfield to give us more detail about the business of Royal Enfield in the last quarter and in the last year. Over to you, Govind.

B Govindarajan: Thank you, Siddharth. Hi, everyone, I hope you guys are doing well. Royal Enfield has had a spectacular year. Not only we registered strong performance in the domestic market, as Siddharth was mentioning, we also crossed a very important milestone in our international journey: over 100,000 motorcycles dispatched from India.

Let me begin with the performance of this quarter and the year. For the Q4, we sold almost 214,685 motorcycles, which is up by about 18% compared to last year. Our demand is continuing to stay very resilient. It's actually further getting aided by our new motorcycle launches, which we have done, which got an excellent response from our consumers.

Our market share in the

domestic market in the motorcycle segment, especially on the 125cc and above, it grew to almost 33.5% for Q4 FY23 compared to about 32.9% in the Q4 of FY2022. For the full-year, the total standalone motorcycle sales of Royal Enfield stood at almost about 8,34,895 motorcycles, registering a growth of 38.4% compared to last year. And in the motorcycle market

share, we gained almost 7.2%, which is a record one. And we also gained almost a 31.3% market share in more than 125cc. So every third motorcycle is now a Royal Enfield in India.

In our international markets, the momentum is continuing, and we crossed, as mentioned, about 100,000 motorcycles mark for the first time and we also registered about 23% growth over the previous year. Despite the macroeconomic backdrop, our retail growth in the international market is ranging between 27% to 45% across various regions in the FY2023. Our market share in the middle weight segment across the markets has climbed, especially in Americas, about 7%, and APAC is almost 8.9%, and EMEA is about 8.8%. We further strengthened our footprint in Americas with our fourth CKD plant in Brazil, which is very important for us to be looking at that market. And we also have plans to launch the CKD facilities, which we have signed up for Bangladesh and Nepal. In U.K., we are actually implementing a direct distribution by ourselves. We have already taken over this month, and we are aggressively working on expanding our reach in existing and a few newer international markets during this upcoming years.

Happy to share with you, Royal Enfield has achieved the fourth strongest brand globally as per the global auto report from the U.K.-based Brand Finance for 2023. Royal Enfield is the only motorcycle brand to feature amongst the top 10 global brands in this. You all know on the product front, we have introduced two new exciting motorcycles, the new Hunter 350 and the Super Meteor 650. The Hunter

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350, which is a stylish very accessible roadster, which was launched in the month of August in Bangkok has received excellent response worldwide and has won numerous awards also as well. It won the India Motorcycle of the year award - IMOTY 2023, India's most prestigious automotive award. The Super Meteor, which we launched this year in January, has been performing very well. We have excellent responses from the markets outside India also. We have a very good booking in Europe, Americas, and in the APAC region. Our non-motorcycling business is continuing to grow very, very consistently. Our endeavor to deepen rider engagement with the motorcycle has resulted in an outstanding growth in spares, accessories, apparels everywhere, and we have witnessed a growth of almost 32% YoY led by the strong growth, especially in accessories business.

On the EV journey, we have been making steady progress. I can say EV journey Royal Enfield is in the top gear now. Our intention is to create uniquely differentiated electric motorcycles with strong Royal Enfield DNA. We have commissioned a very capable team and we started committing very deep investments in terms of product development, product strategy and in the product testing and development area. Currently, we have laid a robust long-term product and technology roadmap on the EV and towards developing the supplier ecosystem is what is the focus as of now. There are a lot of prototypes and testings, which are going on in. That's why I said it is in the top gear. We are very committed. It's in full blast now. In addition, you all know, we have made a strategic investment of almost €15 million in Stark Future in January 2023. Now both the teams are working well, and they are collaborating very well to learn from each other and looking at what is the co-creation and the development, which we w

ill do and how do we leverage each other's strengths.

In conclusion, at Royal Enfield, we had a very great year, but I must tell you, we have also an even better one, which is planned, which we will see in time to come. And we have a very strong lineup of motorcycles for the year 2024 and a robust plan of growth on the rebalance, which we have articulated.

Now I will request Mr. Vinod Aggarwal to walk us through the VECV performance and updates. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind, and thank you, Siddharth, and a very good evening to all of you. For VECV, last year was a record year in various respects. If you look at our overall sales, last year we closed at 79,623 units, trucks and buses, which was against our earlier peak of 72,969 in 2018-19. So we have grown by 9% as against the earlier peak in 2018-19, whereas the overall CV industry is still down as compared to the earlier peak. The 3.5 ton and above industry is down by 15% as compared to the earlier peak of 557,000 units in 2018-19 to 474,000. So industry is still lower than the earlier peak, whereas we have grown by 9%, which means that we have grown in market share in all our product lines.

For example, in light and medium-duty trucks, 5-18 ton, this year, we have a market share of 31.5%, and it is consistently improving YoY. Last year, it was 30.2%. In Buses, this year, we have a market share of 24.8%. Again, it is improving consistently year-after-year. Last year, it was 21.9%. In heavy-

duty trucks, again, it's a very good steady growth YoY for both Eicher and Volvo. Last year, we had a market share of 8.3%, which was 7.3% a year before. So there has been consistent improvement in market shares all across.

We continue on our commitment towards increasing uptime to our customers. We are very, very advanced in the digitization services. We are offering 100% connected trucks. And based on that, we are able to offer various types of services like the predictive maintenance or remote diagnostics. That takes the entire customer satisfaction experience to a new level. And of course, we are continuing to improve on our network. Every year, we are adding a number of new dealers. Our penetration is improving in the country as a whole, and that is also one of the reasons for improvement in the market shares. And we also reiterated our commitment to sustainable transport by delivering 40 electric buses to the prestigious city of Chandigarh and these buses are running very successfully. And we showcased a wide range of future-ready solutions encompassing decarbonization, increasing uptime and connected solutions at the Auto Export 2023. We were also ranked number one in the dealer satisfaction survey for the second year in a row. Six of our products were ranked number one across relevant categories at the prestigious Apollo CV awards.

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Now coming to the overall revenues. Last year, we closed with the total revenues of ₹18,952 crores, which have grown by 48.9% over previous year, revenues of ₹12,724 crores. And for Q4FY23, our revenues were ₹6,200 crores, which are up by 43.9% from Q4FY22 of ₹4,307 crores. As far as EBITDA is concerned, for the full-year, we have EBITDA of ₹1,375 crores, which is at around 7.5%, grown by 92.1% over previous year EBITDA of ₹716 crores, which was at 5.9%. And for quarter four, we have EBITDA of ₹619 crores, which is at 10.4% as against the Q4FY22 of ₹288 crores at 6.8%. And then as far as the PAT is concerned, for the full-year we have PAT of ₹579 crores as against ₹111 crores last year. And for quarter four, we have PAT of ₹319 crores from ₹99 crores last year.

Now, of course, I hand it over back to Siddharth for closing remarks.

Siddhartha Lal: Thank you, Vinod, and thank you, Govind. I think after a couple of really tr

icky years previously,

we've had an absolutely stellar performance in EML and VECV last year. It's been a year of consolidation in some way, because after all the different forces around the world in terms of the COVID and supply chain, it's been a settling year. It's been a year where we've all been able to settle down, get back to full focus as we do. And get back to our growth and profitability and development of the future for both RE and VECV. So, we've had a really solid year, and I'm delighted to say that the combined revenue, actually, if you look at it like that which we don't in our financials, but if you combine EML, which is RE and then VECV together, we have over ₹33,000 crores revenue now and which equates to over \$4 billion in revenue. So, now it's really sort of starting to crank up and become a sizable company. And it's not just that. We really set ourselves up for a very strong base now for the coming years and for the next phase of growth that we have. We see some points of inflection. We see that Royal Enfield has crossed 100,000 units internationally. And we're seeing that the interest, the demand, the virtuous cycle of dealers making good money or dealers wanting to have Royal Enfield outside of India, and then big demand for our bikes that is coming in, we're seeing the point of inflection there.

We're seeing a significant point of inflection in VECV with heavy-duty trucks, where for years and years, we haven't been selling. But it's really starting to move in its own momentum now, and it's starting to grow and heavy-duty trucks, we all understand, in revenue terms is the lion's share of the truck of the commercial vehicle market. And we've reached a threshold level, I would say of a couple of thousand units per month, nearly 1,500, 2,000, even 3,000 in some months, we've crossed in heavy-duties. So, it's been really strong, and we see that inflection coming up.

And with all of this, we're delighted about our past performance, about how things are going, about how smoothly the companies are operating and in the new normal situation where there is a bit more chopiness than there was pre-pandemic. But we are able to manage all that, because of our extremely focused approach in both Royal Enfield and VECV. We have a tremendously sharp focus and tremendously sharp leadership, and that's what I believe will be the biggest strength in the coming year. So, thank you very much for joining us. And now we can have some questions.

Basudeb Banerjee: Sure, sir. So we can start the Q&A session. First question is from Jinesh Gandhi. Jinesh, you can ask your question.

Jinesh Gandhi: Hi. Congrats on a great set of numbers. A couple of questions from my side. One is, can you talk about the driver of realizations and gross margins in this quarter for Royal Enfield, the standalone business?

Vidhya Srinivasan: Yeah. So as far as sales is concerned, I think there has been a combination. We've had ASP growth in the quarter, which is really driven by a higher share of international volumes, which has happened. We've also had a bit of pricing impact, because we've taken price increases on account of Hunter and Bullet in the past. So I think those two factors are really responsible for the increase as far as revenues are concerned.

From a margin standpoint, I think there are multiple series of factors which are coming into the picture. We had raw material savings of approximately 0.9% QoQ. And because of various initiatives that are taking place internally and also some of the commodity tailwinds, which are coming through, and that's reflecting in our raw material savings. Apart from that, the pricing is also leading to the

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gross margin improvement. And a little bit of international mix improving is also obviously contri

buting to gross margins as a combination of all those factors.

Jinesh Gandhi: Got it. And commodity cost tailwinds are largely behind, or do you see further savings coming in 1Q, 2Q?

Vidhya Srinivasan: One thing I think we should say is that we're kind of watching. I think on steel, for example, there's been a bit of price increase, but we have, for example, done a price correction of about 1.5% on May 1st. So we're kind of monitoring how the impact is playing out.

B Govindarajan: Just to add, Jinesh, it's not the point of discussion on an everyday basis, how the commodity is actually hitting. The commodity inflation cycle, our understanding is it's not the one which is facing us. There will be blips which we have to manage because of the business.

Jinesh Gandhi: Got it. And last question on expansion or the ramp-up of new models, both Hunter and Super Meteor. So how are we planning to ramp it up, both in terms of production as well as the launches in the export markets where we have not yet launched, for example, Hunter is yet to be launched in LATAM and other markets, and Super Meteor beyond Europe. So, how do we see that?

B Govindarajan: See the Super Meteor is a first thoroughbred cruiser from Royal Enfield, and we have already dispatched about 4,000+ Super Meteor across the globe. What's happening is more and more demand is coming up and the team is also now working on how to improve the productions. And we are in the process. You will see the production ramping up with the next weeks to months to come. So there will be a constant ramp-up increase, which will take place.

Jinesh Gandhi: And product launches in the global market, primarily Hunter in LATAM and Super Meteor beyond Europe?

B Govindarajan: Yes. So we started launching market-by-market, almost most of the market we have introduced. I mean, when we are talking about the last two days, even in Australia and all, our team is actually launching the Super Meteor. We have done Hunter launch in the USA. So depending upon the availability, depending upon the homologation in hand, we keep launching it.

Siddhartha Lal: Sorry, Govind let me cut you off. But just to reconfirm that all of our products are global products. They will all have a place in every market by and large. I mean there may be a small exception here and there, but certainly, for example, in the case of Hunter, in the case of Super Meteor, they will go to pretty much every single market we have. Now there is a cadence as Govind said, because of homologation, because of market situation, because of seasonality in markets, all of that, we prioritize markets over others. But other than that, you're going to see all our products in every market. And over time, you're going to see that happen quicker. I can see the background you are coming from. Okay, look, it's been many months, why isn't it globally? Yes, we understand. And in our future products, we are trying to reduce the gap from global launch to availability across the globe, right? So we are trying to do that further.

Jinesh Gandhi: Got it. Thanks and all the best.

Basudeb Banerjee: Thanks, Jinesh. Next, we have a question from Chandramouli.

Chandramouli: Yeah. Thanks for taking my questions and good evening. So the press release mentions that the Super Meteor 650 will be launched soon in the APAC and Americas markets. So just trying to understand, sort of based on your international market models, is America a larger opportunity for Super Meteor than Europe? Or is it maybe not the right understanding? And also based on sort of initial customer feedback, is the Super Meteor likely to be more of an export market-focused product than domestic for us? And are there any supply chain factors to keep in mind as you ramp up production on this model?

B Govindarajan: I will go from behind, talking about is it only for export? No, it is a global product. It is also equally being bou

ght by the consumers in India and the booking is going up. Obviously, you don't ask me what's a booking number, I'm not going to tell you. But booking is very good even in India. International market, the traction has been very good. As Siddharth was mentioning, we are opening Eicher Motors Q4 Earnings Call
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market-by-market with the ramp-up coming up and the homologations, which are coming up into this. So it's in the execution mode. You will see these things, which will happen in the next weeks to months to come. So everywhere, it will be available.

Chandramouli: Got it. That's helpful. My second question is on the export markets. So it appears that we are close to a 10% market share on average in the global middleweight market in the previous fiscal. So we've made a lot of progress in setting up sort of more exclusive Royal Enfield stores in the recent years. So could you share some color on what are the incremental market development activities that we are considering in the export markets? Are there any details on the current split of sort of volumes between the exclusive stores and the multi-brand outlets? And maybe what percentage of the exclusive stores are company-owned versus third-party? And sort of lastly, if you could share just export market revenue for the full-year and then non-motorcycles revenue for the full-year? Thank you.

B Govindarajan: Too many questions, maybe I lost track. Maybe I'll just go. In terms of number of outlets, there are almost 1,150 premium retail outlets outside India, which have exclusive stores and also a multi-brand outlet out of which 207 are exclusive stores outside India, I'm just talking about and almost about 950 are multi-brand outlets.

Siddhartha Lal: And just to add there, none of them are company-owned. These are all third-party stores.

B Govindarajan: So what's our focus in the international market, we almost got the market share in all the markets where we are in the middleweight between 8-10% range. That's where we are. The addressable market is very good. It's quite huge. In fact as Siddhartha, was just explaining, it's as good as about what's there in India now for the middleweight about 1 million motorcycles outside India. So there is a huge headroom for Royal Enfield to grow. What Royal Enfield have to focus on is getting the right products, and that's what we have done with our Classic 350 on the J platform, then the Hunter 350, which we brought in and the Super Meteor and very recently, we have done the refresh on our Twins platform of motorcycles on Continental GT and Interceptor. All these products are getting accepted very well. We are also working extensively on community connect because what we understand is delivering a pure motorcycling experience, and that's what we focus on even outside India, in creating a culture of motorcycling which is what we believe is Royal Enfield. So with all the spare parts issues sorted out, with the retail outlet numbers which are going up and in the products, we have a huge headway for us to grow in the international market.

Chandramouli: Got it. That's helpful. And just lastly, if you could share the export market revenues and the non-motorcycle revenues for the full-year please.

B Govindarajan: Yes. We'll come back to you on the second point when we're digging out the numbers.

Chandramouli: Sure. Thank you very much and all the best.

Basudeb Banerjee: Thanks. Next question we have from Kapil Singh. Kapil, please unmute.

Kapil Singh: Yes. Hi. Thanks, sir. Congratulations on a good set of numbers. Firstly, if you could just talk about what you're seeing on the demand outlook across these segments, there was some discussion that we had last time that on Hunter, we are also looking to expand presence across Tier 2, Tier 3 towns. So

how is the reach

right now? And overall, what are you seeing in the industry?

B Govindarajan: Okay. Hunter, we will talk about it. Hunter when we launched, we started looking at the main markets A, A+, B and all. Now the next focus area, which we have been talking about in Hunter, is in Tier 2, Tier 3 cities also. But for Royal Enfield last year, in all the areas, rural, urban everywhere, the growth has been very good. Now with the ramp-up, which has been a very good situation for Hunter and the booking is also going up. So the supply situation has become better, it has eased out, so now the focus is more on even the rural markets. That's on the Hunter. What's the next question, which you're asking, Kapil?

Kapil Singh: On the overall market, what are you seeing, right? So in domestic and exports both?

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B Govindarajan: Look, exports, there are macro issues, which all of you know, there are inflation pressures, energy cost is high and all those things. But the mobility solution, which is required especially for the two-wheelers hasn't come down. There are no signs which are showing at this stage, it's on a high pressure point, but it has to be watched because nobody gets that particular situation on a macro level. As far as the domestic market is concerned, I think it is coming back to the overall market. The market may not come up to the pre-pandemic level completely, but it is coming up. The good sign for Royal Enfield, which we are looking at is the premium segment, the premiumization is better. The premium segment is growing, and we have grown better than that. And as that segment is growing and with the outstanding products which we have launched, especially Hunter, which is now getting, reaching into all the rural areas and Super Meteor, the Classic 350 and the new products which we have lined up for the coming year, when the market opens up, we will have a very good traction and a good growth for Royal Enfield.

Kapil Singh: Great. And sir, the second question was on electric vehicles. We have started some initial Capex there. So could you talk about how you see the salience of electric vehicles in your segment over the next few years? Is it viable as you see things right now or will it take some time? And how much Capex is going towards electric vehicles? Can we talk about what kind of capacities we are creating there and when we will start launches?

B Govindarajan: So electric, the transition will take place. It's only a question of how many years it will take. Initial adoption is not a motorcycle, it's scooters over a period of time the adoption will take place even in the motorcycle segment because the cost, the total cost of ownership, if I have to put the battery cost and all the other costs which are there for motorcycle of our nature, especially for the leisure motorcycles, it will be a bit tough because ICE will be cheaper in that way. But over a period of time, commodities like batteries and all those things when the cost comes down, the TCO will come down, which will become a compulsory reason for the consumer to buy, but it may take a few years. That's our understanding at this stage. What is important is even ICE in the premium segment that is growing, and we see at least for a few years that the growth will be continuing. So we have to invest both in ICE and in EV, and that's the Capital outlay that we have talked about. As it is mentioned about ₹1,000 crores, which is involved is for ICE new products and also EV. At this stage where we are in EV, our focus is more on product development rather than just the capacity enhancement, capacity enhancement will come at a point of time, and we have done the strategy at what point of time we have to build the capacity. But we have the factory space, which is available at our Vallam

facility, we will build up the line which is required for EV manufacturing also in that place.

Kapil Singh: Any time lines you can share on the launch, when is it expected?

B Govindarajan: The timing is, I think it's up and public. A lot of people have been saying that 2025-2026 and what we are working on. We have to get a product which is very disruptive when it comes at a point of time. So our focus has been, what sort of a product, what sort of an experience. What's the take for Royal Enfield when we come out with the electric motorcycles, our product strategy work and what are all the products and the number of products at what point of time you have to come up, that all has been lined up. So our focus as of now is all about getting the product right and working with the ecosystem and the suppliers to see that all the capacities are plot and get the motorcycle on. So you will see at an appropriate time when we come up, maybe at an appropriate time, we will come back to you and then say we are ready now that's the time we are going to launch.

Kapil Singh: Okay. Thank you so much. Have a good day.

Vidhya Srinivasan: So I'll just confirm the values that you guys were asking for. So international revenue is about ₹2,080 crores, and the non-motorcycle revenue for the year is about ₹2,041 crores.

Basudeb Banerjee: Thanks. Next question we have from Aryn Pirani.

Aryn Pirani: Hi, thanks for the opportunity. I just had a follow-up on the exports. So we know that the seasonality of exports is slightly different from domestic. But especially in the last few months, we've seen a lot of volatility, now when I look at near-term numbers, March was very strong, but I guess that was because the Hunter exports ramped up and then April. So when I look at April, is it seasonality? Or is there some slowdown? Can you give me some sense as to what you're actually seeing, at least for Eicher Motors Q4 Earnings Call
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the very near-term because I think we have passed the stocking cycle for the riding season for the overseas markets, if I'm not wrong. So some color there would be helpful.

B Govindarajan: Our focus is always, as we mentioned, we don't look at the short-term every week, every month, how things are, right? But what we normally look at is for the long-term, what is that we have to do for those markets. Our international market ambition is very high because the addressable market is very good and our product is getting accepted very well. The brand is being recognized very well, everyone starts looking at the Royal Enfield products as really gorgeous looking and it's exactly what they want: simple, it has a relevant technology, which is there in the market. With all of these things, we see there's a huge potential for Royal Enfield to grow. April, one odd month, you know there are issues in some countries. There are poor transitions which are there. There are strikes going on in some countries. One thing which I have to bring to all of you is, in fact, in the U.K. we are taking over the distribution from this month onwards, so there are some stocks which have to be adjusted and all those things. So these are all the operational metrics, which is what is being there. Riding season is starting now, and retails are becoming better. We have a clear vision of how to become the leader in the international markets for which all the activities that are required, that's where the focus is.

Aryn Pirani: Thank you. That's helpful. And just one question on financing. What would be the broad retail penetration for you in India right now? And how do you see that going?

Vidhya Srinivasan: Yes. About 55% is our penetration. I think it's been pretty consistent. And I think we do obviously see that over a period of time, it will keep ramping up, but it has been steady for us.

Aryn Pirani: Great. Thank you. I'll come back in the queue. Thanks a lot.

Basudeb Banerjee: Thanks. Next, we have question from Pramod Kumar.

Pramod Kumar: Hi, thanks, Govind, Sid, Vinod, the great set of numbers. So I think I'll first ask the CV question because there's a lot discussed on RE already. On VECV, Vinod, sir, I think a great performance, and I would like to use this opportunity to ask you on the outlook for the CV industry, M&HCV industry particularly for FY2024 because there are a lot of concerns about whether the growth is slowing down, whether we are in the last lap of the CV up-cycle. So if you can share your thoughts, given your decades of experience in space, how do you look at the M&HCV volume growth for this year, sir?

Vinod Aggarwal: I think there is still a lot of room for growth because if you look at the industry position, it is still lower than the earlier peak of 2018-19. We are in the recovery cycle. First of all, if you look at the overall economy, the Indian economy is now \$3.5 trillion. And we are fairly confident that this economy is going to grow year-after-year. And if you go by the government's estimates, they are saying 5 trillion economy in three to five years. And it doesn't happen in three to five years maybe it will happen in six or seven years. Therefore, growth is imminent. The economy is going to grow. And if the infrastructure investments where these are going, like this year, the allocation is ₹10 lakh crores, in the fiscal budget and next few years it is going to be, I think, \$1.5 trillion, so therefore, the CV industry is going to be benefited with all this traction in the economy as well as the infrastructure investment. The second major reason for growth is the replacement market is going to be very strong because the old trucks are not able to meet the productivity or efficiency requirements of the customers. So therefore, all the old trucks, which are more than five to six years old, which are there with the fleet operators or with the transporters, they would be required to replace, because it would have more improvement in infrastructure and also the expectations of customers. You have to meet

the speed requirements. You have to meet the timeliness requirements. You have to meet the productivity and the cost requirements, these can only be met by the new trucks. Therefore, the pent-up replacement demand due to the COVID and real replacement which is going to happen in a very strong manner, that is going to be there. So that is the second major reason for growth happening.

The third is you were asking about the heavy-duty trucks. Heavy-duty trucks, the earlier peak, were 295,000. We are still at 247,000 last year. So heavy-duty trucks, they are still lower than the earlier peak. Even though the light-and-medium-duty trucks, they have now reached the earlier peak. As far as the bus market is concerned, you will see a lot of growth coming in the demand from the State Transport Undertakings, because State Transport Undertakings have got a very old fleet. So there will be huge requirements coming this year itself of the bigger buses from the State Transport Undertakings. And

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the school Segment is becoming very, very strong for the light and medium-duty buses, you can say up to 11 meter buses. So therefore, that demand for buses, we will see good growth in the current year. Only right now, the stress in the global markets or the exports out of the country, are down significantly. But they will also improve once the situation improves in the South Asian markets of Bangladesh and Nepal. Mostly the pain is there in Bangladesh, Nepal and Sri Lanka of course. However, the market is good in the Middle East and the African market is not that impacted. And of course, there will be go

od markets even in Southeast Asia, Indonesia or Malaysia. We are also now going to explore two Latin American countries. So therefore, I am very, very positive about the CV industry. You will see good growth at least for the next two to three years.

Pramod Kumar: So Vinod ji, is it fair that the industry could see double-digit volume growth on the M&HCV side this fiscal too, industry side?

Vinod Aggarwal: I'm expecting that. Yes.

Pramod Kumar: Okay. Thanks a lot for that sir. And the second question is on Royal Enfield, Govind. I think it was a great performance so far. But how should one look at a growth for the company or generally in terms of the industry-wide premium segment, as you look into the next two to three years Govind especially on the domestic side because for us, Hunter has definitely done very well in the domestic market and probably going to work very well in international too. But what I'm trying to understand is, when do you expect the portfolio ex- Hunter to make a stronger comeback, like the Classic, the Meteor, the Himalayan, when do you expect that portfolio to start firing for you? Because you talked about demand recovering on the domestic front, the premium category. So is it fair to assume that we could see growth on a consistent basis even for all the models ex of Hunter as well?

B Govindarajan: Pramod, that's a very big question which you have asked. The overall two-wheeler even now, at least in India, it hasn't come to that level of pre-pandemic. It is inching up there. It's slowly coming up. The sentiments are positive. It is slowly coming up. As Vinod was mentioning, the economic growth is pretty positive. Premiumisation in the two wheeler segment is better. The discretionary spend is also going up. So all the signals which are there, the market is going to grow. What we are now looking at and the market is growing, have we done our basics right and are we on top of it. Our brand positioning is strongest, the two-wheeler brand in India with unparalleled heritage. We have premiumization of the market. We are there, all the products which we have. We have fantastic new products which have been launched, especially Hunter, now we are going into the rural market also more. And we have about 2,100 premium distribution network. So India, I think with the product, with the network and the market development activities, which we are doing, with the economic things which are getting opened up, we feel there is a good potential for us to also to grow. Even now, our market share in motorcycles is only about 7%, 8%, right? So there's always a good potential for us to do this, because Royal Enfield looks at actually developing the market rather than looking at only taking a pie out of it. We always believe like that.

Internationally, the addressable market Pramod is almost one million units. There also, we have a market share of only about 8%-9% as of now. All the new products, which are global products of Royal Enfield, are all getting launched one by one. This year, you will see the traction in those areas also. We also have a huge potential in the non-motorcycle opportunity, right? We are in accessories, apparel, spares, well sorted out, and in the international market, as of now, we have to now get on to accessories business and all in a bigger way. We have the configurator, which we launched for our accessories. So even the older motorcycles, if somebody wants to change accessories, they can actually configure, see it on the configurator and then order. So what we are looking at is we are continuing to focus on what is right for the company when the market opens up, there's a possibility

for Royal Enfield to really, really garner the market share. That's the confidence, which we have.

Basudeb Banerjee: Thanks. Next, we have a question from Gunjan Prithyani.

Gunjan Prithyani: Hi. Thanks, Basu, and thanks team for taking my question. Most of my questions have been answered.

I just had two follow-ups. One, I'm just trying to get some clarity on this production, which has been sort of lagging for the last two quarters. If I look at the dispatches they have been, let's say, to some extent, quite ahead of where the production level is. So is this a supply constraint that we're still facing? Is this some deliberate inventory adjustment that we are doing? And particularly, the Eicher Motors Q4 Earnings Call
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production is lower for Meteor 350. So I'm just trying to get colour on what's going on for the last six-seven months on the production side?

B Govindarajan: Hi, Gunjan. I don't think we have any issues in the production to be honest now. Having said that, you raised it, we'll also go through it. But I must tell you Hunter, when we're looking at a point of time, what should be the capacity, which we have to build. We built a particular capacity to a fantastic situation to be in more than what we have invested and then what we thought the Hunter has started doing very well. So we immediately started looking at the ramp-up. So Hunter ramp-up is almost done. The second new product is Super Meteor that also has come back as a positive thing to us is that it's a good number. The booking is going up. International market is doing very well. But in the month of April, we had an OBD transition. So we have to be careful about the inventory. To that extent, we also did some adjustment in the overall inventory. Otherwise, production is not a constraint, model to model when the ramp-up is taking place, maybe it will take some weeks and months, but it's all in the road-only, Gunjan, we don't need to worry about that.

Gunjan Prithyani: So I should read mostly this as a transition to OBD, that some level of inventory adjustment has played out in the last couple of months?

B Govindarajan: In the domestic market, yes.

Gunjan Prithyani: Yes, okay. And then second, a little bit on the non-motorcycle business. Now if I look at this it has gotten to 14%-15% of our revenues. Last year, of course, saw a big jump, but then motorcycle revenues last year were lower. But in a normalized year like FY23, we are at about 14%, which is quite a good number. So I mean, just trying to figure out, how should we now think about the growth in this business, does the share of revenues continue to inch up further? Or should we think this is growing in line with the bike business? And if you can just share more on what's really been driving this growth? I mean, spares is something that we all understand, but maybe on the other parts on the non-motorcycle?

B Govindarajan: Yeah. Maybe I'll just give you some colour on this. Our motorcycling accessories, we are in a very good state now. We are adding more SKUs not just because we have to add SKUs and get business. While we do this, it's all about how we get the consumer to enjoy the comfort. So some SKUs are for comfort. Some SKUs are for style, some SKUs are for safety, some SKUs are for the experience, if he has to go for a touring or something like that. So what we are looking at is in every product, what are all the SKUs which we can add in the accessories business, which gives them the experience which the consumer wants. So there's a lot of work which is happening in building the SKU for the GMA portfolio, that itself will bring in more revenue into this. We also brought in the configurator, Gunjan and for the accessories because in our purchase cycle, when new motorcycles are being purchased they can go into the Make it yours platform on our website. So that's where they normally buy it. That's where the majority of the GMA purchase also takes place. But we also found that for older motorcycles that people want, so we brought in a configurator which we are extending. There is a t

reaction which is coming up. In apparel, we are once again looking at our riding gear range improvement, collaborations with leading brands like Alpinestars, TCX and all. So it's all about what sort of an experience which we will give through this product, wherein the consumer will see, wow, I have a really nice product from Royal Enfield, which we should actually buy. So that's how – it's a business which has to give and revolve around motorcycling, and that's where the focus is also, Gunjan.

Gunjan Prithyani: Okay. Got it. Sorry, just the last question, if I can pitch in here is on the Bullet. Bullet is still on the old platform, right? And now the OBD transition has happened. My guess is that it is compliant under

the new norms. But if you can give us some colour as to when this moves to the new platform or anything, any timelines you can share?

B Govindarajan: Bullet you see as of now, it is available, and it is growing. And at some point of time, Gunjan, we will do the transition. The way we have done the transition on the Classic 350 seamlessly, which you yourself have asked if there is any order inventory which is left out? We are good in the transition. So we'll do the transition smoothly.

Gunjan Prithyani: Okay. Got it. Thank you so much.

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Basudeb Banerjee: Thanks. Next, we have a question from Raghunandhan.

Raghunandhan: Thank you for the opportunity and congratulations on a good set of numbers. To BGR sir, for Super Meteor in domestic market, out of the order bookings that have been received, how would be the customer mix, trying to understand what would be the share of existing RE 350cc owners who would be upgrading to the 650cc Meteor, trying to understand whether this is being seen as a credible upgrade by existing owners?

B Govindarajan: Super Meteor is a thoroughbred cruiser and as of now, we have disposed of almost about 4,000 plus units across the globe. We have Meteor 350, and we also have Super Meteor 650, right? Those who enjoy an easy cruising, which gets on to that long distance also and cruising also enjoys, it's about Meteor 350. The 650 Super Meteor is also for the people who enjoy long distance, right? But that's also an easy cruising, largest booking motorcycle. So it will take some time for people to understand. And especially, when the road development activity takes place in India. I tend to become very happy about it because that's where the Super Meteor will actually find a space. And more and more new roads, which come up and people enjoy long distance riding. Super Meteor is an exact product for that because it's so simple to handle. On the upgrade cycle, whether the 650cc people will directly move there, because the people who love that Continental GT is one set of consumers. They enjoy the style, they enjoy the customization, which can be done on that. Somebody would like the Interceptor 650, which is a roadster type. So that actually caters to the set of consumers who want an experience. Super Meteor is for a long-distance ride. So, this is a fun set of consumers. So it depends on what the consumer wants. But we have all the set of products which are available and it actually answers to the needs of those consumers. So it won't be a direct replacement from one-to-one type.

Raghunandhan: Thank you, sir. My second question on the network expansion in the domestic market, how do you see that target for the number of outlets, I mean, mass market two-wheeler players have a notably higher number of outlets compared to Royal Enfield. Even car companies like Maruti have many more outlets than us. So, on an annual basis, what kind of network addition do you expect?

B Govindarajan: As of now, Raghu, we have almost about 2,100 Premium retail outlets across India, which has a mix of studio s

tores and the dealership outlets. What is more important to look at is, the market is also growing, some areas where at a point of time, the auto cluster, which has been very good, probably would have been there. And we've also gone in for stores there. In some areas with the auto clusters coming up at that area, we were not present. So now, the focus of the team is actually to look at proliferate then consolidate. That's how we should actually look at any of these strategies. We should not blindly proliferate because we are very conscious of the dealer profitability and we give utmost importance for every outlet's profitability for the dealers. So to that extent, our focus as of now is optimal reach is what is required. If we have to increase numbers in the area where the auto clusters are coming up, we will go there. In the area where the auto clusters are not okay, we will define that area because we have different formats. And we will actually adopt that format. So if I have to tell you in one sentence now, it's all about optimizing the entire retail network.

Raghunandhan: Thank you, sir. That's very helpful. That's all from my side. Have a good day.

Basudeb Banerjee: Thanks all. Due to time constraints, this was the last question. I'd like to hand over to Sid for his closing comments. Over to you, Sid.

Siddhartha Lal: Thank you all so much for joining us so late in the evening in India at least, and we are absolutely delighted about, like I said, our performance last year. I think it was absolutely fabulous. We've had good start into this year, and we have lots of exciting things, both on the RE side, on the VECV side, new products, new initiatives, and of course, a lot of work being done on the EV journey as well, so

lots of interesting things in EML and in VECV. So thank you very much once again for joining us, and look forward to seeing you next quarter. Bye-bye.

Basudeb Banerjee: Thanks. I can see many follow-up questions; a few questions are answered. So I would request all of you to reach out to the IR team for all your queries. Thanks. That's all from us.

B Govindarajan: Thank you very much.

Call: Aug 2023

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EXEcUTIVE OFFicER- EICHER MoToRS LIMITED
MR. VINOD AGGARWAL -MANAGING DIRECTOR & CHIEF
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Good evening, good afternoon, good morning to all the participants. Welcome all to the Q 1 FY '24 Post Results Conference Call of Eicher Motors Limited. We are thankful to the management for giving us the opportunity to host the call The top management is represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors; Mr. Vmod Aggarwal, MD and CEO of VECV, Mr. B. Govindarajan, CEO of Royal Enfield and Ms. Vidhya Srinivasan, Group CFO of Eicher Motors. Without wasting any time, over to the top management. Thanks.
A very good evening to all of you and thank you for joining us this evening for Q1 FY 23-24 earnings call for Eicher Motors Limited. I hope you all are well. And yeah, thanks again for joining us. As you've seen the numbers, we've had an absolutely stellar start to this new financial year. We've had a great Q1 and have registered our best ever performance for the fourth consecutive quarter now. We recorded our highest ever quarterly revenue, highest ever quarterly EBITDA, our highest ever quarterly profit after tax, and we had significant milestones as well in both Eicher Motors and in VE Commercial Vehicles last quarter.
At Royal Enfield, we had an absolutely fantastic sales performance in Q 1 with more than 2.25 lakh motorcycles sold. So that's over 225,000 motorcycles sold, which is a growth of 21% over the same quarter last year. We continue to define the middleweight segment and grow the share of the middleweight segment in the overall motorcycling space.
In international markets, despite a tough macro backdrop, where the overall market has also been down for motorcycles, we continue to hold and even gain market share across most regions in Q1. The Hunter 350 that we launched around a year ago has really matured and h

it all the right cords

with consumers in India and around the world now.

As of July, we have a 2 lakh or 200,000+ strong community for the Hunter across the world. And it's been just 11 months. We're really confident that the Hunter brand will keep growing. New customers will keep discovering this amazing motorcycle. It's also a testament to our capability at Royal Enfield of identifying sharply a new segment within our overall framework and chosen segment and going after it with very sharp, very solid, very thoughtful new products. So, it's become one of our higher selling models in just 11 months, which is tremendous.
We've also launched the Super Meteor 650 across most markets in the world and to tremendous response. We've had really, really good responses around the world again as the most refined premium middleweight cruiser. And it's really doing that job well in markets around the world. It's

very exciting to see our ideas that we've had over the years come into reality, come into the market, hit the road and be successful. It takes a lot, but we're there, once again, with the Super Meteor650.

On the EV front, we've made tremendous progress on all of our electric mobility plans. We've grown the engineering team over the last few years and have a very strong capable engineering team. We've now actually also been growing the commercial side of the EV team because it's not just a good product, we need to have a solid business, brand, distribution and every other aspect in EV for Royal Enfield. So, there's a lot of work going on, on all fronts on the EV business as it were.

Coming to VB Commercial Vehicles Limited, our joint venture with Volvo Group. Q1 marks our highest ever first quarter sales for VECV and we're very proud of that. And this is across all business segments. So light, medium-duty trucks, heavy-duty trucks, buses, and components. We've had our highest ever sales in all of the segments there. It's really quite exciting times. During the quarter, VECV also commenced delivery of the next order of 9-meter electric buses, which is the Eicher Skyline E, we call it, to the K.erala State Road Transportation. We are now really in the thick of electric buses on the road for VECV, an Eicher brand, which is, again, a new journey together and doing well.

VECV is continuing to enhance its service and network through modernization. And in particular, our entire enormous focus on uptime as we've been calling it and as we've been doing it for the

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last couple of years has really paid dividends of being able to give that satisfaction of that modern uptime treatment to customers where they're not used to that level of service, that level of support where their vehicles are just running 99%+ of the time. And that's the promise we give our customers, along with amazing trucks. And that's the reason we're seeing good growth, good market share growth, good gains across the board. Yeah, so that's on VECV.

Coming to consolidated financials for the Q1 FY 23-24. EML clocked its highest ever quarterly revenue actually at ~3,986 crores with a growth of 17% over the same quarter last year. Our EBITDA crossed ~1,000 crores, so that ~1,021 crores, up 23% and our EBITDA margin crossed the 25% threshold. So, it's at 25.6% against 24.5% last year. All of this resulted in a Profit After Tax of 918 crores, which is the highest ever and 50% up from last year.

So again, solid growth, solid gains, solid profitability in Eicher Motors. And last week, we also released our Annual Integrated Report for FY 22-23 that captures our performance through the last financial year and our initiatives undertaken by EML towards a commitment for our next stage of growth. And for a stronger ESG vision. I hope all of you had a chance to go through it. Now I'll hand over to Govindarajan first to take us through the business highlights for Royal

Enfield followed by Vinod Aggarwal for VE Commercial Vehicles Limited. Thank you very much, and over to you, Govind.

Thank you, Siddhartha. Good evening, everyone. Hope you guys are doing well. At Royal Enfield, after registering a stellar performance in FY23. We had a very, very positive start for FY 23-24. We have continued our growth momentum, and it's there in all the products which are growing with it.

To begin with, let me just share with you the numbers in this first quarter. We sold almost 2.25 lakh motorcycles. That's about 225,000 motorcycles in this quarter, which is 21% higher than the last year's Q 1. In India, we sold almost about 207,000, it's about 2.07 lakhs, which is about 31% higher than the previous year. As far as the network is concerned, we mentioned that we are not going into the expansion just like that. So, this is the optimization phase, we added during this quarter about 10 new dealerships in India and about 22 new stores in the international markets, taking the total overall network to almost about 2,034 in India and almost about 1,090 outside India.

During this quarter, we also inaugurated our new CKD facility outside India at Birgunj, Nepal to address the growing demand in Nepal and in the SAARC region. This is our fifth CKD plant along with the CKD plants which are already there in Brazil, Colombia, Argentina, and Thailand. The new CKD facility at Nepal will actually locally assemble our entire range of motorcycles for that particular market. We have already done almost 1,300 numbers out of that facility in Nepal. As Siddharth mentioned, we have made significant progress even in our EV journey. First, the focus had been on the technical area to get the right kind of people. We have almost about 100+ people who are dedicated and who are working on this area. As we mentioned in the last call also, we are now into the execution phase. Now we are moving into the commercial side, where we are building up our own team. And we are also into the supply chain side, focusing on make versus buy. Which are to be made in-house, which are to be bought out and onboarding suppliers for the

cells, motors, controllers, etc, that's an activity which is happening. So that's in full speed now in the EV as an implementation phase.

You all know Royal Enfield is all about community. We work with the community. So, one such thing is our Motoverse. So last year, we had almost 18,400 people who registered for that. This year, Motoverse is once again open for registration. Some of you please do join along with us. It's a 3-day festival, which you all should be there. It has been heartening to see the response after we opened the registration, in thousands, which has already started coming in.

On the ESG, there's a lot of focused effort, which has been going on in this. We have made significant progress in reducing the carbon emissions at our factories. We have almost 39% of our

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total energy consumption which is now renewable energy, which is almost a 4x increase in the renewal energy consumption over the year. All our plants are zero discharge, and we also looked at water positivity. So, the water positive index for all of our manufacturing plants is 2.6. It means the water which we are consuming, we are actually percolating more into the mother Earth. That's how it is. In this year, our key focus is also zero waste to the landfill, which we are taking on in every value chain of our entire supply chain.

In conclusion, at Royal Enfield, it has been a very great beginning in this quarter and working towards sustaining and growing this momentum in the time to come in this year. Now I will hand over to Mr. Vinod Aggarwal to take you through the VECV performance. Over to you, Vinod.

Thank you, Govind, and thank you, Siddhartha. Very good evening to all of you. L

et me start with

giving you an update on the CV industry. CV industry has done reasonably well in Q1, with Bus segment and Heavy-Duty truck segment in the industry growing, Bus segments have grown, in fact, by around 35%. And agri-truck segments have grown by 10%. However, there has been some drop in the light and medium-duty trucks. At the same time, going forward, with the economy continuing to grow and good monsoons and infrastructure investments continuing, it is likely that the CV industry will continue to grow in the balance part of the year also.

Now coming to our performance highlights in brief. Our heavy-duty trucks, both combined Volvo and Eicher trucks, had the highest ever Q1 sales of 5,166 units as against 4,006 units last year quarter one with a market share of 9.4%. In light and medium-duty trucks, we had the highest ever Q1 sales of 8,308 units as against 7,515 units with a market share of 36.9%. As you all know, last year, our market share was 31.2%. So, the first quarter was 36.9%. In the bus division, we had again the highest ever sales of 4,907 units in the first quarter as against 4,219 units, with market share of 25.1%.

Export markets have continued to drop, and they are under stress. And our sales have also dropped significantly. Our sales in Q 1 was 716 units with a drop of 58.1 %. We had the highest ever quarterly parts sales with combined both Eicher and Volvo trucks and buses of ~478 crores, registering more than 25% growth in quarter one of the current year. Then we had the highest ever quarter one turnover of ~424 crores in our components business, registering more than 18.5% growth over last year quarter one. And we had, again, the highest ever Q1 sales of 14,816 VE Powertrain engines registering more than 21% growth over previous year Q1. And we have seamlessly transitioned the entire range of trucks and buses to the Indian BS-VI OBD2 standards that came into effect from April 1, 2023. And we continue to strengthen our position in the truck segment with the introduction of new variants, which will cater to the growing e-commerce applications. And on the electric vehicles business and as well as the network and our other after sales initiative, Siddharth has already briefly mentioned, so I'm not covering that here.

Now giving the VECV's financial performance. For the first quarter, our total sales for quarter one have been 19,571 units with a growth of 12% over previous year quarter one of 17,469. As you all know, the industry 3.5 tons and above, the growth was only 0.5%. So, we have outperformed the industry, resulting in our all-round market share growth. As far as revenues are concerned, for Q1, we had a total Income from Operations of ~4,991 crores. as against ~3,934 crores in Q1 of last year with 27% growth. Our EBITDA for Q1 has been ~387 crores as against ~18 crores last year with a growth of 77% and EBITDA margin this year has been 7.9% in Q1 as against 5.7% last year. Our Profit After Tax has been ~80.5 crores as against ~59.4 crores last year Q1. And our PAT percentage for the current year quarter one is 3.9% as against 1.5% last year. Now, I hand it over back to Siddhartha to take it further.

Thank you Govind and Vinod, for the updates on Royal Enfield and VECV. And thank you all for being on the call with us today. It's been an absolutely tremendous first quarter for us. And it's a great start for us to the year. We at EML, we are committed to constantly elevate our product offering, our business. And this year, you will see a lot more exciting things from us in terms of

new products, in terms of business development, and other areas. So, lots of interesting things are going on. We are a solid focused team at EML. And on the RE front, a very motorcycling first, motorcycling oriented team. We have a robust, long-term thought process, strategic plan that we

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go after and world-class capabilities, infrastructure, and outstanding product lineup. We continue to evolve, we continue to expand our network, our capabilities, our stores, our distribution, all of that. And we truly believe that this will continue the growth for EML in the coming years both on RE Front and on the VECV front. So that's it from my side for now, and over for questions.

Looking forward to hearing from you guys now.

Thanks sir. We can start the Q&A session. Requesting all to raise your hands if you have any question. And also, kindly restrict your questions to two per participant, so that we can maximize the number of people asking questions. We will start the Q&A with Jinesh. Now you can start.

Yeah, hi. So quickly, starting with Royal Enfield performance, so can you talk about the divergence in margin performance versus the mix? So, we had lower share of exports and higher share of Hunter, but still margins have improved quite substantially. What has driven this margin on a YoY or QoQ basis?

So basically, margins have gone up about 1.5%, which is the impact of price hikes that we had taken on May 1, that is flowing through the margin. Apart from that, about 0.8% is on account of the savings in sourcing costs, which we talked about last quarter as well. And of course, the international mix is therefore weighing down, so that's essentially making up the overall growth in margin.

Got it. And we have seen a very sharp increase in employee costs, any bunching up in the first quarter or this is the normal run rate now?

Well, actually, it's a combination of multiple things. One is, of course, we had increments as far as the first quarter is concerned. Apart from that, a little bit of increase in the number of employees because obviously, our production volumes and sales have also ramped up. So, I think that is also kind of adding to the employee costs, a little bit of gratuity, but yes.

Got it. So again, the last question is on the export market. So globally, we have seen some calibrations in a number of outlets on multi-brand ownership, they have come down from 950 in the fourth quarter to about 820 now. So, what are we doing there? I mean, is it just a network optimization, what we're doing? And the second part question is we have also talked about Studio stores in international markets. So, can you broadly touch upon your evolving effort strategy for the international market? That's my last question.

Yes, Jinesh. The international market, I think in one of the calls, we also discussed, we are a long-term aggressive company. We don't want to do anything in the here now or rush into this. We believe that it has to be a pull brand. That's how we are. Go to the market, develop the market, let the community enjoy motorcycling. Let them start demanding for Royal Enfield motorcycles.

That's how it goes. Wherever we have entered in the last three years, we have gained a market share of almost about 8% averaging, and in a few markets, we are almost about 9.2% too. What are we doing there? As I mentioned, community building is the first activity which we are doing. A lot of new products which we are now lining up, which are all export worthy because statutorily it should match to all these things. So now Royal Enfield makes only the global product.

In terms of reach, we have as of now about 1,000 retail outlets. Most of them are multi-brand outlets, not a studio store format barring about 14 or so is our own. So, in those areas, what we are looking at is slowly increasing the reach through the multi-brand outlets. At a point of time, Royal Enfield multi-brand outlets, we have to go and search for people. Now there are a lot of people who are showing interest because the brand is known. The products are very good. Acceptance is very well. That's where o

ur focus is. So, it is all about community building, new product launch, taking into this market, looking at the relevance for that and reaching out to the consumers, setting up of the entire service network, which is required. The entire background activity which is required for the growth is what is the focus and that's happening.

Okay. But are we also looking at the studio store format? That's what the presentation talked about.

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Yes. Jinesh, there are different formats, right? In India, we have a dealer format. We have a studio format, and why we have it is depending upon the size of the market, depending upon the ecosystem's dealer profitability, which one is better. So, we have our own exclusive stores in the markets and the sizes vary depending upon the market sizes and all. So, the studio format per se of just having four motorcycles and all those things may not be there in the international market immediately because there multi-brand outlet is a way of life. At the multi-brand outlet, now we are getting the prime space wherever we are going. So that's how we reach the consumers in the international market.

Thanks, Jinesh. Next, we have a question from Chandramouli.

Hi, good evening and thanks for taking my questions. My first question is just on the competitive landscape. So, we've been sort of early leaders creating the middleweight market in India. And there are some other sort of credible competitors looking to compete in this space. We've always been sort of a long-term thinking company. So just wanted to hear your initial thoughts and your initial read on sort of the current situation and how you see it progressing overall?

Siddhartha, maybe.

Yeah sure. So, I mean this is an inevitable question, but also I mean competition is in itself inevitable. Over the course of the last 15 years, we have really grown the segment from sub 50,000 units, and I'm talking about the mid sized space in India, I'm talking about right now, which is 250 to 750 cc. We've grown it from sub 50,000 to nearly 1 million units to 10 lakh units. So, it's been a lot of work. And in that time, we've had lots and lots of competition. So, it's not that we haven't. This is just a new wave that we are seeing right now. But we've had lots of competition from all the Indian manufacturers, from various European, American in different forms earlier, now it's different. But also, let's not forget from the biggest Japanese companies in the world as well, right? So, we've had competition from every angle coming in, direct, indirect, head on, not head-on and we've been able to fend off the best so far, and we plan to do that again. I mean but, in our way, in the way we do things, right? So, it's not directly competing. It's not fighting directly. It's not worrying about them too much individually, but more about continuing to strengthen what we do and what Royal Enfield does really well and continue that journey, right? And we've really created a tremendous brand. We've created a really tremendous brand. And it's not just the name Royal Enfield, it's the fact that it's on the tip of the tongues of intending buyers of motorcycles. So, it's more than just up there in the air. It's literally when you ask young people, what is the premium motorcycle in India. It's Royal Enfield, right. That's what they say, and that's what they believe. And there are so many things we do to fortify that, right. And that's the community that we do. It's the distribution, you go into a Royal Enfield store, it looks nicer. The salespeople are trained better. They are able to offer you more stuff. They're able to talk to you better. So, it's just a totally different experience from our brand, right? And it's not something you can replicate very quickly. So, We continue t

o build all the strengths that we have, the community that we have, which is over 10 million strong, things like resale value of our bikes, which is much higher than others.

So, all of that which fortifies the premiumness of our bikes and having said that, we have over 90% share. So, at some point, it's possible that we could go down a bit because it's the only direction we can go if you're 90% plus which is fine with us. I mean, not that we will give it on a platter. But we believe that the market is there to be grown. So, from 1 million, we believe that over the next couple of years, it could grow to 1.5 million in the next decade to 2 million and beyond. So, to be 80%-85% in a market which is double the current size is okay for us. I think we're quite happy with that. And so yes, that's our take, I mean I think there's certainly credible competition. But there always has been. Let's not forget that. And we've managed to fend them off more so far and we certainly have our thoughts and strategies to continue to focus on our growth cycle. And I think most importantly, what I want to leave this conversation with is our focus on customers. We are not focused on competition because we are focused on customers, right? We are seeing what's in their best interest, what gets them motivated, what gets them excited. We're

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not fixated on any one third-party who has nothing to do with us. We are fixated on our customer and our brand and our company. That's what we look at. Thank you.

Got it. Thanks. And that's very helpful. And my second question is just a related question on the product side. So about 12 months back, during the analyst meet, we had revealed plans to launch between 13-14 new products over the medium term. I think we have delivered now on the Super Meteor 650, and we also announced the Bullet J series. So just trying to understand the remaining sort of 11-12 products in the product pipeline, what sort of time frame should we attach to that? Is it sort of 3/4 years? Just trying to understand the cadence there.

Chandramouli if we have to tell you 3 years, 4 years, yes. But the only thing is we have a skew of new products, which are very differentiated, which will give you a very differentiated experience for our consumers. Some of the products are ready, and we also want the product to get matured into the market when we launch. So, we also take some time and then launch it. But today, we have almost 400 and odd guys who are working in our product development and their component development area. So now we have a slew of new products which are ready, which are going to be launched in a particular time interval. We will space it. We won't be in a hurry to do anything because we are not that sort of a company just to answer something. We will space it; we will bring it. But whenever we bring, always, we have been a very disruptive product company, and that's what you will see when we are coming out with the new products in time to come.

Got it. Thank you very much and all the best.

Thanks. Next, we have a question from Pramod Kumar.

Yeah. Thanks a lot for the opportunity. And congratulations on a good set of numbers. My first question is pertaining to the other expenditure line item. Is there anything related, which is causing the downward pressure there? It's kind of reasonably lower QoQ? What do you do with the launch cycle, given that we did not have any launch, and should we expect that?

So, I think you've answered the question. So, it's a little bit of a timing issue as well because we don't really, I think our marketing campaigns, launch expenses have really not kicked into high in this particular quarter. And we've also had a little bit of t

ravel expenses, which are a little bit muted right now.

Fair enough. And the second question is on the spare business or the non-vehicle business. If you can just help us understand how has that kind of shaped up during the quarter? And how are we doing on the whole non-vehicle ambit, which is basically our accessories or spare parts revenue, all of that?

Non-motorcycle business, which is our apparels, accessories and soft products, spares, Pramod. In this quarter, it has almost about 25% growth compared to last year, and it has been growing very well. Our accessories, we are adding SKUs more. Our accessories actually for the existing motorcycles, anyway it is during the consumer journey, it goes through the MiY page. And then he can configure that against styling, safety, comfort, that's what the vertical which we give it in the motorcycle accessories. But also for the motorcycles which were sold about three years back, all the old motorcycles for that also we brought in a configurator where the consumer can actually build the motorcycle accessories even in his motorcycle. And to order that that is also enabled and that is also working. At our service area also, we are opening. Spare parts, we are looking at more than in a revenue stream, which is very good incidentally, we look at it from a consumer satisfaction angle, Pramod, because we always look at even the last washer, it should be available at any point of time at any place when it is required. There should be no consumer who says that the part is not available. As a result, I'm not enjoying the Royal Enfield motorcycle. That's where we wanted to drive the business, and it is doing very well. So, to give you about 25% growth overall and its continuing to grow.

And last one for Siddharth. Siddharth, your thoughts on the Classic and above category, because we've seen the category expand back 250cc and above. But the fact remains Hunter has single

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handedly pulled this category back from the slump right over the last few years. So, what are your thoughts on, by when do you expect the Classic and above category, the ~2 lakh above price point kind of a segment to kind of come back? Because that is something which is still not anywhere close to the previous peak, right? And it's been like almost five years plus now. So, your thoughts on what do you think is that play here? Is it just pure affordability or is there anything else? If you can just share your thoughts here, Siddharth. That would be my last question. Thank you.
Pramod, thank you. The way we look at it is multifold. One is at one level, when you look at it at one, if you remember many years ago, we used to say, look there's overdependence on Classic. So, we had two-thirds of our sales on Classic. So now that overdependence is not there anymore. We've got a range of products or services from different segments in the market and doing different jobs. So, I don't think we'll ever get to a position where Classic will be two-thirds of our sales again. Having said that, we certainly see headroom for Classic and others in that segment, like we said, to grow further. We've seen that already. And we have lots of exciting plans. So, we have full teams that are working on ideas on renewals, on thought process. I mean, the product is there. It's great. It does a fantastic job. And now we're looking at more branded growth. To continue to increase rekindle the love, the desire for Bullet, for Classic, for that segment of bikes. And so yeah, there's a lot of interesting things we're doing to get that back in vogue, let's say, and to bring it really up in people's eyes again. As the real benchmark or flagship in a sense, I'm not talking about a price flagship. I'm talking about a though

t flagship for Royal Enfield. So, we still think of Classic as that, and we're continuing to put a lot of love and energy behind it, and we're seeing some results in the market already. So yes, interesting days ahead for sure.
Thanks, and good luck.

Thanks. Next question we have questions from Kapil Singh.

Hi, good evening. Thanks for the opportunity. I just wanted to understand the demand environment. How are things shaping up right now? And also with the competitive launches, have you seen any impact on the bookings so far? Or has it not really had any impact?

As far as the domestic market is concerned, Kapil, two months ago, was not so good. Now it is slightly better. That's how it's going on. Between June to July, obviously, it is seasonal. So, there will be some numbers, which will be here and there. Our retails have been very good. Our booking has been very good. In fact, I just went around all the regions to understand from the team, from the dealers and all. The festive season seems to be very bullish. Everybody is looking at quite a good number in those areas. So, I think the discrete spending is coming back. Money availability is better. Finance penetration is getting better. So, to that extent, I see the market will be growing in time to come.

International market, just to give you a flavor, we can't isolate ourselves from the macroeconomic conditions. In Europe, there is a bit of a pressure point. But what we are focusing on is to clear off the retail more and more and work with the community. And in markets like APAC and RENA, where the market is not growing, our market share has been growing. Once again, we are also looking at retail. But we have a skew of new products, which are going to come that Siddhartha was mentioning one after the other. And that's going to actually kindle the love once again and more sales volumes for us, too.

Got it. And secondly, can you also talk about the cost outlook and how much price increase we have taken in the second quarter?

Yes. So, I think we don't necessarily talk about our cost outlook per se. But I think in the first quarter, we have taken about a 1.5% price increase in certain models, the impact of which will flow into the second quarter.

Okay. This is for both domestic and international markets?

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No, we are talking only domestically. International, yes, in certain markets, we have taken, but that's just a market-specific model-specific action.

That's not a painted brush type. So, it is only a few products, a few markets, which we have depending upon the cost. You're asking about the cost outlook? If you're looking at the commodity cycles and all those things, Kapil, I think that's not a headwind as of now, but we have to wait and watch during the festive season how the consumption is going to be, and how China is going to play. So, to that extent, I don't see it to be a major problem at this stage. But when it comes, then we'll react to it accordingly. But our value engineering pipeline is very strong.

Sure. No sir, what I was trying to get at is, if there is a tailwind that is still left, like we got this quarter? Or that was where the question was coming from?

No, no, I figured as much. but we don't necessarily comment. Thank you.

Sure. Thank you.

Thanks, Kapil. Next, we have a question from Hitesh Goel.

Thanks for taking my question. Sir basically, you've taken this price increase again in May, right? And you said costs are muted. And last quarter also, we had discussed that we have taken a price increase to pass on the cost, but we have seen some benefits coming through on margins on that. So, can you talk about this price increase? Is it opportunisti

c? Or is it just a pass-through?

Pricing is not to be looked at as an opportunistic or pass-through. What we normally look at is, see there is a business model, then there is a value proposition for the consumer in relative terms, that's how the consumer looks at, and what's an EMI. So, because now the finance penetration is actually going up. So, we have to look at it. If there is a commodity pressure, which comes in, obviously, we have to look at it, how do we do that when everybody does it, because the relative price of everything goes up there. So that we will look at it as an opportunity, as you are mentioning. But we have a cadence of actually going through the cost and what is happening, what's in the market? How is it relatively positioned? Is that what our motorcycles are, how the consumers see the value proposition for us? So that's a constant exercise we keep doing. Accordingly, we calibrate the pricing.

Yeah, so it is basically that one of my questions is, it's a cost-plus pass-through, right? It's not like because the penetration there is an issue in terms of affordability, right? We've seen that in the last three, four years. So now why industry is taking price increases when there is no need to because we're not seeing costs going up. That was my question.

Yeah, it is like this. It is not that always your product is priced at a particular level, and there is a cost pressure which comes up and you have to do cost plus, and then maintain the margin. Somewhere what we have to look at is for that particular price position, which we have given it in, and the consumer sees a value. If it further goes up, will it actually have a negative impact on the product and the volume, because that's what is the rebalance, which we also said. We said we are growth focused now. And to that extent, we won't be looking at profitability. So, the cost plus is always towards the profitability. But we will look at how we grow the market and look at it in an absolute pool, and that's what is directionally, we are working on, Hitesh.

Okay. And when can we expect the next motorcycle like Bullet 350 and all, because the media reports that it is supposed to be in August end or something. So, can you give some sense on the near-term launches? At least the timeline?

Here and now Bullet we have sent you, the media invite and block the dates and all, so that launch is now planned. My mind is fully on that, how we celebrate and enjoy the Bullet's legacy and what it has brought us here. But as Siddharth was mentioning, we have a slew of new products in all the categories, which we are working on. We will come with more and more new products, and we'll give you the details when we are coming closer to the launches, Hitesh.

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Arvind Sharma: Thank you very much. All the best. Eicher Motors QJFY24 Earnings Call
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Thanks. Next, we have a question from Gunjan.

Hi, thanks team for the opportunity. I had two questions. Firstly, on exports, you guys talked about the macro weakness that's impacted the volumes. 1vo-part question essentially, how we should then think of the full-year FY24 outlook for exports. And beyond the near-term also, if! have to think about exports, I mean where does the growth come from? Is it market share? Is it category expansion? How should I think about it?

Market share, it's a derivative Gunjan to be honest, because we normally don't look at only the market share. But in a market which is already existing, and our brand is getting accepted more and more, I can't give you a direct answer of where exactly the numbers of international markets will be. But I will tell you where the brand love is. I think I mentioned to you also that we were looking at a rider community in Europe. It's almost about some 17,000, 1

8,000 people signed up

for it. So that's the product love, which is coming up and the brand love coming in. And we have, mind you, we have only about 1,000 retail outlets as of now outside India and there is a huge potential, which is there for us to grow. But we are not doing just like that, because we have to take the macro conditions of the particular market now. We have to be careful about not loading the dealers. So, we wanted to do it in a systematic form, so that the ecosystem is also profitable. So, we are slowly opening up, and there are enough prospects which are cleared up for all the markets. So, the reach is going to be one major lever for the international markets in time to come. And all the new products which are going to come one after the other, because Royal Enfield nowadays are making only the global products. It is not country-specific like earlier times. All those products also will create their own category in that market.

Okay. Got it. And the second one is on Hunter. Great scale up that we've seen in the last one year. And I mean, I remember maybe the last conference call or prior when you had mentioned that there's a lot more opportunity for Hunter to still scale up, given that the volumes are now at 16k-17k units a month. Do you still see there are some gaps where this model can scale up from the current run rate to say, 20k-25k. I mean I'm not trying to get a number, but directionally trying to understand the potential of this model from where it is right now? Or you think it's matured? Look, I think for a product, one can't say it has come to the maturity level, Gunjan. Obviously, I'm not going to give you the number exactly as you said. But I'll tell you directionally. Hunter, what is this product, once again, to give a clarity to everyone is that people love the Royal Enfield brand. They wanted a product which is a bit more different and agile, and it should be nimble, and he can relate to the product. And compared to the other products it can be slightly at a lower weight. That's where we thought that we should bring it to the younger audience. And what we wanted from that product exactly is what it landed into the hands of consumers. And that's why I mentioned when the metros started taking young guys, now the rural areas are also now started taking on the Hunter. International market, not that the Hunter is available in all the markets, even in a few markets, we are just opening up. So, the Hunter as a franchise overall is growing for Royal Enfield. We see there's a huge potential for the Hunter in time to come.

Okay. I'll join the queue. Thank you.

Next, we can take questions from Arvind Sharma.

Hi, good evening and thank you for taking my question. This is on the Bullet as and when it comes on the new J platform. So essentially, your UCE platform would not have any model. So, does that make you more efficient in terms of higher usage of the J platform? Are there any cost efficiencies associated with it? And the second would be on the new model launches. I know you're not sharing details, but could we expect a new model? Or is it a new platform that you're launching probably in fiscal year 2024? Those two questions. Thank you so much.

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So, Bullet, it is on the super refined single cylinder J platform. So that's the last transition, which we have to do from the UCE platform, which we have been using for almost a decade now in all our products. So that's what is the launch which we are talking about. J platform, now it is there in all our products in the 350cc. To this addition, the scale benefit, which will actually be there, will also be there for the Bullet, so we will look at it exactly. And what is the second

question? The

second question was about new launches. After the Bullet, we have, as I mentioned, there are a lot of new products, CTGs, variants, all those things which are lined up. We always look at what kind of an experience we wanted to give to the consumer. For example, Scram, which we brought in from a particular platform. So, because we felt that on the same platform, we can come out with one more motorcycle like that in the new platforms, new products which we are doing. We'll always be looking at it in a platform basis, and we'll give the adjacencies, which can be given as an experience to the consumer, we will continue to work on. But you will see a lot of new products which will come from Royal Enfield stable.

Thank you sir.

And just to add on the platform's bit that, of course, eventually, when we discontinue one platform, it does lead to a lot of, I mean, of course, scale leads to direct benefits in terms of unit cost reduction and all of that. I'm not sure how much more in terms of moving from UCE to J, because we already have a matured J volume. So of course, we will add to it. So, there may be some gains there. But I think the bigger gain is in the fact that one: the product is very different. It's much more modern, let's say, and refined and all that. But I think most importantly, reducing one platform helps a lot, right? Otherwise, the amount of effort and energy required by the company to continue to develop a platform, because no platform is standing still. We're always improving it, changing things. There are issues in the field, we are solving problems. All those things happen on a running platform. So, if you're able to reduce one platform that actually helps tremendously in indirect costs as well as efficiencies, let's put it that way.

Thank you so much.

Next, we have a question from Pramod Amte.

Yeah, hi. Thanks for this opportunity. Just want to check your feedback on this competitive intensity. Are you surprised by the price aggression by international brands? Second, what are your feedback from the dealer levels, which products or what are the customers doing wait and watch? And if you have to fight back, would it be pricing, or you will look more for a market promotion?

Siddharth, do you want to take or do I go on.

No. You carry on Govind. I'll add later.

So, the first is about the surprise element, which you are talking about, maybe it will be surprising to them on how exactly they will price it like this and continue to be there on that. As far as we are concerned, we don't take head on with any of the competitions. That's not what we are. Because as a company, once again, we love motorcycles, we enjoy working with the community. We start looking at what sort of an experience they want, and how can we build, because we go, work with them, and then see and ride with them, and that's how we are. All these new products which are being launched and all those things, you can't react to it then and there, because any new product, it requires almost about four years for you to bring in. Hunter, we launched it in August last year, it's almost about four years back, which we do it. So, we have our own path, which is charted, and we have a lineup of new products, which we have to come in. Because we work with the community, we understand what sort of an experience and what are all the new areas where the consumers are looking for. That's how our new products are filled in, and then we'll continue to do this. We don't directly alter anything in our strategic vision just because some competition is coming in now.

Anything on the dealer or customer feedback in case you have any?

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Anything on the customer feedback about the products which they have launched?

No. On the competitive, are they waiting or are they still continuing the same vigor to compete?

Where is the product? Nobody has experienced the product as of now. So, unless otherwise people experience those products, and that's how people will know, right? Royal Enfield from 50,000 motorcycles to almost a million motorcycles, we built it over the years, and we know the nuances, we get what are the issues? How do we have to do that? How to ramp up? What are all the problems which can be there? Now it's all about there is a lot of hype, which is there. Once the product comes, then only people can actually give the feedback and all those things. Now there are only a few reviews.

Thanks. Next, we have a question from Raghunandhan.

Thank you sir for the opportunity. Congratulations on strong results and thank you for the comprehensive investor presentation. Two questions. Firstly, the sale of above 250cc motorcycles has increased to 8% of industry versus 2%-3% 10 years ago. How would the share increase over the medium to long-term? And what would be the share if you take the top 10 cities or some of the urbanized states?

So, Raghu, if in case I had to talk about the middleweight. So as we mentioned in an absolute number, let us go through it. It is from 50,000 at one point of time to almost a million motorcycles. That's the growth over the decade. From here where do we see it, our understanding is that there are enough disruptions, which are taking place. But especially ICE vehicles in the premium segment, it is going to continue to grow. In that growth, the overall volume will grow and because we have enough new products, which are coming in and our own activities which we are doing and working with the community, we'll also see our numbers going up, Raghu. That's how we look at it.

Got it, sir. On exports, on the five existing assembly units, what would be the capacity? And how do you see the benefits of volumes from these facilities?

Benefits maybe, Vidhya can add up. I'll tell you what's happening in terms of capacities. In most of the areas in the CKD plant, Raghu, what we have talked about is only to start with the single-shift operations. So, there is potential for you to increase another one shift in all the areas. Once again, because it is easy for us to go and put money and put a big plant in that particular area and look at the market. No, we have cracked the code of doing it in a modular form, even our CKD is in a modular form. In all those countries now, from a market share from nowhere, we have come to almost 8%-9%. That's all being fed by our CKD plant now. And we have reached in the middleweight almost number 2 position in Thailand, and it is all being supplied by the CKD plants there. And similarly in Colombia and Argentina. So, in all those areas, if I have to double it for one more shift, if I have to open it, then I can double it. If I have to tell you about the exact number of all those things, maybe I have to get back to you, Raghu, on setting what will be the number in all the CKD plants one after the other.

Thank you sir. Wishing you all the best. And if you can just share the finance penetration in the domestic market, how has it increased over the years?

It's about 60% now. So, it's been growing quite well.

Thank you ma'am. Thank you so much.

Thanks. Next, we have a question from Ritesh Arora.

Sorry. I just wanted to check if we've launched the Super Meteor in the U.S.?

Not yet, Ritesh, it's in the cards.

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Ritesh Arora:

B. Govindarajan:

Ritesh Arora:

B. Govindarajan:

Ritesh Arora:

Basudeb Banerjee:

Siddhartha Lal:

B. Govindarajan:

Vidhya Srinivasan: Eicher Motors QJFY24 Earnings Call

Aug3, 2023

Okay. And any specific on how is the U.S. market performing for us as it's been one of the largest markets? Do you see this I

owdown impacting volumes there? If you could give us some color?

As of now Ritesh, as I mentioned, our focus is on retail, that's what we are doing in those markets. And U.K., as I mentioned, we are taking on our own the entire market activity, development activities from the distributor. Directly, we are going to do that, signing up the dealers. So that's also a transition which is taking place. In all those markets, as of now, the market is not growing. It is slightly opening up, that's where it is. But the good thing which is happening is as the retails are better. Our market share, we are marginally gaining or holding on to the market share. So, we are not losing out on anything. In my understanding, some of the markets will open up in another about five, six months' time. That's where I see it will open up. It's only once again, readings and personal understanding of this. There's no signs to say that this country will open up by this particular point of time. So, we will only be looking at consciously loading into those markets. But we have a lot of new products which are going to come and that new products are going to get us new consumer eyeballs into those. And that's how we are seeing, there is a huge growth potential which is possible for us. We have almost 1,000 retail outlets outside India. We are focusing on increasing those retail outlets in all the markets, but we will not rush ourselves. We will go systematically, because we always look at it, it has to be credible over a period of time that should be a pull brand. So, our focus will always be like that.

Sure. Thanks. And just one more question. See, the waiting times on all your models range from one month to six months. What is the cause for that? Are we running overcapacity? Or how do you see it? Is there a shortage of parts?

Not really, Ritesh. What happens is every product when we come out with a business case, vis-a-vis what is the market acceptance and numbers, all our products have positively surprised us in a way. So, we have put something as a capacity, and then we started looking at it. The market response has been very good. So, there is a lead time, which is required to come back and then give that extra need, which is there in the market. So that's the capital which we have to keep putting it in product-after-product. Most of our products are as of now, about three, four weeks times and barring a few products for which also we have already started the action. So that will take care of the supply situation for those products.

Thank you.

Thanks. That was the last question. So over to management for any closing remarks.

We just like to thank you, guys. Thank you so much for joining us late today on this call. And yeah. we've had an absolutely tremendous quarter, first quarter of the year. It gives us a good momentum into the rest of the year, both on the RE side and VECV side. So EML as a whole. So yeah. thank you very much, once again, and we look forward to catching up with you in a quarter. Bye-bye.

Thank you very much.

Thank you.

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Call: Nov 2023

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November 15, 2023

Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated November 03, 2023 intimating the schedule of the conference call held on Friday, November 10, 2023, please find attached transcript of the aforesaid conference call, held inter alia to discuss financial results for the second quarter and half year ended September 30, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com .

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above
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“Eicher Motors Limited
Q2 FY24 Earnings Conference Call”

November 10, 2023

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL
ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER –
EICHER MOTORS LIMITED
MR. KEN TROLLE – EXECUTIVE VICE PRESIDENT & CHIEF
FINANCIAL OFFICER –VE COMMERCIAL VEHICLES LIMITED

Eicher Motors
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Basudeb Banerjee: Good evening and happy Dhanteras to all the participants and thanks to Eicher Motors management for giving us the opportunity to host the Q2 FY24 Post Result Con Call. We have with us the Senior Management represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors Limited; Mr. B. Govindarajan, CEO of Royal Enfield; Ms. Vidhya Srinivasan, CFO of Eicher Motors Limited; and Mr. Ken Trolle, CFO of VECV.

So over to you Siddhartha for your opening remarks.

Siddhartha Lal: Thank you so much, and welcome all of you to our Q2 FY24 earning call of Eicher Motors Limited. I hope you're all doing very well. This has been an excellent start to the new financial year for us and we continue to hit new milestones in Eicher Motors Limited.

Before delving into our quarterly updates, I'd like to thank all the shareholders for the very strong support towards the resolutions that we presented during the AGM and the postal ballot recently. We really value our long relationship with all the shareholders and look forward to a robust trust-based partnership between us and continuing our journey towards enhancing our corporate governance and working closely together.

With the new additions, the EML Board now comprises of our Chairman, Mr. Sandilya, Independent Director; Govind and myself as Executive Directors; Vinod Aggarwal, who's not here with us today, but he's being represented by Ken. Vinod Aggarwal is the Non-Executive Director and Non-Independent Director on the EML Board. And we have four other Independent Directors: Mrs. Manvi Sinha, Mr. Inder Mohan Singh, Mr. S. Madhavan and Mr. Tejpreet Chopra. So that's the new constitution of our Board with eight members.

Now let me begin by sharing a few business highlights for the quarter. We've had our highest-ever volumes, revenue, EBITDA and profit after tax for any quarter. In September, we had a spectacular launch of our new bullet, celebrating the 90-year-plus legacy that we have for a bullet brand, probably the longest-running of any automotive model, and this time in its new avatar on our super refined J-series engine. With that, we've also transitioned all our high-volume models from UCE model platform that we had developed in 2009-2010 to a J-series which has been extremely well received as is the motorcycle.

Very importantly, recently last week we included the EICMA Motor Show in Italy, which is the largest motorcycle event or trade show in the year. We showcased the all new Himalayan and received an absolutely spectacular response from global audiences. The new Himalayan is an evolution of our first adventure tourer bike that we launched in 2016, which is the Himalayan 411. As customers, markets and terrains have evolved, for us, it was important to create a motorcycle that retained the DNA of the original Himalayan, which had a lot of success, but we wanted to give it a lot more power, torque, refinement, both on and off road. So that's what the promise of the new Himalayan is. It's the first motorcycle that's based on our all new Sherpa-450 engine, which is the first liquid-cooled, dual overhead cam shaft engine from Royal Enfield.

Govind, myself and our management, also hosted the world's automotive experts in Manali just two weeks ago with presence of Journalists, content creators and others, it was a thrilling adventure and ride experience in the mountains on this new Himalayan and the response and feedback that we got from them were tremendous. I mean, people are calling it absolute best-in-class, global disruptor, the best value adventure tourer by a mile and the embargo was lifted today at noon for the reviews. The reviews have started coming out today at noon, so just a few hours ago. I encourage all of you to go and have a look at the reviews from both the Indian and the international journalists and content creators. I've been going through them as much a

s I can

in the last few hours, and its game changer, this new Himalayan. It's a very strong motorcycle from our side and has the potential to be a world beater. So, it's for markets around the world.

At the EICMA show, we also unveiled a special project, which we call the Electric Himalayan Testbed. It's a new expression of our sustainable exploration for the future, and it's a concept right now of what Royal Enfield electric adventure tourer could look like. It's a concept

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motorcycle, it's not meant for production necessarily, but to get more interest, feedback, and understanding from our side. But it is a motorcycle that is in the laboratory of a sense, more than a concept, because we have actually used this motorcycle and prototypes like this in the Himalayas. We've done a lot of testing, a lot of validation, and we plan to continue to evolve it. This is not going to be the final guise of what we come out with, and if we come out with, it's to show of what an electric adventure tourer from Royal Enfield could look like.

Coming to VE Commercial Vehicles, our joint venture with Volvo Group, we have enhanced and fortified our market share across all categories in light and medium duty trucks, heavy duty trucks, buses. We've had excellent market share gains in all of these areas and we've delivered our best ever second quarter in terms of units sold across all three categories. The parts and powertrain sales clocked a strong growth in the first half. And once again VECV has been ranked number one commercial vehicle manufacturer for the third successive year in the dealer satisfaction survey conducted by FADA, which is the Federation of Auto Dealers Association.

Again showing our extreme support work with our network, channel partners, which are really important to delivering customer satisfaction to our dealers. VECV has also continued the sustainability journey by delivering electric trucks and buses to customers in various applications and we're developing long-term partnerships with leading logistics and bus operators for this area. And today, we have Ken Trolle, the CFO of VECV. He will take us later through more details about VE commercial vehicles.

Moving to the financials for quarter 2Q FY24. At a consolidated level for Eicher Motors Limited, which does not include VECV, for the seventh consecutive quarter, we've marked our highest ever revenue for EML, this time at **₹4,115** crores for the quarter, up 17% YoY. It's our fourth consecutive quarter marking highest ever EBITDA for EML, crossing **₹1,000** crores once again, at **₹1,087** crores, up 32% from last year. It's our fifth consecutive quarter marking the highest level PAT for EML, at over **₹1,000** crores this time, so **₹1,016** crores, up 55% from Q2 last year. So stupendous financial performance also.

And now, I hand over to Govindarajan, who will take us through the business highlight for Royal Enfield. Over to you, Govind.

B. Govindarajan: Thank you, Siddhartha. Hi, everyone. Hope you guys are doing well. At Royal Enfield, we have been continuing our journey in the top gear and we have registered our highest ever H1 volume. The momentum is very good, it's very strong and it's an exceptional performance in the second quarter. In this quarter, we sold about 2,09,700 odd motorcycles in the domestic market, which is almost about 14.6% growth from last year same time about 1,83,067 motorcycles which we sold. We have had a very strong growth in the sales of our motorcycles during the festival period and we see the momentum continuing.

Launch of all-new Bullet 350 as Siddhartha mentioned, its marks the completion of transition to the J platform. And I'm very happy to share with all you people the traction was very good, the new bullet has received an overwhelming positive response from experts and consumers. The all-new bullet will be launched in the interna

tional markets over the coming month because it's Euro V compliant, so it can be sold in other markets also.

In the international markets, we sold almost about 19,780 motorcycles in Q2, registering a growth of about 9% over the previous quarter. We have maintained our market share in our key markets. RE is a leading middleweight brand in the U.K., and among the top three in Europe and almost 9% market share in this region. In Americas, we have around about 7% market share and in the Asia-Pacific region, we are currently at the most about 9% market share in the middleweight segment. In the international markets, our retails have been talking very well, that's a good sign for us, which we wanted to share it with you people.

In the recently announced results of the dealer satisfaction survey by the Federation of Automobile Dealer Association, FADA, Royal Enfield emerged as the first runner up in the Eicher Motors
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two-wheeler OEM category. We moved substantially in the list, with the score increasing by about 96 points.

What Siddhartha mentioned about the all-new Himalayan, it's a global media first ride at the global unveil, which we did at EICMA. This is a motorcycle which had been built by the Himalayas. The all-new Royal Enfield is inspired also by the Himalayas. And that's how all our motorcycles are and engineered for a real-life adventure. This is with a more power, more torque, using the long stroke design to give an excellent low RPM performance, which is what is Royal Enfield addressing in the motorcycle. And that's the whole DNA of a Royal Enfield. When we were doing this closer to the launch, we also decided that it was a time for an ultimate journey, the epitome of adventure motorcycle riding. So, we took the finished motorcycle, which is there for the market and one last time, we should do a test from our factory, Oragadam, and we call it from sea to the summit, from Chennai, at about 22 feet sea level to 19,024 feet Umling-La. We tested the motorcycles and it's a proof that this is a motorcycle which is inspired by Himalayas, built by the Himalayas. We wanted to do the final test also in the Himalayas. Now the motorcycle is fully ready and that's how we unveiled that EICMA.

We also celebrated our global marquee ride, the One Ride, where we see the participation of more than almost about 28,000 motorcycling enthusiasts from 58 countries and about 300-plus cities in India who came together for the largest cause-led ride, which India has seen so far.

Also on the sustainability side, I wanted to share a few points. We have been improving a lot. Around one-third of our manufacturing is done through green energy in all our facilities. As I earlier also shared with you people, all our plants are water positive, now it's almost 2x. So, more and more recharges are taking place into this and all our plants are at zero discharge.

We are gearing up to the next edition of Motoverse, which is in this month on the 24th. And I'm ready to share that lots of exciting updates and the entire motorcycling community will be there. Look forward to seeing you all people also in the Motoverse. With successful recent launches and the new platform launch which we did on the Himalayan, we are well on our way to ride ahead on our strategic goals. There are new launches which are in the pipeline and we are prepared for our growth journey in India and across the other global markets. We are very excited about what the future holds for us.

Now I will hand it over to Ken Trolle to take you through the VECV performance and updates. Over to you, Ken.

Ken Trolle: Thank you. Good evening, everyone. It is another solid quarter for VE Commercial Vehicles. We had the highest ever second quarter sales of 19,551 units. On the heavy-duty truck side, highest ever second quarter with the sales of 5,291 units. On light and medium duty side, highest

ever second quarter with 9,571 units. On the bus division, highest ever sales of 3,214 units. Also, as Siddhartha mentioned, highest ever quarterly part sales, we grew by 29% over the same quarter last year. Also, for our powertrain unit, we sold 14,834 units, which is also the highest. And as also mentioned before, we won the FADA for the third consecutive year.

Moving over to financial highlights, revenue ended at ₹5,129 crores, up almost 22% compared to last year. EBITDA of ₹404 crores and EBITDA margin of 7.8% versus 5.8% for the same quarter last year. Profit after tax ₹186 crores, up from ₹81 crores last year.

And with that, I hand over back to you Siddhartha.

Siddhartha Lal: Thank you very much. That's all from our side. We've had really cracking quarters both at RE and VECV, so at EML combined. The festive season is on us and things are going well. So, thank you very much and wish you all a very happy Diwali and we look forward to your questions.

Basudeb Banerjee: Thanks, Siddhartha. Requesting participants to raise their hands to ask questions.

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Divya Purohit: Thank you, Basu. We'll take first question from the line of Pramod Kumar. Pramod, please go ahead.

Pramod Kumar: Hey, Siddhartha. Congratulations on a good set of numbers. I think there's a beat there on the performance, but I'm more interested in Himalayan, Siddhartha and what the Sherpa-452 does for us? Because the reviews are just started dropping in today, looks really great. I can see the lot of hard work that you guys have put in. So, if you can just help us understand from where Himalayan in 410 was and where 452 is the kind of transition what you have done. What does it potentially mean for the company in terms of the kind of addressable market here, both in domestic and the international side? Because this segment is clearly doing extremely well, even in domestic, and this product looks pretty good. So, just to begin with if you can help us understand what could be the volume opportunity here? And what could be the brand opportunity more than that, because this product can take you to many new markets, many new terrains in that sense? So, yes Siddhartha, to kick it off, probably we'll start with that.

Siddhartha Lal: Sure, Pramod. I think it's very pertinent because we really do believe that this can be a huge growth driver for us, both in numbers and in stature and in many other ways. The first Himalayan, which we came out with seven years ago, was really a domestic market product. It was meant for India; it was meant to test the market. I mean, of course, we were all in on it, but segment didn't exist. So, it was really our stab at what we thought the segment would like. So it was a full on adventure bike, but it was our first attempt at it and it did really well. We've sold over 200,000 numbers globally since then. So, it's been a great run.

But we got a huge amount of confidence from what people loved about the previous Himalayan and a lot of learning. So, we have put all that into the new Himalayan. So, for example, just on the spec side, conceptually it's gone up from 410 to 450, so only 10% increase. But really for example, the power has gone up by 65%, the torque has gone up by 25-30%. It's got a water cool engine, so it revs higher. We've kept a large part of the ergonomics because that's what people loved about the bike. The accessibility, it's got the lowest seat height configuration that can be just over 800 millimetres, so 80 centimetres. So, someone who's even 5'3"-5'4", can get 1.5 feet on the floor. So, it's stable, it's good, it's accessible. The engine I told you it's super refined, gone up, it's ride by wire. So, the nature of fuelling and response is absolutely magic. The chassis is also totally on the next level. So, our previous one was good at off-road and this one is even better at off-road but has

excellent on road manners as well. We've got a showa suspension, which you can see the reviews people absolutely love it. They think it's fantastic, both off-road, on road.

Our TFT screen is a breakthrough. I mean even bikes 3x the price doesn't have that kind of technology now on the instrumentation. And we insisted we only have Google navigation on it. No third-party other navigation, because people only trust Google in navigation, and we had to have that. So, it makes life nice and simple on our screen. So, we've pulled out all the stops. It's been fantastic. Earlier we were making motorcycles with our twins and other motorcycles that were getting to and had become world-class. Previously 10 years ago, we were not but then after the twins, we were getting to world class type of bikes. We are now saying and hopefully you'll hear from the press also, this is world beater. So, this is setting the standard. It's not just better, it's head and shoulders better than everything else in the world. In the best case scenario, our ambition is that it will actually shake up the entire adventure touring segment in the world. We want people to question themselves that, should I really be buying this motorcycle, which is 3x-4x as expensive, when I get every single thing, I want out of the Himalayan? And it's better at certain things, honestly, to go off-road, it's even better. In an Autobahn in Germany, going at 160 km/hour, maybe on the margin, there'd be a bike, which is 3x more expensive, which is better. But other than that, one very peculiar scenario, which not any of our customers are really doing regularly, it is a better bike than bikes 3x its price and size. So, we're confident that we've taken all the inputs. We've done everything we can to make it really a world beater. So that's on the Himalayan. Anything you can add to it, Govind?

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B. Govindarajan: The only thing which I can tell you is, with our decade experience of riding in Himalayas. From 2016 to 2023, about seven years of riding the Himalayan 410 across the globe, the extreme terrain. So, we retained some of the DNAs of that Himalayas, which is required because of the

evolution, we spoke to the explorers, globetrotters and to the people who are athletes, just to get what all required to be the world beater, as Siddharth was mentioning, All those things are incorporated and which we tested. That's where the confidence is that it will create more movement in the entire adventurous for motor cycling.

Pramod Kumar: And Govind, just to push that a bit on the volume context, if you could just help us understand what are the volumes of the outgoing platform on a steady state basis? And what could be the potential here? If you can just help us there, quantify this opportunity.

B. Govindarajan: Pramod, adventure motorcycle had been heavy, intimidating, not accessible. We launched the Himalayan in 2016, we changed the game. That's why it created a moment for becoming an accessible motorcycle. Here is a new motorcycle, which we just launched about three days back and the reviews are just out today. As I mentioned, with all the bristled DNA of Himalayas, the Himalayan motorcycle, with the seven years of riding that across the globe and incorporating all the best things which are required for future. So obviously, this motorcycle will create one more wave. How much is that? What it is? Let's wait because there's a good response. The reviews are outstanding, everybody sees it. It's a very different motorcycle, which is very accessible, not at all integrating, which inspires confidence. And as Siddhartha mentioned, it has a full-blown navigation system, which is there. And the suspension is so well tuned for extreme conditions, like off-roading, and also to use it on the city rides in any traffic. So, to that extent, the motorcycle is well thought out, executed and te

sted very well in the place where it belongs. That's why we did a last test, also from 22 feet of Chennai. There are some good roads for 5,000 kilometres. And then we also took it to the Himalayas to see whether the motorcycle is really behaving the way we wanted. And it all has turned out to be very good. So, it's a winner product in hand. Over a period of time, it will certainly grow. How much? Will wait for some time.

Pramod Kumar: Yes, I'm back in the queue. Thank you.

Divya Purohit: Thank you so much. Next question is from the line of Kapil Singh. Kapil, please go ahead.

Kapil Singh: Thanks for the opportunity. I just wanted to ask about the new bullet. We had also launched that. So, what kind of response you have got for that? And also if you could share, what kind of growth are we seeing in the festive season so far?

B. Govindarajan: I think the Bullet 350, which has 90 years of legacy from 1956 in India, which we have been manufacturing, was the last transition from the UCE platform to the super refined 350 J platform. So that has been done. It got accepted very well. I can tell you with respect to the UCE, which we had the bullet to now the traction is higher than the way we were expecting. It's really got accepted very well in the market.

Kapil Singh: Okay. Overall, festive season growth so far. What kind of trends we are seeing or any numbers, if you can share so far for last 20 days?

B. Govindarajan: You would have tracked the numbers by now. But still, to just say, we also grew fairly well, almost 14% is the range compared to last year, which we grew in the same window. But this year festival is not in one month, it's in two different months. But I can tell you that the festive season was very good for us. It's a happy window for us in terms of retail.

Kapil Singh: Okay, that's great to hear. And second, on exports, if you could talk about, we have seen a bit of volatility in the numbers. So, is there something that surprised you negatively or things are going as per plan? What's happening in the markets? If you could just share about the context over there.

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B. Govindarajan: On the international markets, as I mentioned last time also, with the macros, are we completely insulated? No. It is affecting to our market to a major extent. There are two things which we have to communicate to you people. On the retail, it has been clocking very well. So, to that extent we have been holding the market shares almost about in all the markets like APAC, Europe, North America and Latin America. Our market share is intact, we haven't lost market share and the new products are just coming in. For example, Super Meteor, I just launched only about two months back in the United States. So, it's all getting into the market.

On the wholesale front, as I mentioned last quarter also, we are not aggressively looking at wholesale because normally what happens is for the season, you'll go build the inventory and keep it because that's where in some of the markets where the season is have to be served. This year, because of the macro conditions, we are going cautious in building those numbers. That's why you will see a wholesale number slightly lower. But the good news in the international market is the retails are clocking very well and the new products are also coming into the international market one after the other.

Kapil Singh: So, can you share what is the average details we are doing per month? Because some months we see 9,000-10,000 also and wholesales for some months we see 3,500. So just any number you could share or growth that we should expect for full year.

B. Govindarajan: We don't give the market wise retails and all those things. Market share we will share it with you because that's what we normally share that. But when I was saying that the market share is kept intact, even though there a

re macro situations and all those things, for us on the loan motorcycles which have already gone, are all moving off. So, the floor is getting vacated. But we don't want to inventorize that place over and we are going cautious in this. So, you will see this normalizing within few months.

Kapil Singh: Okay, sir. Thank you and best wishes and a very Happy Diwali to the entire team of Royal Enfield.

Divya Purohit: Thank you. I would request all the participants to restrict their questions to two. Next question is from the line of Chandramouli. Chandramouli, please go ahead.

Chandramouli Muthiah: My first question is on the gross margin line this quarter. It looks like quarter-on-quarter we've had relatively flat volumes and maybe slightly inferior mix in terms of export volumes this quarter versus the previous quarter. But in spite that, it looks like we have seen a pretty healthy gross margin expansion quarter-on-quarter. So just trying to understand what were the factors that might have contributed to that. Is it good mix in the domestic market? Was there any pricing opportunity that we saw?

Vidhya Srinivasan: It's combination of everything. One is, of course, there's been a material cost savings where we had an impact of about 1%. Apart from that, the remaining part of it is a combination of mix as well as the price increase which we've taken in May, which full impact of that is coming through in this quarter.

Chandramouli Muthiah: Got it. That's helpful. And my second question is on the 452 cc Sherpa engine. So, congratulations on the good reviews for the Himalayan 452. Just trying to understand over the next 12 to 18 months, when we might sort of put that engine into a roadster or a cruiser, which might potentially address much larger market opportunity set for us. And that seems to be where maybe the 350 cc engines might be heading in terms of market segment as well, over the next few years. So, trying to understand your thoughts on how you're thinking about that as well.

B. Govindarajan: See 452 cc, liquid cooled, the platform is an all-new platform which we are bringing in now. We are a company which will have that platform and we will start looking at various genres of motorcycles, which give a different experience to the consumers. It's time to come, here in now, if I have to tell you, the all-new Himalayan, which was unveiled about three days back, it's been Eicher Motors
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received very well and we have to give some space to this to get matured into the markets. So, in appropriate time, we will talk about all other products which are coming up on that platform.

Chandramouli Muthiah: Awesome. Thank you very much, and all the best.

Divya Purohit: Thank you. Next question we'll take from the line of Onkar. Onkar, please go ahead.

Onkar Ghugardare: Good evening. My question was regarding what's the yearly production capacity which you currently have?

B. Govindarajan: So, the bill capacity of both the plants together is almost about 1.2 million. And that's why we said we don't need to look at any investments here now. But all our lines are modular and we

can enhance the capacity whenever it is required. So, the flexibility is built into that.

Onkar Ghugardare: Okay. So, if you look at the volumes, say from last 4-5 years or last financial year, you have just crossed the volumes that you were generating in FY19. So, in FY'23 you crossed 823. So, any aspirations you have of targeting around 1 million sales.

Siddhartha Lal: Onkar, we don't give forward-looking guidance.

Onkar Ghugardare: Since you are targeting so many launches and so many upcoming products are coming up, just wanted to have a sense of that.

B. Govindarajan: So just to add, as Siddhartha was mentioning, Onkar we're a long-term ambitious company. We do not look at anything here and now, because then you tend to make a lot of mistakes

in the

very short-term window. Any product comes in, any platform comes in, we see it as a long-term. And we are not a company that will be very passive. We are long-term and we don't do anything here and now. So, you will see how we grow over the period of time. So, the numbers are, in my opinion, a by-product. But what we are doing, is it the right thing? All our products are getting accepted. That is what we have to look at and that's what we are doing.

Onkar Ghugardare: Okay. The second question is on the competition. Bajaj and Hero, both of them have launched new premium vehicles with their global tie ups. So, any primary on ground situation you can tell about the competition. What kind of competition you are facing from these products?

Siddhartha Lal: Again, as a rule, Onkar, we don't like to talk about others. Please do the assessment of others yourself. We will talk about ourselves. It's not fair for us to talk about what other people are up to and all of that. I can just say that we've been doing so well for so long that all these competitors have been trying to come into our segment. Till now, at least they've not been successful. And of course, there will be some successes, some failures. That's part of the game.

What you have to see is that we have an exceptional brand, exceptional distribution, exceptional community, exceptional new products. You've seen the reports on the new Himalayan. I mean, it's been in the works for five years, so it can't be a response to something which came out a few months ago. So, we anticipate and understand, we've got a lot going for us. At best we see that if there is a couple of competitive bikes that are not as shabby as they have been previously, then maybe they'll help us grow the market. And we are a 90% player in this 350 cc plus market. So, I think hopefully, in the positive case for us, the increase in competition will mean growth in market size, which will benefit us even if we lose a couple of points of market share. Because when you are 90%, eventually there's only one place to go. It's not that we're going to give up market share, but at 90%, you're not going to gain too much market share, let's put it that way.

So, we have got a lot of going for us and we work very hard on customer experience, on all these areas in addition to the amazing bikes that you see. So, we are not worried but in fact we are very bullish, let's put it that way.

Onkar Ghugardare: Thank you.

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Divya Purohit: Thank you. Next question we'll take from the line of Raghunandhan. Raghunandhan, please go ahead.

Raghunandhan: Thank you for the opportunity and festive greetings. My first question was on the accessory side. What would be the current number in terms of accessories per vehicle? Would the blended accessory sale per unit, have gone up after the recent Bullet 350 launch? Just wanted to get your sense on the trends you are seeing.

B. Govindarajan: Looking at per motorcycle and all those things are, in my opinion, it's a metric to just see how it is going. What primarily we look in the accessories, we have almost 587 accessories which are coming up one after the other, and it is to give an experience to the people. What we look at is how many people buying our motorcycles are happy with our motorcycle accessories. What's the adoption? If I have to tell you, almost about 89% to 90% of the consumers who are buying our motorcycles, they also buy our accessories because that's what is the experience which we wanted to give you through those accessories and the business is growing.

Raghunandhan: Got it, sir. In terms of the festive season, if you can share some trends in terms of regions, which regions have done well, and if you can talk about how the urban rural markets have done?

B. Govindarajan: Overall trend during the festive time, as I mentioned, we grew almost over 13

%-13.5%

compared to last year. We look at a top 10, top 20 cities, how it is and all those things and all the areas across there has been a good growth compared to last year, barring few regions. But what happens is Diwali in some regions will be very good. Navaratri in some regions will be very good. So, there will be a slight variation compared to last year, which was both in one month. This year, Navaratri and Diwali is in two different months. To that extent, you will see other regions also coming up. But overall, during the festive seasons, the retails have been very good and it was on a happy note for all of us.

Raghunandhan: Thank you, sir. It was very helpful. And lastly, do you expect the adventure tourer category to expand, given that you pioneered the segment and now Himalayan 450 is receiving a very good response?

B. Govindarajan: Yes. Category will grow when you have new products which are coming in. When we brought in the Himalayan in 2016, that created a good moment fundamentally because it was a most successful adventure tourer at that point of time. And the new Himalayan on the 450 cc, as I mentioned, it's holding the DNA of Himalayan plus with our inputs from the globetrotters, with our inputs from athletes, our inputs from riders, communities, we as a riders. And as Siddhartha was mentioning about, higher power, torque, which is required, the consumer changing, the motorcycle is also there for that, the evolution. And there is the TFT, that is the full navigation along with Google. So, it's a good motorcycle. Obviously, the reviews are very good. So, it will grow over the period of time.

Raghunandhan: Thank you very much, sir, for the thoughts. I'll get back to the queue.

Divya Purohit: Thank you. Next question we'll take from the line of Nitij Mangal. Nitij, please go ahead.

Nitij Mangal: Hi, good evening. Thanks for taking my question and wish you all a very Happy Diwali. My first question is on your product portfolio, if you look at how you have evolved over the last five, seven years, you have clearly come a very long way, both in terms of the number of products and the quality of products. When you look at the next three to five years, what do you think are the biggest opportunities on the product portfolio? Is it more products, more use cases, more refinements? How do you think of that over the next three to five years?

B. Govindarajan: Product portfolios normally are listed for five to seven years window, Nitij Mangal. So obviously what we look at is, the platforms have to be thought through, based on the platforms, what sort of an experience we can offer to the consumer, because every consumer wants a
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different kind of a motorcycle, whether the platform can lend to those sort of motorcycles which we can make and give you a differentiated experience, and that's what we know better. And our focus also will be like that. So, the core platforms are done, twin which is a 650 cc platform, which is a global product and is very successful, super refined J platform, which is a 350 cc, very well accepted. Now there is a 452 liquid-cooled new Sherpa engine platform. So, the platform selected as an engine level. You will see products which will be evolved around that.

Nitij Mangal: My second question is on VECV. The company has gained quite a bit of market share in the last few years. So, I remember about five years back when you launched the Pro series, there was an expectation of market share gains and seemed didn't happen immediately, but now, over a period of time, you have. So, what's really helping you in gain these market shares in VECV? Thank you.

Ken Trolle: Of course, over time, we have launched new products. Of course, we have put a lot of effort into our retail network and growing that and we are continuing to do. So, from the product side, having more product and driving

the larger retail network. And as you saw that, we also had been awarded for being number one for the third year when it comes to the dealer's survey. So, this is important for us.

Nitij Mangal: Okay. Thank you very much.

Divya Purohit: Thank you. The next question is from the line of Gunjan Prithyani. Gunjan, please go ahead.

Gunjan Prithyani: Just shifting the gears to the unveil that you made in the recent EICMA. Can you talk a little bit around that? Is there a strategic change in terms of accelerating the launches on the EV front? And is it something that we're expecting that this category can probably see faster shift towards EVs than what we were calling out earlier?

Siddhartha Lal: I would say not really. I mean on the bigger motorcycle segment, it is still a while out where the curves will cross, because with the range requirements that we have, the battery size, weight and packaging is still a big issue. So, it's not a resolved issue. A motorcycle like the electric Himalayan, we call it a Testbed, because it's more than a prototype, is indeed what it is. It is a prototype, it's a testbed, it's a concept and it's not for production. It's to understand, it is for us to work on stuff so that when the time is right, we have done all the homework and background work, but we don't think it's ready for prime time.

Because even if we were to make an excellent bike like that, which we believe we can and there is no problem, it will cost maybe 3x of what current Himalayan costs, and it's probably not going to be that much better. So why would people buy that. So, the economics don't work yet but very much, this is to give a glimpse, a flavour, a taste of what we can do, what we're working on. It's only one idea. We have many ideas that we work on. But we thought because we are showcasing the new Himalayan, we'll also showcase the electric Himalayan also just to say that guys, we're there. We have got lots of things brewing, but we'll come in the market when we think the time is right.

Gunjan Prithyani: Okay. And beside this I'm just trying to understand, if I look at the cc categories now, we've got these various platforms, 350, 450 and then the Interceptor and all. Is there anything else when you look at the entire product spread, that we think it's a white space and we would want to go up or down in terms of our product segmentation?

B. Govindarajan: We haven't moved Gunjan because all of this side, we said middleweight is the focus, and we determine middleweight also at a point of time. And our focus will be on the middleweight segment, because we see there is a huge potential in that. And when people are looking at a higher cc motorcycle, our platforms are very good and as you also mentioned and called out very nicely, super refined J engine, 350 cc is accepted across the globe very well. Now, 450 cc, which is the new platform, liquid-cooled, with a different power and torque ranges. And the 650 cc, which we came out gave us a global recognition, is the best quality product. So, we

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have platforms which are very good. We will focus on the middleweight. Wherever there is a space, we will start working on.

Gunjan Prithyani: Okay. Lastly, just if I can get the capex or product development spends for this year and how we should think about it over the next two, three years?

Vidhya Srinivasan: I think roughly we spend somewhere between 2% to 3% as far as capex is concerned. And we really can't give you a guidance of how it's going to shape up for the next two three years. As our product portfolio develops and matures, we will invest what we need to.

Gunjan Prithyani: All right. Thank you so much, and apologies for the noise in the background.

Divya Purohit: Thank you. Next question we'll take from the line of Jinesh Gandhi. Jinesh, please go ahead.

Jinesh Gandhi: Congrats on great set of nu

mbers. Two questions from my side. One is, with respect to electric motorcycles. So, given that our focus is on middleweight category, which we define by cc's. How does electrification change that? In the sense, does it open up new opportunities where middleweight is, how can define it in a different way now and how do you see that as an opportunity?

B. Govindarajan: Look, the middleweight, which we talked about, is in the internal combustion engine. On an electric vehicle, today, the combination is on the motor power, range, the weight of the

motorcycle, there is few combinations which are there, and there's experience which we can offer too. So, the definition of the electric vehicle portfolio can be very different. But that's not to say, will we make 100 cc equivalent in the electric vehicle? That may not be the focus. So, our focus will be there at a particular range.

Siddhartha Lal: Yes. I think what Govind is saying is that in the foreseeable future, we don't plan to be in any basic commuter or that kind of stuff. So, we're not in a game for basic mass product, none of that. We always aspire to be in premium product and product which has a lot more meaning than just commuting to an individual. So, people who want the cheapest motorcycle in a segment, there will be other chaps to go for. We will always be in a premium segment situation and that goes for electric as well.

Jinesh Gandhi: Where I was coming was from that in ICE, we were very clear that we don't want to get into 250 cc or so. But in EVs, can we look at 250 cc equivalent to bring in the cost of EV to be slightly lower than what it could have been, if we were targeting similar equivalents in terms of 350 cc. Is that the way you look at it or that is not the consideration set?

Siddhartha Lal: So, look, honestly EV, is an open book for us. We can do anything we want. I mean we can do anything we want in ICE also, but we've chosen not to. So, yes, it is an open book. We do look at everything as a clean sheet of paper where can we make a difference. After having thought through, for many years, we will be premium, we will not be mass, we will do very interesting things, bikes that have huge desire, et cetera. But we're not specifying right now whether there will be any power category, cc category. We'll find out as when things happen. But yes, it is a more open book for us with EV.

Jinesh Gandhi: Got it. And second question pertains to the number of platforms which we have now with Himalayan 452. So, it's 350, 450 and 650. And if we continue with 400, then effectively we have four platforms. Do you see gaps on the platform side, on the engine for RE or effectively, these are the three, four platforms which we work with for more products.

B. Govindarajan: On the 350, 650 cc platform itself, there are new products, and variants which as an organisation we are working. That's why we said that there is a slew of new products and pipeline is full. We are all working on it because we see a lot of potential there itself. And three days back we just unveiled 450 and it has to go to the market. I'm sure everybody will love it because the reviews are so good. A platform development takes a longer period of time, but we said middleweight Eicher Motors
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is the focus. In that middleweight, wherever there is a space and if there is a platform requirement which is there, we'll actually be doing this because we are not going into the extreme of commuting where a platform that has to be developed, that's not what we are. The middleweight, where we are committed, is what we will focus on and do.

Jinesh Gandhi: Got it. Just to clarify whether we will continue with 400 cc Himalayan or it will be replaced by 450 cc?

B. Govindarajan: One platform, the scale benefits, it helps, but there will always be a transition. But the Himalayan is moving into the 450 cc. For other pro

ducts in this 410 cc, transition will take place over the period of time. But here and now the focus is on the new Himalayan and the platform, which is liquid-cooled, well refined, fantastic power and torque curve. That's the focus as of now in the platform.

Jinesh Gandhi: Got it. Thanks, and all the best.

Divya Purohit: Thank you. We'll take one last question from Pramod Kumar. Pramod, please go ahead.

Pramod Kumar: Thanks. This is my second question. Govind on the festive demand, you talked about growth, and last year we had Hunter already in the base by this time. So, if you can just help us understand on Classic, particularly where there's a lot of focus, given what's happening in terms of the choices the customer has incrementally, how is Classic as a brand done for you? Because that's like bulk of our volumes, and we've seen somewhat of a fatigue in the Classic volumes because of the price inflation, all of that. But if you can just help us understand how is Classic on standalone basis is doing the festive retails, Govind?

B. Govindarajan: Excellent. Pramod, first and foremost, you rightly pointed out, last year during the festival season, Hunter was just new type. It's a new product which has come in. So that's the base which got set. So, this year, during festival season with that increased base, the growth has been good. So, for every one of you who were asking, how is the festival? As I mentioned, the festival has been very good. Fundamentally with that Hunter base, we really grew very well. Classic has seen highest growth during the festive season. That is what I can share with you people. When we were looking at which product will grow and all those things, the growth for Classic across India had been good during the festive time.

Siddhartha Lal: We have lots of exciting plans for Classic as well. So, stay tuned and Happy Diwali.

Pramod Kumar: Happy Diwali to all of you. Thanks a lot. Take care, guys.

Siddhartha Lal: Happy Diwali. Thank you so much. And have a lovely time with your families and talk to you next quarter. Thank you all very much.

Call: Feb 2024

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February 17, 2024

Online intimation/submission

The Secretary
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Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated February 05, 2024 intimating the schedule of the conference call held on Tuesday, February 13, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the third quarter and period ended December 31, 2023, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above
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"Eicher Motors Limited
Q3 FY24 Earnings Conference Call"

February 13, 2024

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL
ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER –
EICHER MOTORS LIMITED
MR. VINOD AGGRAWAL – MD & CEO, VE COMMERCIAL
VEHICLES LTD

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Basudeb Banerjee: Welcome to post Q3 FY24 results Conference Call of Eicher Motors Limited. Thanks to the management for giving us the opportunity to host the call. Top management is represented by Mr. Siddhartha Lal, MD and CEO of Eicher Motors; Mr. Vinod Aggarwal, MD and CEO of Volvo Eicher Commercial Vehicles; Mr. B. Govindarajan, CEO of Royal Enfield; and Ms. Vidhya Srinivasan, Chief Financial Officer, Eicher Motors Limited. So, without wasting any time, I'd like to hand over the call to Mr. Lal, to take over. Thanks.

Siddhartha Lal: Thank you, Basudeb. Thank you for hosting this call for us. And hello, everyone, and welcome to the Q3 earnings call for Eicher Motors Limited for year 2023-'24. I hope you are well. 2023 has been a very solid year for us overall, and we've grown from strength to strength. Each quarter has been a milestone in terms of our business and our financial performance, and we've seen strong growth, both at Royal Enfield and at VECV. We've had some spectacular new and category-defining launches across both companies, and we have deepened our commitment to consumers and stakeholders in this time.

Beginning with Royal Enfield, we've had excellent last few months with two extremely special launches of two new motorcycles. And then, of course, the annual celebration that we do of all things motorcycling, which is Motoverse that we do in Goa in November every year.

We launched the all-New Himalayan 450 first and foremost, which is on the all new Sherpa 450 engine. This was done in Goa at Motoverse. The New Himalayan has set absolutely new benchmarks in the world of adventure touring across all markets. The reception from consumers, experts has been absolutely amazing, and we've won the extremely prestigious Indian Motorcycle of the Year Award for 2024, which is our fourth IMOTY win in the last six years. And we won it in 2023 for Hunter, 2024 for Himalayan. So, it's a consecutive win as well. But it's the fourth out of six and really, it's a testament to the strength of the new products that we're coming out with in the last many years.

After that, we also launched a stunning new Shotgun 650, which is a custom-inspired motorcycle. Govind will talk to you more about this. But this is really our attempt to build newer formats of motorcycling expression and introduce new niche categories within premium motorcycles. We also had interesting showcase of our collaboration with the Himalayan communities, with the Himalayan Knot, which is a tribute to the craft, culture, heritage of the Himalayas.

We had artisanal communities, renowned designers, artists and our rider community, all come together, driven by the passion for cultural exploration and the love for Himalayas, which is the main focus of our social mission at Royal Enfield, the Himalayas.

Moving on to VE Commercial Vehicles now, which is our joint venture with Volvo. We had an extremely strong quarter with market share gains across the board and across business segments. We just recently concluded our exciting participation in Bharat Mobility 2024, where we showcase a wide range of alternative engine products, including electric buses and trucks. But the highlights that Vinod had presented was the global unveiling of our electric-first small commercial vehicle platform of 2-3.5 tons. Deliveries of these new small commercial vehicles will start in Q1 of CY'25, so around a year from now.

Overall, the performance at Eicher Motors Limited has been absolutely outstanding this year, and we've registered record-breaking performances of best ever Revenue, EBITDA, and PAT. So, coming to financials, we're talking about our consolidated financials for Eicher Motors Limited that does not include the revenue from VECV, that's supported separately. But we've had our seventh consecutive quarter, marking highest ever revenue for EML at **₹4,179** crores. So that's basi

cally all Royal Enfield revenue, VECV is reported separately. So, this is up 12.3% from last year. Our EBITDA, it's our fifth consecutive quarter, marking our highest ever total EBITDA number for EML at ₹1,090 crores, up 27.2% from last year. And profit after tax for EML consolidated stood at ₹996 crores, up 34.4% from last year. So that's our outstanding financials for this quarter.

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And now I hand over to B. Govindarajan, the CEO of Royal Enfield, who will take us through the business highlights for Royal Enfield.

B. Govindarajan: Thank you, Siddharth. Hi, everyone. Let me now walk you through about the Royal Enfield performance in Q3. We have continued the strong growth momentum with an exceptional performance in the third quarter. We sold 229,214 motorcycles in this quarter. It's up by about 4% YoY from Q3 FY23. In India, we sold 213,385 units, that's 2.13 lakh units, it's up by 2% sequentially in Q2. The Premium segment is growing at a healthy pace and now contributes to about 24% of the overall motorcycles. We had a very strong retail growth of about 13% in the sales of our motorcycles during the festive period in India. Q3 has seen the highest ever domestic retail for Royal Enfield so far.

In the international markets, we shipped around 15,829 units in Q3 FY24, which is actually 11% lower than last year. However, in the retails we have seen a middle single digit growth on a YoY basis in the international market for the first nine months of FY24. We have maintained our market share in our key markets. RE is a leading middleweight brand in the U.K. and among the Top 3 in Europe with about 8%-9% market share across the countries in that region. In Americas, we have around 8% market share. And in APAC, almost about 9% market share in the middleweight segment. In the markets which are not growing, we have been holding the market shares very steadily.

As Siddhartha was mentioning, the new launches, the all-new Himalayan 450, which we launched in November 2023 at Himalayas and Motoverse. The motorcycle is a perfect balance between the capability and usability and a superb adventure tourer. It features our newest engine platform, the Sherpa 450, which is Royal Enfield's first liquid-cooled engine and a host of new features, including the Tripper Dash which is a full navigation, and the consumer response has been very, very encouraging. And we will be launching the motorcycles in EU also in a few months now. During this quarter, we also have launched the Shotgun 650, the custom-inspired Roadster motorcycle on our globally awarded 650cc platform. We started with an exclusive drop of 25 motorcycles at Motoverse, followed by a global showcase at Los Angeles, California. We have launched the motorcycle in EU and U.K. in the month of January, and we'll be starting the retails in India also now. The initial response from the consumers has been very good. And we are confident that this motorcycle will be a perfect canvas for customizers who are looking for a motorcycle that reflects their personality and for all the consumers.

In this quarter, one of the important milestones, we also launched the Wingman with our Super Meteor 650, a connected vehicle device that enables a rider with a critical vehicle information. That's a starting point in our connected motorcycles. In an effort to bring more value-added services for our consumers. We launched the industry first assured Buyback and REOWN, which is actually, earlier it used to be the reused motorcycles, which is now presented as REOWN programme. The assured Buyback programme caters the shifting consumer needs from ownership to usership and REOWN is an industry-first omnichannel preowned motorcycle programme.

During this quarter, we also have done substantial work in our sustainability journey. We are truly delighted to update you all that we have received

the Platinum rating from CII, Indian

Green Building Council, IGBC for our global headquarters at Chennai. This is a testament to our consistent effort in driving the innovation for sustained exploration. Also, our Oragadam plant has been awarded as a Future Ready Factory of the Year 2023 by Frost & Sullivan IMEA award. This reflects our ongoing commitment towards achieving manufacturing excellence. We also commenced the usage of compressed biogas in operations at our Vallam plant in our efforts to reduce our footprints. Eicher Motors continues to feature among the leading automakers in global corporate sustainability rating, in S&P and DJSI assessment for 2023, Eicher Motors continued to be in the top 15 percentile in the global autos. We also maintained our position at number 7 out of 86 in the Global Autos in the Sustainalytics ESG Rating.

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With successful recent launches and a new platform, we are well on our way to ride ahead on our strategic goals. With several launches and initiatives which are lined up, we are well prepared to our growth journey in India and the global market. I now hand over to Vinod Aggarwal to take you through the VECV performance. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind, and good afternoon, everyone. As Siddhartha mentioned, we recently announced Eicher's foray into small commercial vehicles at the Bharat Mobility Global Expo in New Delhi. While we will cover this more fully in our Q4 update, we are excited about the new range which span the GVW of 2-3.5 ton and addresses a market segment of over 300,000 units per annum. This segment will continue to grow with urbanisation, growth of e-commerce and last-mile delivery.

Coming back to Q3 FY24. I am particularly happy to note that it was a record quarter for the VE Commercial Vehicles with market share gains across the business segments. We recorded our highest ever Q3 sales of 20,706 units, and YTD sales reached 59,828 units, marking a 12.4% increase from the previous year sales of 53,247 units. During the quarter, we also began deliveries of India's first electric 5.5-ton GVW truck, the first Eicher Pro 2055 electric vehicle and continued delivering electric buses to customers across the country. Some further highlights are heavy-duty trucks, combining Volvo and Eicher achieved their best-ever Q3 FY24 sales with 6,210 units as against last year in Q3 FY23 of 5,241 units with a market share of 9.6%. Light and medium-duty trucks also hit a Q3 FY24 record with 9,800 units as against 9,239 units in Q3 FY23, capturing 34.5% market share.

The bus division reported its highest Q3 sales ever with 3,409 units compared to 2,376 units in Q3 FY23. The parts business for both Eicher and Volvo reached an all-time high quarterly sale of ₹5,060 crores, growing by over 22.3% from Q3 FY23. VE Power trains saw its best Q3 sales with 13,596 units, an increase of over 8% from Q3FY23. We also inaugurated the International Parts Distribution Centre and branch office at Dubai, UAE, marking it mid-band customers in the Middle East market. VECV broadened its HP segment footprint by launching the heavy-duty Non-Stop Series Pro 6000 featuring four products: MAV Pro 6048XP, TT Pro 6055XP, 6055/1, and Tipper Pro 6019 XPT.

Now coming to financials for VE Commercial Vehicles. VECV revenues rose to ₹5,483 crores, up 19% from ₹4,604 crores in Q3 FY23. With this our YTD revenues this year, first nine months are ₹15,592 crores from ₹12,752 crores last year first nine months with a growth of 22.2%. EBITDA for the quarter is ₹437 crores, up 44% from ₹304 crores in Q3 FY23 and EBITDA margin is 8% as against 6.6% in Q3 FY23. Profit after tax is ₹210 crores, up from ₹117 crores in Q3 FY23. Now, I hand over back to Siddhartha for any last comments.

Siddhartha Lal: I was just looking at the revenue of nearly ₹5,500 crores Vinod, that's outstanding. I think we have a healthy internal competition between RE and VECV for revenues. So, this time, VECV has really taken off on the revenue side, but now VECV need to catch up on the profit side. So yeah, I think it's ₹5,500 crores, that's a huge quarterly revenue. Excellent. And the profit margins are all coming up now strongly. So, it's been an excellent first three quarters, and we're really confident of closing the year well at EML this year. Our thrust on keeping sharp on our priorities and objectives and working very hard towards our goals and being very sharp, strong, and ensuring that we leave no stone unturned, while getting to our goals that we've set out for ourselves. And I'm very confident with this extremely focused approach that we have at EML. We'll continue to build on our strong growth momentum and our strong base that we have and extremely strong brands that we hold in both the business.

Thank you very much, once again, for listening to us and for joining us for EML's earnings call. We'll now move on to Q&A. Thank you.

Basudeb Banerjee: Thanks. And let's start the Q&A session. We have the first question coming from Kapil Singh. Kapil, please unmute yourself and ask.

Kapil Singh: Hi, good afternoon. First of all, congratulations for the wonderful launches that we have seen. If you could talk about the launch plan going ahead, we have been talking about one new launch every quarter. So, is that kind of pace still expected to continue over the next two years? And within your portfolio, where do you see higher growth coming through. Do you expect the premium segment will gain share over the next two years within your portfolio?

B. Govindarajan: So, Kapil, in last quarter, we launched the 450cc Sherpa platform, new Himalayan with all the new things in the motorcycle. First of its kind, for us a liquid-cooled engine platform for Royal Enfield. Ride by wire, Tripper-Dash, all those things are new. When we launched, it's an outstanding response and the booking has been very good. We are quite happy about it. I'm sure you'll be looking at what's the percentage and numbers, I'm not going to talk about that. But it's a very happy situation to be in. On the 650 platform, we also launched the Shotgun. We just launched in USA, which is also very good. The response is very nice. It is actually inspired by custom, for custom Shotgun, which is also motorcycle, we always wanted to bring it to the world, and which is accepted very well. Very recently, we launched it in California. All these new motorcycles, which are launched, they are really picking up. There's a good response, acceptance is very good.

Hunter, which we launched has been doing very well. So, with the back of our new products, our growth is continuing. Bookings are very nice. You will see a line-up of new products, which will get launched one after the other. We will time it. We will give time for the products which are launched to stabilise also to some extent and get accepted within the market, and we will keep launching. Our line-up is intact, and we are bullish about it.

Siddhartha Lal: Just to add, we have an absolute, we've had a great year of launches and we have lots of new launches coming up. But I think the most important thing now with the bulk of really important products already in the market for Royal Enfield, of course, we have other very exciting ones coming is to focus on the existing products really now and how to keep improving those and getting more out of those. So, there's a huge effort on that in the coming financial year as well.

Kapil Singh: Thanks Sid, that actually leads me to my second question. Retail sales have been a little bit soft for the industry. If I see even for Royal Enfield Q3 and last one or two months. So, what is your reading of this, what is causing this softness? Any factors here? A

nd what are the steps that you are taking to drive growth from these levels?

B. Govindarajan: Are you saying the retails are soft? Is that what you're asking?

Kapil Singh: Yes. Because if you see, I mean, as per the retail data, I mean, last year, third quarter was also about 200,000 kinds of numbers, right? And in January and Feb run rates also seem to be a little bit slower. Whereas if you see the industry, we've seen much stronger growth rates in the recent times. So, when we met last time, you said festive season, the growth rate was about 13-14%. So just wanted some context from your side as to how you are seeing things.

B. Govindarajan: All our new launches have seen an outstanding response. The booking has been very good. Actually, in Q3, we have seen a healthy growth even in the retail for us. The market expansion, the premium motorcycle with the new entrants, a lot of focus on the middleweight, which is happening, which is actually helping us also. Our product propositions are very good. Customers are very happy about it. We normally look at it on MoM basis. We don't want to build the inventory, to that extent, we'll be looking at 2024 new models, which we are doing. We actually brought in new colour ways into the Hunter. So that's how we always look at it that the channel is not strained. Otherwise, we are pretty happy with the retail situation in this quarter. Also, during this quarter, the products which are launched, especially Himalayan and the Shotgun, both the bookings have been very good.

Kapil Singh: Understood. So, we'll be benefiting from the supply of these, I guess, in the coming quarter. Thanks. That's all from my side.

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Basudeb Banerjee: Thanks, Kapil. Next, we have question from Pramod Kumar. Pramod, please unmute yourself.

Pramod Kumar: Hi. Thanks a lot for the opportunity. My first question is actually to Vinod Sir. We have seen that Volvo Eicher has not been participating in any e-buses orders, tenders as such, though

between you and Volvo, I think you have all the global expertise on electric buses. So, if you can just help us understand what's kind of holding us back in terms of participating in these government orders, especially the SGO orders?

Vinod Aggarwal: No, we are participating. Last tender, we have filed our bit there. And of course, till now, I think there were problem with respect to the payment security mechanism, and that has been resolved now, and we have participated in the tender. Now that still the results have to come. But we have participated.

Pramod Kumar: And how do you see the profitability and the viability of this segment because you've got like a couple of new entrants who are traditionally not OEMs as such. And there's very aggressive bidding which has happened and some of the players are kind of revising the strategy as well on the bidding process. So how do you see the profitability evolving, because this is going to be a big push from the government, electrification, especially the intracity bus market. So, what could be the longer-term implication for the industry in terms of both exposing your balance sheet and the profitability of the business itself compared to the ICE portfolio?

Vinod Aggarwal: No, irrespective of push from anywhere, government or anywhere else. The profitability has to be there. We don't believe in participating just for the sake of getting the numbers. So, if there is reasonable profitability only then we participate. So therefore, we will not compromise on the basic minimum profitability. So, if we get the order at that rate, that's fine, because we will not get into losses just to participate. That's why last time also we didn't participate, when the payment security mechanism was not there, we didn't participate, because we don't want to take exposure on STUs for 12 years if we don't have the clear guarantee on the payment.

Pramod Kumar: So, the payment tenure is almost 12 years for these assets?

Vinod Aggarwal: 12 years, yes.

Pramod Kumar: And you also need to take a call on the residual value of the asset and that technology disruption, all of that, right, when you kind of make those bids.

Vinod Aggarwal: In 12 years, the asset will pay for itself. So therefore, the assets remain our property. It's on lease to the STUs after 12 years. If you get anything, that will be extra.

Pramod Kumar: Sounds good. Second question is on Royal Enfield side. Siddhartha and Govind, both of you can help us out here. We just launched the Himalayan 450; our expectation is that that engine will also spawn a lot of new motorcycles which will be more on-road segment. So how should one look at the potential customer base here? Will it be the potential Classic 350 customers who we will be kind of targeting or who will it appeal more to? Can it also result in somewhat of an upgrade ladder kicking in with your existing Royal Enfield 350cc customers, which is a pretty large installed base in the market. Can this bike or the new launches come across as an upgrade ladder for them because we're not seeing that play out with the new J-Series launch of the Classic 350 a couple three years back. So is the 450, how is the thinking at your end? When you look at this product and what it can do to the replacement cycle or the upgrade cycle within the Royal Enfield family?

Siddhartha Lal: Yes Pramod, absolutely. I think it's extremely well said. We've been working on this Sherpa platform for many years. And of course, like you said, the first motorcycle is Himalayan, and we will have others over time. It's difficult to say exactly because we have many different segments that this will touch. Firstly, there's the international markets where higher performance segment is more interesting. So, this is very much geared up for a lot of our international markets, where the speeds are also higher in those markets, the running highway

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speeds of 120-130 kilometres in which the J-Series is not then, therefore a proper highway motorcycle. And so therefore, the Sherpa comes in.

In India, of course, there's no question at all in our minds. We have over 6 million active 350cc customers that we use UCE and now J-Series. So, this is very much catering to their upgrade cycle. Of course, we also expect that do have quite a few first-time customers. We do expect a lot more people to come from the older Himalayan into the new Himalayan, but even the bulk of Classic and Bullet customers that we've had in the last six-eight years this is very much

geared for the future motorcycles. The Himalayan and the future motorcycles are very much geared for upgradation cycle for those customers, as is our Twins. So, it depends what kind of experience you want. If you want, let's say, slightly lighter, sportier style then you've got the Sherpa platform, if you want a bigger, more full style with extreme refinement, you got the Twins as well. So, we're certainly going to cater to our UCE upgraders as it were.

B. Govindarajan: So, Pramod, just to add on, Pramod just to give a clarity. What Siddhartha is talking about is in a J platform, when the platform was launched through the Meteor, which has become a very successful product for us. Then we came out with the Classic 350, then Bullet 350. And we also launched Hunter 350. So, a particular platform when we actually envisage and we think through it, how it can spin off to different motorcycles, giving a different experience to the consumers. So, the K-platform also when we are conceiving it, designing, developing it and all those things, it should help us to come out with more motorcycles with different experiences. So, this platform also will lend more motorcycles in time to come, starting the Himalayan 411, which has change

d to the Sherpa platform 450 now. Acceptance has been very good. When the platform has to get accepted, then the scale has to be brought. That's how the new motorcycles have to come in, over the period of time.

Pramod Kumar: And the last question from my side will be on the competition bit, I don't seek any comments on the competitors as such. But how have you seen the customer engagement at your end in terms of the visits to your websites or social media pages and enquiry levels and also the conversion rate. In cities where you have seen some of these recent launches from competition have been active, right? So how are the metrics which you used to track customer engagement and customer involvement or customer interest? How have they kind of shaped up in the last three to four months, if you can just shed some light on that? Because what we understand is the competition models are not seeing any great demand, the waiting periods are off. But I just want to understand, has it got to do with the overall segment seeing a bit of moderation in demand? Or are we seeing some hit to our volumes because of competition as well?

B. Govindarajan: Pramod, competition we will keep it aside, so what we are doing, what is that our metrics, I'll just talk about that. Our enquiry rate during this quarter has actually gone up by almost about 15-16% compared to the earlier thing. Our conversion percentage also has been very good. The booking has been very good. It's almost about 11-12%, which is a growth, which is there even in the booking during this quarter. And the new products which we launched, the Sherpa Platform 450 cc and the Shotgun, both the enquiries, bookings and the interests are very good, and it's in a very happy situation. That way if you look at it, there's a lot of positive vibes, which we get it from the market.

Pramod Kumar: Sounds good. Thanks a lot, and best of luck. Thank you.

Basudeb Banerjee: Thanks, Pramod. Next, we have a question from Binay Singh. Unmute please.

Binay Singh: Hi, team. Thanks for the opportunity. Two questions from my side. First, on exports. In the opening comment, we talked about exports on the retail base is growing over nine months, whereas when we see the wholesale data it's down around 26%. So why such a wide gap? And when do you see the dispatches also sort of starting to post growth? Like is this inventory clearance?

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The second question is on the assured buyback programme. I believe we started it in mid-October in 12 cities and then we started the REOWN programme also last quarter. So, what is the response to these two programmes? What percentage of sales are coming from there? And also, what are the costs associated on these? And where do they show up in the books for Royal Enfield if any. These two. Thank you.

B. Govindarajan: Yeah, so first, maybe on the international business, we will talk about, that's what we are mentioning. You guys have been tracking the macroeconomic indicators, we can't just ignore it in the international market. That's the reality. The reality is even now, there are countries in which if you send motorcycles, the payment you will receive only after about 120 days. So, you have to give a credit period, unsecured, that's not a good sign. The second is the customer sentiments in some areas are not good. The energy cost in Europe, even though there is a slight amount of positivism, the sentiment hasn't come back in that same speed. Australia, once again,

if you look at the inflation and the interest rate, which has gone up at least 12x continuously. So international market, there is sentiment-wise, it's not in a good situation. But we are seeing some amount of opening up in those markets slowly, especially in Thailand, I saw some amount of opening up in the last month.

As far as we are concerned, what's happening is our focus is as of now in r

etail. We are all

thinking that the market will be very good. Based on that, we envisaged international markets, the wholesale numbers because there is a season and there is also a lead time for logistics, all put together, we have to store. That's how we also held in motorcycles. Now when we saw the conditions, we also said that, okay, that's not the way we'll start focusing more on retail. That way, I've been saying that the retail has been very good. Wholesale is a question of time when the market is actually coming up to some good level in the sentiment, we will start looking at the numbers. At what point of time if you have to ask me, personally, I can tell you, maybe I see it in another about two, three quarters. You will see a growth compared to this year. But it has to be seen country by country. What we have to look at is, whether our products are accepted very well, the Sherpa platform, New Himalayan, which has been accepted very well. It will be available to Europe in another month or two. And our Shotgun which has been just launched in the U.S. that will also be available. Super Meteor, we were actually giving it in India. Now we are actually opening up into international markets slowly, the dispatches are taking place. The new products and also on GT and Interceptor, we have given in new colours, those things are also creating an excitement into the international market. We are doing what is required for the long-term. As I always say, we are a long-term aggressive company. So, to that extent in international market, we see there's a huge potential for us to grow. For that, whatever is to be done as a base to be set for that future, that's what we are doing. Once the market opens up, you will really see a growth for Royal Enfield.

Vidhya Srinivasan: On the second question, some part of it is in marketing costs and some part of it in employee cost, depending on where the component is. We of course, track it internally separately. But for this, it's grouped into multiple areas.

B. Govindarajan: Assured buyback system, buyback as a scheme. It's a first of its kind.

Vidhya Srinivasan: And assured buyback, we don't really have a cost associated to that.

B. Govindarajan: That's right. There's no cost associated to that. That is an ease to the consumer from an ownership to the usership model whoever is in need of it. So, we are preparing for any requirement with the consumer who wants to enjoy the Royal Enfield motorcycles. So, we should be there. REOWN, as Siddhartha was mentioning, we had almost about 6.5 million motorcycles, which are there sold by us, which have got added from 2011 to 2023. And the upgrade cycle will kick in at a point of time. For that, we should be ready to give you a frictionless process for the consumer, and that's why we thought, okay, we'll bring out within assured buyback scheme. And that programme, we are launching it, not that we wanted to scale it as a separate business line immediately, we'll go slow, but we know this will help us for our consumers when they want to upgrade. That's why we are preparing ourselves well.

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Binay Singh: Great team, thanks for the response.

Basudeb Banerjee: Thanks. Next, we have question from Gunjan Prithyani. Please unmute.

Gunjan Prithyani: Yeah, hi. Thanks for taking my questions. I had a couple of follow-ups. Firstly, on the P&L side, if you can just share some thoughts on what's really driving the ASP movement QoQ. Were there any price hikes taken? And there were quite a few events, new launches that happened in the last couple of months. So, is there any one-off element to the other expenses that we should bear in mind, which is not going to repeat or recur in the upcoming quarters?

Vidhya Srinivasan: I think as far as ASP increase is concerned, we've had new products which have come in, which have kind of altered the mix an

d which is really resulting in the domestic market ASP

movement. And as far as international is concerned, of course, there has been a bit of a change as far as since international dispatches have been slightly lower. That's as far as that goes.

And in marketing spend, we have taken some of the launch expenses as well as the Motoverse expenses are kicking in this quarter. Having said that, I think we obviously have our launches, which will keep coming up. So, it's really difficult to guide saying that's not going to be the case at all going forward.

Gunjan Prithyani: So, we shouldn't sort of take it as one-offs. You are expecting the marketing spend?

Vidhya Srinivasan: There is a one-off element associated with it. So, I think approximately, we say about ₹20 crores has increased versus previous quarter, which is on account of a larger number of launches in this particular quarter.

Gunjan Prithyani: Okay. Got it. The second follow-up I had was on Himalayan and Bullet, which you all sort of talk about how the response has been really great. If you can share a little bit more colour on, how should we think of, particularly, let's say, Himalayan 450, what are the sort of bookings that you're seeing, is there a wait period that you can talk about? Some sense, which gives us comfort that, okay, these are the new launches, which we are yet to see reflecting in terms of scale-up. Where I'm coming from is because I'm not seeing that retail trends sort of improving post the festive. It's been quite underwhelming post-festive. And maybe we are not clearly picking up the potential of the new launches. So, if you can talk about these launches, it will be great.

B. Govindarajan: Gunjan, we don't give the specific numbers on the booking and all those. But what I can add is that, the Himalayan 450 and the Sherpa platform when we launched, it's a new engine. There are new technologies which are added into this. So, we are also not a company, that will go very aggressively to say that, okay, there is so much of a motorcycle we can just take it to the market. We normally go in a slow pace. That's what we wanted to be because the consumer should enjoy the motorcycle. I can tell you these two things, I think first time I'm going to talk about, we have already sold almost 6,500 units of this motorcycle. Because for the international market, we also have to be looking at some dispatches to catch up with the season. It's in the ramp-up phase. You will see the numbers of the Himalayan coming back. The interest on the new Himalayan is really very high. As Siddhartha was mentioning, it's in a white space because in the market outside India, they also want the speed which can also be used into the main motorways. This platform actually helps for the adventure tourer, for the exploration and also for the long commute, which is also possible in this motorcycle. That's all there is a positivism which we see with the new Himalayan, little on India, even outside India.

Gunjan Prithyani: Okay. And on Bullet, any wait periods, anything that we should expect that there's further scale up to go from here?

B. Govindarajan: The Bullet, I think we did a good job of carrying that legacy to the next generation. We really did a good job, I suppose, I always tell the team because it's very tough to actually tell exactly
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what it is, but I think we have landed it properly. Post-launch, I'm seeing the growth has been very good. In fact, if I'm right, I think we grew almost about 17% in the Bullet compared to last year. So, in all the markets, the acceptance has been very good.

Basudeb Banerjee: Yeah, next, we have question from Aryn Pirani. Please unmute yourself.

Aryn Pirani: Yes, hi. Thanks for the opportunity. I just wanted to dig a little deeper on the export side. You mentioned that in the U.K., you are now the top brand in the middleweight

category. And I

think even in some of the European and the U.S. market, I think you mentioned high single-digit market share. So given that these markets are not necessarily high-growth markets for the category. Will our ramp-up here be driven by gaining market share further? Or do you think that you will be launching products which could expand the middleweight category, if I'm thinking from a next two-three years perspective?

Siddhartha Lal: Maybe I can try and take that. When you're a smaller player, I think to try and expand the market is generally not going to be possible. So right now, it's very much a case of taking share. Of course, I mean and case and point previous example that Govind had given on Himalayan, obviously, we're all a bit coloured by our latest product, but the Himalayan is truly something that is extremely differentiated globally. Earlier our products were extremely differentiated, and

I mean, top of the line in India. But now this one even from a global perspective is extremely different. There's nothing like that in middleweight at all. So of course, to some extent, we think it will extend, it will grow the market in certain parts of the world just because it will create interest in demand where there wasn't any previously in middleweights for something like an Adventure Tourer.

And so I think the time is now coming where we will start slightly expanding the market. But largely, we're still looking at gaining share. Because all our other products that we're talking about are our Classics, our Meteors, our Hunters, our Interceptors, GTs, Super Meteors. They're all competing a bit more directly. They're all going to be, someone is going to buy one of ours, they're not going to buy somebody else's. So, it would be gaining share essentially. But we are very confident of doing that as well of gaining share, which we have been showing and we are continuing to do. We believe that one more leap with the Himalayan which has not touched the shore, outside India, it has not even arrived yet. It's still to happen in 2024.

Amyr Pirani: Thanks for that. And domestic side, one question specifically on Hunter, we have seen the volumes stabilise at a certain level. In fact, in the last three to four months, we've started to see YoY weakness also. Are there, does the market need some more variants according to you or more refreshes? Or do you think that the Hunter in its current form has this kind of addressable market, and you may have to launch different products to expand the addressable market in that ₹1,70,000-₹1,90,000 price point?

B. Govindarajan: So, I think Hunter we launched in August 2022. Till now, we have almost sold about 275,000 motorcycles of the Hunter in the domestic. In last month, we actually came out with the two new colour variants also, the Dapper Green and the Dapper Orange. So those two colours, which we wanted to bring into the market because we thought in a year, there's new colour addition, that's what the market wants. We felt that that's the right thing to do for the brand, because it's fairly a new brand for Royal Enfield Hunter. And the good news is we always wanted to get us the new set of consumers, the young consumers who always wanted brand Royal Enfield, but they wanted a motorcycle at a different format. And the question which the consumers were looking at, our riders were looking at, I think we have addressed it squarely. Last time also we discussed that maybe a rural push has to be there. In fact, our growth in the rural market also has been very good compared to the urban-centric states. So, it's in a good space. Because of the new variants, 2024 models, all those things, we also worked on the numbers which has to be build. So, you will see, once again, the Hunter coming back into the numbers.

Amyr Pirani: Sure. Look forward to that. Thank you.

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udeb Banerjee: Thanks, Amyr. Next question is from Arvind Sharma. Please unmute.

Arvind Sharma: Yeah, hi. Good evening. Thank you for taking my question. Again, on the domestic demand side, in terms of monthly volumes, overall wholesale that you report, there has been some moderation rather plateauing at the 70,000-72,000 units when you make your annual or slightly longer-term projections, where do you see this number going? And what would be the next driver of this monthly volume? So that's my first question.

B. Govindarajan: One big question. That's not going to be the first question. 70,000, it's a very good number, guys, per month in the domestic. And what we always look at is, is there an interest for the brand Royal Enfield. And wholesale is in the way we talk to the dealers, that's not what our focus is always. Our focus is how is the enquiry? Is there enough interest on the brand Royal Enfield? Is there enough interest on the product which we have launched into the market, and it is supposed to give them a particular set of an experience to the consumers is that being delivered, how are they taking it? That's what is the focus always and get more people on to the ride, get more people on to the saddle of Royal Enfield, let them all enjoy the motorcycle that's what is the focus is. That way, Hunter has been very successful for us in the last year.

Now we have launched the all-new Sherpa platform 450 Himalayan, which is also catching up. The Shotgun, which we launched, there's a lot of interest, which is coming up. The positive side, which I'm seeing is that there is a lot of interest for brand Royal Enfield. The enquiries are going up. The booking is coming up now. And that's why we see the numbers going up in time to come. I'm sure you would be looking at the exact numbers. That's not the way we do.

Arvind Sharma: No, what you said was exactly what we're looking for in terms of how you see the numbers growing. Second question would be the electric vehicles. You did showcase a prototype. Anything that you can share in terms of the broader plans going forward? I know it's too early, but anything that you can share maybe in volumes or in size or usage.

B. Govindarajan: Too early to be talking about EV numbers and all those things. Just as investors, I'm just adding up this. Last time we said that we are working on dedicated team of about 100 people, the team size has gone to almost about 140. And there are a lot of guys who are working in a software that actually has come in now. We are just looking at what sort of an experience, which we can give it in the software side. That's also being worked on. During this time, our focus has been on supplier finalisation, the automation which is required and what are all the quality parameters, which we have to bring in. So, our focus has been on to the operationalising and the detailed design of it. So that extent of the work is going on in full swing.

Arvind Sharma: Sure. Thank you so much. That's all from my side.

Basudeb Banerjee: Thanks, Arvind. Next, we have question from Mihir Jhaveri.

Mihir Jhaveri: First on VECV. So basically, we have seen that the two largest players have sounded cautious for the next six to nine months in terms of demand, including Q4. So how do we envisage in terms of, particularly, in the CV segment for the quarter next in terms of demand as well as anything you want to guide for FY25 in terms of demand from CV perspective?

And second question would be with regards to RE and overall margins. So, have we seen the major benefits of commodity into this quarter? Or is there something else which will still come in? And on RE, if you can throw some light in terms of the inventory situation and whether there is any waiting period in any of the models?

Vinod Aggarwal: I will first comment on the VECV market outlook. So fundamentally, if you look at the commercial vehicle market, it is driven by fun

damental factors of firstly, the economy; secondly, the replacement demand; and thirdly, the infrastructure investments. So, if you look at all these three fundamental factors, I think all three factors are very, very positive. Indian Eicher Motors
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economy is doing well and there is good outlook also that from \$3.7 trillion, the market economy should go up to \$5 trillion or \$7 trillion in next three to five years.

The second fundamental factor is the replacement market. On the replacement market front, there is a huge need to replace the old trucks. For example, the entire population of BS-III and BS-IV old trucks that is going to come up for replacement, because the new trucks, they are much more productive, much more efficient, and they can meet the requirements of the new age customers. For example, if the delivery has to happen in certain time, it has to happened with certain speed or if you have to drive the trucks in the new roads, you need certain horsepower, and then connectivity and all the productivity things linked to the connectivity. Like, for example, we provide predictive maintenance services or uptime services. All these things are possible only with the new age trucks. So therefore, it makes a very good business case to replace all the old trucks. And old trucks, if they continue with that, they may not get the right business from the new customers. So therefore, you will see more and more replacements happening.

The third fundamental factor is the infrastructure investments. The government is continuing to have a very strong programme on the infrastructure, and you will see more and more investors coming in, which means more demand for steel and more demand for cement, more demand for construction trucks. So therefore, I think all these fundamental factors are in place.

Now if you look at MoM or QoQ, there may be short-term hiccups here and there. I think we should not worry about that. But overall, if you take a medium-term view, the commercial vehicle industry is likely to remain very good.

Vidhya Srinivasan: Yeah. As far as RE is concerned, and I think your question was around any benefits we are getting from pricing on commodities. So, I think if you see largely the major categories of commodity, steel has been pretty much stable for most of the year. Aluminium has also been

range bound. And as far as precious metals, we are seeing some benefits, but they are relatively a smaller cost as far as the overall material cost is concerned.

We've been consistently talking about 0.9% benefit that we're getting in the margins on account of commodities YoY. So that is what I'd like to continue to maintain, and I'm not necessarily seeing too much of a tailwind at this point, but we are observing this situation as it moves forward. And I think one final question was there on backlog. I think the order backlog is pretty healthy. I think I would say about three to four weeks. And obviously it varies as per product.

Mihir Jhaveri: Thank you.

Basudeb Banerjee: Thanks Mihir. Next question is from Chandramouli.

Chandramouli Muthiah: Hi, good evening. And thank you for taking my questions. My first question is just trying to understand the ASP improvement a little bit better this quarter, as you mentioned, a lot of new products and refreshes in there. Just trying to understand specifically on the Himalayan 411cc versus 452cc. Going forward, do we expect a large majority of our sales to come from 452cc, and is there any residual sort of 411cc models in there that will continue to market?

B. Govindarajan: Well, I think 411cc was the Himalayan which we launched in 2016, first. Now the new Himalayan, the Sherpa platform is 450cc water-cooled, that's done in the Himalayan. As we were talking about, this platform will lend for new products at a later point of time. As of now, we have the Scram 411cc on the same platform. That's continuing.

Chandramouli Muthiah: Got it. And of the 6,500 units that you mentioned on Himalayan 452cc, is that all just for the December quarter? Or is that sort of sales as of date?

B. Govindarajan: It's December and the first week of Jan, I suppose. That's why I said it is consolidated level from the launch, what we have actually sold.
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Chandramouli Muthiah: Got it. That's helpful. My second question is just around logistics, just given some of these recent issues around the Red Sea and Europe being an important market for you. Just trying to understand, is there any delays or inflation in freight rates that you're experiencing from some of the Red Sea issue. I understand you also spoke about sort of this being a stock-up quarter ahead of the riding season in some of your key export markets. So just trying to understand some of the logistical situation a little bit better?

Vidhya Srinivasan: Yeah. I think, like you said, obviously, we are watching the Red Sea situation and there has been an impact. So, if you see some of the shipment charges have seen an increase of somewhere between 25% to 30%. But I think slowly, I mean, we'll watch how it moves. That's for specific routes, not across the board. And shipment duration has increased by about 30 days. So, I think that's essentially the impact we're seeing right now.

Chandramouli Muthiah: Got it. That's helpful. And just lastly, around the U.K. distribution. A couple of quarters back, you mentioned that you're bringing that in-house. So just trying to understand if the entire process of bringing the inventory in-house and sort of settlement with the existing distribution partner, if a follow-up that is done, and if that has any sort of positive margin implications going forward, if that process is now behind us?

Vidhya Srinivasan: Yeah. I think more or less, setting up a subsidiary, establishing the team over there, looking at local warehousing, all of that is done. There's a little bit of inventory shift over and all of that which is happening, and which would probably happen until the first or second quarter of next year. But after that, I would imagine that that would be substantially over.

B. Govindarajan: Just to add on Chandramouli, the need for actually taking over the financial comes at a later point of time, primarily it is a very important market for us. And we have to connect to the consumer directly because we are growing. That's why we went into that as an initiative, and it does find out to be, financially also it is very helpful for us. So what we wanted is taking over the inventory, signing up with all the dealers, co-funding with the financiers. All those things are one by one, getting sorted. It is not an easy one. I think the team has done a good job of bringing all those things in stream. You will see in time to come, those things getting approved

into the P&L.

Chandramouli Muthiah: Got it. Thank you very much. And all the best.

Basudeb Banerjee: Thank you. Due to time constraints, that was the last question. Over to you, Siddhartha for your closing comments.

Siddhartha Lal: Yeah. Just thank you all for joining us for the update. And we've had a very good first 10 months to the year, and we got two more months to go. It all seems good and on track and lots of other interesting things coming from EML. Look forward to talking to you in three months. All the very best. Thank you very much.

Call: May 2024

May 17, 2024 Online intimation/submission

The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400051 Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated May 3, 2024 intimating the schedule of the conference call held on Saturday, May 11, 2024, please find attached transcript of the aforesaid conference call, held in the aforesaid address to discuss financial results for the fourth quarter and financial year ended March 31, 2024, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company at www.eichermotors.com.

The conference call started after approval of the financial results for the fourth quarter & financial year ended March 31, 2024 by the Board.

You are requested to take the same on your records

Thanking you, For Eicher Motors Limited

Atul Sharma Company Secretary

Encl: As above

Eicher

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“Eicher Motors Limited

Q4 & FY24 Earnings Conference Call”

May 11, 2024

MANAGEMENT : MR. SIDDHARTHA LAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – EICHER MOTORS LIMITED
MR. B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL
ENFIELD LIMITED
MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER – EICHER
MOTORS LIMITED
MR. VINOD AGRAWAL – MD & CEO, VE COMMERCIAL
VEHICLES LTD
Eicher Motors Limited (EICHERMOT)
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Basudeb Banerjee: Hi, all. Welcome to Eicher Motors Limited Post-Q4 FY '24 Results Conference Call. We have with us the senior management of Eicher Motors, represented by Mr. Siddhartha Lal, MD and CEO, Eicher Motors Limited; Mr. Vinod Aggarwal, MD and CEO of VECV; Mr. B. Govindarajan, CEO of Royal Enfield; Mrs. Vidhya Srinivasan, CFO, Eicher Motors Limited. Thanks again to the management for giving us the opportunity to host the call.

Without wasting any time, over to the senior management for their initial comments.

Siddhartha Lal: Thank you, Basudeb, and ICICI for hosting this for us. And hello, everyone, and welcome to the earnings call for Eicher Motors Limited for the quarter and year ended March 31, 2024. So we've had an absolutely stellar year at Eicher Motors with consistent and solid growth through the year, and we've grown from strength-to-strength each quarter, and marking new milestones in business and financial performance.

I'm going to begin with our update on Royal Enfield. Again, an absolutely fantastic year where we've maintained our lead and our dominance in the premium motorcycle segment and have closed the year with 9.12 lakh motorcycles. So that's the best performance we've ever had in a year. Had some absolute category defining launches this year. We introduced the Himalayan on our new engine platform, on the Sherpa 450. And we've seen absolutely tremendous response from consumers in India and around the world, and from critics and media and in sales as well.

So on the product development and manufacturing and quality front, we've continued to push the boundaries and are now absolutely amongst the best in the world, which is evident from the fact that we've got the world's best cruiser and possibly the world's best adventure motorcycle also, based on all the inputs and all the awards we've got, which is the Super Meteor 650 and the new Himalayan 450.

And of course, the Himalayan also won the Indian Motorcycle of the Year in 2024, which is the most important award because it involves the largest group and a very large group of motorcycle journalists who come up with this. It's a single award. And this is our fourth Indian Motorcycle of the Year in the last six years. So we've dominated that single award that's given to the best Motorcycle of the Year.

We've also made great strides in our EV journey in the last year and we have a very solid not only single product, but a range thought process. We have really built our development capabilities, our technology, our technical teams and now even our commercial teams are really being built up. And we're working on a very solid differentiated portfolio and lineup for EV, which will come in the right time, in due time.

Coming to VECV, our joint venture with Volvo for commercial vehicles, we've had our highest ever sales for the Eicher truck and bus division for Volvo trucks for VE powertrains, where we sell engines to Volvo Group around the world. And in our Components business and our Power Solutions business, these all verticals of VE commercial vehicles.

And on the EV front, at VECV, we've delivered over 230 electric buses so far, and 75 Eicher Pro 2055 EV trucks. So we are making strong progress on the EV front and

deliveries and tracking how the vehicles are going, which is very good. We also showcased a new electric small commercial vehicle at the Bharat Mobility Show earlier t

his year. So

we are entering into the small commercial vehicle segment, which is the 2 to 3.5 tons. And the first vehicle in that VECV for Eicher will be an electric vehicle. So yes, the whole category is extremely new for VECV, and so is the EV first type of programme. But this is a category where Eicher brand has a lot of salience, a lot of brand equity because of our Eicher Motors Limited (EICHERMOT)

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strength in light and medium duty as well. So we're very hopeful that we'll make a big impact in this very large market of small commercial vehicles.

We also made huge progress in our sustainability journey. Our most ambitious social mission project, which is the Himalayan Hub, went live at Theog in Himachal. So we have fellowships, we have hubs for circularity, for experimentation for let's say, responsible travel. These are the kind of areas that we're looking at to develop over the years for sustainable travel and sustainability in the Himalayas. We also had another very important project called Himalayan Knot, which is about strengthening indigenous heritage textiles in the Himalayas, and along with the Himalayan artisans and communities being closer to urban designers and urban markets and brighter community. So that's gone on well. We also concluded the second edition of the great Himalayan exploration, in partners with UNESCO, which is the concept there is to document and conserve the intangible cultural heritage. In this case, we are doing it in the eight states of the Eastern Himalayas, where we've documented this year, over 45 different intangible cultural heritage elements for posterity, for future, for reference, for support. So it's a very exciting project.

Well, now coming to the financials. We've had another record-breaking performance. So we have a lot of best evers coming up in revenue and EBITDA and PAT. So the consolidated financials for Eicher Motors Limited for fourth quarter and for the full-year. We've had a highest ever revenue for eight quarters in a row now, and resulting in highest ever annual revenue in EML.

So for Q4, revenue for EML stood at ₹4,256 crores, up 12% from last year. For the full-year, EML revenue stood at ₹16,536 crores, up 14.5%. And if you take the ₹16,536 crores for EML consolidated, and then you add VECV, which is not part of the first figure, and VECV is ₹21,459 crores. So the combined revenue on both RE and VECV, so if you look at the group level, is nearly \$4 billion combined revenue last year.

Our EBIT profits have grown year-on-year and sequentially, and we registered the highest ever PAT and EBITDA for the quarter as well. The EBITDA is ₹829 crores, up 21% for the quarter. And for the year, it's ₹4,327 crores, up 26%. So solid growth in EBITDA, both for the quarter and for the year. The EBITDA margin is at 26.5% for the quarter, that's 2 percentage points higher than last year and 26.2% for the full-year, which is against 23.8%. So it's substantially higher than the previous year now. Our PAT is at ₹1,070 crores, up 18%. And for the full-year, we got ahead of the 4,000 mark at Rs 4,001 up 37.3%. So solid numbers overall, as far as we're concerned, from EML.

And now I hand over to Govind, the CEO of Royal Enfield to you give you a little bit more insight and detail on the Royal Enfield business performance.

B. Govindarajan: Thank you, Siddhartha. Hello, everyone. Good afternoon. Thanks for joining in a Saturday. All of us at Royal Enfield are super proud of the several milestones we have achieved in the year 23-24. Not only have we seen exceptional performance for Q4, we have also sustained strong growth momentum throughout the year in all quarters, despite a lot of actions, which you would have seen in the middleweight segment.

During this quarter, we sold 2,27,925 motorcycles, which is up by 6.2% on Y-o-Y basis. For the financial ye

ar, as Siddhartha mentioned, we sold about 912,000 motorcycles, which is compared to last year, which was only about 8,34,700 motorcycles. This is our highest ever volumes in the country, India. With this, we have surpassed our pre-COVID level and have maintained the robust growth momentum, with about 30% market share in more than 125cc

category. And our motorcycle market share is almost about 7.2% on an overall basis.

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In the international markets, we recorded a sale of 77,209 units. Despite weak macro backdrop, which you all know, our retail sales in the international markets remain on a steady growth track across the regions in this year FY '24. As a result, we have maintained our market share in the middleweight segment across the market outside India, too. During this year, we forayed into some new countries like Turkey, which has a strong market relation for motorcycling.

On manufacturing, just to add, we have produced 9.2 lakh motorcycle this year, which is, once again, highest ever production with high quality fit and finish motorcycles for the globe. Our plants are continuing to create new benchmark in efficiency, automation and manufacturing excellence. Our Oragadam plant at Chennai was awarded the future-ready factory by Frost & Sullivan. And we also received the Excellence in Operations and Smart Factory of the Year in 2023.

We achieved our highest ever revenue from the non-motorcycle business, given we are expanding service reach, robust growth in accessories and widening range of apparels and adding more SKUs in the accessories business.

Throughout the year, we steadily elevated pure motorcycling experiences for our customers, with the introduction of programmes such as Assured Buyback, REOWN, and tours and rentals, which are already gaining traction now. Consumer response to these programmes has been very, very encouraging to us, and we will continue to enhance these initiatives. This year, we also introduced two connected motorcycle systems, with advanced telematics and navigation capabilities on our motorcycles. The tripper dash on our all new Himalayan Sherpa Platform motorcycle, and the WINGMAN, the rider centre connecting motorcycles in Super Meteor to start with.

Motoverse this year hosting the spirit of motorcycling in every sense of the world. Over three action packed days of music, motorcycling, art, culture, the 13th edition witnessed the participation of more than 15,000 attendees from across the globe. And during that time, we also unveiled the Shotgun 650 and announced the surprise of Himalayan, which all have fit in the market very well.

Under the sustainability initiative on the social mission, which Siddhartha mentioned about what we are doing at Himalayas at and green operation business level, I would like to share with you. We have achieved zero liquid discharge in all our operations and all our plants and our warehouses are all net water positive, with an index of almost 3.23 in Oragadam and 2.02 in Vallam. We have been constantly working on improving the renewable energy usage. And during this year, further, we enhanced that, and we have 35% of total consumption onto the renewable energy.

We were looking at constantly on reduction of carbon emissions. This year, we had to get target of achieving 20% reduction compared to last year, and it has been completely on track. On the product end of vehicle study, we wanted to do that to understand the recyclability, recoverability and reusability. And we started off with our Twins Platform and now we are doing for the rest of the products also. Happy to share with you that the reusability and the parts of our motorcycle are more than 98%. And the recoverable is also equally the same. And we are working on complete usability and recoverability parts we used in the motorcycl

e. With the successful launches last year, we are well on our way to ride ahead on our strategic goals, with several more products, which are lined up. We have given up to continue this growth journey in India and across the globe.

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In conclusion, we had a very great year and have an even better one planned in the coming

year. And now I'll hand it over to Vinod Aggarwal to take you through the VECV presentation. Over to you.

Vinod Aggarwal: Thank you, Govind, and a very good afternoon to all of you. As Siddhartha mentioned, financial year '24 has been a record year for us on all fronts. Let me begin with the financial performance for the quarter as well as for the year. We had, overall quarter four sales were 25,732 units. And of course, for the full-year, we had 85,560 units as against last full-year of 79,623 units. So with a growth of 7.5% for the full-year. If you look at the industry, industry had grown by 4%. So therefore, since we have done better than the industry, we have improved in market shares in most of our segments.

As far as the revenues are concerned, our revenues rose to ₹6,275 crores in quarter four. And of course, for the full-year, our revenues stand at now at ₹21,868 crores over last year full-year revenue of ₹18,952 crores with a full-year growth of 15.4%. As far as EBITDA margin is concerned, we had an EBITDA margin of ₹486 crores for the quarter. And for the full-year, we had EBITDA margins of ₹1,715 crores as against last year full-year EBITDA margins of ₹1,387 crores with the growth of 23.6%. And EBITDA margin for the quarter was 7.85% and 8% for full-year as against 7.5% for financial year '23. Profit after tax, while ₹242 crores for quarter four and ₹823 crores for financial year '24, which is a growth of 42% from ₹579 crores in the previous year, financial year '23.

And we achieved highest-ever Q4 sales for Eicher heavy-duty trucks at 6,476 for Eicher brand and 500 plus for the Volvo brand. And for the full-year, we have heavy-duty trucks sales of 23,660 as against last year of 20,675 units. So with a growth of 14.4% as against the industry growth of 4% in heavy-duty trucks. So with this 23,660 units, our market share in heavy-duty trucks has gone up to 9.2% for the full-year. And of course, if you look at the quarter four market share, quarter four market share for heavy-duty trucks was close to 10%, which indicates that we are well on our journey to become a bigger and bigger player in the heavy-duty truck market.

As far as the light and medium-duty trucks are concerned, we sold 11,033 units in the quarter achieving again our highest-ever market share of 35.8% in the light and medium-duty trucks for quarter four. For full-year, we sold 38,712 light and medium-duty trucks as against last full-year of 37,318 units with a growth of 3.7%. As against this, the market has dropped by 5.9%. So based on that, our market share in light and medium-duty trucks also, it improved to 34.7%. And of course, in almost four months in the full-year, we were the market leaders in light and medium-duty trucks, which is again, a very good development.

As far as the bus segment is concerned, we sold 6,090 units in quarter four. And of course, these were our highest-ever sales in the buses. And for the full-year, we have sold 17,620 units of buses as against 15,077 in the previous year, with a growth of 16% plus. And of course, we continue to do very well as far as the parts business is concerned, with the overall sale of ₹574 crores in quarter four, with a growth of more than 24%. And of course, apart from that, our V powertrain, which is our euro 6 engine where we export these engines to Volvo Group. That unit is also doing very well. We delivered 15,717 units in quarter four, which again are the highest ever.

And of course, we achieved quite a f

ew awards last year. And of course, we also were ranked number one in dealer satisfaction survey consistently for three years in a row. And we also won customer satisfaction awards for heavy-duty trucks as number one. And in light and medium-duty trucks also as number one in the customer satisfaction survey, which was conducted by GfK, which is again a very, very credible achievement. And we were also given a CV maker of the year recognition at 2023 Apollo Tyres CV Award. And we were Eicher Motors Limited (EICHERMOT)
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also we also won six other product-related awards, again, acknowledging our efficient range of trucks and buses.

And of course, as we all know, over five years ago, VECV became the first CV manufacturer to offer connected telematics as a standard. Over these years, we have built on this connected ecosystem to deliver artificial intelligence and machine learning-based remote and predictive diagnostics to customers thereby delivering uptime to them.

On the sustainability front, as you are aware, that we are one of the strong players in the CNG fuel-based trucks. We have also entered LNG fuel-based trucks in both Volvo brand as well as Eicher brand. We are working on H2ICE technology. We are working on hydrogen fuel cells. So therefore, we are working on all these future alternate fuel technologies. And all our existing digital vehicles, they comply with all the strict current BS-VI, OBD2 standards. And then, of course, we are committed to increase the use of renewable energy and energy efficiency at our plants and operations. We have also implemented water saving measures and are aiming to reduce water usage per vehicle by 5%. I now hand over back to Siddhartha for any last remarks.

Siddhartha Lal: Yeah. Thank you very much, Govind, and thank you very much, Vinod. It's been an absolutely fantastic year for EML, for VECV. And as we step into this year, which we're already in, we are really confident that we'll continue to grow. And we have a lot of interesting things planned ahead.

Royal Enfield's performance and success last year was particularly special as we achieved all of that in the light of huge, let's say, push of new wave of competition. And it's our dedication to the motorcycling and to premium motorcycling. It's our extreme focus and of course, we believe our products are a step ahead. And we've always, even though the product cycle is four to five years in terms of conceptualising to being on the road, we've always been a step ahead of competition, even when new competitions come in. We've already anticipated consumer demand more than competition and been ahead of the curve. But then it's well beyond that. I think for us, as a lot of you know that it's the entire holistic consumer experience. That's what we are obsessed about at Royal Enfield. That's what we think about daily, more than competition, more than investors, more than anything else we think of our consumers and we, ourselves, Govindarajan, myself, we're on the motorcycles, riding, understanding, future bikes, competition bikes, EV bikes and our whole team. We're absolutely obsessed and we're focused on that consumer experience and understanding them better on understanding their pains, understanding their joys, understanding what will motivate them because we do it ourselves. And that's the difference. It's a holistic really, really detailed thoughtful experience that we provide our consumers. And we continue to remain super focused on doing just that.

So that's just an update from all three of us. Thank you very much for listening. And now we're open for some questions.

Basudeb Banerjee: Thanks, sir. For Q&A session, requesting participants to raise their hands and also requesting each to limit their questions to two per participant. So first question is from Gunjan Prithyani, requesting you to, unmutte.

Gunjan Prithyani: Yeah, hi. Thanks for taking my questions. My first question is on the Royal Enfield side. If you can share a little bit more in terms of, what are we seeing on the demand side? April was certainly quite a strong month, where there was an element of seasonality as well. But if you can share, how should we think about the demand growth or outflow for fiscal '25? And also, just clubbing Himalayan along with that, the ramp-up had to happen in quarter four. So Eicher Motors Limited (EICHERMOT)
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now do we have a sense of what's the steady run rate for Himalayan 450cc for the domestic market?

B. Govindarajan: Hi, Gunjan, about the overall market, I'm sure you guys are following it more than us and getting the datas in different form. What we can say is the two-wheeler market is poised for a growth, and especially the middleweight. We anticipate the middleweight growth will be in double-digit. As we always say that we should be ahead of the curve, with all the new products which we launched last year and new products, which are going to come in this year, we feel that there is enough headroom for us to grow. In fact, the premiumisation as a theme is continuing in India. That's a good sign for all of us. The motorcycle industry, I think is slowly coming back to the pre-COVID level. We are seeing that month-on-month, which is slowly gaining momentum. It will actually help us with all our preparedness, which we have done over the period of time.

As far as the Himalayan is concerned, we launched and it has been a super hit for us and happy to share with you, it's beyond the expectation of the numbers, which we are talking about. You know Gunjan, that we don't give exact numbers. But having said that, we are currently clocking as good as 200-plus motorcycles a day. But we are also preparing ourselves on the higher numbers because we see there is a good potential for us across the globe. As of now, only in few international markets we've opened the model. And we are slowly opening to the rest of the market. So we see that motorcycle also will give us a better growth in coming years.

Gunjan Prithyani: So 200-plus motorcycle a day, and we are not yet seeing that in terms of dispatches. Is that a supply ramp-up, which is more gradual here?

B. Govindarajan: As of now there is also a season in international market. So we have to do that with the international markets also. So currently, what we are doing is depending upon the FIFO level, we are trying to match to the consumers of domestic market and also to the international markets. But we are working on increasing the supply situation, which you will see in time to come the improvements.

Gunjan Prithyani: Okay. And just second question on the platform that sort of picture that you put in the presentation. There are fair bit of white space that's clearly evident across platforms, right? And I know you will not talk about which product, which launch. But in terms of next, if you were to think about next 12, 18 months or two years, what are the key white spaces in the respective platforms that you think are priority areas to address across platforms? There is only one bike on 450cc. There's only one on the D platform. So a little bit colour on how we should think about bridging of these white spaces over the next two years?

B. Govindarajan: Quite a long answer to be given, Gunjan, but still I'll try to short slightly. We have currently three platforms. We have our super refined J-platform. Then we have our 450cc platform, which is the Sherpa Platform and the 650cc platform. We also had that 411 platform and in some of the products, we are continuing there. In all these platforms, as we always say, we are a focused company. We don't do too many things. But the platforms are grouped to bring out different motorcycle, which addresses the di

fferent set of and segment of consumers, which we can give a differentiated experience. That's why on the J-platform, you can see we have a Bullet, we have Classic, we have Hunter, we have Meteor. And all of them have their own space and the consumer sets and experiences are very different to the people. Similarly, on that 450cc platform, as of now, we have come out with the Himalayan. And we will come out very soon. You will see a fantastic motorcycle from the same platform. And on the 650cc platform, we have our Continental GT, Interceptor, Shotgun and the Super Meteor 650. All are very different motorcycle and which gives a differentiated experience.

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So to that extent, all the platform changes and the improvements which we have done, we have to give some space for that also to grow. The 411cc platform when we launched, the market wasn't there. But over the period of time, we created a category like that for all these platforms and the products which we are bringing in, we have to give that space to actually grow because consumers also have to get accepted to that. We know that these are all outstanding products, which will grow in the market over a period of time.

We constantly look at as Siddhartha was mentioning, we ride motorcycles. We are motorcyclist first. When we ride, when we see there is a possibility for us to give you a different kind of a motorcycle in the same platform, we always keep thinking about it, but that's all thought through at the platform development stage itself. We don't do afterthought discussions of all these things. So around the platform, as we presented to you people, we have a lot of new products, which are already lined up, which will start coming one by one.

Gunjan Prithyani: Okay. Got it. I'll join back the queue. Thank you so much.

Basudeb Banerjee: Next, we have in the queue Jinesh Gandhi.

Jinesh Gandhi: Hi, congrats on good set of numbers. Quickly, two questions on the RE business. So on the

export side, we have started to see some bit of pickup on the wholesale volume side. Are you seeing similar trends on the retail? Are things looking up now vis-à-vis what it was six months back?

B. Govindarajan: In the international market, Jinesh?

Jinesh Gandhi: Yes.

B. Govindarajan: No. In the last quarter also I was just telling, we don't track the wholesale. Wholesale is only a transaction number for us. We always look at retail. And as the retails were better and last year, as I mentioned, the retail focus is what is there, happy to share that the retail has been very good in all the markets across the globe, also in India too. And to that extent, you are seeing the wholesale also picking up slowly.

Jinesh Gandhi: Okay. So we should expect this run rate to improve upon given covering the retails?

B. Govindarajan: That's how the equation also works. But all of us have to be keeping only one thing in mind is the international market macro situation, it's a market-by-market situation. It's not all across. So every market, depending upon the consumer sentiment, we will actually be looking at. As I always say, for wholesale, we can go on and do more numbers, but we are not that sort of a company. We look at retail, we actually look at it as a full brand rather than a push. So it's for a long term. What is required for the international market for us to be the leader over the period of time? All the key things which have to be in place is what is the focus. The team is actually doing it. We have our own subsidiary, wherever it was required. And we have our own CKD plants. Our teams are on the ground of actually picking up the consumer sentiments. We are looking at integration of the DMS. We are looking at the CRM package integration with the central team. So all those activities are happening constantly at international

markets, because we know for sure, there is a huge market potential for us and all our products are also fully accepted in the international market very well. So that's the positive feel, which we have about international market.

Jinesh Gandhi: Got it. And second question on the RE margins, Royal Enfield margins. So clearly, we have seen a healthy evolution of margins, holding of upwards of 27%. From where we are today, Eicher Motors Limited (EICHERMOT)
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what are the push and pulls, which we are seeing on margins over the next 12 to 18 months? What are the drivers you'd be looking from a margin perspective?

Vidhya Srinivasan: First of all, revenue growth itself is something that we are actually focused on. We're looking at absolute increase as far as EBITDA is concerned. We're not necessarily so focused on percentages, as you know. So growth, I think, the revenues are obviously flow through to us in terms of the bottom line. We also had an increase in share in the international market coming back. It will also obviously have a bit of a flow through as far as profitability is concerned. And I think we are also seeing great growth happening in the non-motorcycle side of the business, which is accretive to us. I think that is something that will also kind of flow-through. So I think commodity, we are kind of keeping an eye out for them at the moment. We've not seen too much pressure coming in, but that is something that obviously we're watching out for and see how that impacts us.

Jinesh Gandhi: Got it. And, Vidhya, just one clarification on VECV. We have seen some restatement of margins. And as a result, margins have declined in fourth quarter on Y-o-Y basis. But Q-o-Q basis, margins again have declined despite seasonally strong quarter. Any one-offs there?

Vinod Aggarwal: Yeah. Basically, last year in Q4, there were some fiscal incentives, which we had accrued based on the very old, which were pending in Madhya Pradesh. So due to that, there was one-off in last year Q4. So due to that, the margin looked lower than the last year Q4. Other than that, there is no other reason.

Jinesh Gandhi: But even on Q-o-Q basis, it has declined. So despite 25% growth in volumes.

B. Govindarajan: Q-o-Q basis is not a very big thing, but that's fine. That's not it. It's one-off incentives.

Jinesh Gandhi: Got it. Thanks. I'll fall back in queue.

Basudeb Banerjee: Kapil, you can try again. Okay. Seems some issue, so we can go ahead with Raghu.

Raghunandhan NL: Good afternoon. Hope, I'm audible. So a couple of questions. Firstly, on commercial vehicle side. So on electric, ELCV, ESCV, buses, if you can talk a little bit about the volume potential going ahead. How you see that entry into ESCV to become big for the company? And also that on the e-buses, given the announcements on payment security mechanism, would you become more aggressive in future?

Vinod Aggarwal: Definitely, the e-vehicles are evolving now. Buses will be the one, I think, which will have good growth this year because government has this programme PM-eBus Sewa bus programme, under which they are going to come out with more and more tenders. But of course, we will be very careful, not putting in the bids to pursue the volumes at any cost. So therefore, we will see that what makes sense for us. But of course, as far as the products are concerned, we are all ready with the 9-meter bus product, 12-meter bus product, and we are also going to introduce 13.5-meter intercity bus product. So products wise we are ready. But of course, we will be very careful and think the government business of state transport undertaking because that business model still is very, very difficult business model where the entire payment is on per kilometre basis for next 12 years. So therefore, we have to see that if we do that business, it is done at the right prices

As far as the trucks are concerned, we were the first one to introduce electric truck in 5.5 tonne category. And last year, we have sold 75 electric trucks. And this year, of course, the traction is good. And we are also going to come out with more models in electric trucks. And the small commercial vehicle, which we had unveiled in Bharat Mobility Expo in February. And that product also we have now given on pilot basis to 10 customers last Eicher Motors Limited (EICHERMOT)
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month, and that will be introduced on a commercial basis from January next year. So again, that's a very high potential. And this, of course, the electric model will be followed up by diesel and CNG in the next six months. So therefore, it's an electric technology is evolving. We are very much there in all the segments. But of course, we will be very, you can say, careful where we have to get in and where we don't have to get in.

Raghunandhan NL: Thank you for that answer. And congrats on the market share gains you've been seeing. If you can talk a little bit about the demand outlook also how you are seeing the demand and how you see the prospects?

Vinod Aggarwal: As far as the demand for commercial vehicle market is concerned, I think it has got a very good potential for growth. Fundamentally, because our economy is continuing to do well, and of course, we are expecting on the back of around 6% to 8% of last year, we are expecting that this year also the economy should grow by 7% plus. So that is the first fundamental vision of growth.

Secondly, the strong infrastructure programme from government of India. And thirdly the pent-up replacement demand, which continues to be very strong because the new trucks or new technology trucks, which has a lot of electronics and a lot of telematics and a lot of new features, which enhance the productivity and efficiency of the trucks, it makes a lot of business sense to replace the old fleet. So therefore, we will see more and more fleet looking for replacement. So therefore, the CV demand will also increase because of the replacement of the old trucks. So all three fundamental factors point towards that CV industry is going to have a good future. Even though there maybe hiccups this month or that month, but overall, on a CAGR basis, we are going to see a good growth.

Raghunandhan NL: Thank you so much. Just a quick question to BGR. If you can talk about Shotgun 650, what would be the current volume and potential? And is there a case for a 350cc Bobber?

B. Govindarajan: New products, we won't talk about it. When that comes near to the new product coming up, we will talk about that. Shotgun is, once again, a product which is inspired by customs and for customs. When we launched Super Meteor 650, at that time also we were thinking. It's a stunning motorcycle. It has launched in January. There's a huge response in the international

market. It's a product which has just come. We have to nurture it. But what we are doing is we are also working along with all the custom builders and how that entire ecosystem can be integrated so that the product can be taken to the next level. So there's a lot of work which is happening.

We see that product has a huge potential. It's a very planted motorcycle. And it has very different look and feel. Consumers are enjoying it. In fact, I'm at U.K. Tech Centre, and yesterday when I met a consumer who bought this, he was in love of this motorcycle and he said, "When I saw it, I thought I should have it immediately." So to that extent, there is a good response. So as I mentioned, it's just come into the market, and we have to work on it a bit more, but we see there's a huge potential for that product also.

Raghunandhan NL: Thank you so much. I'll fall back in the queue. Best wishes.

Basudeb Banerjee: Thanks. Next, we have a question from Binay Singh.

Binay Singh: Hi, team. So thanks for the opportunity. One trend that we see in Royal Enfield in the last two quarters, is that a greater than 350cc portfolio is doing well, partly driven by product launches? But just to understand the customer profile, is that changing? Because I remember the earlier the company always talked about this replacement consumer coming back. People who had a Royal Enfield, buying a Royal Enfield. And then we used to also talk Eicher Motors Limited (EICHERMOT)
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about the average age profile coming down when the 350cc portfolio was rising. So with these new launches, are you able to sort of see any changes in your customer profile? Are people now replacing? That's the first question.

B. Govindarajan: Yeah. I think the product is coming up in the 350cc and above. The numbers are also coming. Percentages are equally to be looked at what's happening in 350cc, right? But we have to grow all the platforms, all the CCs that's what the team is working on. But the new products like the Himalayan 450 on the Sherpa Platform, which we launched 650 motorcycles, Shotgun, Super Meteor, all those things are doing well. You will see more products even in that. So those are also be growing. In the 350cc, also the products, we are planning a lot of activities, which will be happening. Overall, the growth is happening in all the areas.

You touched upon the topic of the replacement cycle. In the last call, also I mentioned, it is yet to kick in. But we have to be prepared. So what we have done is to give a very frictionless experience for those consumers almost about 6 million motorcycles, which are there in the market as a vehicle park. For them at a particular point of time to give the new motorcycle, which they can exchange with, we came out of the REOWN as a platform for someone to upgrade. Having said, we don't want our customers to actually change the motorcycle just because we have a new motorcycle. We have to be actually be working with them that they enjoy the motorcycling experience. Somebody who bought a Classic at some point of time, if he wants to enjoy our Interceptor today, and then we should be there to actually help him out to enjoy the motorcycling. And that's the focus which we are doing now. The replacement cycle will kick in at some point of time, but you have to see a good traction. It will take some time, but I think it's a growth path for us in future.

Binay Singh: Thanks for that. And secondly, could you share a little bit about like finance penetration? How is it now for you? And also the three programmes that you started last year, the REOWN, the leasing programme, what sort of percentage contribution is it coming from them? I assume it will be very small.

B. Govindarajan: Our finance penetration, as of now is about 61%. It's steadily growing over the period of time. I mean because when the demography is coming down, it also is quite natural that the finance penetration will be there. So we came out with the digital finance marketplace DFM which we did. We integrated that to our website and on a journey of the consumers at the front end. We actually socialized that and say this is the finance option, which is available and very attractive finance schemes, which we are working on. Yes, It's a lever. And it has to be available. As I mentioned, frictionless experiences, it's everything. When the consumer wants it, it should be available. That's one of the focus which we are doing. You asked about

the REOWN as a program. We just launched. We piloted in few cities. And in those areas, the numbers are coming in. We have to work with the entire ecosystem. We have to work with our dealership. We have to explain to them about the business model in which way it is better for them, beneficial for them and also to the consumers. So it is slowly taking traction, Binay.

It won't be overnight, but it is the thing, which we feel for an upgrade cycle is very important for us.

Binay Singh: Thanks. Lastly, any price hikes we've taken recently? Anything on that in the Royal Enfield side and in the VECV side?

B. Govindarajan: Royal Enfield side, we haven't taken the price hike very recently. VECV, Vinod?

Vinod Aggarwal: In VECV, we are focusing more and more on the discount reduction. So even though we will not see the increase in the MRPs, but we are trying to plug the gap between the MRP
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and the transaction prices. So therefore, we will see more and more rationalisation happening in the discounts.

Binay Singh: Okay, thanks a lot. Best wishes for future quarters.

Basudeb Banerjee: Thanks. Next, we have a question from Arvind Sharma.

Arvind Sharma: Yeah, hi. Good afternoon, everyone. Two questions from my side. First, on the realisations. Royal Enfield, they're quite strong this quarter. Any specific reasons for sustainability there on?

Vidhya Srinivasan: I think, no. It's just that the exports so that's possibly impacting ASPs and we have taken a price increase in May last year. So I think quarter-on-quarter the full benefit is coming through this quarter. So that's also there. So that's basically what is the prime reason for ASP.

B. Govindarajan: We haven't taken any price increase there, Arvind. It's only the mix and the higher cc motorcycles, which I think the previous question also just asked. So that's what is actually helping us on the ASP.

Arvind Sharma: Thank you. Thank you for the response. The second question would be on commodity prices. Where are you seeing the trends right now? And again, would they be passed on? Or would you tend to absorb them going forward? If you could please elaborate on that?

B. Govindarajan: Commodities, it is not a headwind as of now. Is it a tailwind? May not be. So to that extent, there is some amount of stability, which is there. But always we will track it and then see what is that we have to do in this, especially the high cost, the PGMs, which goes into the motorcycles. And we are constantly working on value engineering to offset that. So passing on, not passing on is time-to-time when we do a pricing committee discussion, at that point of time, we decide. But it is also commodity going up, commodity coming down, it doesn't mean that the cost plus is actually the price. That's not the equation now we can play in the market. So it has to be the price value proposition for the consumer. And what does it mean? And what is that we are offering to the consumer? So that comes as a prime question for us always. So it's only one side of the equation, but we constantly see that what's the price value equation and depending upon that we take a decision on that.

Arvind Sharma: But for now, you're not seeing any cost pressures as of now?

B. Govindarajan: It doesn't seem to be there at this junction.

Arvind Sharma: Got it. Thanks. That's all from my side. Thank you so much.

Basudeb Banerjee: Thanks. Next question is from Chandramouli.

Chandramouli Muthiah: Hi, good afternoon. And thank you for taking my questions. My first question is on the export markets. We have been making a concerted push into growing in the export markets

for the past five to six years now. So just, at this juncture in our journey, I just wanted to understand versus the Indian middleweight market, what are some of the similar factors for Royal Enfield's growth in export markets? And what are some of the factors that are slightly different, which you're having sort of navigate around to potentially replicate the growth you had in the domestic middleweight market in some of the key export markets that we presently have sort of 8% to 10% market share?

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B. Govindarajan: So, Chandramouli, in any of the markets, India, as Siddhartha was mentioning earlier, the market for the middleweight is somewhere around 50,000, 55,000 in 2011. We grew the market to almost about 900,000-plus. And the addressable market outside India is also almost the same size, but that has been grown by somebody over the period of time. With the first product of our Twins, because earlier to that, our 350cc motorcycles were not an export worthy motorcycles because it can't stand the emission norms, which are required. For the J-platform, when we brought in the super refined engine, we really felt that, that motorcycle is also exportable. Then we started working on Twins. Now the all new Sherpa 450cc Platform water-cooled and the products which are coming in, they're all now global appeal products. So products are sorted. You will see more products, which we are working on.

And the international market, what's more important is, as we always say, if we have to go open up more stores and then do a wholesale, that's an easy thing because now there is an acceptance, but that's not what we are as a company. We always see that our brand has to be in full brand. People should enjoy owning our motorcycles. In a situation where the macro economics are not so good, that's not the time to go and actually look at expansion in an aggressive way. We are a long-term aggressive company. We don't do anything short term, which I always say. So what is required for the international market of actually having our own subsidiaries, our own team on the ground constantly looking at the market growth, brand building and the community building, creating rides wherein we can be part of their community and ride motorcycles. That's what is the work, which we are doing whenever the market opens. I mean, in fact, one more thing is the CKD plants, more than what the CKD plants where it is required to be near to the consumer, which also we are doing. When the market opens up, you will see Royal Enfield riding the wave in the international market. I see some good green shoots now. The retails are better for us last year. And that's why you are seeing the wholesale also slightly better. In time to come, I think the market opens up. We are there for a good success.

Siddhartha Lal: Maybe I'll just add a little bit to add some different texture to this. I think from what you're asking is that -- I mean, very simplistically, we divided in our export markets into two. One is the richer countries, such as U.S., Europe, Australia, Japan, New Zealand, Korea, where the markets are there, they're not growing, maybe even declining, but affordability is very strong. If people like something, they'll pick it up. I mean if it's \$5,000, \$6,000, \$7,000, that's not a problem. So Royal Enfield salience is strong. The offer is great. The bike is relatively affordable to these guys, and great, great, absolutely amazing value and our market recall is very strong, very strong in these markets. So that's one set of markets where there's not huge growth. There is growth potential for us, but within the spectrum of the market rather than growing the market as such, beyond the point, right. So that's the Western markets, but they're very important also from a profitability angle.

Then you have, for us, what is the high potential markets, some markets in LatAm, some markets in Southeast Asia, where we see that we can make, let's say, in inverted commas, "mini Indias," right? So and we're going with that approach. After having learned in some of these markets over the last many years. We are focusing in on some of them to really penetrate deeper to make it an India like idea for us, which is on to virtuous cycle. So we're in a virtuous cycle in India, where we have strong distribution, strong demand, strong residual value, strong service network, gre

at brand recall and that promotes all of these things, again, that means the more demand comes in and it's a virtuous cycle. So that's what we're trying to do in some of the LatAm and Southeast Asian markets, where which we feel let's say, we term them ourselves as sort of new home markets, right? So where we want to

be really present to our infrastructure, our market companies. We do our own distribution in some of these markets, and we will do our own distribution. We appoint the dealer ourselves. We may even have our own store once in a while, but really to get deep into a

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few of these markets where we see long-term potential in the next 5, 10, 15 years of solid growth and becoming a big player in the motorcycle market in these countries, right? So that's the objective.

Chandramouli Muthiah: Got it. That's super helpful. My second question is on the upcoming sort of 450cc platform launches over the next few years. We've historically been a company that's been a very good upgrade option for users from other brands. And then over time, we've graduated into offering upgrade options for our own customers from 350 to 650, and now we have a more affordable upgrade option, which will start coming through in terms of more 450cc products. So I just wanted to understand what are some of the dynamics in 350 to 450cc upgrading strategy that we have for our customers? And any early learnings or insights from Himalayan 450 that we've launched a few months back?

B. Govindarajan: Himalayan 450 is a motorcycle, which is adventure, yet you can use it for your daily usage type of a motorcycle ride, it's indexed in that. So it's not for everyone, but anyone who likes a bit of an adventure also will enjoy that motorcycle. So that's where the positioning of the motorcycle that will continue. But on the 450cc platform, the new products, which we are planning soon, which will be launched soon, that all will actually help us in the upgrade and also getting the new customers.

Chandramouli Muthiah: Got it. That's helpful. Thank you very much and all the best.

Basudeb Banerjee: Thanks. Next question is from Mumuksh Mandlesha.

Mumuksh Mandlesha: Yeah, thank you so much for the opportunity. So firstly, one for Vinod. Industry CV demand has been muted in the recent times. So basically how is the profitability of the fleet operators? And how is it generally the discounting trend in the market?

Vinod Aggarwal: The industry in quarter four this year has been a little bit subdued. One of the strong reason is that last year, in Q4, there was some prebuying. So you can say there was some shift from this year's industry to that last year's quarter four because of OBD-II norms, which became applicable from 1st April, 2023. Because of that, this quarter looked a bit of weak as compared to the previous year quarter four. But fundamentally, there is no other reason why the industry should be lower. And the other, of course, the second fundamental reason could be the elections, which are currently going on. And a lot of government machinery is busy on the election side, therefore, no new projects or no new repayments are slow in getting the released. So that is the second reason.

As far as the transport profitability is concerned, I don't see any concern there. Transporters are doing well, and they have got good demand, and they have got good basically, the business. But right now, they are not buying because sometimes, they also have the experience that during the election time when they buy vehicles, sometimes those are also taken by the various politicians for the campaigns or for various other types of purposes. So they don't want to -- some of the first-time users, they become a little bit more cautious. So therefore, you will see a lot of action after the new government is in place.

Mumuksh Mandlesha: Understood. Very helpful. This is for Govind, on the exports market, we now have five assembly plants globally. I just want to understand what kind of capacity for these plants are there? And what would be the current volumes from these markets? Just want to understand more on how big are this middle motorcycle segment market in these five regions? And what kind of range volumes they are looking over the medium term?

B. Govindarajan: On the CKD plants, majority is local content and a vehicle assembly line. And all those areas, as of now, we have mandate for one shift. That's how it is. So there is a potential for

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us to run two more shifts to add to that, capacity is available. When the market opens up, we can invest a bit more into this. So that's not a major problem for us basically. Because that's not a big manufacturing plants where the capital intensive types, only in assembly line extension, which is possible for us to do within about two months time window.

Mumuksh Mandlesha: And just on the market potential in these five markets?

B. Govindarajan: I don't have an exact number to be honest, maybe we can share it with you only in these markets, what's the numbers and where are we seeing it.

Mumuksh Mandlesha: Thank you so much for opportunity.

Basudeb Banerjee: Thanks. That was the last question. So for any follow-up questions or unanswered questions, please reach out to the Investor Relations team of Eicher Motors Limited. I'd like to hand over the call to the senior management for closing comments. Over to you, Siddhartha.

Siddhartha Lal: Well, thank you all very much for attending, and we're looking forward to talking to you next quarter. Thank you very much.

B. Govindarajan: Thank you very much.

Basudeb Banerjee: Thank you, all. We can conclude the call here. Thanks.

Call: Aug 2024

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August 14, 2024

Online intimation/submission

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Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Madam,

Further to our letter dated August 1, 2024 intimating the schedule of the conference call held on Thursday, August 8, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the first quarter ended June 30, 2024, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above
Eicher Motors Limited (EICHERMOT)
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"Eicher Motors Limited
Q1 & FY25 Earnings Conference Call"
August 08, 2024
MANAGEMENT : M R . SIDDHARTH AL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – EICHER MOTORS LIMITED
M R . B GOVINDARAJAN – CHIEF EXECUTIVE OFFICER - ROYAL
ENFIELD
M S . VIDHYASRINIVASAN – CHIEF FINANCIAL OFFICER – EICHER
MOTORS LIMITED

M R . V INOD A GGRA WAL – M ANAGING D IRECT OR & C HIEF
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Eicher Motors Limited (EICHERMOT)

Q1 FY 2025 Earnings Conference Call

August 08, 2024 06:30 PM IST

Basudeb Banerjee: Welcome to Q1 FY '25 Post Result Conference Call of Eicher Motors.

Thanks to the management for giving us the opportunity to host the call. We have with us the senior management represented by Mr.

Vinod Aggarwal, MD and CEO of VECV ; Mr. B. Govindarajan, CEO of Royal Enfield; Ms. Vidhya Srinivasan, Chief Financial Officer at Eicher Motors Limited and the rest of Investor Relations team.

So without wasting any time over to the senior management for their initial comments.

B. Govindarajan: Hello, everyone. Welcome to the Eicher Motors Limited earnings call for the quarter ended June 30, 2024. Being slightly under the weather , Siddhartha was not able to join the call today . So I will begin with the broad-level EML summary before getting into the updates for Royal Enfield.

After an excellent FY 23-24, we have begun this financial year in a very strong note. We have registered our highest ever quarterly revenue, EBITDA and profit after tax and marked a significant milestone both at Royal Enfield and VE commercial vehicles, which we will go through in a while.

Last week, we released our annual integrated report for EML for FY 23-24. We hope all of you have had a chance to go through it. In addition to the performance and highlights, the report captures our ESG vision and our consistent work and efforts towards achieving it. This year, we have also published the Royal Enfield Sustainability Journal, showcasing a selection of stories from our sustainability journey across our social mission programs and green business operations.

Now coming to the consolidated financial first quarter FY 24-25. Our revenue, EML clocked its highest ever quarterly revenue at ₹4,393 crores, marking a growth of 10.2% over ₹3,986 crores from Q1 of last year. Our EBITDA was at ₹1,165 crores, once again our highest ever quarterly earnings, up by 14.1% from ₹1,021 crores in Q1 last year. EBITDA margin for the quarter stood at 26.5% as against 25.6% last year. PAT at ₹1,101 crores, which includes ₹175 crores of EML share of profit from VECV , up by 20% from ₹918 crores in Q1 last year .

Now I will first talk all through the business highlights for Royal Enfield before I hand over to Mr. Vinod Aggarwal for updates from VECV . As far as Royal Enfield is concerned, after registering a stellar performance in FY24, we have had a good start to FY 24-25. To begin with, let's look at the performance for this quarter .

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Our total sales stood at about 2,27,736 motorcycles in this quarter as against 2,25,368 in Q1 FY24. In India, we sold 2,04,686 units in Q1.

The retail continues to grow in April to July 2024 for Royal Enfield over last year in the domestic market, despite the dampened consumer sentiments, owing to extreme weather and general elections. Also, we completed the transition to auto replenishment model during this quarter . This helps us to enhance the motorcycle availability to the end consumer , while at the same time, lowering the inventory build-up at the dealership, which we'll also discuss.

In the international markets, our volumes stood at 23,050 units, marking a growth of 26% over last year. Our retail volumes have increased steadily in these markets. Amidst an uncertain macro backdrop,

we steadily improved our position in key international markets over the last one year and maintained our market share and position in these markets.

We are now among the top four midweight motorcycle brands in many countries around the world, such as U.K., Italy, Thailand, New

Zealand, South Korea, Australia and Continental Europe. We launched the Super Meteor and Himalayan 450 in several international markets now, and these models have garnered excellent response from all our consumers.

Last month, we also launched the Guerrilla 450, our premium Roadster on the Sherpa 450 platform. We had our first global media ride and launch at Barcelona amidst global press and experts. The motorcycle marks a bold evolution in our roadster line-up, designed and developed alongside the Himalayan, our adventure tourer on Sherpa 450 platform, the Guerrilla is an absolutely gorgeous motorcycle. It is unique in design and mechanically characterful. We have had great feedback from World Press and from riding communities across the globe. We've continued to bring engaging rides and events for our community. We have also opened registrations for Motoverse 2024 and have already received thousands of registrations from our communities across the globe.

Earlier this week, we celebrated 20 incredible editions of pure motorcycling by flagging off our most iconic ride Himalayan Odyssey. For two decades, the Royal Enfield Himalayan Odyssey has been more than just a journey. It's been a symbol of adventure and relentless human spirit.

In keeping with our sharp focus on customer centricity, we introduced first-of-its-kind service for our customers, the borderless warranty

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program backed by a network of over 3,000+ Royal Enfield authorized service touch points in 70+ countries, this program offers a number of services under warranty across anywhere in the world for our adventurous riders, ensuring convenience and peace of mind.

On our sustainability, social mission and CSR journey, we launched our first green pitstop, Camp Kharu in Ladakh managed by local women. Camp Kharu will help foster local entrepreneurship, environment, sustainability and promote intangible cultural heritage protection, all in a differentiated way. This is the first of many planned in the popular riding roads up in the hills.

On our environmental, social and governance ESG vision, we have made steadfast progress. Over the years, we made significant efforts to design and develop our motorcycles in concurrence with principles of circular economy. Our motorcycles are designed for more than 97.5% of recyclability and reusability and then activities intensely continuing.

Over the years, our plants now consume 36% of electricity from renewable sources and are net water positive to the tune of 2.6x. We are also committed to send no waste to landfills from any of our operations. Looking ahead, we have an exciting year full of new launches after the Guerrilla 450 launch. We are now excited about upcoming new classic launches. We are focused on maintaining this momentum and continuing to grow as per our business plan.

Now I will hand it over to Mr. Vinod Aggarwal to take you through the VECV performance and updates. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind. Good evening, everyone. I am happy to inform that at VECV, we recorded our highest e

ver first quarter sales of

19,702 units in quarter one 2025 financial year. As you have seen, the Indian economy has remained resilient through this period of geopolitical turmoil, elections and monsoons, economic growth, including government investments in infrastructure spending is supporting VECV demand across all key sectors.

VECV continues to maintain its growth momentum in the CV industry with best ever first quarter milestones across all segments. Eicher heavy-duty trucks, we had the highest ever first quarter sales of 4,689 units as against 4,662 units last year first quarter and market share of 8.4% with Eicher brand. Light and medium-duty trucks, our first quarter sales of 7,842 units. Financial year 24 quarter one was 8,308 units, and we had the market share of 34%.

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Bus division, we had the highest ever sales of 5,232 units in the first quarter. And financial year quarter one was 4,842 units. Exports in quarter one grew to 1,192 units, registering a robust growth of 57.5% over Q1 of financial year 24. We continue to launch new products and variants addressing market needs. Our small commercial vehicle program showcased at the Bharat Mobility in January is on track with pre-production vehicles under going customer trials in real world operations.

During the quarter, VECV also formed a joint venture with iTriangle Infotech, which is now called VE Connected Systems to develop and commercialize next generation surround services linked to the transportation business. This joint venture will leverage our industry first 100% connected vehicle ecosystem and serve as a development factory for segment-specific embedded and digital solutions to serve Eicher customers.

Now coming to VECV's financial performance. For the first quarter, we had the revenues of ₹5,070 crores against ₹4,980 crores last year quarter one. We had EBITDA of ₹384 crores as against ₹387.2 crores last year. Our EBITDA margin in quarter one is 7.7% against 7.9% last year. Our PAT for quarter one is ₹319 crores against ₹180.5 crores last year.

Our PAT has significantly increased because of the write back of deferred tax, because now we have opted for the new tax regime at 25% tax rate. Earlier, we were at 35% tax rate. So the excess tax, which was provided earlier under deferred tax, that has been reversed. Basically, we were continuing under higher tax regime, because we had the unutilized MAT credit. So that credit has been completed last year. That's why now we opted for the current tax regime of 25% tax. So due to that, our PAT for quarter one is much higher than quarter one PAT of last year.

So back to you, Govind.

Basudeb Banerjee: Thanks, Vinod Sir. Can we start the Q&A session, Anubhav?

Vinod Aggarwal: Yes, please.

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Question-and-Answer Session

Basudeb Banerjee: Yeah. So participants kindly raise your hands to ask questions. So, first question is from Pramod Kumar. Pramod, please unmute yourself.

Pramod Kumar: Thanks a lot for the opportunity. So the first question is on the demand side. I think Govind and Siddhartha, would love to get your insights here. Because what we're seeing is in a very broad-based premiumisation trend across industries and sectors in India, for some reason, the premium motorcycle

category as the way you define it, about 250 is not seeing much of a thrust as such, despite entry of Harley, Triumph and even some of your product action as well. So just want to understand, given your extensive customer engagement, what you do, the kind of interaction you guys have at the dealer level and the riding levels as well.

So if you can just help us understand what explains this phenomenon? Is it just affordability, which is kind of really broken here? Or are we seeing downtrading? Or if you can just help, what are your findings when you go check in the market as to what's happening? So that's the first question. Sorry for the long one.

B. Govindarajan: I was expecting that to be the first question, Pramod. Let me just give you the context of the whole thing. India business, what is happening as of now. Currently, the two-wheeler industry and the commuter segments are seeing some very good catch up compared to the COVID time level, because that's what was not catching up. Now it is catching up. We could see it.

In fact, I was just going through the data, to put that straight, we have surpassed the pre-COVID levels in FY 24 itself. While many of the

segments are just seeing the growth from the base, which they are catching up. Middleweight, what is happening, the middleweight the entire motorcycle, which has seen only almost about 4 - 4.5 percentage of growth over the first quarter of FY 24.

If I have to say there's so much action, which was there in that middleweight, so many new entrants, a lot of store additions, a lot many actions which were there. In our understanding, it's a period of the whole confusion settling, sometimes the deferment can take place, because there is a bombardment of so much of information, which comes in about as an alternative. But currently, whatever is the claim, which was there I can tell you, I think Royal Enfield was able to do a very good retail. In fact, we are at a low-single-digit in retail during this window. So that's a positive sign, which we are seeing.

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When the market is growing, when your retail is better, there is also on the wholesale, probably we could have done more, but we also took a conscious decision because we went in for an auto replenishment model. So the right product at the right location. So we have to do a consolidation of that. And we also have something which is going to happen, very exciting and classic. So the inventory build should not take place in those areas. We were also cautious about it.

As I mentioned, the whole middleweight motorcycle as of now, has to pick the pace with respect to the rest of the motorcycle, which I see with all our actions, which are coming up and the too much of a noise which was there is slightly settling down. Very positive, it will start picking up in a few months' time, Pramod.

Pramod Kumar: So would we still kind of aspire to have a high single-digit growth for the said category as a whole for the year?

B. Govindarajan: I think, yes, directionally, because premiumisation is continuing. And so that's the -- there is no indicator which shows that this will not grow. I'm confident that it is going to actually grow. And our new products, as I mentioned, because the market also had to be grown, which we will be continuously working on.

Our Classic, which is

going to see a lot of actions where the focus is going to be. On Hunter, we are going to do a lot of brand building exercises. And on top of it, now we have launched the Guerrilla 450. It is just about a week, eight days old in the market, which is also getting a very good traction. That's why I see in the coming months, the growth pattern will be back.

Pramod Kumar: And Govind second question, leading into Guerrilla. So any plans for introducing Guerrilla as a trial product for a lot of your existing riding groups, what you have or which have many of them are voluntary, some of them are run by the dealers. Because there's one feedback which you get from dealers is that what helped RE connect to the customer back in the day during in say IT and other areas was the lending the bike for customers to ride for on experiential basis.

So is there a plan to introduce 450 to the existing customers and see how they respond to that product because that's a very big untapped customer base we have of several million of them, right? And is there a plan to kind of use this product to go back to them because this is something which can be used for commuting, this can be used for touring, has got all the performance is a world-class product in terms of specs. So any plans of rekindling that customer connect in terms of weekend riding and all of that? Are there any plans for that?

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B. Govindarajan: Thanks. I mean I don't need to explain, I suppose. Obviously, community connect and making community to enjoy our motorcycles, we always try to find very innovative ways of reaching out to them and give them a frictionless experience of your pure motorcycling. And as you're also mentioning, one such action is also reaching out to them and trying to get them onto the saddle of Guerrilla and they will

really enjoy the Sherpa platform's potential, which is there on a Roadster , which will actually help us to tap the market.

Pramod Kumar: And any booking numbers you're saying Govind on this or potential volumes, what you can do once ramp-up is done across domestic export?

B. Govindarajan: K platform as a whole, if I have to tell you Pramod, which is what, six months old, six months young baby , it is almost about 8,000 to 8,500 numbers per month is what we are tracking.

Pramod Kumar: This is just the Himalayan, right? Am I right?

B. Govindarajan: Because Guerrilla is on the ramp-up.

Pramod Kumar: So 8.5 is with Guerrilla, part of Guerrilla or it's excluding Guerrilla?

B. Govindarajan: Part of Guerrilla also.

Pramod Kumar: And if I were to push you on that, Govind, where would you think or at what level, if you don't hit what levels, will it kind of disappoint you?

B. Govindarajan: Look, I think if this question had been asked to us about a few years back, what would be the middleweight total number , and if I had said some numbers, I would have not been very happy because we always felt that the market can be grown.

Our fundamental belief is we can grow the market, and we feel here is -- it's a fantastic platform, which we have created. The first adventure tourer , which we have created, a category in almost about six months of its launch, we have crossed almost 32,000 motorcycle sales as of now, the Himalayan. And now Guerrilla also the same way which

we

are talking about. We do see there is a good potential for it, but we have to ramp up on the production, so that is also happening. And already we shipped almost 6,000 across India and internationally . The demand is high. It's on a positive note, Pramod.

Pramod Kumar: Thanks a lot. I'll come back in the queue. Thanks a lot.

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Basudeb Banerjee: Thanks, Pramod. The next question is from Chandramouli. Please unmute.

Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. My first question is on the VECV PAT number that was discussed. You said that there is a write-back in the deferred tax, which I'm assuming is one-of f. But going forward, would it mean that the tax rates on VECV will perpetually be assumed at 25% going forward versus historically , that was 35%. So is that sort of a structural 10% sort of Y-o-Y improvement in profit opportunity in VECV going forward?

Vinod Aggarwal: Yes.

Chandramouli Muthiah: Got it. That's helpful. My second question is related to Guerrilla capacity . So I think over the past couple of quarters, as the Himalayan has been getting introduced into more markets globally , you did mention that you had to keep upgrading production capacity on the Himalayan 450.

So just trying to understand when you are planning production capacity for the Guerrilla, which is slightly more affordable platform, I mean affordable price point on the same Himalayan platform, just trying to understand how you're thinking about production capacity in your current 1.2 million units annual capacity that you have just for these two parts?

B. Govindarajan: No. Overall capacity is 1.2 million Chandramouli, so 1.2 million to 1.3 million because capacity can be modularly increased. As far as the K Sherpa platform, 452cc engine platform. As I mentioned, we are almost clocking 8,000-plus units, and Guerrilla has just got launched. Whereas, in the international markets, it will get launched over the period of time. We are not a company wherein we will put the capital and then wait for it. We will always be looking at, and how they respond and how, do we actually enhance the capacity . But all the actions are there, and that's how it is slowly catching up.

I mean in case I have to tell you, even our 650cc platform from the time when we launched to now and the capacity unlock which has to happen, that also has been consistently happening, and we keep

investing on debottlenecking the specific suppliers and ramp-up of production. So we will and we can comfortably supply the K platform also according to the market demand in the next one or two months' time.

Chandramouli Muthiah: Got it. That's helpful. And my last question is on exports. So this seems to be the first quarter of wholesale growth in exports over the Eicher Motors Limited (EICHERMOT)

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past five quarters. So would you say that the export markets are now turning a corner for us now that we are able to introduce more and more 450 and 650cc models in a broadening range of markets.

B. Govindarajan: Look, I think exports, even still I have to tell you, the sentiments are not the way we are expecting even in the international markets. But what has happened is last year, we had our inventory corrections and all those things which we have

done up. And now as I mentioned last call also, we won't look at the wholesale as the primary key indicator for us. We'll always be looking at if there is retail traction. In Q1 FY '25, our retail sales have increased over Q1 FY '24, that's why our wholesale also has been becoming better .

I do see green shoots in the international markets. It's slightly opening up, but we are cautiously optimistic about the international growth, which is coming in time Chandramouli.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

B. Govindarajan: Thank you.

Basudeb Banerjee: Thanks , next, we have a question from Arvind Sharma. Please unmute yourself Arvind.

Arvind Sharma: Yeah, Hi, Good evening Sir, I hope you can hear me. Thanks for taking my questions. First on the Classic since you said the 2024 Classic is coming. Could you share some highlights with us? Is it just cosmetic changes? Or what are the kind of changes that you expect on the new model version?

B. Govindarajan: Look, I think Classic for us, it's a very important product that has actually opened up for our own growth. We had a lot of love, consumers had a lot of love. It is really , really the product which changed the Royal Enfield in the global arena. That hasn't seen any major changes in the model since the launch of the Classic Rebound which we did in 2021, when we were doing the J platform transition. For the Classic, the brand track study , which we normally do, it is showing it is quite strong across all pockets in India. So if I have to tell you, there are a lot many firms and clones trying to take a stab at it. The model is very resilient and continues to lead the segment. Now what we are looking at is, we are working on very exciting updates, collaborations. You will see all those things getting announced within a short span of time wherein you will see a Royal Enfield is now getting into the Classic in a very different note. So we'll wait for another week or so.

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Arvind Sharma: Sure. Thank you. Second would be on the Hunter , had a good volume at first launch, but over the last few quarters, the volumes have kind of stabilised. You did allude to some action there as well. Will it be primarily marketing and pricing driven? Or in the Hunter also, are you planning some update to the product?

B. Govindarajan: Hunter , I think we all know it has created a big mark in the segment and made a very good foothold in the young first-time motorcycle buyers. That's what we were looking for. And the model has a very strong identity of its own, and it is not impacted by the motorcycles of any other brand.

The first time buyer market is a bit muted, as I was mentioning, and we are trying to improve the model's spontaneous awareness because we launched it in August '22. It's almost what? It's about 1.5 years old, a new brand. So there will be a lot of marketing activation activities, which we will see in time to come. But the good news is, and we are

constantly working on the product also.

You will see something or the other which is happening even on the Hunter, what sort of a collaboration, which we are doing. In fact, we did a collaboration with Huelmn. We did a collaboration with Spotify. And all those collaborations are also really, really helping because it's a

building exercise, which we have to do to attract the younger consumers who have to come in. So the associations are also getting done in that way. So it is going to be more on brand building, market activation activities and getting the young consumers and first-time buyers to their customers. You will see those actions in the next few months, which are rolling out.

Arvind Sharma: Thanks, Govind. Just one more question, if I may, try my luck here. Apart from the product revamp in Classic, is there any other product that you plan to launch over the next, say, six months to a year? Any white space that you've identified and you want to fill that up?

B. Govindarajan: I'll come back to you, Arvind.

Arvind Sharma: Alright Sir. Thank you so much for taking the questions. That's all from my side.

Basudeb Banerjee: Thanks, Arvind. Next, we have a question from Gunjan. Please unmute yourself.

Gunjan Prithyani: Yeah, thanks for taking my question. I'm going to extend on the same topic which Arvind was getting into. In terms of a lot of actions, I

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think what you spoke about Hunter and Classic is again, a lot of thought around brand building. I mean there's no doubt that this brand is very, very credible. And what you've done is it's difficult to replicate. But what I'm trying to get at is how do you get the customer to convert.

There is interest in the brand. So what is it beyond these refreshes that we're looking at over the next and my question is not six months - I'm just wondering from next two, three year perspective, how should the product portfolio change so that we can be very confident about double-digit growth?

B. Govindarajan: Well, Gunjan, I think it's a very pertinent question for a brand which has got launched, where do we see how it is growing? Probably, I have to give it with an example. Any brand or any of the genre which we develop, let me take the Himalayan as an example. In 2014, when we launched, at that point of time, the category was not there. People are not able to relate to. And when we were doing it, we took almost just about sharing the number on the Himalayan sale, right, the Sherpa platform. It took 37 months for us to cross 30,000 numbers. We were building the brand, we were trying to see.

Now when we launched the new Himalayan, we crossed the 32,000 mark in flat six months. Now you can see it takes time to build the brand. But when you're building it, then what happens is the growth comes in at a disproportionate level. Hunter, as a product, we wanted to attract the young consumers and first time people who are not the Royal Enfield regular customers who are looking for the brand Royal Enfield in a different format. That's what we brought in Hunter. I think it has given us quite a good start and a sustenance.

Now what is more important is that when we do the brand track study in all those areas, in the rural market, still the brand salience is to be improved. So we have to do a lot many activities in the brand building. Second, in the urban market, what we are trying to do is now we are working with all the colleges and having a college connect to the young people. Thereby, they can get into the motorcycle, and there are different methodologies with which we are trying to work around to get the C

ollege Connect as a major program.

And the Hunter second tier is also going to be getting over. You will see the Hunter right across the country. So thereby, more attractions have to come in and the collaboration, which is required for the

youngsters to relate to, that yes, I relate to the product. So it's a brand-building exercise one has to do.

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But the belief is that this product, the way we wanted to land, has landed. It started getting us, the young consumers, first-time people. And that set is very huge. So let's continue our work in a sharper way, which eventually will get us a good number. That's the belief, and I think it is showing signs, Gunjan.

Gunjan Prithyani: That's quite helpful. I think Hunter clearly has a lot more potential. So we'll watch out for the scale up there. My second question was on the Guerrilla numbers that you mentioned and maybe I got them wrong, 8,000 - 8,500 for the Sherpa platform. Now this includes the Himalayan and a little bit of ramp up that you would have seen for Guerrilla. Is that understanding right? So my sense is 6,000 was the typical run rate that we were seeing for Himalayan. And incrementally, we are now in the ramp-up stage for Guerrilla. That's the way to think about it?

B. Govindarajan: Yes, you're right. And it is about a week to 10 days old in the market.

Gunjan Prithyani: Yes. Okay. Got it. And is there any insights to share as to how this product has landed or how you are trying to position this? Is it the mix of enquiries that you're seeing are people who are buying Royal Enfield for the first time? Or is it replacement, which is where this is landing more. So some thoughts on the positioning of the product from your perspective?

B. Govindarajan: It is a very early stage to say whether there are old timers, I mean, the existing consumers are upgrading or the new guys are coming in. But I can tell you, in the world when there are so many roadsters not having an identity, Guerrilla has brought in an identity for itself. And the start is very strong, and the reviews by all the people who rode the motorcycles, I'm sure you all would have seen it. It's all across the globe, it's very good. And it is on the Sherpa 450 potent platform. So it's a roadster and it's a take from Royal Enfield type of a roadster. You will see that positive trend, which is coming up in the Guerrilla, Gunjan.

Gunjan Prithyani: Okay, last question...

Basudeb Banerjee: Thanks, Gunjan. Please come back in the queue.

Gunjan Prithyani: No problem.

Basudeb Banerjee: So next, we have a question from Kapil Singh. Kapil, please unmute.

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Kapil Singh: Thank you sir for the opportunity. Just one question on, we saw a very good improvement in the average selling prices. So if you could share some colour there, was it driven purely by mix? Or you're seeing higher growth in spare parts and accessories? Some colour there? And also now that if you could also talk about the increase in pricing or commodity movement that you would have seen recently.

B. Govindarajan: Yes, Vidhya.

Vidhya Srinivasan: So Kapil, so I think as you rightly surmised, I think the growth in selling price is a function of two, three things. One is, of course, the product mix, because

use we have greater than 350cc that share is going up. And also, we've had an increase in the share of international markets, which also is kind of contributing. So it's a combination of these two factors, which is driving up ASP. We have not taken any price increases, as you know. As far as commodities are concerned, I think we've got an impact of about 0.6% as far as commodities are concerned. So that benefit is flowing through in the GC.

Kapil Singh: Great. And just on the spare parts and accessories, that is...

Vidhya Srinivasan: Yes. I think the share of spare parts and accessories are doing well continues to be trending at around 15%. So that also obviously, but not necessarily on an ASP level, but certainly it helps us from a GC standpoint.

Kapil Singh: Great. And the second or more broader question on the demand. There

were some factors that you mentioned in the first quarter , like elections and heat waves that affected demand. So now that all of these factors are over, is there some kind of improvement in demand that you're noticing? And also, last time, we talked about double-digit growth for the middleweight segment. This time, we were talking about single-digits. So has there been some change in growth expectations?

B. Govindarajan: There's no change in the growth expectation per se. As I mentioned, the middleweight in the first quarter . You all know there are so much of noises and actions which are there. It's all settling down. And our new products like Guerrilla, which is going to hit the market now festive season is catching up. We are going to do a lot many work on Classic. We have a lot of brand building activities and market activation activities, which are picking up in Hunter and in Meteor and all the products are GT cup, which has happened, which has brought in quite a good eyeball and interest on the Continental GT. So all those, which tends to make me think and believe confidently that the Eicher Motors Limited (EICHERMOT)

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market is going to come back within a short time at a good growth rate.

Kapil Singh: Thank you so much. Have a good evening.

Basudeb Banerjee: Thanks, Kapil. Next, we have a question from Raghunandan. Please unmute yourself.

Raghunandhan NL: Good evening Sir. Thanks for the opportunity . Firstly , on the Bullet volumes, there has been some decline YTD. How do you see the improvement here in the future? New generation Bullet, how are people accepting the product? Are there any worries relating to higher pricing of the new generation, removal of kickstart or the design? Just trying to understand what is restricting the acceptance here?

B. Govindarajan: Raghu, for Bullet, when we launched, there were always these discussions, which would come and we launched. It really had a very good start, and it had a good acceptance of the new Bullet in South, East, Central, and West regions. There are a few regions, which used to be the bastion market for the Bullet. There, we saw a little bit of slowness in the growth of Bullet, because that's where the Bullet is very important also for us.

Then we did a deep dive and we understood that there is a product intervention, which is required for those sort of bastion markets, which we have already started working on, and it will all be there well before the festive season in those markets also. So yo

u will see the

Bullet also picking back to the growth, which we launched. But I must tell you, Bullet in the market, which was not doing well, especially in UP, Maharashtra, where we've really wanted to get acceptance. It has really increased and acceptance has been very good.

Raghunandhan NL: And on the exports outlook, which regions are currently doing well for you and which regions are yet to recover? And also, if you can remind the broad breakup of exports across Europe, North America, and Asia?

B. Govindarajan: In the international markets, especially LatAm is doing very well because our CKD plant is also fully in operation. And Europe started showing good signs. That's another one market. APAC is just picking up. Individual areas, we can send you the numbers, but our market share in those areas, as I mentioned, retails have been very good. It's in the high-single digits, and that is continuing.

And we are seeing a green shoot in the international markets. And also in the international market, I have to give you a bit more

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understanding for everyone is what happens is, in fact, our Super Meteor , which we launched almost about a year back, we are just launching in a high number markets like Brazil and all, because it takes time for the homologation, different things which are there. We

have to time the market. There is a riding season, non-riding season all together. So our products will be entering into those markets only from now on. So to that extent, the international market, I see the growth is going to be better in this year.

Raghunandhan NL: Thank you. To Vinod, if you can talk about the CV industry volume outlook, Q1 had some impact of elections. How are you seeing the demand for the rest of the year? And Eicher has been doing well on the market share part. How do you see the focus on market share gains and also your thoughts on the current level of discounts?

Vinod Aggarwal: As far as the commercial vehicle market is concerned, I think first quarter and first, you can say, July month and as well as this month also because of the monsoons, market is right now, not doing so well. Even in the first quarter, even though the growth looked good at 10% in the first quarter. But that also we have to see that. Last year in the first quarter, the numbers were very low; base was small, because we had just moved to OBD2, and there was a lot of preponement of sales to quarter four of you can say 22-23.

So due to that, the growth that you look at in quarter one also, I would not say a good growth. And July, of course, the market has dropped. However, going forward, we are very positive. The fundamental reasons are very clear that, firstly, the economy is expected to do well. We are still talking of 7% plus growth in the current year. And then huge money is allocated for capital projects, ₹1.11 lakh crores. And we should also note that due to elections, nothing much has happened on the investments on the capital spends from the government. And of course, now it will also be a challenge that they will have to do this entire spend in the remaining part of the year. So therefore, still, nevertheless, the good spend will happen in the balance part of the year.

And then, of course, September onwards, there will be the festive season start

ring and replacement demand is expected to remain strong.

So therefore, I'm very positive as far as the balance part of the year is concerned. Commercial vehicle industry should continue the growth. And even though the growth may not be very strong, because there are also a lot of structural changes happening. For example, in heavy-duty trucks a lot of migration is happening towards higher payload trucks. That also results in reducing the number of trucks.

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But on the other hand, for all other fundamental factors which are in place, the industry should be doing well. Now as far as we are concerned, you have seen that we have been outpacing the market consistently. And even the month of July, also our light and medium duty truck market share was 38%. And in fact, we're consistently improving our market share and heavy-duty trucks also, we are continuously improving our market share.

Buses also, we are getting good growth. So therefore, I think we are expected to continue to do like that because one is that we are expanding our dealer network. We are opening more and more dealerships across the country, and that is also helping us to enter into the territories where we had been weak earlier. So therefore, that is also helping us.

And then, of course, we are also continuing to expand our product range. So we're getting into more and more applications and more and more segments. So therefore, we are expecting that we should do well. As far as the discounts are concerned, of course, there have been improvements. We have seen the results of the other companies. They have shown better margins. Even, in fact, our margins are still low. They are continuing to be almost at the same level as we were last year.

I think the reason is that my own belief is that when the heavy-duty trucks go up, the competition improved margin because they are making better money in heavy-duty trucks. So that is the reason. Otherwise, I think the discounts also should come down. So we are

very positive that price management is going to play a very big role in the improvement of margins in the entire industry, and we are very optimistic.

Raghunandhan: Thanks for the comprehensive answer, wishing you all the best.

Basudeb Banerjee: Thanks, Raghu. Next, we have a question from Jinesh. Please unmute yourself.

Jinesh Gandhi: First, clarification on Guerrilla volume. So you said "we have shipped 6,000 units so far" - This is reflecting in July or this is starting from August?

B. Govindarajan: It will start reflecting, partial quantity in July, but it will start reflecting more in August.

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Jinesh Gandhi: More in August. Got it. And you talked about auto replenishment model - shift to that. So can you talk about how it was earlier and what changes and did it have any influence in our wholesales in the recent months?

B. Govindarajan: Yes, Jinesh, I think you've got it. Auto replenishment is on a replenishment model. So earlier normally is almost about the forecast model. So there will be a dealer forecast. There will be a sales forecast and everything gets aggregated for an MRP run, and that's how we used to do the entire production. The production plan is against an indent. So now what

we're doing is that all have to go away because no one knows exactly at what model is required at what point of time and the dealer profitability to be protected.

So what we have done is we have gone in for the theory of constraint-based replenishment model. That is what we implemented in spare parts as a business almost two years back, which has shown us extensive gain as a business to us and to the dealer partners also. So to that extent, it had some impact on the wholesale because we never wanted anything which is left on an indent based.

Otherwise, what will happen is the motorcycles have to be moved from one place to another place. So to avoid all those things when the replenishment model was being cut over as a system, we were also cautious about building the inventory there by the wholesale.

Jinesh Gandhi: Okay. And what kind of impact would it have on the recent one wholesales?

B. Govindarajan: Percentage term, I will come back to you because we are still assessing about the availability of the motorcycle at that place. And because the festive season is coming. As a result, there will be always a multiplier for festive on the inventory holding. We are just doing it. But the intervention which we have taken that inventory build should not happen. And we maintained our dealer inventory only within about two, three weeks. So we haven't increased, you would have seen in the channel check everywhere. We have actually looked at keeping the inventory in the check during this time.

Jinesh Gandhi: Got it. And Vidhya, you talked about 60 basis point benefit of commodity. This is on Y-o-Y basis or on a Q-o-Q basis?

Vidhya Srinivasan: Yeah, Y-o-Y basis.

Jinesh Gandhi: Q-o-Q, would it be largely stable or there would be some benefit on Q-o-Q as well?

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Vidhya Srinivasan: I think largely stable, I would say.

Jinesh Gandhi: Okay. And you expect this to go up given commodity prices for some of the commodities have been changed?

Vidhya Srinivasan: I think it would take a braver person than me to predict commodity prices right now.

B. Govindarajan: I think aluminium is showing a bit of a pressure point. But what is happening is we have launched all the platforms. So the J platform, K platform, P platform, all those things which are launched. So the VAVE will start kicking in. So it will also help us over the period of time.

Jinesh Gandhi: Got it. And given we are looking at brand activation across models, should we expect a material increase in investment in marketing and branding going forward?

B. Govindarajan: Which is actually planned, Jinesh. So that's all planned in our P&L for the whole year. So you will see our investments, which will be there, but there will be an increased spend on the marketing and brand building to build strong awareness of the products which we talked about. That's also part of our rebalance, which we mentioned, the growth is the mindset with which the organisation has to go. And that's how we will see more activities, which will be taking place in time.

Jinesh Gandhi: Thanks and all the best.

Basudeb Banerjee: Thanks, Jinesh. Next, we have a question from Aryn. Please unmute yourself.

Aryn Pirani: Yes. I just wanted to go back to the Himalayan. While you are doing -- and this is more regarding the domestic market, you are doing

close to

3,000 a month. If I see the new Himalayan is doing as much volumes as the older Himalayan was doing. So my question is, A, is this something that you were anticipating? Are there any reasons why despite a completely new Himalayan and a much improved product, the volumes are still flattish compared to the outgoing model?

B. Govindarajan: Aryn, the Himalayan as I mentioned, in the six months' time of our launch, we have almost crossed about 32,000, including domestic and international. In a new product like this, because it's a new platform for us, okay? When it is launched and the existing 411 which had been there in the market, people do get it, it's an evolution, but the market

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will always be looking at initially how the product behaves. How is it getting accepted?

And consistently, the growth, as you're also mentioning reaching the older numbers. And now from there to go, initial consumers have to be very happy. That way this platform has got very good acceptance in the market.

The product got very good acceptance., and everybody could be able to link and desire to ride the Himalayan at the Himalayas and it is catching up. It's a Bruce Lee in the adventure motorcycle category, which people are experiencing. So that's how the growth will take place. It's on the right track. Let me put it like that Aryn.

Aryn Pirani: Okay. Thank you. And just going back to the Hunter, I think you earlier in the call mentioned that you were getting a decent amount of first-time buyers. So I just wanted to clarify, when you say first-time buyer, are you saying like first-time two-wheeler buyer because...

B. Govindarajan: Yes.

Aryn Pirani: Okay. Because Hunter is still expensively priced. I mean it's cheaper than your Classic and Bullet, but it's still a very expensive product.

B. Govindarajan: Yeah, Aryn.

Aryn Pirani: Broadly, what proportion of Hunter would be -- I mean, first-time buyer, if you can give us a sense.

B. Govindarajan: First-time buyers, maybe about 13%. 12% - 13% roughly in the portfolio level, and Hunter may be slightly higher, maybe about 19 to 25 percentage level first-time buyers. But there are players who are actually looking at upgrading because they want to own a Royal Enfield, which is a cool brand to hang out with. And that way, it is really helping us to get the younger customers to our fold.

Aryn Pirani: Okay, that's helpful. Thank you.

B. Govindarajan: Thanks.

Basudeb Banerjee: Thanks, Aryn. Next, we have a question from Prashant.

Prashant Kothari: Just going back to the recent kind of volume trends. I kind of hear that maybe there is some confusion in the marketplace about different options that the customers have and if the volumes are low. But if I were to kind of think about what was happening in a similar time last

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year when there were actually launches happening, a lot of around two new competitors coming in and that we launched even then our volumes were not kind of flat like what we have seen now. So I'm not able to fully appreciate the rationale that you are getting on these low volumes. If you can explain it.

And maybe the other reasons, other companies are talking about all reasons like elections and heat wave and whatnot, the other reasons for the lower of

fake that you are seeing?

B. Govindarajan: Prashant, I just have to give it in a slightly elaborate way. In the middle weight, if in case, it's normally we say what? Middleweight is at a particular price point, people have inclination to upgrade, inclination to buy because the price point is something there. If you actually look at who has gained, I don't think anyone has gained. So where are the customers?

So because we have 7.5 million unique customers who actually come and visit Royal Enfield website every month. So when we start looking at the leads and then trying to figure out even in all the markets we started looking at where exactly the consumer, why is it not getting converted?

And we go back and then start checking, everybody starts saying, "Yes, I consider it. But now I think I'm clear. I want to come back to Royal Enfield. So that's the confusion which I was talking about. Everybody was actually given a lot many options directly against Royal Enfield and all those things, that is I would say it's a deterrent in decision-making, and that is where we felt is a major issue there. It is subsiding, and that's how we are seeing walk-in inquiries going up. Even though, I mean, I must tell you heat wave and elections has had its own impact. I'm not saying no to that. Our walk-in was lower during that particular point of time. But the conversion rate has gone up. That's why retail has been good. We have grown retail in a single digit. Primarily the conversion had been very good. So as I mentioned, the confusion in the consumer's mind. In the consumer's mind when the clarity is there for decision-making, especially for middleweight categories, it actually helps.

As that is settling down, it will help us to come back because whoever has climbed very high volume. No one was able to actually garner volume and our retail has been very good.

Prashant Kothari: Okay. All right. Thank you very much.

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Basudeb Banerjee: Thanks. Due to time constraints, this was the last question. So over to BGR sir and Vinod sir for the last closing comments. Thanks.

B. Govindarajan: Vinod, anything from you?

Vinod Aggarwal: No, I think thank you very much.

B. Govindarajan: Thank you very much for taking time and attending our question-and-answer sessions also for this quarter one. All the best. I look forward to seeing you soon at the Motoverse.

Vinod Aggarwal: Thank you.

B. Govindarajan: Thank you.

Basudeb Banerjee: Thanks. We can close the call.

Call: Nov 2024

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November 19, 2024

Online intimation/submission

The Secretary
BSE Limited
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Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of group conference call

Dear Sir/Madam,

Further to our letter dated November 6, 2024 intimating the schedule of the group conference call held on Wednesday, November 13, 2024, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the second quarter and half year ended September 30, 2024, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

"Eicher Motors Limited Q2 FY-25 Earnings Conference
Call"

November 13, 2024

MANAGEMENT : M R . SIDDHARTH LAL – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, EICHER MOTORS LIMITED .

M R . B G OVINDARAJAN – CHIEF EXECUTIVE OFFICER ,
ROYAL ENFIELD .

M S . VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER ,
EICHER MOTORS LIMITED .

M R . VINOD AGRAWAL – MANAGING DIRECTOR & CHIEF

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November 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Eicher Motors Limited Q2 FY2025 Earnings Conference Call hosted by Avendus Spark.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing "*" followed by "0" on your touchtone telephones. Please note that this conference call is being recorded. I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you and over to you sir.

Mukesh Saraf: Thank you, Farah. Good evening everyone. Welcome to this 2Q FY25 Post Results Conference Call of Eicher Motors Limited.

From the management team we have with us, Mr. Vinod Aggarwal – MD and CEO of VE Commercial Vehicles; Mr. B. Govindarajan – CEO of Royal Enfield; and Ms. Vidhya Srinivasan – CFO, Eicher Motors Limited.

I will now hand over the call for "Opening Remarks" from Mr. Vinod Aggarwal first and then Mr. Govindarajan. Over to you sir.

Vinod Aggarwal: Hello everyone, and welcome to the Eicher Motors Limited earnings call for the 2nd Quarter ended September 30, 2024. Before getting into the updates for the quarter, we would like to thank our shareholders for the strong support towards the resolutions presented during the AGM that was held in August.

During Q2 we have seen continued momentum both at Royal Enfield as well as at VECV, and we will talk you through that in a while. I will first begin with a broad summary of the overall financials.

Coming to Eicher Motors consolidated financials for 2nd Quarter Financial Year 2024-25, our revenue, Eicher Motors clocked its best ever quarter two revenues at Rs.4,263 crores, marking a growth of 3.6% over Rs.4,115 crores from Q2 of last year. EBITDA margins Rs.1,088 crores versus Rs.1,087 crores in Q2 of last year. EBITDA margin percentage for the quarter stood at 25.5% as against 26.4% last year. Profit after tax Rs.1,100 crores, which includes 114 crores, as Eicher Motors' share of profits from VECV up 8.3% from 1,016 crores, which includes Rs.102 crores as EML's share of profits from VECV in quarter two of last year.

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I will now hand over to Govindarajan to take us through the business highlights for Royal Enfield. Over to you Govind.

B. Govindarajan: Thank you, Vinod. Hello everyone. At Royal Enfield we had a very busy and an exciting Q2 with several significant launches and announcements. During the quarter, we sold almost 225,000 motorcycles, as against 229,496 motorcycles in Q2 FY24. Out of this, in India, we sold almost 206,199 units. In the international markets, our volumes stood at 19,118 units. In the backdrop of the uncertain macroeconomic scenario, our retail volumes maintained the growth momentum in the international markets, 12% retail growth over the last year. This is the strong legwork that we put in Q2 of this year. We were able to achieve a very special milestone for Royal Enfield in terms of our festive sales performance this year, last month, that is in the month of October, we recorded our best ever sales performance in a month with more than about 100,000 plus 1 lakh units. This is a testament that our existing and the new motorcycles continued to perform very well.

We had a very busy quarter with a slew of product launches across multiple platforms. We launched the Guerrilla 450 Roadster on the Sherpa 450 platform. It's an amazing motorcycle, and we believe it's the best in the category. We have received great reception from the riding enthusiasts across the world. Earlier in August, we launched the 2024 Classic 350 in new colorways, and with upgraded features. The response has been overwhelming, really, and the new Classic is doing very well across India. With this, we also announced a very unique factory custom program, which is a bespoke, first of its kind motorcycle personalization program done at our factory in Thiruvottiyur.

Recently, you all would have seen at EICMA 2024, we launched two new motorcycles on our globally renowned 650 CC twin platform, the Bear 650 and the Classic 650. The Bear 650 is our new Scrambler, a motorcycle that perfectly combines authentic scrambler styling with

versatility and agility . It is based on our Interceptor 650 platform and has been launched in America and India and Europe as of now. We also launched the new Classic 650 our newest addition in the classic family offers riders a powerful new blend of old school aesthetics and effortless power delivery . We have launched the motorcycle in the UK and Europe. Retail in India will commence in January 2025.

EICMA this year saw a very special presentation from Royal Enfield as we showcased our all new electric motorcycle brand, the Flying Flea and our first electric motorcycle, the FF C6. We are approaching EV with the same singularity , focus and unconventionality with which we have grown the global mid-size market in the ICE world. We have made huge investments in growing our capabilities and capacities in the EV world. We have almost 200+ strong, competent EV team, dedicatedly working for design, engineering and dedicated commercial teams. We have already filed almost 28 patents in the EV world. Flying Flea by Royal Enfield is our new brand that will house our electric mobility ideas and is a blend of heritage and

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modern tech, which makes urban mobility effortless, exciting and fun. Under this we currently have two models, the Classic Styled FF C6 and the Scrambler style FF S6 which will be coming later . We are gearing up for the launch in early 2026.

Strengthening our global footprint, a new CKD in Bangladesh and Brazil has been established. We expanded our international presence and strengthened SAARC commitments by launching our first manufacturing and flagship showroom in Bangladesh. There is an incredible response from the riding community in Bangladesh and that has surpassed our expectations, in fact. With a growing interest in the brand, and as a reiteration of a resilient commitment to the market, we are happy to announce the establishment of our second CKD facility in Brazil starting January 2025. We continue to bring engaging rides and events for our community . We concluded the 13th edition of one ride, which has witnessed record participation of more than 41,000 riders from 66 countries. And as we are gearing up for the next edition of Motoverse later this month, on the 22th to 24th of November , I am very happy to share with you all that we have lots of exciting updates for the motorcycling community . We also have a very special motorcycle launch planned during this Motoverse time. I take this opportunity to invite you all to join us at Motoverse in Goa.

To conclude, we are halfway through the tremendously exciting year full of new launches. Started with the Guerrilla 450 launch, we are now excited about the customer response to our diverse portfolio, and we are focused on sustaining and further growing this momentum. Now I will hand over to Mr. Aggarwal to talk you through an update on the VE commercial vehicles. Over to you, V inod.

Vinod Aggarwal: Thank you, Govind. I am very happy to share that at VECV , we recorded our highest ever 2nd Quarter sales of 20,774 units, exceeding our previous record of 19,551 units in Q2 of 2023-24 with a growth of 6.2%. This was even more commendable given the context of the relevant commercial vehicle market that shrunk by 10.8%. So, as against the CV industry dropping by 10.8% we grew by 6.2% in quarter two. At the overall level, the Indian economy has remained resilient through this period of geopolitical turmoil and delays in projects and tenders during the elections and uneven monsoons. With the pro-growth budget prioritizing investments in infrastructure, we expect commercial vehicle demand to rebound in the second half of this fiscal year. We recorded several best ever 2nd Quarter milestones across segments. We are at number one position now in light and medium duty trucks, which is 5 ton to 18 ton segment with the sale of 9,565 units in Q2 and a market share of 36.5% in the segment. Our heavy-duty sales grew 8% in quarter two versus the same quarter last year. Our market share in this segment now is at 10.2%. We made sales of 3,984 units in our bus division and against 3,214 units in the same quarter last year .

In our parts business, both Eicher and Volvo combined, we recorded a robust growth of 27% over Q2 of 2024. Exports in Q2 were 1,130 units up 12.2% over Q2 of 23-24 despite

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disruptions in traditional markets. Margins remain under pressure in a competitive market as we successfully continued to invest in growing our heavy-duty truck presence. During this quarter , we also entered into an MOU with Baidyanath LNG Private Limited for the deployment of 500 Eicher pro 6355 LNG trucks. So, this is alternate fuel with LNG as a fuel, which we have introduced in the market. Deliveries have already started, and we will ramp up during the coming quarters. The MOU aims to facilitate the development of the LNG station network across various locations, to fast track the development of the overall supply side ecosystem, thereby aiding the long haul transport segment to switch to cleaner fuel. Coming to VECV financial performance, for the 2nd Quarter the revenues for quarter two are

5,538 crores, against 5,126 crores in last year of quarter two with 8% growth. EBITDA for Q2 are 395 crores as against 402 crores last year, with margins at 7.1% in Q2 as against 7.8% last year. Profit after tax for Q2 is 209 crores as against 187 crores last year. So, thank you all for being with us on this call today . We can now move to the question-answers. So, back to the anchors.

Moderator: Thank you very much sir. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may enter “*” followed by “1” on their touchtone telephones. If you wish to remove yourself from the queue, you may enter “*” followed by “2”. Participants are requested to use only handsets while asking a question. Ladies and Gentlemen, we will wait for a moment while the queue assembles. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi Good evening and thank you for taking my question. My first question is just around the average selling price on the Royal Enfield side this quarter . We've had a relatively stable mix in terms of domestic versus export quarter -on-quarter also, relatively stable mix in terms of 350 cc quarter -on-quarter . 450 has improved slightly quarter -on-quarter , but there seems to be moderation in ASP quarter -on-quarter . So, just trying to understand what were the factors that might have driven it?

Vidhya Srinivasan: So, ASP as you know , we haven't taken any price increases from last year to this year. However , our product mix and some share in the higher than 350 cc has come in, all of that is reflecting as far as ASP is concerned. So, largely it's all connected to product mix.

Chandramouli Muthiah: Got it, that's helpful. Second question is just around some of the launch related costs that we might have had around the Guerrilla during this quarter , just want to understand, there has been a visible pickup in other expenses quarter -on-quarter . Next quarter we have Motoverse as well. So, how should we think about sort of the run rate on the other expenses line item for Royal Enfield heading into the back half of the year?

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Vidhya Srinivasan: You are right. We have had new product launches wherein Guerrilla came in, we had the new classic 350. So, some of those expenses are booked in this quarter . And next quarter , we would be having some amount of festive season spending as well. Having said that, we have had about 12 crores, which is one off expenses related to warehousing costs which we built up as we move towards the festive quarter .

Chandramouli Muthiah: Got it, that's helpful. And my last question is just around the monthly trajectory . I think for a long time, Royal Enfield has been between that 70 to 85,000 units per month sort of trajectory . Festive season this year, we were able to exceed, sort of the 100,000 monthly trajectory . So, just want to understand the factors involved there, was there some tail wind from the ability to stock up ahead of the festive season on some of the new launches, and going forward into the back half of the year , how we think about channel inventory and potential monthly run rates?

B. Govindarajan: Too many things which we really bundled up to go to the market. First, let me talk about the product. We brought the new Classic with the fantastic new colorways, with features getting added into that, like USB chargers, LED lamps and all those things, which has a very good response from the consumer . Second in the heartland of the Bullet market, especially Punjab, Chandigarh, UP, Haryana areas, the Bullet sale was slightly coming down when we launched the Bullet with the J platform engine. And with the market feedback which we got, we also brought one more product which is Battalion Black. So, that also helped, so there are product interventions we brought in, and as Vidhya was mentioning, we built up inventory , we hired extra space, and we really thought that there is going to be a lot of traction this year. In the last call also I was mentioning that we will amp up the marketing initiatives in the coming months. So, we actually went ahead with full blown market activation which we called it as a “360 degree market activation” now, that has helped. We also worked on inventory funding for the dealers, the floor funding was also taken up. So, all these things have really helped in bringing in an excitement into the market. The Classic has started having very good response. The Bullet has actually surpassed some models, and that's also having a very good response. So, the new product and marketing activations, floor funding, all those things came together , and that's why the excitement got rekindled in the market.

Chandramouli Muthiah: Got it, that's helpful. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from BNP . Please go ahead.

Kumar Rakesh: Hi, Good evening and thank you for taking my question. My first question was on your international business, has there been any inventory built up during the quarter because changes in inventory have gone up in your P&L?

B. Govindarajan: Changes in the inventory is predominantly on the domestic side, we have been always looking at not to build inventory in the international markets, we are very cautious about it. We are not

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that sort of a company . Which we will always stand up and say, we won't build inventory . You will see the wholesale retail difference also, even in the domestic market we have the lowest inventory built in the entire system. We never do that. In the international market, retail is picking up, and our growth also has been in the high single digit. We are not building up too much of an inventory . I must also tell you why we are also going very cautious about it, is that there is a OBD2B transition which is going to come in from 1st of January of 2025. So, we also have to keep that in mind when we are building that inventory . So, it's not too much of an inventory on the international side.

Vidhya Srinivasan: Yes, it' s just a little bit of launch inventory .

B. Govindarajan: Yes.

Kumar Rakesh: Understood, got it. My second question was on your accessories, merchandise and spare part business. I understand that you don't give specific numbers, but directionally can you give a sense that, has the mix changed from last quarter to this quarter for the better or worse?

Vidhya Srinivasan: It's more or less steady .

B. Govindarajan: Yes, it's a steady business, we should understand one thing, I have explained earlier also. Our motorcycle accessories is directly proportional to the motorcycle sales, because most of - 98% of the conversion takes place only when the motorcycles are being bought. It is not during the life cycle. So, that goes along with that, when more SKUs are getting added, probably non motorcycles will keep going. Spare parts we work on a fundamental principle is that, parts availability even if it is a washer in the remotest corner , it should be available when it is required. So, customer satisfaction is the driving point for us in the spare parts business. But incidentally , the business is also in a very stable run, so both spares and GMAs are in a good run. In the apparel business, we took one more strategic review of the whole business, and we see the growth which is bouncing back even in this. In fact, some of you would have seen we also opened up an exclusive apparel store in Pune. As a pilot, we wanted to see the retail outlet, because people do want the brand to be experienced. So, we are also looking at an apparel retail strategy . How do we reach out to the consumer? They actually get us a business also but first is, how will we make our people to be the brand carriers of Royal Enfield and enjoy the brand motorcycling. That's what is the thought, so in a nutshell, all the business are stable, and it is growing.

Kumar Rakesh: Great. Thanks a lot for the detailed answer , just one clarification so you spoke about the one-of f cost of about 12 crore for warehousing. Can you just explain what that cost was and what's the strategy behind that?

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Vidhya Srinivasan: So, basically , the cost is on account of additional warehouse space. Obviously , while we might need it for a month or two, they will obviously give a contract for three months or four months.

So, it's basically an account of that.

Kumar Rakesh: And this is for Northern India, for the festival period?

Vidhya Srinivasan: Wherever required, it's spread across India.

B. Govindarajan: The warehouses cannot be built for a peak capacity . So, it is normally done through the entire C&F area sign off. As Vidhya was explaining wherever it is required, where there is a peak demand which will come up. So, you have to keep it on a variable basis. So, that's what she mentioned that we will actually have where the locations are, and we add it for three months time..

Kumar Rakesh: Understood and the units being kept here would be the dealer inventory , is that right?

Management: What, sorry , we didn' t get that?

Kumar Rakesh: So, you would be keeping the vehicles here. That would be on the dealer 's book, or our books for whatever period this would be?

Vidhya Srinivasan: So, this would be, the way we do this is we move from our warehouse to depot and depot to dealer . So, typically this would be some portion of it where we are just waiting for dispatch to dealer locations and we mix a bit, but lar gely our inventory .

Kumar Rakesh: Understood, Got it. Thanks a lot for that.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thanks a lot for the opportunity . Vidhya, before I start with my questions, just a clarification on this warehousing cost. It should be an annual phenomenon in that sense, because you will have to anyway have to pay it, say, every year or this time it was very different because you are calling it a one of f. So, just wanted to understand ?

B. Govindarajan: Pramod maybe, Vidhya you would like to clarify , then maybe I can even add, probably it is an every year phenomena. So, what we normally do is, we look at inventory overall and we always look that inventory should not be built. So, warehouse sizing, we would look at, how do we reduce. Every year when we are picking up the market momentum, the size of the variable warehouse which we are talking about as an add on for the festive season or marriage season, we size it slightly differently every year depending upon the market pool. So, this year,

we really wanted to build more inventory , so we have gone in for slightly higher space in terms of warehousing.

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Pramod Kumar: Okay . So, ideally would we expect this will continue next season as well or? I am just trying to understand?

B. Govindarajan: Ideally , sorry Pramod you are asking? Pramod, the highest sales season, "season-season" sale is one this, that's what is the Diwali, Dhanteras.

Vidhya Srinivasan: Diwali, Dussehra, Ganesh.

B. Govindarajan: And we normally do. We also mark the marriage season and the good times season across all the locations and wherever it is required we do that. For example, if I have to tell you at Onam, if in case we have to have a warehousing extra capacity required around the Kerala area we do that. So, it's a round the year phenomena, but whenever it is required, we will do that, we don't take it and then keep it idle.

Pramod Kumar: Yes, fair enough. And going back to the demand questions, basically the demand that came in for Royal Enfield was actually very, very surprising and we could see the marketing efforts, what you had with the full page ads and all. But I am just trying to understand how is the momentum after that, because is it like just they were customers on the sidelines who and with your marketing input, they came and made that purchase, and now we go back to the normal run rate or are you seeing the demand trajectory changing, or in terms of the walk-ins, the inquiries and conversion rates picking up even after the season and will you kind of sustain this marketing efforts, given the fact that once inventory rebuilds. Because what we understand from dealers is, many of the dealer locations had total stock outs of vehicles and I believe we have a very strong order backlog even for the marriage season in the up north market. So, I just want to understand how big was the marketing impulse on its own, and whether you will sustain it, and also on the financing schemes which are offered by the banks. Do you expect some of these to kind of continue as standard practice going forward, because I believe even that was a kind of a demand catalyst for the season.

B. Govindarajan: Yes. So, Pramod, I will go one-by-one. Question number one which you asked, how is the demand even now, was it only a festive time. Very certainly , from festive to post festive, there will be a change, but if we have to compare pre festive to post festive, how is the demand, pre festive to post festive now, the demand has gone up. So, the marketing interventions and the product intervention has really worked, and it is sustaining. Obviously , if you are looking at, will it be the same as the festive time, will not be. But pre festive time with the old Classic, old Bullet and not having enough stock in the respective areas. Floor funding not fully signed up, and the marketing activity is not there. With all those activities I am seeing now, in the month of November , in the last 10 days, the traction is very good, inquiries have been very good, walk-ins are also very good. So, that's a very positive sign which we are seeing, that's on the demand side. Second, you talked about the funding.

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Vidhya Srinivasan: Bank offers and the bank schemes, Pramod as you know a lot of our financing is basically through the retail financing options, not so much the bank financing option. So, we really didn't have anything specific which is bank of fers or something like that for the festive season.

B. Govindarajan: And the third Pramod, you are asking about the sustenance program of the marketing initiatives. Even in the first quarter call, which I was mentioning, we will be doing "mother brand" level marketing campaign and a "product" level. During festive, you would have seen the first time we came with the range advertisement, because we wanted the consumers to see the full range of motorcycles of 350 cc and 450 cc platform, this has really worked. And we also have the cadence which is done up now for this quarter and coming quarter on all the products which we have launched already , and some of the products which are just getting launched, or almost launched about a week back, for all those things the marketing and market activation will continue in time to come.

Pramod Kumar: Okay , and Govind just want to elaborate a bit more on the demand response, because it was surprising to see that in a city like Mumbai or Bangalore or Pune, which are mature market, pretty mature market, dealers had the best ever Diwali in terms of the kind of run rate they had, the kind of order books they had. So, I am just trying to understand, what is the read from you guys in terms of whatever analysis you did or feedback you got from dealers, as to what is driving this kind of comeback, and is it like and the certainty or sustenance of this, because this is something which is not expected by even many Royal Enfield dealers, the older dealers. So, I am just trying to understand what has worked, just the marketing on its own or I am just trying to understand, because we understand this better we have better visibility on future demands. So, please.

B. Govindarajan: Pramod, during this time, the middle weight segment had a lot of activities and actions and noise. So, last time also I was mentioning that any amount of marketing effort which we would have done would have been an over emphasis on the same point, it would have gone into, saturated place. So, we held back market activations and all those things, but we wanted to enter into proper market activation activities around September time onwards. We also clubbed it because we had to go to the market with the good news. That's why we launched our Classic, with all the new fresh colors, with the additional features added into the motorcycle in Classic, we launched the Bullet in the market where we were losing market share because of the Bullet dominant areas. Floor funding was not available at some places, and the market activations, including what we have not done, like radios and print ads and whatnot, all those things have rekindled the interest in the brand Royal Enfield, which predominantly for us the proxy is Classic. So, the Classic interest has brought back the consumer more and more into the showroom, and that has helped us to the conversion. It is supported by the funding and supported by the finance available, all those things. We also came out with an incentive program of the retail for our front end staff, not Royal Enfield, through the dealer princ

ipals

and that also has worked. So, we packaged everything and we really thought that let's go all
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out and see how the interest can be kindled and the desire is brought back. The demand is only an outcome. So, the desire is back, there is an interest which I am just seeing once again with a lot of positivism, and that's why the brand is actually now vibrant once again.

Vidhya Srinivasan: Just to add to that, if you remember Pramod, let me just add, last call BGR has pointed out that while retail may not necessarily be showing it, but the inquiries have been up, and they have been consistently up, so there is always curiosity but there's a little bit of wait and watch type situation that was happening as we believe as far as consumers were concerned, and all the launches came in and we are looking at all the options available. But during the festive season, when they have to, essentially or, want to buy, at that point in time, there was enough call to action which came together and which kind of, culminated in the numbers.

Pramod Kumar: And Vidhya related to that, how do you see the margin outlook given the volumes are back, hopefully we will continue, there's a bit of shipping mix, but exports will come back as well, and there's marketing effort. So, as a blend of all of that, how do you see the margin trajectory from here on because this quarter, there has been a bit of a waiver on, there has been a flavor of margin, but not a big one, but if you can just help us understand how should one look at, think about the volume versus profitability?

Vidhya Srinivasan: There are two, three parameters to margin. Of course, I have heard plenty from all of you on how you know absolute margin is what we should look at, and that's what we are looking at, but the two, three parameters to that is, from a product mix standpoint we are seeing the international mix doing quite well, which would be helpful as far as margin is concerned, commodity prices, we are not seeing any major pressures, what we are doing is that, wherever we are doing specific interventions at a product level, we are not necessarily reflecting that in the margin. We are just making sure that we are passing on benefits to customers where we can and that is also kind of showing up in some of the traction that we are getting with customers. So, frankly, I am not chasing positive margin, but absolute margin. We are happy, and the trajectory is quite okay.

B. Govindarajan: The key takeaway, which has to be as Vidhya was mentioning, is growth is the focus and what we are looking at as she was mentioning is, add value back to the product, to the consumer, and get the value proposition better more and more, and use all the levers which are available for getting the growth is what we are looking at, scale, value engineering, anything which is required we will continue to do that, as the commodity is not at the head width, which is also helping us in keeping it in margin also.

Moderator: Thank you. The next question is from the line of Aryn Pirani, from JP Morgan. Please go ahead.

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Aryn Pirani: Hi, Thanks for the opportunity. Actually, my first question is on VECV, we have seen a strong market share growth in the business, but margins have remained a bit under pressure especially in this quarter. It's down both Y-o-Y and quarter-on-quarter whereas most of your peers are actually showing, improving margin. Now, obviously every company has a different strategy, but how should we think about margins going forward in this business and what cost line items are impacting the margins here, is it gross margin which is impacting it, or are there some fixed costs or other expenses, which we are investing in, which are leading to this decline in margin despite the revenue growth?

B. Govindarajan: No, we are gearing up for a larger growth. If you look at first six months, the industry has dropped in 3.5 ton and above industry, it had dropped by around 2%, even though we have grown by 3.5% and quarter two of course, our growth is much better than the industry dropped by almost 10.2% or 10.3% and we grew by 6.2%. So, we are doing much better than the industry, but still there is more leveraging that we are looking forward to and we are very sure that the industry has more potential to grow, because the first half has not been so good for the industry because of government's over spending on CAPEX and uneven monsoon and few other factors, but the second half we are very confident that the industry should do better. So, therefore, there is no concern as far as the gross margins are concerned, but the expenditures we have to leverage more, and I am sure we should be able to do better, and we should also see that we are more of consistent performers on the margin even when the industry had not been doing so well in past, during COVID period or otherwise, we were the only one who were making it. So, therefore the sight that the competition has improved margins in a better manner. But of course, we should also have better impact in the future period with more leverage. That's what it should be.

Amin Pirani: That's helpful, sir. And, if I can, maybe ask a follow up. Is there a broad target for margins that you can share with us, are you looking at 8% as a level, are you looking at double digit maybe going into next year any broad idea targets would be helpful.

B. Govindarajan: No, we don't give any targets on the margins. But of course, fundamentally the margins have to be better, so there's no doubt on that.

Amin Pirani: Okay, understood. And just going back on the Royal Enfield bit, I am just wanting to get back to that pricing and margin question. So, if I look at the mix, quarter-on-quarter, it is largely stable to slightly improving. The Himalayan mix is definitely improving. So, as you think of margins going forward, I know you are now focusing on growth and on the per vehicle EBITDA. Is there a kind of a mix that we are seeing, within the Classic lower variants or are we, how should we think about the variants within Himalayan and Classic, which are driving the growth at least right now and what is the initial response to the Bear and the Shotgun and the Classic 650 as well?

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B. Govindarajan: I'll go from the reverse, Bear 650 cc I'm sure all of you would have read, what is that, it is a 1960 inspiration from Eddie Mulder race at California that's an inspiration on a 500 cc of Royal Enfield. And that's an inspiration so we thought that we should get that momentum back into the motorcycling world. So, we launched Bear 650. Just launched, so I don't even know how many days now, from EICMA to now, maybe about a week's time. It's an outstanding product, so people who want to have his own path, and he wants to ride in his own space, and there is a lot of social media buzz around that product. Classic 650 is another thing, it is in high demand, which has been there for quite some time, from all the consumers, even from international markets, that we need a Classic 650. So, both the products have come in and are answering that call. As far as the model mix which you are talking about, in every product we have varianting, so our varianting strategy is always depending upon the CTG, depending upon the features which are there. And we have always seen our higher variants sell better. So, when it is not that we are saying the lower variant is bad or something like that, but always we have found in all the models, the higher variants sell better. So, to that extent, the margin we do see a betterment because of the higher variant selling.

Amin Pirani: Okay, Thanks for that.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening sir, congrats on a strong festive performance. My question was on, when we look at demand, you do sense that industry demand is also good or showing signs of revival, or most of the improvement is more attributable to the actions you have taken, and also between rural and urban what would be your rural and urban mix currently and are you noticing any different trends over there?

B. Govindarajan: So, two questions which you have asked, am I seeing the market growth, if I have to tell you about the market growth, the market has grown for during this festive time, maybe about 6%, 7% that's the market growth in the ICE during the festive time, and our retail has been almost 26% growth. So, that's the kind of traction which we had in our retail. The second, which you asked us, on urban and rural. Rural, the demands are going up and you all know, let alone the two wheeler or overall also, the urban growth rate is slightly lower that we are seeing it even in all including our motorcycles. But now, there are some products which are urban centric too like say, Guerrilla 450, now we are picking up those areas where it has a higher traction, and we are going to work on it during these two quarters on that product, because it is being a new brand, new product. We have to work on that product, and we are seeing it, especially in an urban context. It has a higher traction and a higher interest, and that's where our focus is also going to be there, on the market activations.

Kapil Singh: And may I know your mix also, how much is the rural and urban mix?

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Vidhya Srinivasan: It's very difficult to comment specifically, I would say that about, one third I would say is.

B. Govindarajan: It's a rural one.

Vidhya Srinivasan: Yes.

B. Govindarajan: And also it varies from product-to-product.

Vidhya Srinivasan: Geography-to-geography, because for example we have got pretty good traction in the East.

B. Govindarajan: For example, Himalayan might be having a higher traction in the urban market, and Bullets and Classic has some good traction in the rural market. Hunter used to be very high in the urban market, now I am seeing there is a traction which is coming up in the rural market. So, product-to-product it varies.

Vidhya Srinivasan: Some of our top 10 cities are continuing to do quite stable. Bangalore, Pune and all that.

B. Govindarajan: We don't cut it as an urban rural and then see how it is working. Rather, we will start looking at which product has what sort of a traction on the interest in which area, depending upon that, what is that the market activation to be done is, what is the focus which we are bringing in from September onwards.

Kapil Singh: Okay, great to hear that. Just a small one, if you could just share what is the current inventory level that you have?

B. Govindarajan: It's about three weeks max, that would be two and half to three weeks as an inventory. It has actually, some of you have raised now, there is some stock out situation which has happened.

So, now we are actually going back to building some inventory in locations. So, because our retail during the festive season has been very, very good, we are positively surprised to be honest, and that has really made us to do an MRP run and at faster pace, which we did it slightly ahead during this time, and seeing the momentum of retail, which was taking place now, the production is getting amped up an inventory build will take place at a faster pace where it is required. Having said that, we are not a company, we will build excess inventory, we have what is called as a replenishment model, what is taken out has to be replenished. So, now wherever it is below the replenishment norm level, that's where the focus is, there to build back that norm quantity.

Kapil Singh: Okay, great. Thank you very much and best wishes.

Moderator: Thank you. The next question is from the line of Binay from Morgan Stanley. Please go ahead.

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Binay: Hi team, Thanks for the opportunity. My first question is, a few things that we talked about on the Royal Enfield side, our market intervention, some support for retail staff. Are these costs already reflected in Q2 or will they come more in Q3 because Q3 is the more retail heavy quarter?

B. Govindarajan: It is mostly flooded into Q2, some amount will flow into Q3 too, because some of the, for example, the incentive payout has to be calculated only after the incentive is completely there, the retail is squared off, and the reconciliation is done. So, probably some payment will go in this, and some areas which we have closed the entire billing on the 30th or something like that, few areas which we have already closed, so some amount may flow into the Q3.

Binay: Right. And the second is more an observation, it does seem that the company's and it's a right strategy it is pivoting a little bit away from margin to growth, because when we look at some of the margin drivers which is increasing export, rising 350 cc share on a Y-o-Y basis, we have seen them move up quite sharply, but yet the EBITDA per unit is flat. So, is it fair that now you guys are in a way focusing more on absolute volume growth, and that's why these initiatives have come in, then just targeting something on margins?

B. Govindarajan: Bang on, we are an absolute growth and absolute EBITDA value, not on the percentages.

Binay: No, I think that's the right strategy to sort of make the brand more affordable, accessible.

Thanks team. Our best wishes for the future.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Hi. My question pertains to this marketing step up which we have done during the 2nd Quarter and beyond, any sense on what could be the impact of that in our 2nd Quarter performance, and how should we see sustenance of that?

B. Govindarajan: So, marketing activations are two, one is the total launch. During a launch, what happens is, you create an interest, so there will always be a spike on the general inquiries. The second is about sustenance. So, what do I sustain over the period of time thereby the call to action is becoming better. So, the funnel is becoming better, the conversion is becoming better. September was a step up time. That's what, even in the last quarter, I was just telling, that we will step up the marketing activities in the next quarter, and we bundled everything during the festive, which has really worked. What does it mean, any desirability is created, It's not an

overnight phenomenon. So, the actual top to box of their brand recall is becoming better , and the consideration is becoming better . And now I am going to actually support it with the sustenance activity , more product level. That's how I am seeing even in the first 10 days of November , pre-festive time to now, I am seeing a good growth. So, that's the positivism I am

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seeing for the kind of an activity which we have done, and it will be supported with the sustenance activities to time to come.

Jinesh Gandhi: Okay . And this sustenance of growth post festive, would it be also attributable to the marriage season, which is expected to be fairly large in November this time, is marriage season a big catalyst for growth, retail demand for Royal Enfield as well. We know it's a very large contributor to the commuting segment, but for Royal Enfield is that very large, does it lead to a spike in demand?

B. Govindarajan: Yes, motorcyclists also get married, isn't it?. So, it's not that we are married to only motorcycles.

Jinesh Gandhi: Yes, fair point. And lastly , with respect to, there is stability in mix – both in domestic product mix and export contribution as well, but we have seen decline in ASPs and gross margins. So, what are we missing there, why is this divergence in terms of mix and gross margin, commodities also should have been stable on Q-on-Q basis. What are we missing over here?

B. Govindarajan: Vidhya explained that our ASP is actually controlled by two things. One is about the model mix and the higher share of 350 cc in the Q2. That's predominantly the ASP drivers, there is somewhere it is an increase, somewhere it is a decrease. Better product mix, more than 350 has increased something and international market has, it's predominantly a model mix.

Jinesh Gandhi: Okay , got it. And on exports are we seeing you mentioned 12% retail growth in broader exports is what we have indicated in 2Q?

B. Govindarajan: Yes.

Jinesh Gandhi: And any market share ?

B. Govindarajan: The retail in the international market has been better , which is almost about retail is actually growing, which is higher than the wholesale by about 12%, inventory stocking is not taking place too much. But as I mentioned, for everybody the market internationally , especially in Europe, is going to be very different because of the OBD2B situation. There will be a lot of pre-bookings and pre-registrations, all those things which will take place. So, we are very cautious about those inventory buildup, because that's what has happened in one year. We don't want to repeat that, so there should be no inventory , it should be a pull. The way we are looking at a market activation in India, even in the international market, market level, product level, the mix which we are trying to do, and then see what sort of a marketing initiative which has to happen. And we are picking up one by one. EICMA is a starting point, every year which takes place. Now we have some areas where there won't be any riding season, so we will slightly lower it. Some areas where there are a lot of international trade shows, which will

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continue there, we are going to have our set up in a bigger way. For example, in EICMA this year, we have actually taken almost about 7,500 square feet of area because we really felt that it's an important marketing activity for us as a brand, and it has got accepted very well. In the month of November , we have a big Thailand show which is coming up. That's an important thing for us. So, like that, country wise we are picking up and then start working on the market activations, even for the international markets.

Jinesh Gandhi: Got it. Great. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: Hi, Good evening sir and thank you for taking my question. Just one clarification in the inventory part, where you did say the current inventory , is it possible to share the inventory going into the festive season. Say September end versus where we are now?

B. Govindarajan: You want the exact number , I can tell you.

Vidhya Srinivasan: Obviously , we built up before the festive season, and now we are down to two, three weeks for those dealer inventory . So, we have liquidated quite a bit.

B. Govindarajan: We have to accept that, if I remember right Pramod was raising, there is a stock out situation in some of the dealer points which we are filling the inventory back. That's an inventory situation. We have drastically reduced inventory .

Vidhya Srinivasan: But having said that, even when we went up to the festive season, we didn't do too much of an inventory build-up, at max our wholesale to retail inventory was very limited. So, we did what was right, and we kind of maxed out our inventory completely .

B. Govindarajan: If the question is to figure out, if the inventory is so low, will the wholesale be like that, and how is that and all, I can tell you very straight, because December is coming, because OBD2B

is going to come, so we have to be very cautious about inventory . We will not actually build inventory anticipating anything. And now that our system, which we explained to you even in the third quarter last year, about the replenishment model, the replenishment model has also taken routes, and now it will be actually on a replenishment basis, so that we will hold the inventory and the dealer will pull the inventory whenever it is required, within almost about 48 to 72 hours. That's a SLA which we are signing with all of them. So, 48 is what we are driving for more and more.

Arvind Sharma: Got it, sir. Thank you so much for this. And this thing has been referred to in the previous part of discussion as well. But if you see the other expenses on a quarter -on-quarter basis, they have gone up. You said, part of it is for warehousing, but going forward, taking into consideration
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the various programs this quarter including the Motoverse, how much of this increase on a quarter -on-quarter basis is something that will sustain?

B. Govindarajan: In the second quarter , maybe Vidhya can add more, 2nd Quarter obviously we had launches, and there are expenses around that, and some amount of EICMA expenses which were booked on that. Quarter three once again, as I mentioned we will continue to have sustenance expenses for the marketing, may not be very high like the launch expenses, but there will be marketing expenses more and more. Somebody asked a question about the calculation and payout, whether it has been done for the entire incentive scheme, which will happen in this quarter . So, it may not be spiking like what has happened in the previous quarters, but there will be expenses on the marketing related thing continue, because we want to continue the sustenance of market activations for the product and the brand in time to come. But if that's what we say - growth.

Arvind Sharma: Got it, sir . That' s all from my side. Thank you for taking my question.

Moderator: Thank you. The next question is from the line of Raghunandan NL from Nuvama. Please go ahead.

Raghunandan NL: Thank you sir and congratulations on the strong festive season. My question is on the Bullet model. Bullet had a decline in H1 but in the festive period there was a growth, dealers indicate Punjab, Haryana, UP, Rajasthan, the launch of battalion black, which highlights vintage design, supported sales. So, can you talk about the importance of launching this product and do you see the pent-up demand which was coming back?

B. Govindarajan: Two things, first is as an organization, we were quick to accept the fact that maybe the product intervention is required. Normally , our product intervention takes a longer period of time. But the Bullet dependency on a few markets was very high. One is to the consumer second is to the dealer viability . When the dealer spoke to me, in fact we all sent a team there to understand more what is it they want, then we have understood that, there are some things on the Bullet, few features which they really felt is what they can relate to as a Bullet, like a bench seat and a rear shrouded tail lamp holder , these two are the major things for them. In the absence of it is not reflecting like a Bullet. I am not buying. In those areas did we lose the market share, may not be, did we lose the business, Yes, we started losing business because the consumers were not taking a decision to buy. So, the dealers were also having a huge pressure on their profitability . When we launched in those markets, and the Bullet 350 got a very good response from all of them, which you are also mentioning, was there a pent-up demand which has helped us during the festive season? Yes, undoubtedly , yes it has helped because, as I mentioned we have not lost the market share, the people are not taking a decision. Those people took a decision during their festive season and the availability of Bullet, but in the month of November , which is hardly about say about 8, 10 days in this time also, the inquiry
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of the Bullet in those markets continued to be positive. So, it does mean the product got accepted, the peak would have been because of the pent up but now earlier to the Bullet decline, now the decline will not be there the decline is arrested let me put it like that, with the introduction of the battalion black.

Raghunandan NL: And dealers indicate they hardly have one week of inventory here. So, is it fair to assume that going forward with the battalion black plus low inventory , the outlook seems to be good.

B. Govindarajan: Yes, that's why I said. We run the MRP normally , we do it around the 25th to 26th. So, this time around the 20th and 21st we found that the traction had been very good, so we started running it. So, we also started working with the vendor base, and our plan to build up production numbers higher and the team is working on it to build the minimum norm quantity of the inventory in all the locations, and we are on top of it.

Raghunandan NL: Thank you, sir. My second question was on the financing ratio, has there been any increase in that and financing schemes like 5.99% interest rate, would the cost of the scheme be borne by

the financiers?

B. Govindarajan: Finance penetration is somewhere around 61.5% to 62%, around 62% is the finance penetration. What is the second question you are asking whether we will bear, we don't bear any costs.

Raghunandan NL: Yes, that was the clarification. So, it is borne by the financiers?

B. Govindarajan: Yes, we don't subvent, we don't do all those things, we don't bear any expenses.

Raghunandan NL: Got it sir, thank you very much and wishing you all the best.

Moderator: Thank you. The next question is from the line of Priya Ranjan from HDFC AMC. Please go ahead.

Priya Ranjan: Just a couple of questions. One is on the international side, so we are seeing some kind of pickup. And some of the geographies we have been doing exceptionally well, particularly Latin America, et cetera and you have entered, probably Turkey, last year sometime, earlier this year probably and Mexico, these two are very large two-wheeler markets. So, if you can throw some light on the ramp up potential in these markets, and these are, since, large two-wheeler markets. So, can we see the new peak in the export market very quickly, or it will take some time, it will grow at its own pace. And secondly, on the dividend policy, now we have a substantial chunk of the cash pile up and every year we are probably throwing up more than say (+5000) crore, in terms of broadly in free cash flow, et cetera. So, can we expect better dividend policy going forward?

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B. Govindarajan: So, maybe you can go from the rear, dividend policy Vidhya can add, then I will come to the wholesale India market.

Vidhya Srinivasan: Our board has been very receptive to whatever investors are looking at, et cetera and we have kind of revisited our dividend policy, and I am sure the board will continue to keep looking at it and seeing wherever steps need to be taken and now to the next question.

B. Govindarajan: So, on the international market, if I have to tell you, we have almost retailed around 59,000, 59,500 motorcycles in this year compared to last year, it is almost about 12% growth, which is also there, in fact 20% growth. What is happening, market-by-market once again, because if I paint the picture for all the international markets there is a problem, first let us go with Latin America, Argentina, Colombia you all know, still there are some weaknesses in the market, because there are issues which are going around in that area. We are also consciously looking at it. We have our CKD plant, our team is there, products are there, local developments have done up. But the market is not so positive, or I don't see it as a very jubilant market. So, it has to stabilize. So, when it stabilizes, we are there with the full thing. Thailand, you all know the banks are slightly tightening so more and more. So, we have started working with a bank, in fact we are going there to talk to them and figure out what is that we have to do and all. You talked about Brazil, Brazil to overcome the quota issue, we have come out with the second CKD plant also, which is required for us to get a higher quota. Because the quota was not available, I have actually asked the team not to go for a further retail outlet increase. Now that our CKD plant is coming into operation by December time frame. We are opening up the retail outlet also. So, that's going to give growth, because as a company we are very touchy about our ecosystem's profitability for the long term. So, now, we will go for expansion of the retail outlets in the Brazil market. So, that's going to be a growth which is going to come. And the products are also very well accepted. Himalayan, just got launched, and it's getting accepted, it is a market for those sorts of products. In the outside market, New Zealand and other markets are not very high, but Australia is a very good market for us. Australia had all the interesting issues and all those things now, I am seeing the green shoot. So, the acceptance and the product, there is a bit of a velocity which is taking place in the market which is a good sign, in the SAARC our focus had been, how do we enter into the market. How do we grow the market, we entered Nepal, which has been stabilized now and this quarter, we went into Bangladesh, and all these unrest issues and all those things, I can happily say that there is a huge booking backlog at Bangladesh, which is a very good situation, which it is very positive surprise for us, also that in terms of number of bookings of motorcycles out of Bangladesh for Royal Enfield. Europe, still it has a bit of an issue. But now what is happening is, because the inventory corrections are done in all those areas now, their vehicles are getting filled, there is a retail momentum which is taking place. So, time to come. I

don't see a major jerk in the

international market, but the growth will be gradually going up. It won't be that there will be a blip in one few quarters to say, wow it has doubled, that's not the case. But will it have a

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positive trend, Yes it will have a positive trend in time to come, because all the activities are

actually aligned to that, and the market is also showing like that.

Priya Ranjahan: And just specific on Mexico and Turkey , because these are two large two-wheeler markets where the potential is there, you have also entered. So do you think those markets can become much bigger than probably Brazil itself is right now?

B. Govindarajan: Possible, you are absolutely right. Mexico, we have been managing it from our North America subsidiary . And now what we are looking at is, looking at the growth pattern in Mexico and the potential which is there in Mexico. Now we are moving a team exclusively to focus on the Mexico market. It's just a few months back activity in that particular market. You will see the results which are coming out of it in time to come.

Priya Ranjahan: Sure. And just on the Guerrilla, it looks like more of an international product also, apart from the up mark the bigger city product in India. So, now we have a number of the name plates in various motorcycle segments, and the end customer is very, very different, the classic customer is very different. The classic customer is very different than the Bullet customer and the Guerrilla customer will be very different. Similarly the Himalayan customer will be very, very different. So, how do we try to tackle the marketing because, now we have a plethora of products the moment anybody enters your showroom, you have around 10 to 12 name plates, or maybe nine to 10 at this point of time, but eventually it will keep growing. So, how do you want to tackle the marketing of dif ferent segments, dif ferent sub segments, of consumers?

B. Govindarajan: It's a lengthier point to be honest, maybe we can have a chat when we meet up also, but for everybody's understanding, because you asked specifically about Guerrilla. Guerrilla is a roadster on a 450 cc Sherpa Engine platform, and this is we said, a real roadster without any flashy frills and not very plastic and it should look like a good bike to ride, and those who want a motorcycle with a bit more power , bit more speed and a different kind of an authority to ride this. So, we brought in this, and the consumers who are actually looking at this are not the Classic consumers, Classic and Bullet consumers are very different consumer set. They are looking at a particular form factor and particular riding stance. And those consumers are not considering Guerrilla. Guerrilla is being considered by young guys who have a thought process of comparing it with the rest of the motorcycles which are also available in the market, where Guerrilla stands up as the best motorcycle. So, when somebody walks into the showroom, first and foremost is, on a digital level we also are on a customer 360 platform. So, someone who comes in and then gives his phone number , we actually know what is his interest, and our conversation starts from his interest, from the cookies which he left with us at different locations and where he has visited, what he has actually worked and talked to us on, and all those things, with all those things only we are actually talking to them and then making them to take purchase decisions. So, it's a very different product, every product I can explain to you, that will be a huge discussion point. Maybe we can pick tha

t up whenever we meet.

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Priya Ranjahan: Sure, great and thank you all the best. Just lastly , just to try to squeeze one so, now we are probably close to a million odd sales and annually our annual capacity is 1.2 so when can we see the next review of the annual capacity?

B. Govindarajan: Every year during the budget cycle, I am sure Vidhya will be asking how much money you guys want to enhance capacity , which she will also say, don't put too much money into productivity . So, that's a continuous discussion, which happens in the company . In the coming year also, it will happen. But as I mentioned, it is about 1.2 build capacity in most of the areas. In some areas, we have gone up to 1.4 also. So, it is possible for us to enhance that capacity with a short notice, with an investment.

Priya Ranjahan: Sure, Thank you and all the best.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

B. Govindarajan: Over to you V inod.

Vinod Aggarwal: Thank you very much for very good participation. And of course, we look forward to Q3 now. Thank you very much. W e sign of f with that.

B. Govindarajan: Thank you all.

Moderator: Thank you everyone. On behalf of Eicher Motors Limited and Avendus Spark that concludes this conference call. Thank you all for joining us and you may now disconnect your lines.

Thank you.

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Call: Feb 2025

February 15, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of group conference call Dear Sir/Madam, Further
to our letter dated February 03, 2025 intimating the schedule of the group conference call
held

on

Monday,

February

10,

2025,

please

find

attached

transcript

of

the

aforesaid

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held

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discuss

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results

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the

third

quarter

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ended

December

31,

2024,

pursuant

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Regulation

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the

SEBI

(LODR)

Regulations,

2015.

The

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available

on

the

website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records. Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

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Eicher Motors Limited

"Q3 FY '25 Earnings Conference Call"

February 10, 2025

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EXECUTIVE OFFICER – EICHER MOTORS LIMITED

MR. B. GOVINDARAJAN – CHIEF EXECUTIVE

OFFICER - ROYAL ENFIELD & MANAGING DIRECTOR –

EICHER MOTORS LIMITED .

MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER –

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MR. VINOD AGGARWAL – MANAGING DIRECTOR & CHIEF

EXECUTIVE OFFICER - VECV & VICE CHAIRMAN --

EICHER MOTORS LIMITED

MS. VIDHYA SRINIVASAN – CHIEF FINANCIAL OFFICER –

EICHER MOTORS LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

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Moderator: Ladies and gentlemen, good day, and welcome to Eicher Motors Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you, and over to you, sir .

Mukesh Saraf: Thank you, Darwin. Good evening, everyone. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in. From the management team, I'm pleased to host Mr. Siddhartha Lal, Executive Chairman, Eicher Motors Limited; Mr. Vinod Aggarwal, Vice Chairman, Eicher Motors Limited and MD and CEO of VECV; Mr. B. Govindarajan, M.D., Eicher Motors Limited and CEO, Royal Enfield; and Ms. Vidhya Srinivasan, CFO, Eicher Motors Limited.

I'll now hand over the call to the management for opening remarks, post which we'll begin the Q&A. Over to you, sir .

Siddhartha Lal: Hi. Good evening, everyone. This is Siddhartha Lal here, and welcome everyone to Eicher Motors Limited earnings call for the third quarter ending December 31st, 2024. This has been a landmark quarter for us at Eicher Motors with significant milestones and strong performance across both Royal Enfield and our joint venture with Volvo VE Commercial Vehicles Limited. We've recorded our highest ever quarterly revenue EBITDA and profit after tax in this quarter . Starting with Royal Enfield. We've had an incredible few months. And our commitment to pure motorcycling has translated into strong domestic growth, making this our best ever quarter . We launched 2 very special motorcycles, the Goan Classic and the Scram 440, both rooted in authenticity and purpose-built design.

The Goan Classic introduced at Motoverse, which is our annual event in Goa, is inspired by the free spirited motor culture of Goa and a place that's long been a haven for riders and for Royal Enfield as well. The upgraded Scram 440, first unveiled at Motoverse 2024, was launched now and is an adventure tourer crossover, built for those who want a motorcycle that's fun in the city as well as on the trails. So it's multipurpose that way .

This quarter also marked a defining moment in our journey towards the future of mobility . We took our first steps into electric mobility with the debut of our EV brand - Flying Flea and the progress in delivering our promise. Beyond our product launches, one of the highlights was the 14th edition of Motoverse, where we had nearly 10,000 riders that came together to celebrate the spirit of motorcycling. It was a powerful reminder of the vibrant community that we have at Royal Enfield, and that fuels our journey towards a way forward.

And as part of our social mission to support 100 Himalayan communities, we concluded our first ever edition of Journeying Across the Himalayas, which is celebrating the region's natural beauty, culture and traditions through artwork, photography, installations, highlighting the deep connections between its ecology and people.

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Moving to VECV now. We had a strong quarter as well with market share gains across the board, across business segments. We just concluded our exciting participation in Bharat Mobility 2025 at VECV, where we showcased a wide range of alternate energy products, including electric buses and trucks and new small commercial vehicle platform, Eicher Pro X. Overall, the performance at Eicher Motors Limited has been superlative, and we've registered record-breaking performances of best ever across revenue, EBITDA and P AT.

So coming to the financials, our consolidated financials for Eicher Motors Limited for third quarter FY 24-25. EML clocked its best ever Q3 revenue at INR4,973 crores, marking a growth of 19% over Q3 last year. Our EBITDA is at INR1,201 crores versus INR1,090 crores last year same quarter. And EBITDA margin stood at 24.2% against 26.1% last year. Profit after tax is at INR1,171 crores, which includes INR164 crores of share of profit from VECV for EML, up 17.6% from INR 996 crores last year.

I'd also like to take a moment to briefly tell you about some key leadership transitions that were approved at the Board meeting today. The Board has appointed me, Siddhartha Lal, as the Executive Chairman of Eicher Motors Limited. Vinod Aggarwal has been appointed as Vice Chairman, Non-Executive of EML, and that's of course, in addition to his continuing role of Managing Director and CEO of VE Commercial Vehicles Limited, our joint venture with Volvo.

B. Govindarajan has been appointed as Managing Director of Eicher Motors Limited, while, of course, continuing as CEO of Royal Enfield. Additionally, we have appointed Ira Gupta and Arun Vasu, they have been inducted on Eicher Motors Limited Board as Independent Directors.

We're also bidding farewell to our Chairman of 25 years, S. Sandilya, who steps into retirement. He has been with Eicher Group for 50 years, so over around 5 decades and has really been a guiding force at Eicher, shaping the company to what it is right now. And he's had a huge influence on our culture and our performance.

On behalf of all of us at Royal Enfield and VECV and Eicher Group, I express my gratitude to Mr. Sandilya and wish him all the very best for his new chapter in his life. We also like to thank Manvi Sinha, who retires as Independent Director after the completion of her tenure of 10 years. Manvi has also had a great impact on the EML Board, and we wish her all the very best.

And yeah, I'd like to heartily congratulate the next 2 speakers, both Govindarajan and Vinod Aggarwal, on their expanded roles at Eicher Motors Limited, and look forward to their leadership, their support, their experience in driving EML forward to the next phase of growth. I now hand over to Govindarajan to take us through the business highlights for Royal Enfield. Thanks. Govind, over to you.

B. Govindarajan: Thank you, Siddhartha. At Royal Enfield, we continued our strong growth momentum with exceptional performance in the third quarter. During this quarter, we sold 2,69,039 motorcycles, which is up by 17% on Y-o-Y from Q3FY24 basis. And in India, we sold

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2,41,971 units, up 13% from Q3 of last year. While our volumes are steadily improving, the premium more than 125cc segment itself is also showing witness of healthy growth. We have had a strong retail growth of 7% in the sales of motorcycles in FY25 (Apr-Dec); (12% during the festive period) in India. And Q3 has seen the highest ever domestic retail for Royal Enfield.

In the international markets, we shipped 27,068 units in Q3, an increase of 71% over the last year. Based on the strong groundwork we laid in the first half of 2024, and detailing and planning our launches, strengthening our operations, refining our market approach, ensured we're all well positioned for the months ahead. With the right products, promotion, pricing and presence, we created the perfect momentum, leading to our best ever festive season and a historic milestone for Royal Enfield.

Even as the industry volumes slowed down, we recorded positive growth. It's a testament that our existing and the new motorcycles, which we launched, is continuing to perform very well. Some of the recent launches like Bear 650, Goan Classic 350, Bullet Battalion Black has done very well, very well accepted by the community. And each motorcycle that represents what Royal Enfield stands for, pure purpose-built motorcycling.

The Hunter 350 crossed a milestone of 500,000 sales, cementing its place as one of the fastest-growing motorcycle globally. That reflects its versatility appeal across the diverse markets. I'm also excited about the progress we are making in electric mobility that Sid spoke about. At CES in L.A., we announced our collaboration with Qualcomm Technologies, a key

partnership in delivering advanced connectivity to our customers. There's an incredible response for that.

We are also preparing to launch the limited edition Shotgun 650 in collaboration with ICON Motorsports. It will be only 100 motorcycles, which will be available worldwide. It's a true collector's edition. It's a step forward in nurturing the global custom build community. Beyond motorcycles, we have expanded our retail presence with 2 exclusive apparel brand stores, one in Pune and other one in Gurgaon. These stores offer a premium range of riding gears, helmets and lifestyle apparel that combine safety, function and style.

At an operation, we inaugurated our first fully-owned CKD plant in Thailand, a milestone that further strengthens our commitment to the Asia Pacific region. Globally, we have maintained our market share in the key markets. Royal Enfield is a leading middleweight brand in the UK, Number 1 there and among top 3 in Europe, holding 8.5% of market share across several countries in the region. In the Americas, we hold an 8% market share. And in APAC, we have reached 9% market share in the middleweight.

This quarter, we also had Motoverse 2024. We had nearly about 10,000 attendees, of which 69% of the people are first-time riders into the motorcycle festival. We took the REOWN, which is the second-hand motorcycle, used motorcycles of Royal Enfield to the next level by expanding to almost 256 cities across India, making pre-owned motorcycle transaction smoother and more accessible for our consumers.

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We have a great start at awards and our motorcycles have received great recognition. Guerrilla 450 got the Premium Motorcycle award from Motoring Awards and Apparel Brand of the Year. We also got the Manufacturer of the Year and Viewers' Choice, the Goan Classic. Classic 350 is the most Googled bike by Acko Drive. Internationally, Royal Enfield's Bullet 350 won the Gold Award in the Foreign category at the 2024 Japan Bike of the Year Award.

On our environmental, social and ESG journey, we have made tremendous progress. Our Vallam plant has been awarded as the Sustainable Factory of the Year by Frost & Sullivan IMEA Manufacturing Excellence Award. Eicher Motors continues to feature among the leading automakers in the Global Corporate Sustainability Rating in S&P and DJSI assessment for 2024. Eicher Motors is among the top 30th percentile in the global autos.

We also maintained our position as #8 out of the 90 in global autos in the Sustainalytics ESG ratings. With several launches and initiatives which are lined up, we are well prepared for our growth journey in India and global markets. With that, now I'll hand it over to Mr. Vinod Aggarwal, MD and CEO of VECV, to take you through the VECV performance and updates. Over to you, Vinod.

Vinod Aggarwal: Thank you, Govind. I will start with the industry updates. In quarter 3 financial year 2025, total commercial vehicle industry in the relevant market segment declined by 1.7% year-on-year to 1,17,161 units. This was primarily due to softer HD trucks and LMD truck segments, which contracted by 5.4% and 4.4%, respectively, and a 1.4% dip in the 3.5 to 5-ton range. The drop in truck sales is attributed to lingering softness post Union Elections and the uneven monsoon in many parts of the country.

In contrast, bus demand remained very strong with HD bus surging 30.8% and LMD bus rising 10.7%, lifting the overall bus volumes by 17.3%. Exports total industry volume grew a modest 0.3%, reflecting geopolitical challenges impacting many markets.

Now moving to the VECV performance in quarter 3, in this context, VECV delivered a strong performance, recording its highest ever quarterly and YTD sales with 21,012 units in quarter 3 of financial year 2025, surpassing the previous record of 20,706 units in quarter 3 of financial year 2024. This performance was driven by strong performance across key segments. Eicher performed strongly in the LMD truck market with a 36% market share. Q3 sales, 9,702 units despite a marginal volume margin drop.

In the heavy-duty truck segment, Eicher sold 5,428 units, 8.9% market share, while combined, the heavy-duty sales market share of Eicher and Volvo stood at 5,964 units at 9.7% market share, reflecting competitive resilience despite sectoral challenges. VECV's bus business performed very well, posting its highest ever Q3 sales of 3,749 units, up 10% year-on-year, with a 20.7% market share, supported by robust demand for LMD buses, 3,151 units plus 12.3% growth year-on-year.

Reflecting our growing service and parts network, VECV parts business also hit a quarterly record with sales of INR708 crores with a growth of 25.6% year-on-year. Exports surged 44.5% to 1,192 units despite disruptions in South Asia. YTD VECV total volumes grew 2.8%

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to 61,488 units with market share in more than 3.5-ton segment, including exports growing to

18% vs 17.2% in financial year 2024.

EBITDA margin, excluding OCI onetime income for the quarter grew to 8.8%, growing 0.8% over the same quarter last year, reflecting better cost management and pricing discipline. At the recent Bharat Mobility Global Expo 2025, we launched our small commercial vehicle in the 2 to 3.5 ton segment, the Eicher Pro X. The Eicher Pro X is launched electric first.

Deliveries to the customers will begin shortly .

Coming to the financials for VE Commercial Vehicles, third quarter financial year 24-25, VECV revenues rose to INR5,801 crores, up 5.8% from INR5,483 crores. EBITDA margin at INR509 crores, up 16.6% from INR437 crores of Q3 of financial year '24. EBITDA margin as a percentage to net sales is at 8.8% as against 8% in Q3 of 2024. Profit after tax (Non OCI) at INR301 crores, up 44% from INR209 crores of Q3 financial year '24.

I now hand over back to Siddhartha for any last remarks.

Siddhartha Lal: Yes. So we've had a great performance in quarter 3, and that's put Eicher back on a really strong growth trajectory . And I'm sure we'll carry this forward momentum into quarter 4 as well. Our trust on priorities and objectives continues to be in line with our overall strategic vision, and we're confident that we'll build on this strong growth momentum.

So thank you all for joining the EML's earnings call, and we now move over to the question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touch tone telephones. If you wish to remove yourself from the question queue, you may press “*” and “2”. Participants are requested to please use handsets while asking a question. Ladies and Gentlemen, we request you to please restrict your questions to 2 per participant. You may rejoin the queue for follow-up questions. We will now wait for a moment while the question queue assembles.

Moderator: The first question is from the line of Kapil Singh from Nomura. Please go ahead. Kapil Singh.

Kapil Singh: Hello, Can you hear me

Moderator: You are audible, sir .

Kapil Singh: Ok yeah thanks for the opportunity and congratulations on a strong set of numbers. Sir, I first wanted to understand if you look at the quarterly performance, it looks like the strategy that we outlined seems to be playing out well. We had come out with some new variants and there seems to be a pretty big response from the customer .

So is this -- I just wanted to understand how you are thinking about this? Is this something that you intend to continue? Was this a temporary action? And then we've seen some sharp increase in other expenses in particular . So if you could just help us understand, are there any nonrecurring items or these are normalized business expenses?

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B. Govindarajan: Yes, Kapil, Is this question for Royal Enfield I suppose

Kapil Singh: Yes yes

B. Govindarajan: So , Royal Enfield during the festive season, we really did very well. And in this quarter , we - our retail has grown by almost about 19%. Our product actions, which we have taken on the Classic 350, Bullet Battalion Black and all the new launches with, as mentioned in the last call also, about the elevated marketing campaigns and our inventory build-up preparatory for the festive season, everything worked very well.

As I mentioned, it is ours is a growth focus. So all our actions in the company will be aligned around the growth. We have to, all the new products which are launched, all the brands which are to be supported, so that activity will continue. Even in the month of January , it has been very good. Wholesale growth for the middleweight motorcycle industry was almost about 7% in April to December '25 despite all the noises and the new entrants.

We will be continuing to focus on expanding the middleweight segment and strengthening our product positioning in the markets. We will ramp up our brand awareness for Classic 650, Goan Classic and Bear 650 and Guerrilla 450, which are all in our focus. Yeah, we are also building and scaling up our initiatives like REOWN, assured buyback, which are all gaining traction.

The motorcycle industry , as such, has seen a muted growth after the festive period, but the middleweight segment has been sustaining the growth. And we believe we can outgrow the motorcycle industry in the long term, and that's where our actions are all aligned. About the onetime expenses, maybe, Vidhya?

Vidhya Srinivasan: Yeah. I think other expenses, to your question, we had 5 major launches in Q3 of this year. We had Bear 650, new Classic 350, Bullet Battalion Black that BGR talked about, the Classic 650, Goan Classic, against one major launch in last year's Q3. Apart from that, we also had an EV brand launch. We unveiled the Flying Flea brand in EICMA this year and also several regional activities in Europe against building the brand.

So approximately , we've had about INR70 crores incremental spend in Q3 for launches as compared to the previous year. Out of that, almost INR20 crores is towards the EV brand

launch and events. I think apart from that, we also spent a little bit additionally on on-ground marketing activation of about 0.9% this quarter versus last year. So I think that basically explains the mix of our big swing in our other expenses. I guess your question is, yes.

B. Govindarajan: Around that cost. So it's one time, yes.

Vidhya Srinivasan: Some of it is onetime, yeah.

B. Govindarajan: I hope that answers, Kapil.

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Kapil Singh: Yes, sir. Understood. And just the second one is on VECV. We've seen pretty strong margin expansion over there. So very strong growth in EBITDA. So any more details you can share like what was the driver for margin expansion over here and if it's sustainable?

Vinod Aggarwal: No, it's fundamentally better cost management and better price management. There is no specific reason otherwise.

Kapil Singh: Ok ok thank you, sir. That's all. I will come back in the queue.

Moderator: Thank you. We have the next question from the line of Aryn Pirani from JPMorgan.

Aryn Pirani: Yes. Thank you for the opportunity. I had a question on exports. Obviously, you have seen a very strong recovery in exports, but partially, the last year's base was also impacted because of a lot of headwinds in the individual markets. Can you give us some context of how the markets are doing? Because we had a phase in which Europe was going through a tough time for the market itself. US was having its own issues. Also, if you have some views on this tariff-related concerns, which are building up. So how are the individual export markets doing, if you can give some context?

B. Govindarajan: Hi Aryn, you know last year, you all know we talked about the inventory corrections and all those things. This year, for us, the international market performance has been very good. We have sold around 70,000 units in international markets from April to December '24. That's almost about 35.5% growth for the last year. More importantly is the retail growth has been very good. It is tracking ahead of the wholesale throughout the year.

Now the focus is more and more on retails. It's almost about 8%, 9% higher than the wholesale. Markets which are leading the growth are UK, Brazil, Italy, Europe and North America. We have seen, we have also started Bangladesh, and we have also done the CKD, and we opened one of the largest flagship store in Dhaka. So we are also entering into the new markets.

As I always mentioned, international markets, we are cautiously optimistic. Though there are - the sentiments are slightly weaker, we see our positions are getting cemented over the period of time. In the coming year, our focus will be more on the brand building. And in some markets, we are taking over direct entry through our subsidiaries and all those things because we see it as a good market for us in the long term.

So as of now, the international market is, it is doing well. Not that the macros are behind, but we are going slowly and steadily, and our progress has been very good, Aryn.

Aryn Pirani: That's good to know. Just on the Thailand CKD plant, any broad sense as to what kind of capacity we're looking at? And what is the kind of annual potential for you in that market? And also an update on what's the CKD capacity in Brazil? I think you were going to expand that as well. So some recap there would be helpful.

B. Govindarajan: Yes. So Thailand, CKD is - I mean, we signed up with a third party almost 3 years back. Now we have understood that the market is good. And for future, we have to have our own set up

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because the depth of manufacturing also has to increase. So we have gone ahead with our own manufacturing facility.

That facility is scalable. As of now, we are operating only in one shift, which can deliver almost about 5,000 to 7,000 motorcycles a month because we are also looking at that base from there, what are all the other markets which have an FT A, which can be made use of.

So it's under exploration. There are finer details which are being worked out. But as I mentioned, it is scalable because the depth of manufacturing is not very high in Thailand. So to that extent, speed at which we wanted to do to scale up will be higher. That's about Thailand. And Brazil, which you have asked, so we actually gone in for the second CKD plant, and that is almost in the final stages. The market is good. So at some point of time, because of the quota non available, we put the expansion on hold.

Now with our CKD facility, which are coming up, and now we are looking at slowly opening the retail outlets also. So we are bullish about that market in time to come.

Aryn Pirani: Ok thanks for that. I will come back in the queue.

Moderator: The next question is from the line of Pramod Kumar: from UBS. Please go ahead.

Pramod Kumar: My first question is regarding the growth versus profitability pivot. So we clearly have made a

transition focusing our pivot towards growth. And I think we've seen the benefits of that in the festive season. But just trying to understand, have we found the right balance in terms of the value proposition to the customers and the marketing effort? Or is there more to this as we kind of go forward?

I'm just trying to understand where will the marketing efforts and the other market-driven activities will kind of settle? I'm just trying to get a directional trend, are we kind of satisfied with the balance between volume growth and margins what we have currently seen in the quarter adjusted for the one-of fs, of course? So just any thoughts on that, Govind, Vidhya, you would say, please, that would be very helpful.

B. Govindarajan: So Pramod, as an organization, as we have been saying, we are a growth-focused company. And all the products which we are launching, we are actually adding value back to the products. We haven't increased the pricing. We were ramping up our brand building activities and the market activations during this time because that's where we felt we have to do more work on all the new products which are launched.

Like Classic 650, Goan Classic, Bear 650 and the 450cc Sherpa engine platform Roadster, the Guerrilla, which is an outstanding motorcycle, all those motorcycles, we have to do the brand building activities and the market activation. So that will continue. So it's -- as we are adding value back to the product and the marketing activation and support, which we have to do and brand building activities, growth is the focus.

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So now specific to the profitability, we always have been mentioning "profit absolute pool" is what we have to look at.

Pramod Kumar: Okay, so yeah. Okay, Govind, but I'm just trying to understand, have we found the right balance is what I'm trying to get at. Are we satisfied with the kind of efforts we've put in and the result of what we got in terms of the market response or the consumer response?

B. Govindarajan: Yes. We have to constantly keep looking at how the market dynamics is and which are all the areas, which product has to be looked at and support has to be done. So the balance is not that we have one answer for it. As growth focus requires, from time to time, we'll keep doing that.

Pramod Kumar: And the second question is on the demand response, Govind, because we've been kind of seeing weak demand for the last few years, of course, outperformed in the motorcycle category. But yes, generally, there's been a bit of a sluggish demand going into the season and all of a sudden, the demand came in.

So I'm just trying to understand what you were trying to do: a bridge of where demand was on a monthly basis before the festive or the market share before monthly -- before festive and where it is today, could you just help us understand how much of this is led by existing inquiry converting to actual purchase?

And how much of this is kind of win back from competition? What was there in terms of some bit of confusion in the minds of the consumer with so many brand launches, right? So if you can just help us break down the components, and also how many of them are new customers, which are helped by your additional reach on the semi-urban, rural side?

And any color on the regional performance? At different regions, how they have responded during the festive season? And also, any final thoughts on how you're seeing demand post festive because January was very strong.

There could be a year-end phenomenon there. But how are you seeing demand as you stand today based on all the inputs what you have on walk-in inquiries to all those inputs what you have?

Moderator: Thanks, Pramod.

B. Govindarajan: Yes. Too many questions you put it in one thing Pramod, but let me just try to address. First is across the funnel from inquiry till up to the conversion, through this inquiry, bookings and then wholesale and retail, everything, we have been consistently growing during the last quarter. In fact, in the last quarter, we reached a market share of almost about 10.5% in the 2-wheeler industry in motorcycles.

What is happening, as I mentioned in the last call also, is that we will start looking at product by product, which requires a market support on our brand-building activities. We will up the game in that area. That's what exactly we did. We also found in the markets during the festive season what sort of an inventory which we have to keep, that we activated.

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Our Classic, Battalion Black, all those products, whatever the market activities which are to be done, that also has been supported. So all put together, it has actually really worked. And now there is a positive momentum, which I'm seeing, and that's why you also mentioned January also has been the growth. That's continuing.

In time to come, there will be more market activation work, which we will continue because some of the brands like Guerrilla and all, we have to do a bit more work in the brand awareness itself. And Hunter, we will be doing some activities. There are some new products which we have lined up. So we are positive about the growth continuing as of now.

Pramod Kumar: Thanks a lot, Govind. I will join back in the queue.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Before you go ahead and ask your question. Let me remind participants that they may press “*” and “1” to ask questions. Gunjan, you may proceed.

Gunjan Prithyani: Thank you for taking my questions. I just wanted to clarify the onetime impact, Vidhya, that you called out. It's INR70 crores, which is to do with the launches in EV, and you mentioned 90 basis points additional. Is that understanding correct, both your 90 basis points and 1.4 percentage points, which is INR70 crores, both of these are nonrecurring as we look into the next couple of quarters? Is that understanding correct?

Vidhya Srinivasan: Let me just clarify. INR20 crores out of the INR70 crores is on account to EV, okay. And obviously, this is based on the launch intensity, and if we have more launches, there will be some launch spend. I mean, but yes, broadly, that is the way to look at it.

0.9% is what we've spent on on-the-ground marketing activation. During the festive, again, like I think BGR has pointed out earlier, there could be, depending on, our focus is on growth, and therefore, we keep looking at our marketing intensity from time to time, yes?

Gunjan Prithyani: Okay. That's clear now. And the other follow-up around this I had was that, of course, you've done a lot of value addition in terms of your Battalion Bullet and Classic also. And there were no price hikes taken on those. So is there any pricing intervention that we took towards the end of the quarter or something that is due as you see the response to these interventions quite positive?

And while you cover the price hikes, if you can also talk a little bit about OBD related impact that you may see in the next couple of months?

Vidhya Srinivasan: I think as far as Bullet Black or we haven't taken any pricing interventions towards the end of the quarter. As you know, we don't really comment on any pricing actions that we might take in the future. But I think one thing I would want to say is that given the growth that we have seen in Bullet, in spite of the fact that we were muted in terms of, I mean, we've invested in the product, overall our GC has grown as far as across the Bullet family.

B. Govindarajan: And we'll continue to add value back to the consumers on the product. That's the focus.

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Gunjan Prithyani: Okay. Okay, got it. And just going back now to the growth question. Bullet and Classic clearly has seen a pretty good momentum over the last couple of months. If I see Bullet, we are going back to the FY'18 numbers that we used to see. Now in terms of the brand potential, that is with Bullet and Classic, if you can talk a little bit more how do we or do we see more upside to the bullet run rate than we're seeing right now?

And secondly, on Classic again, we are way off from where the peak volumes used to be back in fiscal 18. So just trying to understand, do the interventions that you're making right now give us confidence that there is a huge potential left with these brands, both of these?

B. Govindarajan: I think, Gunjan, you referred 2018. In 2018 time, the product which we had, Bullet 350 and Classic 350, we moved on to the J-platform. That is one action which we have done. And Battalion Black, you all have seen we have launched it. The response has been very good. Primarily, where the market, where the bullet was very strong, in that market, the Battalion Black got accepted very well. Now we are also opening to the other parts of India. Classic, it's a year of classicism, which we want to celebrate. We are doing a lot of activities around Classic. If you remember, we did the factory customs on the Classic as a special. So a lot of activities and the Goan Classic, which we launched. So the Classic whole family, there's a lot of activities which are happening.

And the love of Classic is also back. Consumers started really liking the new Classic and the colorways, which we have launched. So I do see in the future also the love is continuing. But we have to support it, which we will continue to do through market activations.

Gunjan Prithyani: And Govind, on the inventory side, this last question is, is that sorted now? We were in a stock out situation. Where would the inventory levels stand now at an overall level, channel inventory?

B. Govindarajan: Go ahead.

Vidhya Srinivasan: So Gunjan, I think the stock out situation only because during the festive season, we had such a strong sale during October that there were a few areas where some of the colorways and some of the models kind of got out of stock. We have stocked back up. I think we are back to our regular inventory levels.

B. Govindarajan: We have 2 to 3 weeks...

Vidhya Srinivasan: Yes, 2 to 3 weeks, yeah.

B. Govindarajan: Some colors and SKUs, which we have to match because as Vidhya was mentioning, during

the festive time, I mean it was positive. So some stock-out situations of a few SKUs has taken place. Now the plant team is gearing up to fill that back because we have gone with the replenishment model to extract the full efficiency and support the dealer community also. It is working really well.

Gunjan Prithyani: Thank you so much.

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Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Yeah, Thank you for the opportunity . Sir, firstly , to Vinod sir, on the CV industry outlook. So how do you see the Q4 quarter? And just on next 6- to 12-month perspective, can you share how do you see the industry growth?

Vinod Aggarwal: If you look at the overall industry , first 9 months have been sort of a stagnant and a little bit marginal drop around, I think, 2% to 3% drop. However , going forward, we are very optimistic. The reason being that if you look at the capital expenditure trends of Government of India, first 9 months, they have spent around, on an average, every month, INR72,000 crores. And based on the current plan, this last quarter , I think the expected spend is going to be around INR92,000 crores, INR95,000 crores per month. And that will be a similar spend in the next year as well.

So therefore, based on this increased spend, we are expecting that there will be good demand in quarter 4. And otherwise also with all the better money , which is going to be available in the hands of middle income groups with the better taxation, with the taxation relief, I think there will be some better consumer spends, which will have a clear circular impact on the entire economy , leading to more consumption and then more movement of goods and services. So therefore, we are very positive that the commercial vehicle industry next year should do better . And of course, our overall expectation on the GDP growth continues to be more than 6%, around 6.3% or 6.5%. And replacement demand is also going to remain very strong. Interest rates, which have been cut recently by the Reserve Bank of India, 0.25%, that will also have a positive impact on the overall financing rates. So therefore, I think commercial vehicle industry , based on all these fundamental factors, should do better .

Mumuksh Mandlesha: Got it, sir. And just on how is the inventory situation in the CV industry , and how is the discounting going, sir?

Vinod Aggarwal: As far as the inventory situation is concerned, inventory is quite healthy . I can't talk of the inventory in the industry . But of course, as well as our inventory is concerned, we are quite healthy , and we are within our norms on the inventory . As far as the discounting is concerned, this is steadily improving only. So price management are getting better . More and more realization is there with everyone that the discounts are not good.

So therefore, the discounts are also not sustainable in the long run. So therefore, we are expecting that the discount levels should continue to drop.

Moderator: Got it, sir. Sir, the next question is to Govindarajan sir. On the EV launch pipeline, sir, we have this Flying Flea and the Stark collaboration. Just want to understand what's our time line for the launches for these brands?

B. Govindarajan: So on the Flying Flea, which is the City Plus electric motorcycle, that's a brand from Royal Enfield, we unveiled the FF-C6 and the scrambler FF-S6, both the versions. There's a lot of

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activities which are happening. Around the first quarter of 2026 will be the time wherein we will be hitting the market.

Mumuksh Mandlesha: Got it. And for Stark partnership, any plan to launch the product?

B. Govindarajan: Stark is actually a strategic investment from Eicher Motors. Primarily , it is all about helping each other and understanding. We get the help from Stark in terms of lightweighting, modularity design and pushing the envelope of the innovations which we can bring in into the motor controller , battery controller and the integration in the whole vehicle. That's what we are actually learning from them.

And also, for Stark, because we are good in the scale, supply chain operations, we support them in that. So that's the kind of a collaboration which we do. There is no such product which we are working around to bring it to the market immediately .

Mumuksh Mandlesha: Got it. And for Flying Flea, sir , what kind of production capacity initially we would have, sir?

B. Govindarajan: I think, we are currently our Flying Flea will be manufactured out of our Vallam plant. So we are building a capacity which, we have mentioned, is almost about 1.5 lakh per annum. But that's all scalable because that's a vehicle assembly line, and we will go modular . And we always have looked at that we won't put a heavy capex onto this.

We will go modular and that's what we are good at. Even for Flying Flea, depending upon the

market situation, we will keep improving whenever it is required.

Mumuksh Mandlesha: Got it, sir. Sir, next question is to Vidhya Ma'am. Just on the gross margin, this quarter sequentially, there was a fall in the gross margin. Is it due to mainly the mix of the products?

Vidhya Srinivasan: I think you've kind of answered my question. But basically, I think there are two things essentially because of product mix. We've talked about some of the opportunities that we've done from a Battalion Black standpoint or even in Classic 350 where we've tried to make it not to impact on customers, and we've also not increased our prices. So I think that's what and the product mix, that's what is resulting in the gross margin. But on an absolute level, gross margin has increased obviously.

Mumuksh Mandlesha: Got it, got it. Understood. And just lastly, on the capex side, how was the 9-month capex for the Royal Enfield and VECV? And what is the guidance for the full year?

Vinod Aggarwal: I think in the beginning of the year, we announced that we will have the capex of around INR1,000 crores for the full year. So we are on track. And we are likely to be around INR1,000 crores for the full year.

Moderator: Sorry to interrupt, we request you to please re-join the queue. You may ask your questions once you're asked again, sir.

Mumuksh Mandlesha: Sure, Thank you.

Moderator: Thank you. We have the next question from the line of Jinesh Gandhi from Ambit Capital.

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Jinesh Gandhi: My question pertains to exports. So in export market of all the new product launches which we have done in the last 12 months, which models are yet to be launched in some of our new export markets?

B. Govindarajan: Well, product in an export market, there will always be a lag, Jinesh. So for example, Himalayan, we are just launching in Brazil. Guerrilla we have just launched at an APAC region. So it's all the products in this quarter, most probably will be launch completion in all the international markets.

Jinesh Gandhi: Including the Classic 650s and Goan 650?

B. Govindarajan: Yes, all the products.

Jinesh Gandhi: Got it. And secondly, this Thailand CKD, which we are putting up, this will be also from export to European market as well given the FTA Thailand has and in that context what kind of advantage does Thailand offer to us from that perspective? What is that, yes, sorry, go ahead.

B. Govindarajan: But first is that particular market have to be taken care. So we have to get that right. So we have established the base there and the FTA is being studied by our team, whatever the ASIAN markets first, then we'll parallelly look at on a TCO basis, what makes a sense, whether to send the full container from India to Europe or from Thailand to that place, that study is on and maybe coming year, we will see. If there is a merit to that, we will review it. Otherwise, currently, Europe will be going only from Chennai plant.

Jinesh Gandhi: Okay. But any sense of what would be import duties on our bikes in Europe?

B. Govindarajan: Sorry?

Jinesh Gandhi: What would be import duties on our bikes in Europe?

B. Govindarajan: 5%. It's about 5%.

Vidhya Srinivasan: Yes.

Jinesh Gandhi: Hello?

B. Govindarajan: It's about 5%.

Jinesh Gandhi: 5%, okay. And lastly, Vidhya, the tax rate for the quarter was below 22%. Is that a normalized rate? Or we should see going back to 23%, 24%?

Vidhya Srinivasan: 24% to 25% is the rate.

Jinesh Gandhi: 24% to 25%, got it, got it. Thanks and All the best.

Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand.

Please go ahead.

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Sanjaya Satapathy: Sir, my question is can you give us some indication of what is the sustainable margin from hereon?

Vidhya Srinivasan: What is the sustainable margin from here?

B. Govindarajan: No, we don't give.

Vidhya Srinivasan: We really don't give guidance. You know that.

Sanjaya Satapathy: I'm just trying to understand in the context of the numbers that you have called out in terms of the recurring and nonrecurring, if you can give us something?

B. Govindarajan: As Vidhya mentioned, some of the expenses because of the hump in the launches, that's one-time. And going forward, that's sort of a hump may not be so much. But we continue to

have to spend on brand building and the mother brand Royal Enfield build an aspiration. So there will be marketing activation expenses, which will continue. But the hump may not be so much because these are all some of the products due to the COVID, which came up for the launches one after the other. So that sort of an expense will not be there. But marketing support activities and activation expenses will continue.

Sanjaya Satapathy: Thank you sir.

Moderator: Thank you. The next question is from the line of Omkar Rane from Emkay Global Financial Services. The current participant seems to have dropped from the queue. We will proceed to the next question, which will be from the line of Jay Kale from Elara Capital. Please go ahead.

Jay Kale: Yeah, thanks for taking my question. So my first question is, again harping on the earlier question, what would you see in your endeavor of balancing profitability versus growth? If I look at the EBITDA per vehicle also, it is kind of a 7-quarter low. So I'm just thinking from a management perspective going forward, are you looking at sustainable margins when you balance profitability versus growth? Are you looking at EBITDA per vehicle growing from here?

Because despite the high volumes, we've not really gotten the absolute operating leverage benefits, which were expected when you have a very high volume growth. I understand the bulky expenses, but the marketing expenses, like you mentioned, are going to go ongoing. So how do you -- what is your target in the sense that to grow EBITDA per vehicle sustainably or margins or how should one look at it?

B. Govindarajan: See, if growth is a focus, what does it mean when you grow is that, as we mentioned, we haven't increased the pricing because we have to be an accessible motorcycle. And we also wanted to add value back to the product, which also our consumers have been looking at from Royal Enfield. We are conscious of it. And we are the market leaders and we have the responsibility of continuing to grow, which is what we have done for the last one decade in India.

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And now we are trying to do it outside India also, the middleweight. So we have to do more activities around that in promoting the motorcycling as a culture and around that surround systems of the motorcycling. So there will be expenses which will continue. What one have to look at is not to look at an absolute percentage.

The growth has to be looked at on an absolute value, which we will actually get out of the overall revenue and also on the EBITDA overall. That's how we should look at it, not on the percentage alone.

Jay Kale: Understood. Yes. Just one more on your gross margin. So you mentioned that this is mainly because of mix. So how would have commodities moved in Q3 versus Q2? And going forward, how are you seeing the commodity projected?

B. Govindarajan: Commodity has been largely stable. It was not a headwind, though steel and aluminum had some uptick here and there, but our value engineering has been offsetting all those things. We are studying how it does with the entire situation across the market on the commodity movement and all those things.

We will know in this quarter because we are into an SBP cycle. So during this cycle, we'll once again be looking at how the inflation is, how the commodity is moving and accordingly what actions to be taken.

But as I mentioned, all these platform changes activities which are done, first is we have to land the value to the consumer. That's what we have done. Now the focus on all these products on the value engineering also will start.

Jay Kale: Understood. And just one last question. With this intervention of Battalion Black pricing, et cetera, how have you seen your customer profile change? Has there been an increased proportion of first-time buyers coming into RE or the upgrader's contribution has increased? And in that context, how has your RE to RE replacement growth panned out?

B. Govindarajan: Look, I think Battalion Black, we launched it into the market because when we launched Bullet on the J series, which was the last transition on the J-platform, the market came back, especially on the area where the Bullet was loved and looked at it in a different context. And they were looking at a few changes which are required.

As an organization, we quickly went back and then we brought the Battalion Black. In those markets, especially Delhi, Punjab, Chandigarh, Haryana, and part of UP, the market has come back, dealers are happy, consumers are happy. And now we are also opening up to the rest of India.

As far as the first-time buyers which you were talking about, our first-time buyers is almost, what, about 18%, 19% now. So that's what is the share of first-time buyers. Upgrading cycle, as I've been always saying that we are waiting for that moment to click in. And that's why REOWN brought in. And we are almost there at about 234 towns now.

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We are slowly bringing in awareness about the upgrade to our consumers. So we are setting the base when the moment clicks in, at least we can start getting into that journey faster so that the base is being set as of now, Jay.

Jay Kale: Thanks and All the best.

Moderator: Thank you. The next question is from the line of Aryn Pirani from JPMorgan. Please go ahead

Aryn Pirani: Thanks for the opportunity. Most of my questions have been answered. I just wanted to ask regarding this OBD2B. Obviously, we'll wait for your price hikes and all. But any broad context as to what is the kind of cost inflation that we might see because of this? And should we be prepared for any wholesale corrections that you might do as you are ramping up or ramping down the older vehicles and the newer vehicles?

B. Govindarajan: So Aryn, maybe I'll answer the second one first. For every transition be it from BS-IV to BS-VI, we are a company, we were not started with any of the hold inventories. We haven't gone in that. We'll always be conscious in transition. And so as even OBD2B, the transition is well planned, and we have tested, kept everything ready.

Yes, you all know there will be some amount of cost increase due to OBD2B, which will be there, but we haven't decided what the price increase should be or shouldn't be because that's future looking, that we have to wait for some time.

Aryn Pirani: Ok. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing remarks. Over to you, sir.

Siddhartha Lal: All right. Thank you so much for joining the call and look forward to talking to you next quarter. Thank you. Bye-bye.

Moderator: Thank you. On behalf of Eicher Motors Limited that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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Call: May 2025

May 20, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd Exchange

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5th

Floor,

Plot

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G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015 - Transcript of group conference call Dear Sir/Madam, Further to our letter dated May 08, 2025 intimating the schedule of the group conference call held on

Wednesday,

May

14,

2025,

please

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Regulations,

2015.

The

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on

the

website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary

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Eicher

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May

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Moderator:

Ladies

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Earnings

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signal
an
operator
by
pressing
'*',
then
'0'
on
your
touch
tone
phone.
Please
note
that
this

conference

is

being

recorded.

I

now

hand

the

conference

over

to

Mr.

Ram

Seshan

from

Avendus

Spark.

Thank

you

and

over

to

you,

sir.

Ram

Seshan:

Thank

you.

Good

evening,

everybody .

Welcome

to

the
Earnings
Call.
Pleased
to
be
joined
today
by
the
leadership
team
of
Eicher .
We
have
with
us
Mr.
Vinod
Aggarwal
-
Vice
Chairman,
Eicher
Motors
and
MD
&
CEO
of
VECV ;
Mr.

B.

Govindarajan

-

MD,

Eicher

Motors

and

CEO

of

Royal

Enfield

and

Ms.

Vidhya

Srinivasan

—

CFO

of

Eicher

Motors.

I

would

now

request

the

management

to

make

their

opening

remarks.

Please

go

ahead,

sir.

B.

Govindarajan:

Thank

you,

Ram.

Hello,

everyone.

Hope

all

of

you

guys

are

doing

well.

Thank

you

for

joining

Eicher

Motors

Limited

Earnings

Call

for

the

quarter

and

Financial

Year

ended

March

31st,

2025.

It

has

been

a

very

strong

year

at

Eicher

Motors.

We

have

seen

consistent

growth,

quarter

after

quarter

and

both

Royal

Enfield

and

VECV

have

delivered

solid

performances.

We

have

stayed
focused
on
building
long-term
value
and
these
results
reflect
that.
Starting
with
numbers
for
the
4th
Quarter:
Eicher
posted
a
record
performance
with
consolidated
revenue
of
Rs.
5,241
crores
INR
and
EBITDA

of
Rs.
1,258
crores
and
profit
after
tax
stood
at
Rs.
1,362
crores.
Not
just
the
past
quarter ,
our
growth
momentum
continued
to
show
great
results
in
the
Financial
Year
ended
March
31st

as
well
with
revenue
growing
to
Rs.
18,870
crores
with
an
EBITDA
of
Rs.
4,712
crores.
PAT
for
the
year
stood
at
Rs.
4,734
crores.
The
strong
performance
was
the
result
of
an

all-round

growth

at

both

Royal

Enfield

and

VECV .

Page

2

of

18

Eicher

Motors

Limited

May

14,

2025

Now ,

let

me

start

with

Royal

Enfield

first:

We

had

one

of

our

best

years
ever
and
maintained
our
leadership
in
the
premium
motorcycle
segment
with
the
motorcycle
sales
crossing
1
million
plus
units
for
the
first
time
in
our
history .
We
introduced
6
new
motorcycles
in

the
past
year,
which
strengthened
our
product
portfolio
to
meet
the
diverse
needs
of
our
customers'
right
here
in
India
and
across
the
globe.
We
launched
the
Bear
650,
which
is
a
bold

new

expression

of

our

new

twin

cylinder

lineup.

The

Guerrilla

450,

powered

by

our

Sherpa

engine,

is

a

whole

new

take

on

urban

agility ,

mobility

and

adventure.

We

also

celebrated

the

year

of

Classic
with
the
3
motorcycles
that
really
showcased
our
design
and
craftsmanship,

Classic
650,
which
we
launched
recently
and

Goan
Classic
350
and
of
course,
the

Classic
350
itself.
Our
motorcycles
continue
to

do

well

in

the

past

quarter

and

in

the

financial

year

with

the

sales

of

about

2,80,801

motorcycles

in

the

4th

Quarter

up

by

almost

about

23.2%

year-on-year .

And

in

the

past

financial

year,
we
sold
about
1
million
plus
motorcycles.
It
is
almost
1,002,893
motorcycles
to
be
precise
marking
a
10%
increase
over
the
previous
year.
Our
domestic
sales
stood
at
9,02,757
units,
which
is

up

by

about

8%

on

a

year-on-year

basis.

Our

international

volume

stood

at

about

30,900

units

for

the

4th

Quarter

and

in

the

year-on-year ,

it

grew

by

almost

about

29.7%,

touching

1,00,136

units.

This
year
was
very
meaningful
progress
which
we
made
on
many
other
fronts
also.
We
made
our
big
move
into
our
electric
with
the
Flying
Flea
in-house
brand
of
Royal
Enfield.
We
began

with
the
showcase
of
Flying
Flea
at
EICMA,
followed
by
the
unveiling
of
the
two
models
FF
C6
and
FF
S6,
which
has
received
very
strong
interest
from
customers
all
over
the
globe.

We
are
on
track
to
officially
launch
this.
Our
motorcycles
continued
to
win
a
lot
of
recognition
during
the
year.
We
received
about
a
dozen
plus
awards
for
the
design,
innovation
and
performance

of
motorcycles
this
year.
Most
importantly ,
I
wanted
to
share
with
you
the
J.D.
Power
has
ranked
us
as
the
highest
in
the
overall
Two-Wheeler
Initial
Quality
Study
and
is
a
direct
reflection

of
our
focus
on
customer
satisfaction.
Beyond
our
motorcycle,
the
Royal
Enfield
ecosystem
also
has
grown
stronger
than
ever.
We
inaugurated
a
new
spare
parts
warehouse
in
Mumbai
in
the
past
year.
We

now

have

4

regional

warehouses,

including

in

Chandigarh,

Mumbai

and

Calcutta.

In

addition

to

the

business

achievements,

we

also

worked

hard

to

bring

riders

together

in

the

Motoverse.

Normally ,

we

have

it

in

the
month
of
November .
This
year,
we
saw
a
gathering
of
10,000
plus
customers
riding
into
Goa
to
participate
in
the
Motoverse
and
art
of
motorcycling
saw
a
very
successful
season
4
with

an
increased
participation
during
this
time.

Page
3
of
18
Eicher
Motors
Limited
May
14,
2025

Globally ,
our
expansion
strategy
gained
significant
momentum
this
year.
We
inaugurated
our
first
fully
owned
CKD
assembly

plant
outside
India
and
Thailand.
We
also
began
operations
of
a
manufacturing
facility
and
flagship
showroom
in
Bangladesh
enhancing
our
ability
to
meet
local
demand
while
maintaining
our
quality
standards.
Today ,
Royal
Enfield

ranks
among
the
top
mid
segment
motorcycle
brands
in
the
market
such
as
UK,
Korea,
Australia,
New
Zealand
and
all
the
markets
wherever
we
are
entering,
our
market
share
is
steadily
going
up.

As
we
said
earlier
also,
we
are
looking
at
all
these
things
for
a
long-term
ambition.
Equally
important,
less
is
our
commitment
to
social
and
environmental
responsibility .
Sustainability
remains
at
the
heart
of

what
we
do.
Our
motorcycles
are
designed
for
more
than
97%
recyclability
and
reusability .

Our
plants
now
consume
about
86%
of
electricity
from
renewable
sources,
and
our
net
water
is
positive
to
the

tune

of

2.6x.

We

are

also

committed

to

send

no

waste

to

the

landfills

from

our

operations.

We

launched

several

green

initiatives

in

Himachal

Pradesh,

Spiti

in

Kullu

district.

This

includes

Camp

Kharu,

our
first
Green
Pit
Stop
along
the
Leh-Manali
Highway .
We
also
launched
journeying
across
the
Himalayas
as
a
first
of
its
kind
10-day
festival
in
Delhi
that
celebrated
the
region's
natural
beauty
and

culture.

Now ,

moving

on

to

VECV ,

our

performance

has

continued

to

beat

the

industry

trends.

Now ,

I

will

request

Mr.

Vinod

Aggarwal

to

talk

about

the

commercial

vehicles

performance.

Over

to

you,

Vinod.

Vinod

Aggarwal:

Thank

you,

Govind.

The

Financial

Year

'25

has

been

a

record

year

for

us

as

we

delivered

more

than

90,000

trucks

and

buses

and

crossed

Rs.

23,500

crores

in

topline.

I

will
begin
with
the
financial
performance
for
the
4th
Quarter
and
the
Financial
Year
'24-25.
We
had
a
robust
sales
performance
of
28,675
units
in
Quarter
4
of
FY25
and
90,161
units
in

Financial

Year

'25,

our

best

ever

performance.

VECV

revenues

rose

to

Rs.

7,139

crores

in

Quarter

4,

up

13.8%

from

Rs.

6,275

crores

in

Quarter

4

of

Financial

Year

'24.

For

Financial

Year

'25,
VECV
revenue
from
operations
was
Rs.
23,548
crores,
which
is
up
7.7%
from
the
previous
year.
EBITDA
stood
at
Rs.
732
crores
for
the
quarter
and
Rs.
2,030
crores
for
the
full

year
up
18.4%
from
Rs.
1,715
crores
in
the
previous
financial
year.
The
EBITDA
margin
for
the
quarter
was
at
10.5%
and
at
8.8%
for
the
Financial
Year
'25.
And
as
you
can

see,
the
EBITDA
margin
has
significantly
improved
from
7.8%
last
year
Quarter
4
to
10.5%
in
this
current
Quarter
4.
Profit
after
tax
for
the
quarter
was
Rs.
457
crores
and
Rs.
1,284

crores
in
Financial
Year
'25
up
56.8%.
Now ,
we
had
record
performance
on
many
parameters,
such
as
the
highest
sales
units
with
the
growth
of
5.4%
against
the
market,
which
was
flat
at

just
around
0.3%
growth.
We
became
#1
in
Light
&
Medium
Duty
trucks
market
share.
We
have
now
36%
market
share
in
Light
&
Medium
Duty
trucks,
which
is
5-18
tons,
and
we

are

#1

in

the

market

now.

And

we

had

record

sales

of

Heavy-Duty

Trucks,

Buses

and

Spare

Parts,

Engineering

Components

and

Power

Page

4

of

18

Eicher

Motors

Limited

May

14,

2025

Solutions

which

include

gensets

as

well

as

industrial

engines.

We

entered

the

small

commercial

vehicle

segment

with

the

electric

first

Eicher

Pro

X

which

is

3-3.5

ton

gross

vehicle

weight.

And

we

had

highest
ever
Quarter
4
sales
for
Eicher
Heavy
Duty
Trucks
at
6765
units
with
the
market
share
of
9.1%
in
Eicher
site
and
including
Volvo,
the
market
share
is.
9.7%
for
the
Full

Year.

In

the

Light

&

Medium

Duty

Truck

segment,

we

sold

11,591

units

in

the

quarter ,

achieving

our

highest

ever

market

share

of

37.1%

in

the

market

in

Light

&

Medium

Duty

in

Quarter

4

and

we

sold

7568

units

in

the

Buses

segment

making

it

our

highest

ever

sales

in

the

quarter

and

we

received

5

Apollo

CV

award

including

prestigious

Transport

Solutions

Provider

of

the
year.
As
the
Indian
economy
grows
and
the
logistics
industry
transforms,
VECV
continues
to
drive
modernization
and
remain
at
the
forefront.
During
the
past
year,
we
have
launched
92
new
production
variants.

These
include
Eicher
LMD
powered
HD
Trucks
for
long
haul
application.
We
also
delivered
over
50
Volvo
FM
Tractors
for
Road
train
applications.
We
continue
to
develop
electric
and
alternate
fuel
waste
solutions

on

our

existing

product

mix

during

Financial

Year

'25.

We

successfully

launched

the

Eicher

Pro

X

Small

Truck

specifically

designed

for

2-3.5

tons

segment.

Deliveries

started

with

the

electric

first,

reflecting

our

commitment

to
deliver
sustainable
solutions
to
the
last
mile
and
delivery
operations.
On
the
sustainability
front,
the
Financial
Year
'25,
we
made
significant
progress
by
addressing
various
elements.
Driving
inclusivity
in
the
CV
industry ,

the
Eicher
Pro
X
is
assembled
on
an
All-W oman
line
at
our
state-of-the-art
industry
4.0
compliant
factory
in
Bhopal.
And
this
is
the
first
time
that
we
see
the
All-W oman
assembling
the
trucks

on
the
assembly
line
in
a
truck
plant.
Our
renewable
energy
capacity
with
a
4.5
MW
rooftop
solar
project
is
expected
to
reduce
emissions
by
25%.
We
also
recycled
52
million
liters
of

water
at
our
Bhopal
plant
through
an
artificial
water
reservoir
that
also
supports
local
birds
and
fish.
Furthermore,
our
carbon
offsetting
efforts
continued
with
the
planting
of
66,000
trees
anticipated
to
offset
660

tons

of

CO2

emissions.

Now ,

I

will

hand

over

back

to

Govind

for

further

updates.

B.

Govindarajan:

Thank

you,

Vinod.

Before

we

move

on,

I

would

like

to

briefly

touch

on

some

key

changes.

I

am

sure

you

all

would

have

followed

in

on

our

Board.

Siddhartha

was

the

MD

&

CEO

of

Eicher

Motors,

has

taken

over

as

an

Executive

Chairman

of

Eicher

Motors

and

Vinod

-

MD

and

CEO

of

VECV

Commercial

Vehicle

business

is

now,

apart

from

the

MD

&

CEO

of

Commercial

Vehicle,

he

is

the

Vice

Chairman

of

Eicher

Motors

Board,

and

I

took

a
larger
role
as
a
Managing
Director
of
Eicher
Motors.
And
we
also
welcomed
new
Directors
who
bring
in
diverse
experience
from
different
sectors
to
Eicher .
Their
combined
insights
are
already
adding
meaningful

val
ue
as
we
plan
for
the
future
and
navigate
an
increasingly
dynamic
environment.

At
Eicher
Motors,
this
year
has
been
phenomenal
growth
for
both
Royal
Enfield
and
VECV

Page
5
of
18

Eicher

Motors

Limited

May

14,

2025

with

all

the

steps

into

the

New

Year

which

we

are

confident

we

will

continue

to

build

on

success

with

many

more

exciting

things

ahead.

Thank

you

all

for

being

with

us

on

this

call

today .

We

can

now

move

on

to

Q&A.

Over

to

you,

Ram.

Moderator:

Thank

you

very

much.

We

will

now

begin

the

question-and-answer

session.

The

first

question

is

from

the

line

of

Binay

from

Morgan

Stanley .

Please

go

ahead.

Binay:

Hi,

team,

thanks

for

the

opportunity .

My

question

is

related

to

the

margins.

Could

you

comment

on

two-three

things

on

that?

First

is

that

we

have

seen

a

raw

material

to

sales

trend

up

in

this

quarter .

Secondly ,

in

the

earlier

conference

call,

we

had

highlighted

that

Q3

had

a

lot

of
one-of fs
in
the
other
expense
line
item.
What
are
your
take
on
the
Q4
other
expense
number
because
it
is
almost
flat
quarter -over -quarter?
And
thirdly ,
the
cost
relating
to
OBD2B,
have
you

passed

that

on

fully

to

the

consumer ,

what

was

the

price

hike?

That

is

the

question

from

my

side.

Thanks.

Vidhya

Srinivasan:

Yes,

I

think

there

are

a

number

of

questions

over

there.

So

if

I

can

address

as

far

as

gross

profit

is

concerned,

I

think

if

you

are

talking

quarter

versus

last

quarter

or

I

am

not

quite

sure

whether

you

are

talking

--

Binay:

Quarter -over -quarter .

Vidhya

Srinivasan:

Yes.

So

basically

we

are

saying

versus

last

quarter

we

are

talking

about

the

30

bps

on

account

of

model

and

variant

mix,

which

is

a

really

higher

share

of
some
of
the
models,
like
Battalion
Black
where
we
are
seeing
very
good
traction
and
growth
in
terms
of
absolute
sales.
I
think
if
you
take
back,
I
think
the
big
message

that
we
kind
of
talked
about
several
quarters
now,
including
last
quarter
is
that
our
focus
is
on
absolute
growth
and
absolute
gross
profit
growth,
not
necessarily
on
percentages.
So
I
think
as

part
of
that
as
far
as
both
the
new
Classic
as
well
as
the
new
Battalion
Black,
we
have
made
a
lot
of
additions
to
the
product
in
terms
of
features
etc.,
and

we
have
effectively
kept,
while
we
shared
the
cost,
we
have
not
changed
it
on
a
percentage
basis.
So
I
think
about
30
bps
is
accounted
for
in
the
model
and
variant
mix.

We
have
about
a
20
bps
impact
of
higher
commodity
prices
in
Steel
and
Aluminum
and
about
20
bps
which
is
on
account
of
some
inventory
provisions
for
a
few
old
bikes.
So

effectively

that

is

what

is

causing

the

impact

of,

I

think

approximately

19

bps

versus

Q3

of

this

year.

As

far

as

other

expenses

are

concerned,

which

is

I

think

your

next

question,

I
think
I
had
not
necessarily
talked
about
any
specific
quantum
of
one-of f,
but
let
me
address
that
as
well
versus
Q3,
we
have
had
an
increase
of
about
Rs.
9
Cr
as

far
as
other
expenses
are
concerned.

Out
of
that,
we
have
had
Rs.

30
crores
reduction
of
marketing
expenses
versus
Q3.

We
have
had
while
launch
and
event
expenses
have
reduced
versus
Q3,

we
have
increased
investments
in
sustenance
and
the
Classi
c
volume
growth
is
reflecting
that
for
example,
we
have
had
a
growth
of
15%
in
the

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last

6

months.

In

addition

to

that,

we

have

also

had

about

Rs.

20

crores

increase

on

account

of

volume

related

expenses

because

we

have

had

a

significant

increase

in

volumes

versus

Q3

as

well.

So

there

are

about

Rs.

20

crores

in

account

of

that,

Rs.

19

Cr

is

an

impact

of

expenses

that

we

have

incurred

in

Europe

where

a

few

distributors

are

under

liquidation.

So

this

is

something

that

is

an

impact

that

has

happened,

yes,

that

is

essentially

what

is

happening.

Binay:

So

largely,

both

are

in

a

way,

there

is

no

one-of f

in

the

other

expenses?

Vidhya

Srinivasan:

There

is

no

one-of fs

because

you

guys

then

come

back

and

tell

me,

so

I

think

18

and

19

because

of

the

Europe

we

can

say.

Binay:

And

now,

with

the

recent

Hunter

launch

that

we

have

done,

do

you

think

that

the

gross

margin

trend

will

trajectory

wise

remain

the

same

or

have

you

passed

on

all

the

costs

that

you

have

added

to

the

vehicle

in

the

relaunch?

B.

Govindarajan:

Yes,

that

is

a

leading

question,

Binay .

As

Vidhya

was

mentioning,

it

is

a

balance

between

the

growth

and

the

profitability
percentages.

We
have
been
saying
that
we
have
to
grow
in
a
market
that
is
what
it
is.

The
initial
belief
which
we
had
is
that
when
more
and
more
competition
is

coming,
the
whole
segment
will
grow
and
in
the
process,
we
will
also
grow
in
that.
The
whole
segment,
I
think
others
are
not
able
to
grow
the
market.
So
that
it
is

the
leadership
of
Royal
Enfield,
we
continue
to
hold
that
responsibility
of
growing
the
market,
which
we
are
doing.
And
second,
which
you
had
talked
about
the
gross
margins
and
the
absolute
percentages,

more
and
more,
we
will
add
value
to
the
product,
to
the
consumers.

That
is
what
is
the
requirement
now
in
the
market,
as

Battalion
Black
when
we
launched
we
launched
it
at

an
accessible
price
point
because
we
really
felt
that
is
required
for
us
to
take
the
market
which
was
not
growing,
which
has
really
helped
in
the
way
we
thought.
And
it
has

really
grown
almost
about
22%
over
the
previous
year,
because
the
product
was
conceived
right,
it
was
positioned
right.
The
pricing
was
right
for
it
and
it
has
really
helped
us.
And
similarly

Classic

350

when

we

came

out

with

the

refreshers,

we

passed

on

only

the

cost,

but

we

added

value

more

into

the

product,

not

the

absolute

profit

percentage,

which

we

are

not

looking

at.

And

as

of

now

with

the

refreshers,

we

have

taken

a

price

increase

but

may

not

be

to

that

level

of

profitability .

But

what

is

more

important,

which

we

have

to

look

at
is,
now
value
engineering
will
start
kicking
in
for
all
these
platforms
and
that
is
the
direction
which
we
are
working
on
improving
even
profitability .
That
is
a
directional
thing.
Binay:
No

team,

I

think

volume

focus

is

the

right

strategy .

And

just

on

OBD,

if

you

could

give

the

cost,

that

is

it

from

my

side.

Thank

you

so

much.

B.

Govindarajan:

OBD2B,

the

cost

increases

for

all

these

products.

First

of

all

OBD2B,

we

have

transitioned

seamlessly ,

not

that

we

had

excessive

motorcycles

of

previous

versions

and

all

those

things.

We

all

know ,

every-time

when

there
is
a
statutory
thing
comes
because
we
are
a
retail
focused

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company .
We
don't
build
inventory
into
the
system.
So
to
that

extent,
we
didn't
have
much
of
an
issue
in
the
transition
and
whatever
the
cost
increase
which
had
come
up
and
that
we
have
added
into
the
product
and
we
passed
on.
Binay:

Great.

Thanks

team.

Thanks

for

that.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Chandramouli

Muthiah

from

Goldman

Sachs.

Please

go

ahead.

Chandramouli

Muthiah:

Hi,

good

evening

and

thank

you

for

taking

my

questions.

My

first

question

is

just

on

your

outlook

for

FY

'26

in

the

domestic

Royal

Enfield,

exports

Royal

Enfield

as

well

as

the

VECV

businesses.

I

think

last

year

we
had
started
the
fiscal
year
with
expectations
of
10%
volume
growth
for
the
premium
motorcycle
category
and
I
think
we
were
able
to
deliver
slightly
higher
than
that
on
the
full
year.

So
I
just
want
to
understand
how
you
are
thinking
about
your
motorcycle
category
for
FY
'26
and
with
your
product
launches,
Hunter
350
plus,
looks
like
there
are
a
few
more
on

the
way.
How
you
think
about
Royal
Enfield's
prospects
in
this
space
and
VECV
as
well?
B.
Govindarajan:
Yes.
Let
me
just
close
on
the
two-wheeler ,
then
Vinod
will
talk
about
VECV .
Financial

Year

'25

has

been

good

for

us

in

the

growth.

We

have

crossed

1

million

motorcycles,

which

is

in

the

history

of

Royal

Enfield

and

a

company

which

was

almost

about

a

decade

back
was
looking
at
only
about
100,000
motorcycles
in
one
year.
We
have
crossed
1
million.
We
grew
the
market
and
the
growth
primarily
came
from
the
focus
of
delivering
the
pure
motorcycling

experience
to
the
customers
with
the
motorcycles,
which
are
very
differentiated
and
look
wise
and
fit
and
feel
wise,
it
has
to
be
very
differentiated
and
that
is
what
we
have
been
consistently

working
on,
which
has
really
helped
us
to
grow
the
market
where
we
are
almost
about
88%
market
share
in
the
middleweight
and
our
focus
is
also
continued
to
be
in
the
middleweight

and
that
is
where
more
and
more
product
we
launched
and
we
will
continue
to
have
products
coming
up,
refreshes
coming
up
even
in
the
year.
What
is
happening
in
India
which
we

would

like

to

talk

very

openly

about

is

that,

last

year

also,

the

rural

market

has

been

very

good,

and

the

urban

market

growth

has

not

been

so

good.

It

was

slightly

muted.

This
year,
with
the
tax
cut,
especially
on
the
income
tax
cut,
we
expect
the
urban
growth
will
start
coming
up
back.
We
are
seeing
the
positive
sentiments
at
least
now
even
in

the
month
of
April
in
the
urban
market.
Rural
market
has
continued
to
grow ,
so
that
way
premiumization
is
continuing,
mid-size
we
have
been
growing
with
the
motorcycles
which
are
going
to
come,

and
which
has
already
been
launched
and
our
expenses
which
we
have
been
putting
behind
in
the
marketing
activation,
we
do
see
even
in
the
coming
year,
the
growth
will
be
good
for

us.

That

is

on

the

domestic.

On

the

international,

you

also

asked,

Chandramouli.

Chandramouli

Muthiah:

International

and

then

VECV

side?

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B.

Govindarajan:

International,

this

is

the

first

year

we

also

crossed

about

100,000

motorcycles.

It

is

backed

by

solid

retail

in

all

the

markets.

We

are

#1

in

UK

in

the

middleweight,

#2

in

Argentina
market
and
#3
in
Brazil
market.
Brazil
market
is
opening
up.
During
this
year,
we
also
entered
into
the
new
market
in
Bangladesh,
which
is
showing
very
good
sign
for
us.
Over

the
years,
we
have
been
developing
the
brand
building,
driving
community
and
events
and
of
course
with
the
motorcycles,
we
are
actually
the
top
4
mid-weight
motorcycle
brands
in
many
countries
across
the

world.

Even

now,

the

international

markets,

whether

the

sentiment

is

so

strong,

it

is

not

that

way.

As

I

mentioned

in

the

last

call

also,

we

are

cautiously

optimistic

about

the

international

market,

but
our
retail
has
been
good,
our
interest
in
products
has
been
good.
In
fact,
we
launched
the
Himalayan
in
Brazil
very
recently
because
it
takes
time
for
the
entire
homologation
cycle.
There

is
a
huge
resumption
for
that
product
in
the
Brazil
market,
so
when
the
product
hitting
in
to
the
market,
the
market
is
ripe,
and
we
are
going
to
work
on
brand
building

in
a
very
different
way.
That
is
how
we
feel
the
growth
is
going
to
be
very
good.
With
the
tariff
situations,
I
am
sure
some
of
you
will
be
looking
at
what

is
that
scenario
or
how
we
are
handling
it.
In
some
of
the
markets,
especially
USA,
we
do
have
a
stock
to
overcome
the
riding
season
at
the
pre-tax
level
itself,
pre-tarif f
level

itself
and
we
are
continuing
the
exports
as
of
now.
So
we
do
see
even
in
the
export
markets,
the
growth
will
be
very
good.
But
what
we
are
doing
at
the
back

end
to
get
the
export
market
growing
in
the
long
term,
I
think
that
is
where
the
focus
is
more
and
more.
Now ,
probably
VECV ,
Vinod
can
add.
Vinod
Aggarwal:
As
far
as

VECV

is

concerned,

as

we

have

seen,

last

year,

we

have

grown

by

5.3%

as

against

the

flattish

market.

If

you

see

all

the

segments,

we

have

grown

in

all

the

segments,

our

market
shares
have
grown
in
all
the
segments
and
of
course,
this
is
based
on
our
continuous
expansion
of
our
distribution
network.
We
are
present
in
more
and
more
territories,
so
we
are

penetrating
more
and
more
into
the
distant
markets
of
the
Eastern
sector
as
well,
and
of
course
we
are
also
opening
more
of
the
company
owned
dealerships
in
some
of
the
difficult
locations.

So
therefore
all
these
steps
are
helping
us
to
improve
our
market
share.
Going
forward,
we
are
expecting
that
the
market
will
continue
to
do
better
because
the
economy
is
growing
and
it

is
expected
to
grow
this
year
also,
6.5%.

The
replacement
market
is
expected
to
remain
strong.

Infrastructure
investments
are
expected
to
remain
strong.

Therefore,
the
fundamental
factors
are
all
in
place.

Now ,
of

course,
there
are
always
some
hiccups
here
and
there
because
of
sentiments
or
because
of,
for
example,
if
this
recent
war,
which
was
there,
this
would
have
dro
pped
down
the
sentiments.
Similarly ,
if

there
are
some
other
factors
which
drop
the
sentiments,
that
brings
down
the
demand
only
temporarily .
On
the
fundamental
factors,
the
market
will
continue
to
remain
strong
and
will
continue
to
grow
in

the

short

to

medium

term.

Chandramouli

Muthiah:

That

is

helpful.

My

second

question

is,

on

couple

of

data

points,

if

you

could

share

the

full

year

export

revenues

as

well

as

the

non-motorcycle

revenues,

please?

B.

Govindarajan:

Full

year

what?

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Chandramouli

Muthiah:

Export

revenue?

Vidhya

Srinivasan:

Yes,

13.5%

is

our

share

of

international

markets

and

non-motorcycle

full

year

is

close

to

15%,

will

take

for

both

domestic

and

international

sale.

Chandramouli

Muthiah:

So

you

said

15%

for

non-motorcycle?

Vidhya

Srinivasan:

14.8%

for

both

domestic

and

international

together

for

non-motorcycles.

Chandramouli

Muthiah:

Got

it.

That

is

helpful.

Thank

you

very

much

and

all

the

best.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Gunjan

Prithyani

from

Bank

of

America.

Please

go

ahead.

Gunjan

Prithyani:

Hi,

thanks

for

taking

my

question.

I

just

wanted

to

go

back

to

the

margin

question.

There

were

two

things

that

we

spoke

about

last

quarter .

One

was

this,
EV
unveil
and
a
lot
of
events
that
we
had
bunched
up
last
quarter ,
right.
If
I
roughly
remember
the
number
was
some
Rs.60
-
Rs.70
crores.
So
I
am
just
trying

to
understand,
was
there
anything
specific
such
sort
of
events
which
were
there
in
this
quarter
that
we
didn't
see
any
reduction
quarter -on-quarter
on
that
front?
And
also
if
you
can
talk
about

this

Rs.

19

crores

liquidation

expense

that

you

spoke

about,

what

does

that

pertain

to?

Vidhya

Srinivasan:

So

Gunjan,

if

you

recall

my

last

quarter ,

what

I

said

was

that

we

had

the

increase

of

70,

some

part

of

it

is

because

of

one-of f.

So

this

time

when

I

mentioned

it

earlier

in

this

call,

what

I

said

is

there

is

the

Rs.

30

crores

reduction

of
marketing
spends
versus
Q3,
which
is
really
the
expense
that
we
had,
the
event
and
launch
related
expenses
which
we
had
in
Q3,
which
we
did
not
have
in
this
particular
quarter .

The

Rs.

19

crores

is

because

of

there

are

some

distributor

liquidation

that

settlement

expenses,

etc.,

pertaining

to

that.

Gunjan

Prithyani:

And

yes,

I

am

just

directionally

trying

to

understand

like

there

is

clearly ,
it
is
good
to
have
the
growth
back,
but
I
am
just
trying
to
understand
how
we
should
think
about
this
line
item
because
there
has
been
a
pretty
big
step
up.

Is
it
that
we
do
need
to
do
a
lot
more
in
terms
of
the
marketing
interventions
or
do
you
think
now
we
are
at
that
steady
state
of
marketing
interventions
that
it

is
more
about
bringing
refreshes,
etc.,
just
some
color ,
how
do
we
think
about
this
line
item?
B.

Govindarajan:

Gunjan,
it
can't
be
static,
first
of
all,
because
we
always
have
to
look

at
the
funnel.
What
we
look
at
is
every
month
we
will
start
looking
at
what
is
the
kind
of
inquiry ,
what
is
the
booking,
what
is
the
conversion
and
also
on
the

brand

track

study ,

we

have

to

triangulate

it

and

then

see

where

we

need

to

spend

money .

And

all

the

new

brands

like

Guerilla

and

now

the

new

Hunter

with

the

new

colorways

which
we
launched,
all
those
areas
has
to
be
continuously
on
the
brand
building
exercise
in
the
market
activation.

Will
we
do
like
what
we
did
last
year?
may
not
be.

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Will

we

not

do

like

last

year?

we

may

have

to

do

it

depending

upon

how

the

brand

pack

is

actually

showing

us,

is

that

yes,
some
area
you
have
to
do
a
marketing
activation
to
grow
because
growth
is
the
one
driver
and
everything
have
to
actually
work
around
that
and
that
is
why
we
always
say

that
don't
look
at
the
percentages,
look
at
an
absolute
value,
because
that
is
how
the
growth
in
an
organization
can
get
propelled.
Gunjan
Prithyani:
Got
it.
And
just
on
the
Hunter ,
the

refresh

that

you

have

made,

can

you

just

talk

a

little

bit

about

what

is

it

that

we

are

trying

to

target

there?

There

were

clearly

an

agenda

set

with

Battalion

Bullet

bring

the
retro
look
back.
What
is
it
that
we
are
trying
to
do
with
this
and
our
expectation
in
terms
of
what
it
does
to
the
brand,
given
that
it
has
been
at

15,000-16,000

units

per

month

run

rate,

are

there

white

spaces

that

in

terms

of

geography ,

we

are

trying

to

plug,

some

thoughts

around

what

are

we

trying

to

get

with

this

refresh?

B.

Govindarajan:

So

within

Hunter ,

we

launched

in

August

2022,

the

thought

process

at

that

point

of

time

was

when

we

launched

this

product,

it

has

to

get

us

a

new

set

of

customers.

There
should
not
be
cannibalization
into
the
Classic.

That
is
the
primary
thing
which
we
went
in
and
it
has
really
helped
us
to
get
almost
about
15,000
numbers,
an
average
of
about

14,600

numbers.

But

over

the

years,

we

have

crossed,

you

all

know

over

half

a

million

Hunter

sales

from

August

2022.

What

we

set

out,

it

has

done

well,

but

we

also

saw,

as

I

mentioned

in

our

studies,

we

saw

that

the

growth

is

a

bit

muted

and

it

has

a

very

good

potential

and

we

went

to

the

market

and

trying

to

understand

what

is
it
required
for
doing
more
and
we
could
see
that
we
have
to
do
a
bit
more
brand
activation,
sustenance
activities
for
the
product
and
also
product
intervention.
That
is
why
on

the
product,
if
you
look
at,
it
is
for
city
condition
usage,
tight
traffic
conditions.

So
we
wanted
to
bring
in
an
assistant
clutch
which
we
offered
into
this
right
comfort,
which
we

have
increased
and
ground
clearance,
slightly
we
have
increased
in
this
motorcycle.
We
have
brought
in
LED
headlight
into
this,
a
tripper
part
is
added,
USB
charger
is
added
and
new
color
variants

are
added.
Why
are
we
doing
all
these
things
is
primarily
because
there
are
young
consumers
who
are
looking
at.
Now ,
the
marketing
activation
for
Hunter
should
be
towards
the
younger
audience
to

make
it
cool
and
vibrant
and
youth
focused
brand,
Hunter
and
that
is
where
the
focus
which
is
going
to
be
for
the
coming
year
and
that
is
why
we
came
out
with

the
refreshes
with
all
the
feature
additions,
the
next
growth
phase,
which
has
to
kick
in
after
that
activation
starts
in,
Gunjan.
Gunjan
Prithyani:
Got
it.
And
just
last
clarification
on
the
tariff,

did

you

mention

anything,

how

does

it

affect

our

North

America

exposure,

any

sense

that

we

have,

how

should

we

be

thinking

about

that?

B.

Govindarajan:

Two

things.

First

is

because

of

the

tariff,
initially
there
was
a
higher
than
90
days
break
and
there
is
something
which
is
going
back
and
forth.
As
I
mentioned
for
the
riding
season,
first
of
all,
we
have
protected

with
an
inventory
which
we
were
having
there
in
our
warehouse
at
Dallas.
So
to
that
extent,
the
season
was
not
missed.
It
is
also
pre-tariff
rate.
So
we
are
not
changing
the

MSRP

in

North

America.

Now

that

tariff

situations

are

being

discussed,

we

are

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Eicher

Motors

Limited

May

14,

2025

watching

it

and

correcting

the

FOBs

and

all

those

things

to

be.

The

MSRP

is

not

altered

much

for

our

consumers.

Gunjan

Prithyani:

Got

it.

I

will

join

back

in

the

queue.

Thank

you.

Moderator:

Thank

you.

The

next

question

is

from

the
line
of
Kapil
Singh
from
Nomura.
Please
go
ahead.
Kapil
Singh:
Good
evening,
sir.
Sir,
just
wanted
to
understand
your
thoughts
on
the
growth
profile
of
the
market
if
we
make
2

broad
buckets,
350CC
and
the
portfolio
of
that,
when
you
look
at
growth,
there
is
some
increase
in
mix
for
the
350CC.
So
when
you
are
looking
at
things
going
ahead
for
next,

let
us
say,
2-3
years,
how
do
you
see
that
and
any
factors
here
that
you
would
like
to
share
that
why
the
350CC
mix
has
gone
up?
Because
650
also
we
had

or
450
also
we
had
good
launches
and
the
base
is
low,
so
the
growth
could
have
been
higher
there
as
well,
so
any
thoughts
there?
B.
Govindarajan:
But
I
think
our
350CC,

we
came
out
with
a
lot
of
products
during
this
year.
So
even
in
650CC
and
in
the
450CC
is
the
Guerilla
which
we
launched.
So
everywhere
we
have
been
looking
at
products

which
have
to
come
in
which
gives
a
differentiated
experience
to
the
consumers
in
the
white
space.
We
constantly
look
at
where
the
space
and
what
is
that
we
can
do
and
every

product

I

have

to

give

you

different

experiences.

If

I

have

to

tell

you

about

the

350CC

segment

and

that

is

the

segment

which

is

almost

growing

and

it

has

given

a

growth

for
us
in
the
last
year
and
in
the
500CC
plus
segment,
we
are
almost
95%
plus.
That
is
where
our
strong
position
is.
But
we
do
have
products
which
are
there
in

all
those
CC
segments.
With
the
activities
which
we
are
doing
around
the
community ,
marketing
and
with
the
refreshers
which
are
going
to
come
even
in
this
year
and
finance
availability ,
all
those

activities

are

what

we

feel

that

the

growth

is

going

to

continue,

and

the

fundamentals

hasn't

changed,

right.

The

premiumization

is

continuing,

the

money

availability

in

the

urban

market

is

going

to

be

better ,
rural
is
growing.
So
when
the
whole
two-wheeler
market
has
the
positive
sentiment,
normally ,
the
premium
motorcycle
sales
also
go
up
and
that
is
the
trend
which
we
have
always
seen
and

that
is
the
positive
trend
which
I
am
seeing
even
now.
Kapil
Singh:
Do
you
see
the
mix
shifting
towards
650
or
450
over
next
4-5
years
or,
you
don't
see
any
significant

change?

B.

Govindarajan:

Look,

I

think

the

percentages

as

such

they

are

actually

at

the

stage,

so

the

percentage

of

growth

may

be

very

different

because

the

base

is

so

low.

But

I

don't

see

that

the

650

to

350

there

is

going

to

be

a

complete

switch

and

flip

which

is

going

to

happen

in

the

next

2-3

years,

but

wherever

the

growth

is

happening,

our
products
are
there
and
we
will
continue
to
have
more
products
in
those
areas.
So
that
at
least
we
are
there
in
the
consumer's
mind
that
when
they
see
that
I
need

a
product
at
a
part
icular
CC
level,
Royal
Enfield
product
is
readily
their
type.

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18
Eicher
Motors
Limited
May
14,
2025

Kapil
Singh:
And
sir,
one
question
was
on

the
CAPEX
plan,
if
you
can
just
give
us
an
update
on
how
many
new
launches
we
are
planning
next
year?
We
had
I
think
6
last
year
for
Royal
Enfield
and
in

what

areas

will

the

CAPEX

go

towards?

And

one

housekeeping

question,

just

on

the

commodities,

if

you

have

any

outlook

to

share

and

any

pricing

changes

that

we

have

done?

That

is

all

from

my

side?

Vidhya

Srinivasan:

So

I

take

the

CAPEX

to

be

between

Rs.

1,200-Rs.

1,300

crores

next

year,

which

is

largely

towards

investment

in

EV

manufacturing

facility ,

product

development,

and

new

things.

I
think
as
far
as
the
launches
are
concerned,
we
will
get
into
specific
items
about
the
launches
closer
to
the
date
of
the
launches,
though
of
course
we
said
that
as
far

as

EV

is

concerned,

we

have

talked

about

the

timelines

publicly .

I

think

the

other

question

you

had

was

about.

Kapil

Singh:

Commodities.

Vidhya

Srinivasan:

Commodity

prices,

I

think

we

are

seeing

volatility ,

and

I

think

we

have

talked

about

0.2%

that

we

have

got

impacted

because

of

steel

and

aluminum

prices

as

far

as

the

current

quarter

is

concerned

versus

last

quarter .

But

we

are

waiting
and
watching
to
see
how
it
kind
of
plays
out.
So
at
the
moment
there
is
a
lot
of
volatility
happening
as
you
know .
So
it
is
difficult
for
us
to
comment,

but

we

will

keep

you

updated

in

terms

of

impact

in

the

coming

quarter .

Kapil

Singh:

So

far

there

is

no

pricing

change?

Vidhya

Srinivasan:

Pricing

change,

as

we

said,

we

have

taken

about

1.15%

increase

in

some

select

models

in

April.

B.

Govindarajan:

April

itself,

coming

when

the

OBD2B

transition

which

was

coming

up

and

then

the

New

Year

was

starting,

so

we

have

taken

that
and
if
you
remember
last
year
full
year
we
said
no
price
increase
because
we
wanted
to
add
value
to
the
consumers
and
that
continues,
but
this
year,
as
Vidhya
is
mentioning,

we

have

taken

1.15%

in

select

models

in

month

of

April

itself.

Kapil

Singh:

Thank

you

so

much,

sir.

Have

a

good

day.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of
Raghu
Nandan
from
Nuvama
Research.
Please
go
ahead.
Raghu
Nandan:
Thank
you,
sir
for
the
opportunity .
Congrats
on
the
strong
volume
performance.
One
clarification,
within
the
gross
margin
on
a
Q-o-Q
basis,

Vidhya
ma'am,
you
indicated
a
20-bps
provision
relating
to
a
few
old
bikes.
So
if
you
can
just
expand
on
that?
And
that
is
the
one-of f,
right?
Vidhya
Srinivasan:
Yes,
that
is
one-of f.

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18

Eicher

Motors

Limited

May

14,

2025

Raghu

Nandan:

Understood.

My

first

question

was

on

Classic

650.

Given

the

strong

umbrella

brand

of

Classic

and

how

do

you

see

the
potential
for
that
model
going
forward
and
how
has
been
the
response
so
far?

B.
Govindarajan:

Raghu,
the
response
is
too
good.
We
are
very
happy
with
the
way
consumers
are
looking

at

it.

Honestly ,

we

are

looking

at

the

will

that

be

the

trigger

for

our

upgrade

cycle

because

the

initial

responses,

the

consumers

who

have

been

having

Royal

Enfield,

who

bought

the

Royal

Enfield

350,

maybe

about

8

years

back,

10

years

back,

they

all

started

looking

at

Classic

650

as

an

upgrade

model,

so

to

that

extent

the

interest

is

very

good.

And

it

is

just

2

months.

It

is

in

the

ramp

up

stage.

So

we

will

wait

for

another

2-3

months

to

see

how

this

is

really

performing,

but

it

has

a

huge

traction

even

in

the
international
markets.
Raghu
Nandan:
Got
it,
sir.
And
considering
the
strong
volume
performance,
what
are
the
plans
to
expand
capacity
like
currently
our
capacity
is
1.2
million
units
and
there
are
months

where

we

are

very

close

to

hitting

the

full

capacity .

So

how

do

you

see

the

expansion?

How

much

expansion

are

we

planning?

B.

Govindarajan:

As

we

always

mentioned,

Raghu,

our

capacity

as

you

mentioned

is

about

1.2

million

with

the

plants

and

we

also

have

Cheygar

where

we

protect

the

land

and

we

also

have

the

sheds

ready .

And

all

our

manufacturing

facilities

are

done

in
a
modular
way,
so
what
we
are
looking
at
even
in
this
year,
as
Vidhya
was
mentioning
about
like
CAPEX,
some
CAPEX
goes
in
and
wherever
there
is
capacity
enhancement
which
has

to
be
done,
so
that
we
will
be
using
it
and
we
will
take
the
capacity
up
for
the
new
models
which
we
launched.
Raghu
Nandan:
So
what
would
be
the
capacity
at

Chey yar ,

sir?

B.

Govindarajan:

Chey yar

is

actually

a

plant

which

will

support

the

back-end

operations

like

Chrome

plating,

powder

coatings

and

all

those,

surface

finishing

for

all

Vallam

and

Oragadam

plants.

That

is

how

it

is

envisaged

as

of

now.

Raghu

Nandan:

Understood,

sir.

And

on

the

export

side,

what

would

be

the

share

of

global

CKD

plants

in

overall

exports

and

how

are

you

looking

at
capacity
addition
in
these
global
plants
like,
for
instance,
in
Brazil
you
were
actually
increasing
capacity
because
of
the
strong
demand,
so
if
you
can
talk
about
that?
B.
Govindarajan:
Yes.
So,

Brazil,
you
all
know
because
of
the
tax
structure,
unless
we
have
a
CKD
operation,
we
can't
enter
into
the
market.
As
a
CBU,
we
will
only
be
losing
money .
We
also
put

our
expansion
on
hold
because
the
CKD
facility
has
to
be
ready .
Having
said
that,
CKD
facility
with
third
party
also
has
a
particular
quota,
they
also
don't
have
unlimited
numbers
which
they

can
produce.
So
initially
we
worked
with
a
third
party .
Now ,
we
have
added
one
more
party
also
so
that
the
year's
requirement
is
done
and
parallelly
we
are
also
evaluating
what
does

it

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Eicher

Motors

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14,

2025

mean

for

us

to

be

of

our

own

and

what

is

the

kind

of

an

investment

and

what

is

the

capacity

which

we
have
to
build
because
Brazil
is
a
very
good
market
which
Royal
Enfield
products
are
getting
accepted
very
well.
We
are
already
#3
in
the
Brazil
market
and
last
year
we
made

almost
about
22,000
and
odd
numbers
in
the
Brazil
market.
So
that
market
is
receiving
products
from
Royal
Enfield
very
well.
As
I
mentioned,
we
launched
the
Himalayan
just
about
a
month
back

and
the
reception
had
been
outstanding.

So
it
is
an
important
market
for
us,
and
we
are
committed
to
invest
and
build
that
market.

Raghu
Nandan:
Got
it,
sir.
And
just
lastly
on

the
dividend
payout,
the
payout
has
increased,
and
we
are
closer
to
a
payout
ratio
of
40%,
but
compared
to
a
couple
of
other
two-wheeler
mass
market
companies,
our
payout
ratio
is
still

on

the

lower

side.

How

do

you

see

that

increasing

over

the

next

few

years?

B.

Govindarajan:

Sir

would

you

like

to?

Vinod

Aggarwal:

So

I

think,

if

you

look

at

the

past

track
records,
so
we
had
been
consistently
paying
out
around
33%-35%
sort
of
the
dividend
payout
and
this
year,
we
have
improved
it
depending
on
our
better
performance
and
going
forward
also
I

think

we

will

be

open

at

looking

at,

but

the

right

payout

ratio

based

on

the

performance

and

the

cash

situation.

So

I

think

this

is

a

good

improvement

over

the

previous

year,

which
the
Board
has
considered
and
given
that
payout.

Raghu
Nandan:

Got
it,
sir.
Thank
you
very
much
and
wishing
you
all
the
best.

B.

Govindarajan:

Thank
you.

Moderator:

Thank
you.

The
next

question

is

from

the

line

of

Amyr

Pirani

from

JP

Morgan.

Please

go

ahead.

Amyr

Pirani:

Hi,

sir.

Thanks

for

the

opportunity .

Sir,

on

VECV ,

a

request

as

well

as

a

question,

given

the
increasing
importance
of
this
business
and
the
way
it
has
been
improving
its
financials,
it
would
help
if
we
can,
also
get
some
broad
cost
heads
like
raw
material,
employee
and
other

expenses

instead

of

just

revenue

and

EBITDA

and

PAT

because

the

kind

of

improvement

that

it

is

showing,

it

will

help

us

to

get

a

better

sense

as

to

how

things

are

going

there.

And

hence

the

question

is

that

after

having

flattish

margins

for

a

while,

in

the

last

2

quarters,

we

have

actually

seen

significant

improvement

in

margins.

So

any

broad

sense

as

to

whether

it

is

driven

by

gross

margins,

whether

there

is

some

operating

leverage

playing

out

in

other

expenses?

Is

your

pricing

momentum

vis-a-vis

competition

improving,

some

color

there

will

be

very

helpful?

Vinod

Aggarwal:

No.

First

of

all,

I

think

our

financial

statements

are

part

of

our

accounts.

So

you

get

the

full

details

there

on

the

material

cost

and

our

part

of

the

accounts,

annual

accounts.

Page

15

of

18

Eicher

Motors

Limited

May

14,

2025

Amyr

Pirani:

Annually ,

yes,

sir.

Quarterly ,

we

don't

get.

Annually ,

we

definitely

get

that.

You

are

right.

Vinod

Aggarwal:

It

can

be

given

if

you

want,

but

I

think

that

is

right,

let

us

say.

It

can

be

given;

I

think

Anubhav

can

share.

We

can

share

that.

That

is

not

a

problem.

As

far
as
the
margins
are
concerned,
this
is
I
think
the
combined
result
of
better
price
management,
operating
leverage
as
well
as
cost
management.
So
there
is
a
consistent
focus
on
improving
the

transaction

prices

and

reducing

the

discounts

and

also

taking

the

price

increases

wherever ,

if

possible

and

also

getting

to

a

better

product

mix

focusing

on

those

products

there,

of

course,

the

margins

are

better .

So

I

think,

this

is

the

result

of

the

consistent

focus,

and

we

would

like

to

continue

that

same

focus

and

let

us

hope

that

we

are

able

to

maintain

or

improve

these

margins

further .

Amyr

Pirani:

That

is

good

to

know .

And

sir,

just

to

follow

up,

obviously

4Q

is

a

seasonally

strong

quarter

for

the

industry .

So

I

am

guessing

that

maybe

we

should

not

extrapolate

the

4Q

number

into

a

full

year,

but

any

broad

indication

like

do

you

have

a

target

of

like

when

should

we

see

like

a

double

digit

EBITDA

margin

for

the

business

on

a

full

year

basis.

Is

it

something

that

you

are

expecting

in

the

near

term

or

is

it

something

that

could

take

some

more

time?

Vinod

Aggarwal:

I

think

it

will

be

difficult

to

give

actual

guidance

on

that.

But

of

course,

you

have

the

quarterly

results

for

all

the

quarters.

You

can

see

things

are

improving

and

let

us

see.

I

think

that
will
be
the
effort.

I
can't
give
you
the
exact
numbers.

That
is
how
it
will
go
on.

It
is
very
difficult
to
predict.

Amy
Pirani:
Sure,
sir.

Thanks
for
that,
sir,

I
will
come
back
in
the
queue.

Moderator:

Thank
you.
The
next
question

is
from
the
line
of
Sanjay
Saetati
from
Ampersand.

Please
go
ahead.

Sanjay

Saetati:

Yes,

I
couldn't
understand
whether
this

gross

margin

that

you

are

talking

about,

the

20

basis

points

negative

impact.

Can

you

just

explain

what

exactly

it

is?

Vidhya

Srinivasan:

Which

one?

What

are

you

referring

to,in

the

fees?

Is

that

what

you

are

talking

about?

Sanjay

Saetati:

The

gross

margin,

it

seems

like

there

was

some

20

basis

points

negative

one-of f.

I

couldn't

understand

that

part

clearly .

Vidhya

Srinivasan:

So

it

was

essentially

some

inventory

provisions

that

we

created

against

old

bikes,

etc.,

so

that

is

what

it

was

around.

If

you

want,

I

can

give

further

data

separately .

Sanjay

Saetati:

No,

is

it

like

a

regular

yearend

activity

or

it

was

something

special

for

this

year?

Vidhya

Srinivasan:

Bikes,,

etc.,

where

we

cleared

up

some

of

the

old

stock.

Page

16

of

18

Eicher

Motors

Limited

May

14,

2025

Sanjay

Saetati:

Understood.

Thank

you

so

much.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Sonal

Gupta

from

HSBC

Mutual

Fund.

Please

go

ahead.

Sonal

Gupta:

Good

evening,

sir.

Thanks

for

taking

my

question.

So

just

like,

versus,

say,

the

last

peak

in

FY

'18-19

to

now,

we

have

crossed

to

a

new

peak

in

the

domestic

market.

But

I

was

just
trying
to
understand
like,
versus,
over
the
last
6-7
years,
how
would
the
customer
profile
have
shifted,
right,
like
at
that
time
Classic
used
to
be
really
the
dominant
part
of
the

portfolio.

Now ,

it

is

more

diversified

as

well

and

in

terms

of,

just

trying

to

understand,

like

whichever

ways

you

want

to

segment

the

customers

and

how

are

you

looking

at

the

profile

now

or

really

speaking

in

terms

of

age

mix,

income

mix,

anything

that

you

can

give?

B.

Govindarajan:

Yes.

At

the

point

of

time,

when

Classic

was

there

were

products,

which

were

pulling

the
full
company ,
at
that
point
of
time,
the
people
who
were
looking
at
average
age
would
have
been
almost
about
38-40
types.
Over
the
period,
we
have
added
products
which
have
actually

brought
the
average
age
of
Royal
Enfield
customers
lower .
Hunter ,
when
we
launched,
it
actually
brought
in
at
about
24-26
years
as
the
average
age.
Meteor
when
we
brought
in,
that
also
brought

in
the
younger
audience,
so
more
and
more
what
is
happening
is
the
younger
audience
are
coming
in,
so
the
average
age
of
the
customer
profile
of
Royal
Enfield
has
drastically
come
down.

This
is
a
good
sign.
That
is
where
the
growth
is
happening
and
our
first
time
buyers
have
also
increased
almost
close
to
19%,
all
those
young
guys
who
are
looking
at.
So

all
our
products
which
are
now
targeted
towards
more
and
more,
younger ,
youth,
cool
thats
where
the
products
are
coming,
that
is
where
the
traction
is,
that
is
how
the
average
age
is

also

coming

down.

Some

products

may

be

Classic

650,

if

I

have

to

talk

about

that,

that

won't

be

at

a

very

young

age.

Obviously ,

the

average

age

will

be

higher

because

that

is
a
product,
which
is
pitched
for,
in
a
way,
as
an
upgrade
product
for
people.
There
the
average
is
slightly
higher .
If
I
have
to
give
you
some
numbers,
around
30
plus

percentage

of

the

consumers

are

below

25

years

as

of

now

overall

aggregated

level,

but

there

is

product

level

we

have

to

see

and

another

about

60%-65%

will

be

about

below

35

years

of

age.

Sonal

Gupta:

Got

it,

sir.

And

Sir,

would

you

give

us

a

sense

of

what

sort

of

medium

income

level

would

be

there

for

the

customer?

B.

Govindarajan:

Very

difficult

because

we
always
believe
the
product
and
the
brand
has
to
be,
The
guy
who
was
actually
sitting
in
the
car
and
the
guy
who
is
driving
the
car,
both
should
aspire
to
own

a
Royal
Enfield,
so
it
has
to
be
at
an
accessible
price
point.
I
can
tell
you
in
the
other
way,
maybe
we
will
do
a
bit
more
cut
and
then
send
it

to
you,
that
our
finance
penetration
is
also
going

up.
So
it
is
almost
now
what
61%
is
our
finance
penetration,
which
is
also
showing
there
is
a
good
traction
for
even

the
younger
audience.

Page
17
of
18
Eicher
Motors
Limited
May
14,
2025

Sonal
Gupta:
And
just
lastly ,
how
much
would
top
20
cities
be
of
our
volumes
now?
B.
Govindarajan:
Around
the

top

20

cities

will

be

about

18%-20%,

22%.

That

is

the

range.

Sonal

Gupta:

Great,

sir.

Thank

you

so

much

for

answering

my

questions.

Thank

you.

Moderator:

Thank

you.

Ladies

and

gentlemen,

that

was

the

last

question

for

today .

I

would

now

like

to

hand

the

conference

over

to

the

management

for

closing

comments.

B.

Govindarajan:

Thank

you

very

much.

It

has

been

wonderful

talking

to

all
of
you
guys.
As
I
mentioned
Royal
Enfield
both
at
VECV
and
at
Royal
Enfield
at
Eicher
level,
we
are
focused
on
what
we
need
to
do
for
building
future
growth
and

we
are
confident
with
the
current
market
situation
and
the
kind
of
product
which
we
are
having
at
Royal
Enfield
and
from
VECV ,
our
growth
is
in
the
right
track.
Thank
you
very

much

for

joining

this

call.

Vinod

Aggarwal:

Thank

you.

Vidhya

Srinivasan:

Thank

you.

Moderator:

On

behalf

of

Avendus

Spark,

that

concludes

this

conference.

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

Page

18

of

18

Call: Aug 2025

Eicher Motors Limited
Corporate Office:
#96, Sector – 32
Gurugram – 122001
Haryana, India
Tel +91 124 4415600
Registered Office
CIN: L34102DL1982PLC129877
Office No.1111, 11th Floor, Ashoka Estate
Plot No. 24, Barakhamba Road
New Delhi-110 001, India
Tel +91-11-41095173 Email: info@eichermotors.com

August 06, 2025

Online intimation/submission

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400 001
Security Code: 505200
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor, Plot No.C/1,
G Block, Bandra Kurla Complex, Bandra (E)
Mumbai-400 051
Symbol: EICHERMOT

Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call

Dear Sir/Madam,

Further to our letter dated July 23, 2025 intimating the schedule of the conference call, held on Thursday, July 31, 2025, please find attached transcript of the aforesaid conference call, held inter-alia to discuss financial results for the first quarter ended June 30, 2025, pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015. The same is also available on the website of the Company www.eichermotors.com.

The conference call started after the conclusion of the Board meeting of the Company.

You are requested to take the same on your records.

Thanking you,
For Eicher Motors Limited

Atul Sharma
Company Secretary

Encl.: As above

"Eicher

Motors

Limited

Q1

FY26

Post

Results

Conference

Call"

July

31,

2025

M
ANAGEMENT
:

M
R
.

B.

G
OVINDARAJAN

—

M
ANAGING

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IRECT OR

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E
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M
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OTORS

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B
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OTORS

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IMITED

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ODERA TOR
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M
UKESH

S
ARAF

—

A
VENDUS

S
PARK

Page

1

of

15

Eicher

Motors

Limited

July

31,

2025

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

Eicher

Motors

Q1

FY

'26

Post

Results

Conference

Call.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will
be
an
opportunity
for
you
to
ask
questions
after
the
presentation
concludes.
Should
you
need
assistance
during
the
conference
call,
please
signal
an
operator
by
pressing
star
then
zero
on
your
touch

tone

phone.

I

now

hand

the

conference

over

to

Mr.

Mukesh

Saraf

from

Avendus

Spark.

Thank

you

and

over

to

you,

sir.

Mukesh

Saraf:

Thank

you,

Bhavya.

Good

evening,

everyone.

Mukesh

Saraf

here

from

Avendus

Spark.

Appreciate

everybody

logging

in

to

this

first

quarter

FY

'26

Earnings

Call

of

Eicher

Motors.

From

the

management

team,

I'm

pleased

to

host

Mr.

B.

Govindarajan,

MD,

Eicher

Motors

Limited

and

CEO

Royal

Enfield;

Ms.

Vidhya

Srinivasan,

Chief

Financial

Officer,

Eicher

Motors

and

Mr.

Anubhav

Bajpai

who

leads

Investor

Relations.

I'll

now

hand

over

this

call

to

Mr.

Govindarajan

for

his

opening

remarks,

post

which

we'll

open

it

up

for

Q&A.

Over

to

you,

sir.

B.

Govindarajan:

Thank

you.

Hello,

everyone.

Thank

you

for

joining

Eicher

Motors

Limited

Earnings

Call

for

the

quarter

ended

June

30th,
2025.
After
a
strong
finish
of
FY
'24-'25,
we
began
the
new
financial
year
on
an
equally
promising
note,
delivering
strong
volumes
and
healthy
growth.
It
has
been
a
quarter
of
meaningful

progress

across

both

Royal

Enfield

and

VE

Commercial

Vehicles

and

we'll

walk

you

through

the

highlights

shortly .

Earlier

this

week,

we

also

released

EML's

annual

integrated

report

for

FY

'24-'25.

We

hope

you

had

a

chance

to

go

through

it.

Along

with

our

performance

highlights,

the

report

outlines

our

ESG

vision

and

the

steady

progress

we

are

making

towards

it.

I'll

first

begin

with

a

broad

summary
of
the
overall
financials
coming
to
EML
consolidated
financials
for
the
first
quarter
FY
'25-'26.

Our
revenue,
EML,
clocked
best
ever
Q1
revenue
at
INR5,042
crores,
marking
a
growth
of
14.8%

over

INR4,393

crores

from

Q1

last

year.

Our

EBITDA

is

about

INR1,203

crores

versus

INR1,165

crores

in

Q1

last

year.

PAT

at

INR1,205

crores,

up

by

9.4%

from

INR1,101

crores

in

Q1

last

year.

Please

note

PAT

includes

the

share

of

profit

of

VECV ,

which

for

Q1

stood

at

INR157

crores.

The

strong

performance

was

a

result

of

an

all-round

growth

at

both

Royal

Enfield

and

VECV .

I'll

first

begin

with

the

business

highlights

of

Royal

Enfield

and

then

followed

by

the

updates

from

VECV .

At

Royal

Enfield,

the

new

financial

year

for

Royal

Enfield

has

started

on

a

solid
ground,
building
on
an
exceptional
performance
last
year.

Let's
look
at
the
performance
of
the
quarter .

During
this
quarter ,
we
sold
2,61,326
motorcycles
with

a
growth
of
14.7%
as
against
2,27,736

in
Q1
of
FY2025,
out
of
which
in
India,
we
sold
Page
2
of
15
Eicher
Motors
Limited

July
31,
2025

2,28,779
motorcycles
with
11.8%
growth
from
last
year.
We
continue
to

gain
market
share
across
both,
particularly
in
the
middle-sized
motorcycle
segment
where
Royal
Enfield
has
been
able
to
continue
its
dominance
at
87.3%
exit
market
share.

Our
focused
strategy ,
combined
with
a
strong

product
portfolio,
marketing
activations
have
helped
us
deepen
our
presence
in
the
markets.
Now
about
our
international
markets.
Our
volumes
stood
at
about
32,547
units,
marking
a
growth
of
41.2%
over
the
last

year.

In
the
backdrop
of
an
uncertain
macroeconomic
scenario,
we
were
able
to
maintain
the
growth
momentum
for
our
retail
volumes
in
the
international
market
specifically .

We
also
continue
to
strengthen
our

international

footprints

by

deepening

our

presence

in

key

global

markets

and

responding

swiftly

to

the

evolving

consumer

needs.

In

the

LATAM

region,

demand

for

Royal

Enfield

motorcycles

continued

to

rise,

particularly

in

Brazil

where

we

have

set

up

a

second

CKD,

enhancing

product

availability

and

responsiveness

in

that

region.

In

the

SAARC

region,

the

markets

like

Nepal

and

Bangladesh

continued

to

perform

very

well

for

us.

In
both
these
markets,
we
have
received
an
exceptional
response
for
our
motorcycles.

This
quarter
we
introduced
a
new
Classic
350,
which
has
been
produced
exclusively
at
our
CKD
facility
in
Nepal.

Together ,
these
expansions
are
the
key
part
of
our
broader
strategy
to
build
Royal
Enfield
as
a
truly
global
motorcycle
brand
with
deeply
local
relevance.
Now
I'll
just
give
you
some
updates
on

the
products
during
this
Q1.
This
quarter ,
we
launched
2025
new
Hunter
350,
a
refreshed
and
future
pack
upgrade
of
our
hugely
popular
urban
Roadster
with
the
new
color
ways
and
enhanced
features,

the
updated
Hunter
350
has
already
witnessed
a
healthy
traction
across
markets
and
it
is
bringing
in
a
wave
of
new
and
young
riders
into
the
global
community .

The
new
Hunter
was
launched

at
the
HunterHood,
our
first
street
culture
festival,
which
was
hosted
in
two
cities
across
India,
which
blends
the
culture
and
the
community ,
bringing
together
about
5,000-plus
attendees
to
these
functions,
celebrating
the

Hunter

350

in

true

Royal

Enfield

spirit.

We

are

now

gearing

up

for

the

upcoming

Chennai

edition

of

the

festival

part

in

the

month

of

August.

After

making

a

global

debut

at

EICMA,
we
also
brought
our
Flying
Flea
to
India,
a
series
of
immersive
showcases
in
Delhi,
Mumbai
and
Bangalore.
The
showcases
have
generated
quite
an
excitement
among
our
communities,
and
we
are
super

excited
about
the
launch
of
our
very
first
electric
motorcycle
under
the
Flying
Flea
brand
for
City
and
City+.

We
continue
to
create
memorable
riding
experiences
for
our
community .

We
concluded
the
21st

edition
of
the
Himalayan
Odyssey ,
one
of
our
most
iconic
and
enduring
rides.
For
over
20
years,
the
Himalayan
Odyssey
has
been
a
symbol
of
adventure
and
discovery ,
taking
riders
through
the
stunning

landscapes
of
the
Himalayas.

This
year,
77
riders
set
out
on
a
journey
through
the
world's
highest
motorable
pass
celebrating
endurance,
exploration
and
spirit
of
the
motorcycling
community .
Equally
important
to
us,

as
you
all
know ,
is
our
commitment
to
social
and
environmental
responsibility .

We
are
also
proud
to
share
that
today ,

84%
of
our
operational
electricity
is
sourced
from
renewable
sources

at
Page

of
15
Eicher
Motors
Limited

July
31,
2025

2.4x
leap
from
the
previous
year,
which
is
a
clear
marker
of
our
progress
towards
a
sustainable
future.

We
have
brought
down
our
emission

intensity

by

51%

from

0.06

metric

tons

of

CO₂

equivalent

for

motorcycles

to

0.03

metric

tons

of

CO₂

equivalent

per

motorcycle

over

the

last

1

year.

We

also

sustained

our

benchmark

of

water

positivity ,
replenishing

our

4x

the

water

we

consume

with

a

water

positivity

index

of

4.3.

This

approach

where

energy

emissions

and

resources

are

viewed

as

one

interconnected

system

has

helped

us

to

build

future-ready

operations

in

the

true

sense.

Now

I

will

take

you

through

the

business

highlights

of

VECV .

VECV

sustained

volume

growth

with

a

focus

on

future-ready ,

efficient

mobility ,

reinforcing

our

commitment

to

shape
the
next
chapter
of
commercial
transportation
in
India.

We
remain
sharply
focused
on
long-term
value
creation
through
product
excellence,
global
ambition
and
deep
customer
engagement.

I'm
happy
to
share
that
the
VECV ,

we
recorded
a
quarter
sales
of
21,610
units,
exceeding
our
previous
record
of
19,702
units
in
Q1
of
FY
'25.
VECV
continues
to
maintain
its
growth
momentum
in
the
CV
industry
with
its

first
quarter
milestone
across
all
segments.

Eicher

HD

Trucks,

the

first

quarter

sales

of

4,580

units

and

FY

'25

Q1

was

4,689

units

with

a

market

share

of

about

8.8%.

LMD

Trucks,

first
quarter
sale
of
8,610
units
against
7,842
units
of
Q1
with
a
leading
market
share
of
about
34.45%.
Our
Bus
division,
our
sales
stood
at
about
6,000
units
in
the
first
quarter

against

last

quarter

--

last

first

quarter

of

5,232

units

with

21.5%

market

share.

Exports

in

Q1

grew

to

about

1,436

units,

registering

a

robust

growth

of

20%

over

Q1

of

FY

'25.

Now
coming
to
VECV
financial
performance
in
the
first
quarter
of
FY
'25-'26.
Our
revenue
from
operations
for
Q1
FY
'26
is
INR5,671
crores
against
INR5,070
crores
last
year.
EBITDA
for
VECV
Q1

FY

'26

is

INR51.1

crores,

33%

higher

versus

INR385

crores

last

year.

Our

EBITDA

margin

for

Q1

is

about

9%

against

7.6%

last

year

same

quarter

and

PAT

for

Q1

is

at

INR289

crores

as

against

INR321

crores

last

year

same

time.

Thank

you

all

for

being

with

us

on

this

call

today .

Now

we

can

open

to

Q&A.

Moderator:

Thank

you

very

much.

We

will

now

begin

the

question

and

answer

session.

Anyone

who

wishes

to

ask

a

question

may

press

"1"

and

"1"

on

their

touch

tone

telephones.

If

you

wish

to

remove

yourself

from

the

question

queue,

you

may

press

"2"

and

"2".

Participants

are

requested

to

please

use

handsets

while

asking

a

question.

Ladies

and

Gentlemen,

we

will

now

wait

for

a

moment

while

the

question

queue

assembles.

The

first

question

is

from

the

line

of

Chandramouli

Muthiah

from

Goldman

Sachs.

Please

go

ahead.

Chandramouli

Muthiah:

My

first

question

is

just

on

capacity .

So

it

looks

like

now

we

are

heading

towards

sort

of

early

to

mid-80%

capacity

utilization

on

our

operations

as

we

sort

of

head

into

north

of

1

million

kind

of

territory

in

annual

volumes.

So

just

want

to

understand

how
you're
thinking
about
capacity
as
you
look
to
grow
the
business
over
the
next
three
to
five
years?

Page
4
of
15
Eicher
Motors
Limited

July
31,
2025

B.
Govindarajan:
Chandramouli,

it
is
--
our
capacity
stated
is
with
both
the
plants,
which
is
Oragadam
and
Vallam,
which
is
where
we
are
manufacturing
all
our
motorcycles
for
across
the
globe.
We
have
stated
a

capacity

of

almost

about

1.2

million.

And

currently ,

you

are

right,

we

are

operating

at

almost

about

90%

of

that.

We

also

mentioned

during

the

last

quarter

call

about

our

capex,

which

is
actually
going
in
terms
of
fulfilling
some
of
the
gap
in
taking
the
capacity
further
up,
which
is
required.
As
we
mentioned,
our
capacity
build
up
will
take
place
in
modules.
We

don't

need

to

actually

go

in

for

a

heavy

capacity

enhancement.

Focus

on

the

capex

is

more

on

the

new

products.

And

we

have

cracked

the

code

of

the

modular

capacity

enhancement,

and

we

will

go

in

that

way

for

any

capacity

enhancement

in

future.

Chandramouli

Muthiah:

Got

it.

That's

helpful.

My

second

question

is

just

around

the

Hunter

350

refresh,

which

happened

in

the

month

of
May.
So
if
I
were
to
just
contrast
versus
the
bullet,
which
was
refreshed
last
year
in
September ,
of
course,
maybe
different
products
and
different
segments.
I
think
the
bullet
had
between

sort

of

10,000

to

15,000

units

of

growth

Y-o-Y

on

a

quarterly

basis

for

the

past

three

quarters.

Hunter ,

maybe

still

early

days,

but

it

looks

like

it's

relatively

flat

quarter -on-quarter

even

post

the
college
buying
season.
So
I
just
want
to
understand,
are
there
any
capacity
constraints
around
the
Hunter
because
of
rare
earth
and
so
on
or
how
do
you
think
about
the
outlook

for
the
Hunter
as
you
get
in
potentially
to
festive
season?

B.

Govindarajan:

Well,
look,
the
new
Hunter
350,
we
launched
it
around
the
27th
April,
which
is
with
a
full
refresh
and

with
USB
added
and
flashy
colors,
which
are
added
into
this,
and
it
is
targeted
towards
the
youngsters.
That's
what
is
the
positioning
which
we
brought
in
when
we
launched
even
in
August

'22.

So

these

new

colors

and

the

features

addition,

including

the

suspension

improvement,

which

we

have

done.

We

launched

it

in

the

HunterHood,

the

street

culture

festival

to

celebrate

the

music,

art,

dance
and
lifestyle
of
urban
cities.
So
far,
we
have
seen
very
good
traction
and
the
market
pickup
is
good.
There
is
a
good
inquiry ,
and
it's
off
to
a
very
good
strong

start

with

an

inquiry

and

as

I

mentioned,

and

the

booking.

And

Hunter ,

as

of

now,

if

I

have

to

tell

you,

it

is

coming

around

17,000

to

17,500

numbers

per

month,

which

is
slightly
lower
and
especially
the
new
colors,
which
is
actually
gaining
a
very
good
traction.
So
it's
very
early
days,
but
we
are
committed
to
build
this
brand
further ,
and
HunterHood
will

be

the

platform

through

which

Hunter

will

be

further

marketed,

positioned

and

the

positioning

will

be

cemented.

Chandramouli

Muthiah:

Got

it.

That's

helpful.

And

my

last

question

is

just

around

as

some

of

your
new
models
and
refreshes
cost
maybe
one
year
post
launch,
there
might
be
opportunities

to
take
cost
out
as
you
have
much
more
stable
supply
chains
from
your
suppliers
on
committed

volumes.

So

I

just

want

to

understand

how

you

think

about

the

Bullet

refresh

and

the

Classic

refresh

from

last

September ,

October

time

frame,

which

have

done

very

well

for

the

company .

Page

5

of

15

Eicher

Motors

Limited

July

31,

2025

In

the

back

half

of

this

year,

do

you

see

opportunities

for

margin

to

pick

up

as

a

result

of

cost

takeout

initiatives

there,
just
given
that
our
strategy
now
seems
to
have
shifted
to
volume
over
margin.
Does
that
reverse
a
little
bit
in
terms
of
cost
opportunities
in
the
back
half
of
the
year?

B.

Govindarajan:

Thanks

for,

Chandramouli,

you

are

iterating

the

point

that

growth

is

important

that

the

margin,

glad

that

you

guys

are

also

seeing

it

as

the

right

strategy .

I

think

you

rightly

asked

what

it

means

in

terms

of

the

cost

reductions

and

all.

As

I

mentioned,

value

engineering,

the

pipeline

has

been

set.

But

you

all

know

there

is

a

commodity

inflation

pressures,

availability
of
steel
pressures.
So
our
supply
chain
team
is
also
quite
busy
in
solving
all
those
things,
including
the
rare
earth
which
we'll
talk
about.
But,
yes,
value
engineering
has
started
coming

in,
which
will
help
in
the
future.

Chandramouli

Muthiah:

Got
it,
Thank
you
very
much,
and
all
the
best.

Moderator:

The
next
question
is
from
the
line
of
Kapil
Singh
from
Nomura.
Kapil

Singh:

Good

evening

Sir,

Congratulations

on

the

strong

performance

and

the

strategy

of

volumes

seems

to

be

working

well.

Just

want

to

understand

that

since

we

changed

this

strategy

last

year,

have

you

--

the
new
buyers
who
are
coming,
have
you
seen

--

is
there
any
change
in
profile?
What
is
attracting
them?
Any
color
on
maybe
age
profile
or
rural
urban
profile,
that
would

be

really

helpful?

B.

Govindarajan:

Look,

I

think

Hunter ,

as

I

mentioned,

the

age

profile

is

about

24

to

26,

so

young

audiences

are

actually

liking

motorcycles.

And

that

is

why

we

also

brought
the
motorcycle,
the
silhouette,
the
color
combinations,
the
CTGs,
all
those
things.
And
the
positioning
itself,
as
I
mentioned,
it
is
through
the
Hunter ,
which
is
the
street
festival,
which
is
a

platform
where
the
community ,
artists,
young
hustle
guys
who
all
want
to
come
together
and
express
themselves.

And
that
is
the
platform,
which
will
get
extended
across
all
cities
and
some
of
the

rural

markets,

too.

So

that's

what

the

young

customers

are

looking

at.

Second,

our

Continental

GT,

which

has

been

growing

at

a

very

good

rate

is

also

now

the

demography

is

actually

coming

down.

Even

that

is

almost

about

26

to

27

is

an

age

for

Continental

GT.

So

some

of

our

products

are

attracting

young

customers,

and

that

is

what

we

want.

And

all

other
products,
it
has
a
specific
experience
and
demography
is
slightly
different
for
different
products.
But
our
endeavor
has
always
been
how
do
we
get
the
young
audience
more
and
more
into
the

Royal
Enfield
brand
through
the
various
products
and
the
marketing
initiatives,
which
we
are
doing.
Kapil
Singh:
Sir,
my
question
was
more
on
Bullet
where
we
have
seen
a
large
increase
in
volumes,

almost

10,000

to

15,000

a

month,

right?

So

there,

what

are

you

noticing

on

the

profile

as

these

new

customers

are

coming

in?

B.

Govindarajan:

Well,

Bullet

last

year,

actually ,

first,

we

opened

up

in

the

bastion

market.

In

fact,

in

Q1,

we

sold

about

50,000

units

of

the

Bullet.

That's

what

--

that's

the

number .

It

has

received

a

very

Page

6

of

15

Eicher

Motors

Limited

July

31,

2025

solid

response

from

the

customers.

This

product

was

done

based

on

the

customer

feedback

and

because

as

a

company ,

we

had

a

deep

connection

with

the

community

and
with
our
riders.

So
they
said
that
the
product
had
to
have
some
changes.

Can
you
make
it?

We
made
it.

We
went
to
the
market.

The
acceptance
was
very
good.

And

last
year,
festive
period,
it
actually
helped
us
in
Punjab,
Haryana,
UP,
et
cetera.
Post
that,
when
we
started
opening
to
the
other
markets,
where
also
people
started
enjoying
the
Battalion
Black.

In
terms
of
demography ,
if
I
have
to
tell
you,
yes,
Bullet
has
an
age
group
of
somewhere
around
30
to
34.
But
in
some
markets
in
the
South,
we
are
seeing
even

the
young
audience
are
also
enjoying
the
Battalion
Black.
Kapil
Singh:
Great,
sir.
And
the
second
question
was
on
exports.
Again,
seeing
strong
growth
in
numbers
there,
particularly
some
key
markets
like
Brazil,

for
example.
Any
insights
you
could
share
like
what
is
working
well
in
those
markets?
What
are
the
learnings
you
are
taking
from
there
as
you
enter
other
markets?
B.
Govindarajan:
Look,
I

think

international

markets,

as

I

mentioned

last

time

also,

we

are

cautiously

optimistic.

We

are

putting

our

bets

on

some

key

markets

where

the

macroeconomics

are

good,

especially

a

market

like

Brazil

where

we
feel
that
there
is
a
huge
potential
for
us
to
grow
because
it's
a
good
2-wheeler
market.
CKD
facilities
have
to
be
in
place.
So
we
have
two
assemblers.
Now
we
are

also
thinking
of
how
do
we
expand
in
that
area
of
having
a
control
on
that.

There
in
the
Brazil
market,
we
wanted
to
have
a
product
which
is
at
a
very
accessible

price

point.

In

fact,

Vidhya

and

team

are

actually

working

on

the

finance

scheme

in

those

markets.

What

do

we

have

to

do

tying

up

with

the

bank

so

that

the

customer

experience

is
seamlessly
given
to
them
to
acquire
Royal
Enfield
Motorcycles.

That's
in
Brazil.

So
there's
a
good
market.

We
are
slowly
opening
up
the
retail
outlets.

CKD
facilities
are
getting
in
place

for

the

volume.

And

our

brand

building

exercise

has

also

started

yielding

results.

In

fact,

I

was

also

there

during

the

Interlogos

and

almost

1,500

riders

came

together

to

ride

on

the

circuit

for
about
half
an
hour
ride,
but
everybody
came,
and
that's
allowed
the
brand
is
getting
in
the
Brazil
market.
So
we
are
very
bullish
about
that
market.

As
far
as
U.K.
is

concerned,
there,
as
I
mentioned
last
time,
there
will
be
preregistered
motorcycles.
It
is
still
there.
So
there,
the
growth
is
slightly
muted.
Europe
is
doing
well.
We
have
taken
our
distribution
of

our
own
and
all
the
back
ends
which
are
to
be
fixed
are
getting
fixed.
The
floor
funding
is
being
fixed
in
that
area.

So
operationally ,
whatever
is
required
for
the
rest

of
Europe,
those
operations
are
done.
So
we'll
once
again
see
good
growth
there.
Australia
is
doing
well
for
us.
The
Thailand
market
has
its
own
pressure
point,
but
Indonesia
is
doing
well.

So
that's
on
the
other
side
of
the
markets.

In
SAARC,
both
in
Bangladesh
and
in
Nepal,
we
have
been
doing
very
well
and
our
products
are
accepted
very
well,
and
both
our

CKD
plants
are
fully
in
operation.

So
what
is
required
for
future
growth
in
the
international
markets,

I
think
last
1.5,
2
years,
we
have
been
spending
time
fixing
the
basics
and
preparing

ourselves

for

growth

in

those

markets.

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Eicher

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And

once

the

market

opens

up,

as

I

mentioned

last

quarter

also,

we

are

ready

to

take

on

that

growth

wave.

Kapil

Singh:

Thank

you

so

much,

for

the

detailed

answer .

Moderator:

The

next

question

is

from

the

line

of

Amyr

Pirani

from

JPMorgan.

Please

go

ahead.

Amyr

Pirani:

Hi,
thanks
for
the
opportunity
.

First,
just
a
follow-up
on
the
export
breakup
that
you
just
gave.

Currently ,
ASEAN
as
a
market
would
be
approximately
what
percentage
of
your
exports?
And
potentially ,

how

big

can

that

market

become?

Because

you

mentioned

that

Indonesia

is

doing

well.

And

as

a

2-wheeler

market,

it

is

one

of

the

largest

markets

in

the

world

after

China

and

India.

So
what
can
be
a
potential
volume,
say,
two,
three
years
down
the
line
there?

B.

Govindarajan:

Amyr,
there
is
--
for
our
brand
and
our
kind
of
a
motorcycle,
especially
in
the

ASEAN

market,

which

you

are

asking,

there

is

acceptance

because

if

you

remember ,

our

strategy

had

been

one

store

and

in

a

key

city,

let

the

brand

get

pulled

and

we

will

not

do

a

push-operations.

That

is

what

is

fundamental

with

which

we

went

into

the

market.

And

now

all

the

products

which

are

relevant

to

the

markets,

we

are

ready .

Because

as

I

mentioned,

the
macros
are
not
so,
so
good,
we
also
have
been
going
cautious
in
opening
up
further
distributions
and
all
those
things.
Wherever
the
market,
there
is
a
confidence
that,
yes,
we
can

open
because
we
are
very
sensitive
to
our
channel
partners'
profitability .

And
wherever
the
market
is
okay ,
now
the
product
acceptance
is
there,
that
is
where
our
focus
is.
ASEAN
is
also

an

important

market

for

us,

and

we

are

focusing

on

developing

that

market

over

a

period

of

time.

Amy

Pirani:

Okay .

And

just

a

question

on

Himalayan

and

the

entire

models

on

that

platform.

While

in

the

export

market,

this

product

has

done

extremely

well.

And

even

in

the

first

quarter ,

I

think

it

has

almost

doubled

on

a

Y-o-Y

basis.

On

the

domestic

side,

it

seems
that
the
volumes
have
actually
stagnated
at
that
3,000
per
month
or
kind
of
a
number
for
the
last
several
quarters.

So
any
color
you
can
give
as
to
what
is
happening

on

the

domestic

differently

from

exports?

And

are

there

any

interventions

or

anything

that

we

can

do

to

increase

that

in

the

domestic

market

as

well?

B.

Govindarajan:

First

and

foremost,

I

think

I
just
have
to
bring
in
the
rare
earth
materials
color
now
because
in
the
first
quarter ,
we
had
that
issue
in
those
products.
So
there
is
a
bit
of
a
problem
on

production

because

those

are

all

performance

platforms.

In

the

performance

platform,

rare

earth

materials

were

used

in

gear

sensors,

in

alternators

and

other

areas.

So

we

had

a

bit

of

a

pressure

point,

and
we
have
to
stop
it,
then
we
have
to
start
with
alternative
materials.

So
the
team
had
done
a
very
good
job
of
bringing
it
back.
Having
said,
our
Scram
was

not
available
for
some
point
of
time.
So
that
also
now
it
is
available.
And
you
would
have
seen
on
the
450
Guerrilla
platform,
once
again,
there
are
activities
which
we
are
doing

it
on
the
market,
on
the
ground.
And
now
we
are
bringing
the
focus
back
on
to
the
Sherpa
engine
platform,
where
the
Himalayan
and
Guerrilla
products
are
there.
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Amyr
Pirani:
Okay .
That's
helpful.
But
since
you
mentioned
the
rare
earth
thing,
so
broadly
at
a
company
level,
where
are
we
in
terms
of
mitigating

that?

And

is

there

a

risk

that

this

rare

earth

thing

impacts

other

models

in

the

coming

quarters,

especially

your

EV

launch,

which

is

also,

I

think,

two

or

three

quarters

down

the

line.

Where

are

we

in

terms

of

managing

this

risk?

B.

Govindarajan:

So

it

is

a

risk

which

we

anticipated

some

time

ago.

So

we

started

working

on

the

alternative

material

for

that

at
least
about
three,
four
months
back.
That's
why
I
mentioned
that
currently ,
we
are
back
on
production
with
the
alternative
material,
which
we
have
protected.
Now
that
alternative
material
import
is
not

a
major
issue
for
us.
We
are
out
of
that
situation
of
that
challenge.

Amyr

Pirani:

Thank

you,

I

will

come

back

in

the

queue.

Moderator:

Thank

you.

The

next

question

is

from

the
line
of
Gunjan
from
Bank
of
America.

Gunjan:
Hi,
Thanks
for
taking
my
question
.

I
just
wanted
to
shift
the
conversation
a
little
bit
to
the
margins
again.
Good

to
see
the

stabilization

coming

through

of

some

sorts

in

this

quarter .

I'm

just

specifically

looking

to

understand

how

should

we

think

about

various

levers

now?

Are

we

at

a

level

where

marketing

spend

activation

is

a
point
where
it
remains
more
or
less
stable.
There's
no
further
big
change
in
terms
of
percentage
of
revenues
that
we
sort
of
intend
to
spend.

Some
thoughts
on
value
engineering,

pricing

interventions

because

it's

been

almost,

I

think,

now

almost

a

year

back

we

made

this

pivot.

Are

we

getting

to

a

level

where

we

can

say,

okay ,

that

reset

is

now

in

the
base
and
some
of
those
investments
should
stabilize
now?
Some
color
around
that?
B.
Govindarajan:
I
will
also
shift
the
conversation
towards
the
growth,
Gunjan.
Growth
is
the
focus.
I
think
percentages,

in
fact,
I
don't
want
to
even
process
it
because
that's
not
the
way
the
organization
should
think.
Absolute
profit,
absolute
growth
number ,
absolute
EBITDA,
that's
what
is
the
understanding
and
all
of

us
are
driving
and
that
too
also
retail
focus.

So
let's
pivot
the
whole
organization
around
that,
what
is
right,
that
is
what
we
will
do.

That
is
what
is
right
for
us

for
the
long
term.
Having
said
some
of
the
things
which
you
actually
specifically
mentioned
about
the
marketing
activation,
growth
--
if
it
is
coming,
every
brand,
especially
Hunter ,
which
is
new,
we

have
to
support.
Guerrilla,
it's
just
a
1-year
brand,
we
have
to
support
it
extensively .

We
have
some
new
products
which
are
going
to
come
or
refreshes
which
are
going
to
come,

we
have
to
support.
So
the
marketing
activations
through
like
the
HunterHood
and
all
those
things,
which
will
continue.
But
there
is
no
big,
big
launch
expenses
which
are
there
in
this
year.

That's

one.

Second

is

pricing

intervention.

We

have

taken

a

pricing

increase

in

the

month

of

April

and

now

because

of

the

inflationary

pressure,

to

so

me

extent

in

the

first

month

of

July.

But

having

said,

once

again,

the

pivoting

is

we

want

to

add

value

on

the

product.

So

it

may

not

be

exactly

we'll

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pass

on

and

then

take

the

cream

out

of

it.

We

will

continue

to

keep

our

product

at

an

accessible

price

point,

and

we

wanted

to

grow .

Gunjan:

Okay .

Got

it.

And
the
second
question
is
on
the
festive
in
second
half.
Now
clearly ,
the
market
setup
has
been
a
bit
soft.
How
are
you
thinking
about
the
growth
into
the
festive?
Of
course,

last

year,

we

did

have

the

Bullet

and

the

base

effect,

which

is

quite

favorable.

But

do

we

feel

confident

that

there

should

be

--

that

growth

outperformance

sort

of

sustains

going

into

the

second

half

as

well

when

some

of

the

bullet

numbers

are

in

the

base

for

last

year?

B.

Govindarajan:

Festive,

all

of

us

are

very

bullish

about

festive.

We

are

building

ourselves

for

the

festive

season.

And

honestly ,

a

few

things

are

going

to

work

in

favor ,

I'm

expecting,

and

I'm

very

positive

about

it.

Hunter

is

new,

it

has

just

come

in.

And

we

are
going
to
have
something
around
the
Meteor .
So
that
is
coming
in.
And
we
have
some
colors
which
are
also
going
to
come
in
around
that
time.

So
some
of
the
launches,

some
of
the
CTGs,
we
are
trying
to
actually
align
it
to
the
auspicious
times
and
the
festivities,
which
really
helps
to
bring
a
momentum
into
this.
That
is
also
being
planned
Gunjan

in
this.
That's
why
I'm
saying
I'm
positive
about
the
festive
outlook.
Gunjan:
Okay .
And
lastly ,
can
you
share
the
rural
salience
in
the
mix?
Like
is
there
a
big
change
with
the

sort

of

launches

or

changes

we

are

making

with

the

product

interventions

we

are

making

on

the

product

side?

Has

the

rural

salience

changed

in

the

last

few

years?

And

what

is

it

now?

B.

Govindarajan:

Saying

something,

you

Vidhya?

Vidhya

Srinivasan:

No,

no.

I'm

just

saying

that

I

think

rural

has

done

very

well

for

us

in

the

last

few

quarters.

And

one

way

you

could

think

about

it

is

we

don't

specifically

classify

a

town

or

a

city

as

a

rural

town

or

a

city,

but

we

looked

at

rural

states

and

urban

states.

And

one

way
to
look
at
it
is
that
potentially
the
mix
of
rural
states
used
to
be
about
30%
of
our
sales,
and
now
it's
closer
to
50%
of
our
sales.
So
even
therefore,

there
is
increased
sales,
which
is
happening
predominantly
on
the
back
of
some
of
our
more
accessible
products
which
are
coming.

B.

Govindarajan:

I'm
sure
you
guys
are
better .
You
can
also
guide

us

because

the

rural

market

in

India

has

been

growing

and

urban

has

been

slightly

tepid.

In

the

first

quarter ,

at

least,

I'm

seeing

for

our

kind

of

a

product,

even

the

urban

market

has

shown

a

growth.

There

is

a

green

shoot.

First

time

I'm

seeing

after

a

long

time

that

the

urban

markets

are

also

growing

for

us.

Gunjan:

Okay

got

it.

Thank

you

so

much,

this

is

helpful.

Moderator:

The

next

question

is

from

the

line

of

Pramod

Kumar

from

UBS

Securities.

Pramod

Kumar:

Hi,

Govind,

My

question

is

linked

to

what

Gunjan

asked

the

rural

salience.

I'm

just

trying

to

understand

because

rural

is

typically

not

kind

of,

what

do

you

say,

linked

to

premium

demand,

premium

motorcycle

demand

as

generally

seen

as

a

more

committed

market.

So

if
you
can
just
help
us
understand
a
bit
in
more
detail
the
kind
of
growth
you're
seeing
in
the
rural
markets.

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Any
geographical
spread
north
versus
south
and
within
particular
states
like
UP,
which
have
become
very
large
for
you,
what
are
the
trends
you're
seeing?
What
is
the
kind
of
customer
profile
who's

walking

in?

How

many

of

them

are

led

by

financing

penetration

improving

or

how

many

of

them

are

just

skipping

categories

altogether

and

coming

from

100

cc

to

you.

So

if

you

can

just

help

us

understand

this

trend

on

rural

customers

gravitating

towards

premium

motorcycles

because

at

the

same

time,

we

are

also

seeing

scooters

taking

off

in

rural

India.

And

if

you

look

at
the
Vahan
data,
the
three
big
winners
on
market
share
this
year
is
Hero,
TVS
and
Suzuki,
either
scooter
or
premium
franchises.

So
if
you
help
us
understand
the
nuances
a
bit

better ,

Govind.

And

whether

as

you

look

at

festive

and

rural

coming

back

or

rural

getting

stronger ,

is

it

premium

will

again

outperform

the

broader

categories

in

rural?

B.

Govindarajan:

Yes.

So

it's

a
very
strategic
question
which
you
have
asked
from
most.
So
let
me
try
to
answer
it
one
by
one.
First
and
foremost,
for
us,
to
have
a
bit
more
focus
--
last

year,
we
have
actually
added
one
more
zone,
which
is
the
central
zone.
So
that
has
helped
us
to
go
very
close
to
the
market.
We
have
put
the
structure
around
that.
The

central
market
includes
the
UP
areas,
some
areas.
So
the
team
is
working
on
--
continue
to
focus
on
growing
that.

In
the
first
quarter ,
our
retail
has
been
very
good.
So

that
helps
in
creating
a
momentum.
Especially
in
the
rural
market,
Bullet
Battalion
Black
is
available,
number
one.
And
on
a
product
level,
I'm
just
saying.
The
second
single-channel
Classics,
which
we
are

bringing
in
with
the
color ,
which
is
available.

As
I
mentioned,
some
market
which
was
actually
giving
traction
even
in
Meteor ,
and
that
is
going
to
be
a
new
thing
which
will
be

there.

Hunter

is

a

new

refresh

colors,

the

young

audience

in

the

rural

markets,

they

were

really ,

really

liking

it.

Now

the

HunterHood,

which

we

are

focusing

only

on

the

major

urban

towns.

Now
we
are
also
looking
at
some
of
the
smaller
towns
in
the
rural
markets,
we
should
go
and
do.

So
that
activation
is
going
to
take
place.
That's
from
a
product

angle.

The

second

for

the

rural

market,

especially

finance

availability

for

the

dealers

at

last

year,

we

have

understood

that

if

in

case

we

give

support

to

them,

it

will

really

help

them

during
the
festive
time.
So
we
started
working
on
and
the
floor
financing
help.
No
recourse
to
such
as
a
company .

It
will
be
completely
between
the
bank
and
the
dealers.
However ,
we

took
the
responsibility
of
talking
to
them
and
floor
financing,
which
has
been
made
available
for
all.
I
think
almost
about
some
575
dealers
already
have
signed
up
for
floor
financing.
And
majority

is
the
rural
customers

--
I
mean,
sorry ,
rural
dealers
more
because

that
is
where
the
finance
availability
was
a
bit
tough
for
them.

So
they
also
ha
ve
come
on
board,
and

now

they

are

seeing

traction.

So

it

will

help

us

for

them

also

to

churn

during

the

festive

season.

So

the

focus

is

going

to

be

more

on

those

sorts

of

markets

where

there
is
growth.
Having
said,
as
I
mentioned,
even
the
urban
centers
are
showing
some
amount
of
a
green
shoot
for
us.

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So
some
of
the
products
like
Guerrilla,
as
Aryn
was
asking
about
the
Himalayan
and
some
new
products
which
we
will
be
coming
up
with
and
some
colors,
we
will
equally
focus

on
the
urban
market
also.
Once
again,
the
marketing
and
the
marketing
activations
will
be
aggressive
even
in
the
coming
quarters.
Pramod
Kumar:
Second
question,
forgive
me
if
it
was
not
expected,
but

the
market
has
been
expecting
a
250
cc
foray
by
Royal
Enfield.
So
what
are
your
thoughts
there?
Because
you
always
call
yourself
as
a
middleweight
motorcycle
there,
which
is
250
to
750,

we've
kind
of
straddled
the
upper
end
of
the
segment
quite
well
of
that
bank.
So
what
are
your
thoughts
on
a
potential
250cc
foray
by
Royal
Enfield?
B.
Govindarajan:
So
I
think

we
have
been
maintaining
the
middle
weight
is
the
focus.

We
are
a
very
focused
company ,
less
is
more
as
a
fundamental
philosophy .

We
don't
want
to
do
too
many
things.

And
currently ,

our
J-Series,
which
is
there
in
350
cc,
Sherpa,
which
is
on
a
450
cc
and
the
twins
on
a
650cc,
all
the
products
which
we
have
launched,
these
are
all
showing
growth

for
us,
and
there
is
a
huge
potential
which
is
there.

I'm
very
confident
that
with
the
kind
of
a
premiumization,
which
is
continuing
and
our
support
on
the
marketing
activations
and
the

floor

financing,

which

we

are

doing,

even

the

products

which

are

already

there

has

a

potential

for

us

to

grow .

we

have

been

always

maintaining

the

middle

weight

is

250

cc

to

750

cc.

That's

where

our

focus

is

going

to

be

there,

Pramod.

Pramod

Kumar:

Fair

enough

Govind,

thanks

a

lot.

Wishing

you

all

the

best.

Thank

you

Moderator:

The

next

question

is

from

the

line

of

Raghu

Nandhan

from

Nuvama

Research.

Raghu

Nandhan:

Thank

you

Sir,

and

Congratulations

on

strong

volume

performance.

Sir,

firstly ,

on

Classic

650,

how

has

been

the

acceptance

so

far?

Would

you

be

increasing

your

marketing

efforts

going

ahead?

And

can

you

share

the

volumes

for

Q1?

B.

Govindarajan:

Classic

650,

I

mean,

honestly ,

it

is

a

product

which

we

all

have

been

looking

forward

that

it
should
go
to
the
market.
The
acceptance
is
really
good,
really ,
really
good.
I'm
not
saying
because
it
has
come
into
the
market
or
something
of
that.
It
is
also
showing
a

traction

on

the

upgrade

cycle

slightly .

It

is

too,

too,

too

early

for

us

to

conclude

anything,

but

it

is

showing

some

good

traction,

which

I'm

just

seeing

it.

People

are

loving

the

product.

They're

all

saying

it

is

very

authentic.

It

is

classic.

It

is

on

650cc.

So

it

is

definitely

going

to

add

more

volume

in

India,

and

it

has

a

huge

reception

in
the
U.K.,
Europe,
in
all
those
areas
also.
So
I'm
just
seeing
these
three
variants
and
the
four
colors
which
we
have
brought
in,
in
the
Classic
650
it
is
going
to

give

us

some

good

traction

in

the

volume

in

time

to

come.

Raghu

Nandhan:

And

would

you

have

the

Q1

volume

handy

in

the

domestic

export

market?

B.

Govindarajan:

Maybe

I

can

sha

re

it

with

you

later,

Raghu.

Raghu

Nandhan:

No

problem,

sir.

Sir,

secondly ,

on

commodity

cost,

how

was

the

impact

in

Q1?

And

what

is

the

impact

expected

for

Q2?

Steel

prices,

precious

metals

have

been

trending

higher?

Page

12

of

15

Eicher

Motors

Limited

July

31,

2025

Vidhya

Srinivasan:

Yes.

I

think

for

us,

I

think

steel

has

kind

of

hit

a

little

earlier .

And

therefore,

we've

got

impacted

by

steel

as

well

as

aluminium.

I

think

the

way

I'd

like

to

say

is

that

this

quarter ,

we've

had

an

impact

of

about

50

bps.

Out

of

that,

we've
got
an
offset
because
of
VAVE,
which
was
mentioned
earlier
of
about
20
bps.
So
net
impact
is
about
30
bps
--
and
to
some
extent,
the
price
increase
obviously
helped
offset

that
impact
overall.

B.

Govindarajan:

Raghu,
there
is
a
slight
headwind
on
the
commodity .

I'm
just
seeing
it.

But

I
think
currently ,
we
are
all
looking
at
availability
has
to
be
seen.
So

that
is
what
we
are
ensuring.
We
are
happy
that
the
rare
earth
material,
at
least
we
don't
have
a
pressure
point.
We
have
come
out
of
it,
and
we
will
also
manage

with
different
interventions
and
all
those
things.
That's
where
we
are.
It
will
take
another
about
a
month
or
so
for
us
to
clearly
understand
where
it
is
heading
and
what
is
that

we

have

to

do.

Raghu

Nandhan:

Thank

you

Sir,

In

terms

of

VAVE

benefit

of

20

bps

and

you

are

working

on

projects

for

material

cost

reduction.

So

how

much

can

be

the

benefit

in

coming

quarters?

Vidhya

Srinivasan:

We

don't

give

guidance.

Raghu

Nandhan:

Fair

point.

Sir,

recently ,

Volvo

that

is

about

two

weeks

ago,

Volvo

cut

India

growth

estimate

for

MHCV

to

3%

in

CY

'25

versus

8%

in

the

previous

quarter .

Any

comments

on

why

growth

expectations

are

being

lowered

for

the

MHCV

space?

Of

course,

you

are

doing

much

better

than

the

market,

but

generally

for

the

industry?

B.

Govindarajan:

We

don't

see

it

like

that.

And

we

see

that

there

is

a

strong

growth

possibility

which

is

there.

Higher

payload

tracks,

mining

operations,

all

those

things

are

continuing.

So

there

is

nothing

which

we

are

seeing

that

there

is

some

correction

which

is

taking

place

in

the

market.

Raghu

Nandhan:

Got

it

sir,

thank

you

very

much.

Moderator:

The

next

question

is

from

the

line

of

Kumar

Rakesh

from

BNP

Paribas.

Kumar

Rakesh:

Hi

good

evening,

Thank

you

for

taking

my

question.

Govind,

my

first

question

was

around

growth,

which

you

are

prioritizing

now

since

late

last

year

when

we

started

focusing

on

it.

Our

domestic

monthly

volume

has

been

around

80,000

monthly

volume.

Now

post

September

quarter ,

we'll

be

lapping

over

that

volume.

So

what

do

you

think

will

help

you

to

push

or

inflect

the

volume

higher

from

here

to

keep

the

growth

focus

ahead?

I

understand

that

you

have

highlighted

multiple

initiatives

that

you

guys

are

taking,

but

a

couple

of

them

which

you

think

can

materially

help

in

pushing

your

volume

higher

from

here

on?

B.

Govindarajan:

Well,

Kumar ,

it's

this.

First

of

all,

what

is

happening

is
this
has
to
be
seen
from
the
context
of
the
whole
industry .

The
Indian
2-wheeler
industry
per
se,
it's
not
in
the
growth
path.

It
is
--
in
fact,
in
the
first

quarter ,
it
is
lower
than
what
it
was
actually
envisaged.

And
even
the
125
cc
market
also
hasn't
grown
much.

Only
the
middle
weight,
which
has
grown,
and
that's
where
we
are.
So

the
focus,
which
is
there,
the
middle
weight,
that
is
what
we
are
growing.

Page
13
of
15
Eicher
Motors
Limited

July
31,
2025

Our
assumption
had
been
when
the
market
opens

up
and
the
overall
pool
increases,
we
have
to
be
focused
on
growth,
our
volume
also
increases.

But
on
the
contrary ,
the
market
is
not
growing,
but
we
are
growing.
It
does
mean

the
products
acceptances
are
very
good.

The
brand
is
being
recognized

very
well
and

the
brand
track
study

says

we

are

way

ahead

of

the

rest

of

the

brands.

So

if

buoyancy

comes
in,
in
the
market
and
the
kind
of
an
activities
which
I
was
mentioning
with
the
new
products,
our
floor
funding,
which
we
are
doing
and
doing
a
correction
in
the
retail

outlets
and
optimizing
it
because
some
places,
the
geography
has
changed.

So
we
are
now
focusing
on
changing
those
where
there
is
a
potential.

And
all
those
things
are
the
point
which
are

showing
that,
yes,
our
growth
trajectory ,
which
we
wanted
to
work
on
is
working,
and
we
will
continue
to
push
and
support
through
the
aggressive
marketing
activations.
That's
what
I
feel
that
will

help

us

to

grow ,

Kumar .

Kumar

Rakesh:

Great

that

you

brought

in

the

industry

context.

Historically ,

we

have

seen

that

the

middleweight

segment,

especially

the

customers

that

you

cater

to,

has

a

significant

overlap
with
the
passenger
vehicle
industry .

And
over
there,
we
don't
have
a
lot
of
optimism
or
growth
expectation.

However ,
you
have
been
seeing
pretty
strong
growth,
at
least
in
the
recent
months.

So
do
you
see
there
is
some
segregation
which
has
happened
in
terms
of
the
addressable
market
or
there
is
a
risk
that
eventually
these
two
growths
will
again
conver ge
the
way

it

used

to

be

earlier?

B.

Govindarajan:

Good

angle,

Kumar ,

because

I

haven't

brought

it

into

that

angle.

Maybe

I'll

also

study

and

we'll

see.

Because

as

far

as

--

because

I

always

look

at

it

how

the

middle

SUVs

are

growing,

the

middle

size

and

the

higher -end

cars

and

SUVs

are

growing.

If

that

premiumization

is

continuing,

where

we

are,

that's

what

it

is

because

we
are
a
premium
product.
I
haven't
seen
that
entry-level
car
and
how
it
is
and
where
it
is.
I
have
to
study
a
bit
more.
Honestly ,
that's
what
I
have
it
as

an

answer

for

you.

Kumar

Rakesh:

Thanks

a

lot.

Moderator:

The

next

question

is

from

the

line

of

Devender

Wadhwa

from

Value

prolific

Investment

Advisory .

Devender

Wadhwa:

Can

you

please

walk

us

through

the

company's

pipeline

of

new

LNG

projects

and

development?

Hello?

Am

I

audible?

Moderator:

Yes,

sir.

Devender

Wadhwa:

Sir,

can

you

walk

us

through

the

company's

pipeline

of

new

LNG

truck

projects

and

development?

B.

Govindarajan:

Yes.

VECV

is

actually

working

on

LNG

and

CNG,

which

is

in

that.

Just

give

me

a

second,

maybe.

See,

currently ,

we

have

a

full

range

of

products

on

ICE,

electric,

CNG

and

LNG.

And

Page

14

of

15

Eicher

Motors

Limited

July

31,

2025

in

all

the

segments

wherever

there

is

a

requirement

for

an

LNG

specific

to

the

usages

or

to
the
geography ,
our
platform
is
good
enough
to
adopt
all
those
things.
So
it's
not
a
new,
new
development
wherein
it
is
going
to
take
a
longer
period
of
time.
It
will

be

faster

for

us

to

adopt

to

any

products

which

are

required.

Devender

Wadhwa:

Okay ,

Thank

you

Sir.

Moderator:

Ladies

and

gentlemen,

this

was

the

last

question.

I

now

hand

the

conference

over

to
the
management
for
the
closing
comments.

Thank
you,
and
over
to
you,
sir.

B.
Govindarajan:

Thank
you
very
much.
It's
been
wonderful
having
you
all
in
the
Q1
call
of
Eicher
Motors

Limited.

See

you

all

in

the

next

quarter .

Thank

you.

Good

night.

Vidhya

Srinivasan:

Thank

you.

Moderator:

Thank

you.

On

behalf

of

Eicher

Motors

Limited,

we

conclude

this

conference.

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

Page

15

of

15

Call: Nov 2025

November 19, 2025 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT

Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam,
Further to our letter dated November 06, 2025 intimating the schedule of the conference call, held
on

Thursday,

November

13,

2025,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

inter-alia

to

discuss

financial

results

for

the

second

quarter

and
half
year
ended
September
30,
2025,
pursuant
to
Regulation
30
of
the
SEBI
(LODR)
Regulations,
2015.
The
same
is
also
available

on
the website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board
meeting of the Company. You are requested to take the same on your records.
Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

Eicher
Motors
Limited
Corporate
Office:
#96,
Sector

–

32

Gurugram

—

122001

Haryana,

India

Tel

+91

124

4415600

Registered

Office

CIN:

L34102DL1982PLC129877

Office

No.1 111,

11th

Floor ,

Ashoka

Estate

Plot

No.

24,

Barakhamba

Road

New

Delhi-1 10001,

India

Tel

+91-1 1-41095173,

Email:

info@eichermotors.com

"Eicher

Motors

Limited

Q2

FY

'26

Earnings

Conference

Call"

November

13,

2025

M
ANAGEMENT
:

M
R
.

B.

G
OVINDARAJAN

—

M
ANAGING

D
IRECT OR

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AND

C
HIEF

E
XECUTIVE

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M
UKESH

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ARAF

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A
VENDUS

S
PARK

Page

1

of

18

Eicher

Motors

Limited

November

13,

2025

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

the

Eicher

Motors

Limited

Q2

FY

'26

Conference

Call.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will

be

an

opportunity

for

you

to

ask

questions

after

the

presentation

concludes.

Should

you

need
assistance
during
the
conference
call,
please
signal
an
operator
by
pressing
star
then
zero
on
your
touchtone
phone.
Please
note
that
this
conference
is
being
recorded.

I
now
hand
the
conference
over

to

Mr.

Mukesh

Saraf

from

Avendus

Spark.

Thank

you,

and

over

to

you,

sir.

Mukesh

Saraf:

Yes.

Thank

you,

Slok.

Good

evening,

everyone.

Mukesh

Saraf

here

from

Avendus

Spark.

Appreciate

everybody

logging

into

this
2Q
FY
'26
earnings
call
of
Eicher
Motors.
From
the
management
team,
I'm
pleased
to
host
Mr.
Vinod
Aggarwal,
Vice
Chairman,
Eicher
Motors
Limited,
MD
and
CEO,
VE
Commercial
Vehicles
Limited;
Mr.

B.

Govindarajan,

MD,

Eicher

Motors

Limited

and

CEO,

Royal

Enfield;

Ms.

Vidhya

Srinivasan,

CFO,

Eicher

Motors

Limited.

I'll

now

hand

over

the

call

to

B.

Govindarajan

for

his

opening

remarks,

post

which

we'll

begin

the

Q&A.

Over

to

you,

sir.

B.

Govindarajan:

Thank

you,

Mukesh.

Hello,

and

good

evening,

everyone.

I

hope

you

all

had

a

joyful

and

refreshing

festive

season.

It's

wonderful

to

have

all
of
you
join
us
today
for
the
Eicher
Motors
Limited
earnings
call
for
the
quarter
ended
September
30,
2025.

We
have
had
a
very
busy
and
exciting
few
months
with
the
new

launches

and

some

truly

proud

milestones.

We

continued

the

growth

momentum

forward

in

the

second

quarter

with

a

solid

performance.

The

festive

season

has

been

particularly

very

encouraging

for

us,

driven

by

robust

demand,
record
bookings
and
the
sustained
consumer
confidence
and
a
clear
reflection
of
brand
strength
and
the
market
trust
we
have
built
over
the
period
of
time.

Before
we
move
on
to

the
detailed
business
updates
for
Royal
Enfield
and
VECV ,
I'll
begin
with
a
broad
summary
of
the
overall
financials.
Coming
to
the
EML
consolidated
financials
for
the
second
quarter
of
the
financial
year

2025-26.

EML

revenue,

clocked

its

best

ever

revenue

at

INR6,172

crores,

marking

a

growth

of

45%

over

INR4,263

crores

from

Q2

of

last

year.

On

EBITDA,

highest

ever

EBITDA

for

the

quarter

at

INR1,512

crores

versus

INR1,088

crores

in

Q2

last

year,

marking

a

growth

of

39%.

Our

PAT

has

been

the

highest

ever

at

INR1,369

crores,

which

includes

INR135

crores

of

EML

share

of

profits

from
VECV ,
which
is
up
25%
from
INR1,100
crores,
which
included
about
INR1 14
crores
EML
share
of
profit
in
Q2
last
year.
Page
2
of
18
Eicher
Motors
Limited

November
13,
2025

The
strong
performance
was
a
result
of
an
all-around
growth
across
both
for
Royal
Enfield
and
VECV .
I'll
first
begin
with
the
business
highlights
for
Royal
Enfield.
This
quarter
at
Royal
Enfield

was
marked
by
a
lot
of
product
actions
and
refreshes
that
strengthened
our
lineup.

To
make
sure
that
our
customers
take
home
their
favorite
Royal
Enfield
motorcycle
this
festive
season,
we
have
put

in
considerable
effort
building
a
strong
foundation
and
network
laid
in
Q1.
We
launched
3
product
refreshes,
an
expansive
dealer
network
of
more
than
2,000
stores,
which
are
in
operation,
and
maximized
our

production
capacity
during
this
quarter .

The
GST
reforms
by
the
Government
of
India
have
made
motorcycles
under
350cc
more
accessible
and
the
customer's
response
is
a
clear
testament
to
this
during
this

window .

During

this

quarter ,

we

launched

a

refreshed

Meteor

350

in

India,

which

is

now

available

in

4

variants

and

7

stunning

colorways.

We

also

added

some

fresh

energy

to

our

lineup

with

a

new

Graphite

Gray

Hunter

350

and

a

Shadow

Ash

Guerrilla

450.

This

festive

season

was

truly

an

outstanding

one

for

Royal

Enfield.

And

with

over

about

2.49

lakh

motorcycles

we

sold

during

the
festive
months
of
September
and
October ,
our
best
ever
festive
performance,
we
have
achieved
a
milestone
that
speaks
volume
about
our
momentum
and
unwavering
love
riders
have
for
the
brand.
From
refreshed

favorites

like

Hunter

350

and

Meteor

350

to

timeless

icons

like

Bullet

and

Classic,

our

motorcycles

continue

to

inspire

and

bring

riders

closer

to

the

joy

of

motorcycling.

During

this

quarter ,

we

sold

3,27,067

motorcycles

as

against

2,25,317

in

Q2

FY

'25.

Out

of

this,

in

India

alone,

we

sold

2,92,703

units.

We

continue

to

gain

market

share

across

board,

particularly

in

the

midsize

motorcycle

segment,
where
Royal
Enfield
has
been
able
to
continue
its
dominance
at
about
84%
market
share.
Our
focused
strategy ,
combined
with
a
strong
product
portfolio,
marketing
activations
have
helped
us
deepen
our
presence

in
this
market
during
this
window .

In
our
international
markets,
our
volumes
stood
at
34,364
units
during
this
quarter .

We
continue
to
maintain
a
strong
growth
momentum
in
retail
volumes
across
international
markets

like

Brazil,

Nepal,

Bangladesh.

We

maintained

the

leadership

in

SAARC

markets

ranked

number

2

in

midsize

in

U.K.,

number

2

in

Argentina,

Thailand,

Korea

and

Brazil

and

number

3

in

Australia,

and

number

4

in

Italy

and

France.

This

year

at

EICMA,

we

marked

a

significant

milestone

in

Royal

Enfield's

legacy

as

we

entered

our

125th

year

of

pure

motorcycling,

showcasing

a

glimpse

of

our

vision
and
journey
that
beautifully
represents
the
past,
present
and
future.

We
showcased
some
of
our
most
exciting
motorcycles
yet,
the
special
addition
of
Classic
650,
the
bigger
and
bolder
Bullet
650,
the

Himalayan

450

Mana

Black

and

Flying

Flea

S6,

one

of

the

lightest

and

the

most

advanced

scramblers

in

the

EV

world.

On

the

customs

front,

we

also

showed

the

Shotgun

and

Rough

Crafts,
a
limited
edition
collaboration
that
celebrates
the
spirit
of
custom
building,
something
that's
always
been
very
dear
to
Royal
Enfield.

The
response
from
the
global
motorcycling
community
has

been

truly,

Page

of
18
Eicher
Motors
Limited

November
13,
2025

truly
overwhelming,
and
it's
been
wonderful

to
see
how
our
blend

of
heritage
and
innovation
continues

to
strike
a

chord
with
our

riders
everywhere.

A
new
Off-Road
Collection,
a
purpose-built
range
of
premium
riding
gear
designed
for
off-road
and
trial
motorcycling,
has
been
unveiled.
We
launched
Get
In-Streets,
a
collection
that
blends
Royal
Enfield's
iconic
legacy
with

contemporary

everyday

wear

inspired

by

travel,

exploration

and

the

spirit

of

motorcycling

culture

in

our

lifestyle

and

apparel

space.

During

this

quarter ,

our

Flying

Flea,

the

City+

mobility

brand

endorsed

by

Royal

Enfield,
won
the
Red
Dot
Award
2025
in
the
Design
Concept
category
for
the
Flying
Flea
C6.
It's
a
proud
moment
that
underscores
our
growing
strength
in
design
and
future-ready
mobility .

In
the

recently
announced
results
of
the
Dealer
Satisfaction
Survey
2025,
the
Federation
of
Automobile
Dealers
Association
called
as
FADA,
Royal
Enfield
has
been
ranked
number
1
in
the
2-wheeler
OEM
category .

We
continued

our
course
to
create
a
memorable
riding
experience
for
our
community .
We
concluded
the
14th
edition
of
One
Ride
2025,
our
marquee
global
ride.
It
was
truly
an
incredible
experience.
Over
50,000
riders

came
together
in
more
than
65
plus
countries.

We
announced
the
return
of
Motoverse
2025,
our
annual
celebration
of
motorcycling
culture
in
Goa
scheduled
from
21st
to
23rd
November
2025.
This
year's
edition

promises

to

be

bigger

and

better .

We

invite

all

of

you

to

join

us

in

Goa.

Our

commitment

to

responsible

growth

has

always

been

rooted

in

strong

governance,

transparency

and

ethical

leadership,

and
as
a
testament
to
this,
I'm
proud
to
share
that
Eicher
Motors
has
won
the
Golden
Peacock
Award
for
Excellence
in
Corporate
Governance
2025.
This
recognition
reflects
the
culture
of
integrity
and

accountability

we

uphold

across

the

organization.

We

also

won

two

awards

at

the

Manufacturing

Today

for

Excellence

in

Supply

Chain

and

Excellence

in

Sustainability

and

Circular

Economy .

And

currently ,

98%

of

the

energy

used
at
plants
has
been
from
renewable
sources.

And
these
are
all
the
updates
from
Royal
Enfield.

Now
I
will
hand
it
over
to
Mr.
Vinod
Aggarwal
to
talk
you
through
the

updates
for
VE
Commercial
Vehicles.
Over
to
you,
Vinod.
Vinod
Aggarwal:
Thank
you
very
much,
Govind.
I'm
very
happy
to
share
that
at
VECV ,
we
recorded
our
highest
ever
second
quarter
sales
of

21,901
units
exceeding
our
previous
record
of
20,774
units
in
Q2
of
financial
year
2025
with
a
growth
of
5.4%.
With
this,
our
first
half
sales
are
now
43,51 1
against
the
earlier
year's

first
half
of
40,476
and
we
have
achieved
a
growth
of
7.5%
in
the
first
half.

And
our
revenue
from
operations
on
a
standalone
basis
stood
at
INR6,106
crores
versus
INR5,538
crores.
And

our
revenues
for
the
first
half
are
INR1 1,777
crores
against
INR10,608
crores
in
the
first
half
of
previous
year
with
a
growth
of
11%
in
the
top
line.
Page
4
of
18
Eicher

Motors

Limited

November

13,

2025

We

remain

sharply

focused

on

long-term

value

creation

through

product

excellence,

global

ambition,

and

deep

customer

engagement.

During

the

quarter ,

we

launched

Eicher

Pro

Plus

light

and
medium-duty
range
with
air
conditioned
cabins
and
upgrades
to
load
more
carrying
capacity
that
addresses
both
driver
environment
and
operator 's
economy ,
a
win-win
for
both
drivers
and
operators.

We
also
signed
MoU

with
large
charge
point
operators
like
Jio-bp
pulse
and
Tata
Power
to
provide
Eicher
trucks
and
buses
customers
access
to
6,000-plus
public
charges,
easing
customer
anxiety
on
range
and
access
to
charging
infrastructure.

Digital
&
Services
grew
very
well
with
My
Eicher
now
supporting
1,62,000
customers
with
3,75,000
vehicles,
while
VE
Connected
Solutions
progressed
on
solutions
for
customers
with
mixed
fleets.

I'm
happy
to
note

that
we
are
having
steady
development
across
our
businesses
with
VECV
recording
several
best
ever
second
quarter
milestones.

We
are
now
at
number
1
position
in
light
and
medium
duty
trucks
with
sales

of
10,096
units
in
Q2
and
a
market
share
of
34.8%
in
this
segment.
With
this,
our
first
half
deliveries
stand
at
18,706
in
light
and
medium
duty
trucks
versus
17,407
units
during

H1
of
last
year.

Our
heavy-duty
truck
volumes
grew
3.5%
in
Q2
in
the
same
quarter
of
previous
year.

Our
market
share
in
this
segment
in
Q2
stood
at
10.5%.

And
our

deliveries

now

stand

for

the

first

half

at

9,961

units

versus

9,844

units

for

the

previous

period

in

the

financial

year

'25.

We

made

sales

of

3,217

units

in

our

bus

division.

And

with
this,
our
first
half
sales
are
9,222
units
with
a
growth
of
1.9%
against
9,053
units
in
first
half
'25.
In
our
parts
business,
both
Eicher
and
Volvo
combined,
we
recorded
a

robust
growth
of
11.8%
over
the
previous
quarter .

Sales
of
Eicher
Pro
X
electric
trucks
continued
to
gain
traction,
even
though
the
overall
electric
vehicle
market
has
continued
to
be
very
small.

It
is
just
1.5%
of
the
2
to
3.5
tonne
market.
And
within
that,
we
have
delivered
244
units
in
Q2
and
436
units
in
H1.
In
some
of
the
months,
our
market

share

in

this

small

market

has

been

24%.

Eicher

tractor

and

buses

exported

1,823

units

in

Q2,

up

61.3%

over

Q2

of

previous

year.

Despite

political

disruptions

in

Southeast

Asian

markets,

YTD

exports

stand

at

3,259

units

against

2,322

units

in

H1

of

previous

year.

While

the

market

continues

to

remain

highly

competitive,

VECV

improved

both

our

PAT

as

well

as

EBITDA

margins.

For

Q2,

our

EBITDA

stands

at

INR479

crores

at

8%

as

against

INR395

crores

at

7.3%.

Our

PAT

stands

at

INR249

crores

at

4.2%

against

INR208

crores

in

the

previous

first

half

at

3.8%.

On

a
YTD
basis,
our
EBITDA
in
H1
was
INR989.4
crores
at
8.6%
versus
INR780.4
crores
at
7.5%
in
the
previous
year.

And
of
course,
on
October
8,
VECV
announced
an
investment
of
INR544

crores
for
the
production
and
final
assembly
of
Volvo
Group's
globally
state-of-the-art
12-speed
autom
ated
manual
transmission.
This
greenfield
factory
will
be
established
at
Vikram
Udyogpuri
Integrated
Industrial
Township
near
the
historic
city

of
Ujjain,
Madhya
Pradesh.

The
Page
5

of
18
Eicher
Motors
Limited

November
13,
2025

investment
in
automotive
manual
transmission
production
is
yet
another
milestone
in
the
17-year
plus
successful
VECV
joint

venture

with

Volvo

Group

and

Eicher

Motors.

As

the

global

manufacturing

hub

for

Volvo

Group's

5-

and

8-liter

medium-duty

engines

since

2013,

VECV's

Pithampur

factory

has

been

a

pioneer

in

making

in

India

for

the

world.

Now

this

will

be

the

second

similar

initiative

in

making

in

India

for

the

world

for

the

automotive

manual

transmission

because

most

of

this

production

will

be

exported

to

Asia

and
Oceana
requirements
of
Volvo
Group.

India's
economy
has
remained
resilient,
supported
by
strong
fundamentals

and
policy
support,
capex
in

roads
and
infrastructure
and

Make
in
India
incentives
supported
manufacturing
and
demand

for
freight
movement
with
inflation
contained
at
4%
and
financing
conditions
stable,
and
of
course,
the
GST
rates
rationalization,
EV
demand
held
firm
through
the
extended
monsoon
period
and
is
poised
to
improve

further

in

H2

as

projected

executions

pick

up.

As

we

all

know

that

the

industry

has

done

very

well

in

2-wheelers

and

passenger

cars.

Now

the

consequent

positive

impact

comes

on

the

commercial

vehicle
because
as
we
have
to
move
more
goods
and
services,
you
need
more
trucks.
So
therefore,
we
are
in
a
very
good
position,
you
can
say,
for
the
second
half
for
the

commercial

vehicle

industry

as

well

as

for

us.

And

of

course,

we

are

looking

forward

to

a

good

year.

Now

of

course,

thank

you

all

for

being

with

us

on

this

call,

and

we

can

now

move

to

question

answers.

Moderator:

Thank

you

very

much.

We

will

now

begin

the

question

and

answer

session.

Anyone

who

wishes

to

ask

a

question

may

press

“*”

and

“1”

on

their

touch

tone

phones.

If

you

wish

to

remove

yourself

from

the

question

queue,

you

may

press

“*”

and

“2”.

Participants

are

requested

to

please

use

handsets

while

asking

a

question.

We
will
now
wait
for
a
moment
while
the
question
queue
assembles.

The
first
question
comes
from
the
line
of
Chandramouli
from
Goldman
Sachs.

Please
go
ahead.

Chandramouli:
My
first
question
is
just

on
the
Classic
and
the
Bullet,
especially
post
the
GST
cuts.
We
continue
to
see
pretty
good
volume
growth
on
both
those
key
models,
even
off
a
pretty
high
base
when
you
refresh

both

those

products

at

this

time

last

year.

I

just

want

to

understand

some

of

these

core

products,

the

Classic,

the

Bullet,

the

Hunter ,

the

Meteor ,

if

you're

able

to

give

us

some

sense

of

what

the

potential

benefits

in

demand

you're

seeing,

just

exclusive

from

the

GST

cuts

alone?

B.

Govindarajan:

Well,

Chandramouli,

first

is

the

Classic

350

has

actually

grown

very

well

during

this

time

because

we

kickstarted

the

campaign

on

the

Classic

that

has

really

worked

well.

People

really

liked

it.

That

is

one

on

the

Classic.

If

I

have

to

tell

you

what

kind

of

a
growth,
I
think
we
grew
almost
about
24.5%
compared
to
last
year
during
this
quarter
in
the
Classic
350.

The
next
Meteor ,
which
you
asked
about,
the
Meteor
350,
we
came
out

with
new
color
ways,
and
we
launched
it
during
the
September
month.
Once
again,
that
also
has
shown
us
very
good
growth.
If
I'm
right,
I
think
we
have
grown
almost
about
30%

there.

Page

6

of

18

Eicher

Motors

Limited

November

13,

2025

Hunter ,

we

launched

one

more

color

during

this

festive

time.

And

we

also

did

the

HunterHood

as

a

platform

for

all
the
young
audience
to
come
together
and
then
celebrate
the
HunterHood.

And
even
Hunter
has
grown
almost
about
41%
over
the
last
year.

So
all
the
products,
which
were
on
focus
during

this
quarter ,
have
really ,
really
grown
very
well.

Bullet
350

Battalion
Black

which
has

really ,
really
grown,

I
think,
almost
about
70%
during

this
quarter .

Chandramouli:

Got
it.

That's
helpful.

The
second
question

is
just
around
the
second
half.
I
think
some
of
your
peers
have
indicated
the
motorcycle
industry
in
India
should
grow
around
that
8%
run
rate
in
the
back
half
of
this
year.

I
think
Royal
Enfield
in
the
first
half,
domestic
market
growth
has
been
higher
than
that
run
rate?

But
I
just
want
to
understand
how
you're
planning
for
and
thinking
about
the

second

half

and

how

you're

thinking

about

premium

motorcycling

growth

in

relation

to

that

sort

of

high

single-digit

growth

run

rate

potentially

for

the

rest

of

the

industry?

B.

Govindarajan:

In

terms

of

percentages,
we
don't
give
the
forward
guidance,
Chandramouli,
but
I
can
tell
you,
post
the
GST,
the
demand
and
the
inquiry
and
the
demand
is
holding
up
really
very
well
for
us.
Even

October

has

been

very

good.

As

I

mentioned,

all

the

product

interventions,

inventory

buildup,

everything

has

worked.

And

currently ,

even

in

the

month

of

November ,

I'm

seeing

the

run

rates

are

very

good.

So
we
are
bullish
that
our
growth
rate
continues.

Chandramouli:

Got
it.
And
just
lastly ,
in
terms
of
channel
inventory
and
production
run
rates,
if
I
just
look
at
your
first
half
wholesale

growth
in
the
domestic
market,
you've
grown
about
27%
versus
retail,
at
least
on
my
end,
seems
to
be
close
to
24%.
And
in
the
month
of
October ,
it
seems
to
be
--

retail
has
grown
closer
to
50%,
but
wholesale
only
15%.

So
are
you
thinking
about
sort
of
staking
up
the
channel?

What
is
the
current
channel
inventory
you
have?

And
are
there
any

near-term

risks

of

potential

stock

out

just

given

retail

so

far

this

third

quarter

seems

to

have

grown

much

faster

than

wholesale?

B.

Govindarajan:

Yes.

So

normally ,

as

you

all

know ,

during

the

festive
season,
the
inventory
build
takes
place
and
the
retail
will
be
higher
than
the
wholesale
numbers.

That
is
what
the
season,
which
has
been
really ,
really
good
during
this
window
of
31

days
festive
compared
to
last
year,
we
actually
grew
by
almost
50%.
So
the
growth
has
been
very
good.
Retail
has
been
holding
off
very
well.

And
we
don't
build
inventory ,
you

all

know .

We

would

like

to

actually

have

a

correct

inventory ,

and

we

have

a

replenishment

model

back

in

the

system.

So

that

will

actually

help

us

to

get

the

velocity

in

that.

Production

at

the

back

end

is

also

churning

out

good

numbers.

So

once

again,

you

will

see

some

amount

of

inventory

fill

up,

which

has

to

take

place,

which

will

happen

through

the

wholesale.

There's

nothing

which

is

alarming

to

be

saying

that

there

is

a

gross

mismatch,

Chandramouli.

Chandramouli:

Got

it.

Got

it.

Thank

you

very

much

and

all

the

best.

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18

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B.

Govindarajan:

Thank

you.

Moderator:

Thank

you.

In

order

to

ensure

that

management

is

enabled

to

take

questions

from

all

the

participants.

Participants

are

requested

to

restrict

their

questions

to

2

per

participant.

The

next

question

comes

from

the

line

of

Binay

Singh

from

Morgan

Stanley .

Please

go

ahead

Binay

Singh:

Hi

team,

thanks

for

the

opportunity .

In

your

opening

remarks,

you

talked

about

maximizing

capacity .

Could

you

share

your

thoughts

on

what

you

are

thinking

on

capacity

addition

incrementally

because

you're

running

almost

at

full

capacity?

B.

Govindarajan:

Yes.

So

Binay ,

in
the
beginning
of
the
year
also
said,
we
have
our
state-of-art
manufacturing
facilities
at
Oragadam
and
Vallam
and
we
have
the
Cheyyar
plant,
which
is
about
60
acres,
which
is
supporting
these

plants

with

the

plating

facility .

So

that's

the

lay.

And

we

said

about

1.2

million

is

the

capacity ,

after

build

capacity ,

now

it's

peaking

and

it

is

delivering

very

well.

We

also

did

debottlenecking

operations

during

this

quarter

for

festive

inventory

buildup.

So

we

have

ramped

up

the

capacity

to

almost

about

1.3

million

to

1.35

million

motorcycles.

But

looking

at

the

demand,

looking

at

the
inquiry
and
the
interest
and
what
we
have
done
is
in
between,
we
also
kickstarted
additional
module
capacity ,
which
will
also
start
kicking
in
from
the
first
quarter
of
the
coming
year.

So
we'll
go
in
modules.
And
the
next
module
is
also
kick-stated.
Because
we
have
space
in
Cheyyar ,
we
don't
anticipate
any
major
issues.
Binay
Singh:
Right,
right.
And
the
second
question
is

on
the
margin
side.
While
we've
seen
--
like
if
you
see
revenues
have
grown
by
around
45%,
but
the
EBITDA
growth
is
around
39%
because
the
operating
expenses
have
risen
quite
sharply .

So
do
you
see
any
scope
to
reduce
marketing
or
financing
or
other
interventions
to
sort
of
have
a
margin
expansion?

How
would
you
see
that?

B.

Govindarajan:

Once
again,
if
I
had

to
tell
you,
maybe
I'm
repeating
the
percentages,
please
don't
see
that
because
that
is
not
what
we
are
driving
in
aligning
the
organization.
We
are
looking
at
an
absolute
profit,
and
that's

the
focus.
We
want
to
continue
to
grow .
Growth
has
to
come
in
from
absolute
profitability ,
not
on
the
percentage.

As
far
as
marketing
expenses,
which
we
are
talking
about,
in
fact,
this

year,
the
integrated
planning,
which
was
done
by
our
marketing
team
has
really
helped
us
to
get
a
good
efficiency
out
of
it.

But
you
will
continue
to
see
our
market
activations,

brand-building

activities

and

launch

expenses

that

will

continue,

including

expenses

like

community

building

like

Motoverse

HunterHood,

our

drag

races

of

Guerrilla

and

Classic

campaign

that

all

will

continue.

So

there

will

be

expenses

which

will

be

there

in

the

marketing

area.

Binay

Singh:

Ok,

thanks.

I

will

come

back

in

the

queue.

Moderator:

Thank

you.

The

next

question

comes

from

the

line

of

Amyr

Pirani

from

JP

Morgan.

Please

go

ahead.

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Amyr

Pirani:

Hi,

thanks

for

the

opportunity .

Actually ,

my

first

question

is

also

on

the

profitability .

It

looks

like

this

quarter ,

there

has

been

a

big

gap

in

the

movement

in

consolidated

and

standalone.

And

it

looks

like

your

subsidiaries

may

have

turned

close

to

INR40

crores

EBITDA

profit,

which

is
generally
a
negative
number .

So
I
just
wanted
to
understand
if
something
is
happening
there?

Are
some
of
the
subsidiaries
turning
profitable?

Is
some
of
this
to
do
with
Brazil
where
you've

been

ramping

up?

Some

color

there

would

be

helpful?

Vidhya

Srinivasan:

Yeah

so

I

mean,

to

some

extent,

there

is

a

bit

of

a

mix

change

which

is

happening

between

Q1

and

Q2.

Typically ,
the
way
it
works
out
for
us
is
Q1
and
Q4,
we
are
ramping
up,
and
we
are
spending.
We
are
exporting
to
essentially
the
developed
markets.
And
in
Q2,
Q3,
it's

largely

around

CKD

and

things

like

that.

So

I

wouldn't

say

that

there

is

any

big

jump

up,

which

takes

place

between

subsidiaries

and

there's

no

major

dramatic

development.

It's

essentially

the

timing
and
it's
the
mix
of
markets,
etc.,
which
is
showing
it,
yeah.
So
nothing,
it's
really
that
there
will
be
more
sales
happening
in
the
subsidiaries
because
typically ,
we
take
the
reversal

of
profits,
as
you
know ,
from
India.
B.
Govindarajan:
Aryn,
as
Vidhya
was
mentioning,
all
our
subsidiaries
in
the
last
1,
1.5
years,
what
we
have
been
doing
is
we
have
been
trying

to
stabilize
all
the
subsidiary
markets.
We
have
been
investing
into
this.
And
the
CKDs
are
ramping
up.
There
is
an
efficiency
which
is
coming
in.
This
is
also
flowing
into
the
subsidiary

profitability .

But

you

will

see

it

over

the

period

of

time

when

the

volume

goes

up

further .

Amy

Pirani:

Okay ,

okay .

That's

helpful.

Secondly ,

on

VECV ,

first

of

all,

thank

you

for

giving

the
detailed
financials
at
this
time
in
the
PPT.
I
think
that
will
be
very
helpful
for
us
going
forward.
So
just
on
VECV ,
I
wanted
to
get
a
sense
as
to
how

the
volume
outlook
looked.
You
did
mention
some
improvement,
but
we've
seen
in
the
industry
that
while
margins
have
improved
for
almost
all
the
players,
the
volume
growth
has
been
sideways
just
in

low

single

digits?

So

as

we

look

into

the

next

2

to

3

quarters,

are

there

any

specific

areas

where

we

could

see

signs

of

volume

recovery?

And

how

should

we

think

about

margins

going

forward

after

the

improvement

that

we've

seen

in

1H?

Vinod

Aggarwal:

Like

you

rightly

said,

the

volumes

have

been

a

little

bit

lower

than

the

expectations

in

the

first

half.

However ,

I
think
that
was
also
due
to
the
extended
monsoon
period.
And
of
course,
infrastructure
investments
are
happening
very
well.

And
as
I
mentioned
in
my
address,
you
will
see
the
lag

impact
of
the
GST
rates
rationalization
because
definitely ,
it
has
improved
the
consumption
levels
and
Indian
economy
driven
by
domestic
consumption.
Therefore,
we
will
see
a
good
impact
on
the
economy ,
and
interest

rates

ar

e

also

doing

very

well.

Inflation

is

down,

replacements

are

strong.

So

therefore,

there

is

no

reason

why

the

volumes

should

not

pick

up.

But

at

the

same

time,

we

should

also

note

that

in

the

heavy-duty

trucks,

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more

and

more

migration

keeps

on

happening

to

higher

tonnage

trucks.

That

also

reflects

in

our
numbers.

And
then
the
second
thing
which
pulls
down
the
numbers
is
the
productivity
levels.

If
you
look
at
the
current
running
of
trucks,
if
earlier ,
the
trucks
were
running
only,
say,

10,000,
12,000
kilometers,
currently ,
the
trucks
are
running
20,000,
25,000
kilometers
in
some
of
the
applications.

So
therefore,
with
the
extended
running,
of
course,
the
numbers
come
down.

But
at
the
same

time,
these
trucks
will
need
to
be
replaced
more
often
because
if
you're
running
3,00,000
kilometers,
then
of
course,
the
heavy
replacement
period
will
come
down.
So
that
will
reflect
in
the
future

demand.

And

the

third

thing,

which

has

pulled

down

some

of

the

heavy-duty

trucks

demand

is

also

some

migration

towards

the

rail

freight

corridors.

For

example,

Maruti

is

now

moving

almost

25%

of

its

cars

through

rail.

So

there

is

some

impact

coming

off

that.

But

in

spite

of

that,

we

had

0.2%

growth

in

the

first

half,

in

fact,

YTD

too

for

the

heavy-duty

trucks.

So
therefore,
you
will
not
see
very
large
growth
numbers
in
heavy-duty
trucks.

But
of
course,
I
feel
that
the
second
half
will
be
much
better
than
the
first
half.

As
it

is,
the
second
half
is
around
55%
of
the
total
year.

Therefore,
you
will
see
better
growth
rates
in
the
second
half.

But
if
you
look
at
light
and
medium
duty
trucks,
the

growth

has

been

good.

Growth

has

been

9%

in

light

and

medium-duty

trucks.

Exports

have

grown

by

40%

in

first

half.

Buses

are

growing

by

7%

to

8%.

Small

commercial

vehicles

have

grown

by

around

6%

to

7%.

So

other

than

the

heavy-duty

trucks,

all

other

segments

are

growing.

And

I'm

very

positive

that

overall,

we

will

see

good

growth

in

the

second

half.

Amy

Pirani:

Thank

you

sir.

Thank

you

for

the

detailed

response.

I

will

come

back

in

the

queue.

Moderator:

Thank

you.

The

next

question

comes

from

the

line

of

Kapil

Singh

from

Nomura.

Please

go

ahead.

Kapil

Singh:

Good

evening

sir

.

Just

firstly ,

on

the

GST

changes,

I

wanted

to

understand

from

a

consumer

behavior

point

of

view ,

any

changes

you

have

noticed

in

either

rural

or

urban
growth,
if
you
could
give
those
numbers?
And
also
for
the
more
than
350cc
portfolio,
is
there
any
impact
on
demand
that
you've
noticed
or
the
impact
is
not
much
despite
the

GST

going

up?

B.

Govindarajan:

Yeah.

So

I

think

it's

a

fantastic

move

by

the

government.

It

has

really ,

really

propelled

the

entire

inquiry

in

the

market.

The

market

is

buoyant

post

the

GST

reduction.

For

us,

when

the

announcement

came

in,

there

was

a

very

good

pre-buy

taking

place

in

the

450

and

650cc.

And

now

with

the

reduction

to

18%,

350cc

motorcycles

are

really ,

really
doing
well.
Festive
plus
GST
and
all
our
actions,
it
has
helped
us
to
get
the
inquiries.

As
far
as
our
450cc
and
650cc
products.

And
of
course,
the
rate
of
recovery

we

are

just

seeing

in

our

650cc

is

better

and

450cc

is

slowly

inching

up.

So

it's

a

matter

of

time.

We

can't

make

any

decisions

immediately .

We

may

have

to

wait

for

some

time.

But

we

are

cognizant

of

what

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is

happening

and

what

actions

to

be

done.

Nothing

will

be

short

term.

It

will
be
only
long-term
activities.

So
we
have
also
appealed
to
the
authorities

even
for
our
450cc
and
650cc,
whether

that
can
also
be
brought
down
to
18%,
so
that
there's
a

uniform

tax

rate

which

will

really

help

because

in

India,

if

we

lower

these

two

products

I

mean

if

we

lower

the

GST

rate

of

more

than

350cc,

there

is

a

good

chance

of
higher
volume,
and
thereby ,
we'll
get
a
scale.

So
even
in
the
international
market,
it
is
a
true
story
for
a
Make
in
India.
So
we
have
been
appealing
to
the
government.

We
will
continue
to
engage
with
the
agencies
for
lowering
the
GST
rate.

In
a
nutshell,
if
I
had
to
tell
you,
450cc
and
650cc
are
bouncing
back
in
terms
of
the
volume.

650cc

is

better ,

and

450cc,

it's

a

bit

slower

in

bouncing

back.

Kapil

Singh:

Sure,

sir.

And

on

the

rural

and

urban

growth,

anything?

B.

Govindarajan:

I

think

it

has

been

growing

across,

to
be
honest,
Kapil.
During
the
festive
time,
the
rural
had
been
slightly
higher
than
the
urban.
But
once
again,
we
have
to
wait
for
some
more
time.
But
for
us,
one
good

thing
which
has
happened
during
this
time
is
that
the
South
has
not
been
doing
very
well
for
us.
Now
South
also
has
picked
up.
We
have
seen
very
good
growth.
And
East

has
done
really ,
really
well
for
us
during
this
time.
That's
at
a
regional
level.
Also
rural
retail
growth
has
been
very
good
during
this
period.
Kapil
Singh:
Okay .
That's
great
to
hear.

And
sir,
one
question
was
on
the
raw
material
cost
to
sales
ratio,
we've
seen
an
increase.

So
if
you
could
just
help
us
understand,
is
this
just
reflecting
the
mix
or
there

was

some

commodity

cost

pressure

as

well

for

the

quarter?

And

anything

further

that

you

are

expecting

on

the

cost

side

because

we've

seen

some

impact

in

precious

metals,

for

example?

Vidhya

Srinivasan:

Yes.

So

I

think

overall,

from

a

margin

standpoint

and

from

a

commodity

standpoint,

we're

expecting

about

40

basis

points.

I

mean,

we

have

had

a

40

basis

point

impact

as

far

as

commodity

prices,

mainly

led

by

both

precious

metals

and

aluminum

alloys

and

all

that.

And

overall,

I

think

it's

been

offset.

We've

also

had

a

bit

of

price

increase,

which

has

also

given

us

a

positive

impact

of

about

50

basis

points.

The

rest

is

really

a

product

price

mix

kind

of

a

thing

that

comes

in.

B.

Govindarajan:

So

Kapil,

Inflation

pressure

is

there.

So

there
is
a
headwind,
and
we
are
looking
at
even
the
precious
metal,
how
do
we
mitigate
it,
how
do
we
speed
up
the
value
engineering
activities,
and
as
Vidhya
mentioned
on
the

model

mix.

So

all

the

levers

have

to

be

used

because

of

the

inflation

pressure.

That's

the

current

scenario

now.

Kapil

Singh:

Thank

you

sir,

that's

all.

Moderator:

Thank

you.The

next

question

comes

from
the
line
of
Gunjan
Prithyani
from
Bank
of
America.
Please
go
ahead
Gunjan
Prithyani:
Hi,
thanks
for
taking
my
question.
First
ly ,
on
just
the
new
module
capacity
that
you
said
will

sort

of

kick

in

from

1Q,

what

sort

of

debottlenecking

or

expansion

are

we

looking

at?

And

also

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November

13,

2025

the

comments

on

the

post

GST

customer

demand

seeing

a

boost.

Is

there

a

little

bit

more

color

that

you

can

share

as

to

what

sort

of

new

set

of

customers

are

coming

into

the

showrooms?

I'm

just
trying
to
gauge
if
there
are
these
first-time
buyers?
Or
are
these
people
who
were
fence-sitters
and
with
GST,
the
conversion
has
just
happened
much
quicker .
A
little
bit
more
thoughts
on

the

customer

buying

behavior

post

GST

change?

B.

Govindarajan:

So

first,

I'll

address

the

second

question,

Gunjan.

In

terms

of

the

customer

demographic

cut,

first

time,

repeat,

I

think

we

were

all

very

busy
in
fulfilling
the
peak
demand
which
came
up
during
the
festive
time,
and
we
were
having
a
Board
meeting.
So
we
were
all,
I
think,
not
having
enough
bandwidth
to
do
the

analysis.

But

anyway ,

the

team

is

doing,

we

will

go

through

that.

We

will

come

back

maybe

after

a

fortnight

time

window .

I

must

tell

you,

our

walk-in

conversion

has

gone

up,

our
tele
conversion
has
gone
up,
our
online
conversion
has
gone
up.

So
the
E2B,
we
normally
say
enquiry
to
the
booking
conversion
has
actually
seen
a
10
percentage
point
growth
during
this

point
of
time.
It
used
to
be
about
20%,
21%.
It
has
gone
to
about
29%,
30%.
So
the
efficiency
also
has
been
very
good.
But
to
tell
you
about
the
whole
analysis,

we
need
some
more
time.
November
also
is
holding
up.
So
we
will
do
it
in
another
fortnight.

The
second
one,
which
you
asked
about
the
capacity .
As
we
mentioned,
we
had

built

a

capacity

of

about

1.2

million

with

a

particular

mix

of

our

350cc,

450cc

and

650cc.

Now

what

is

happening

is

post

GST,

the

350cc

demand

is

slightly

higher

than

the

450

and

650.

As

I

mentioned,

650

is

catching

up

faster

than

the

450,

but

the

demand

of

350

is

higher

than

what

we

were

looking

at.

So

the

debottlenecking,

which

we

were

talking

about,
is
how
do
we
do
some
operations
whereby
the
350cc
can
be
produced
in
the
lines.
So
that's
what
is
the
focus
which
we
did
as
in
the
interim.
Thereby ,
we
have

increased
the
capacity .
And
we
have
added
some
machineries
and
equipment
and
all.

Looking
at
the
current
scenario
of
the
growth,
about
2
months
back,
we
also
kickstarted
another
one
module
investment,

which

I

said,

which

will

kick

in

from

the

first

quarter

because

we

have

to

be

prepared

for

the

next

festive

demand

inventory

buildup.

But

normally ,

what

happens

nowadays

is

the

plant

will

run

at

a

particular

efficiency

during

H1

and

at

a

particular

efficiency

during

H2.

Now

we

may

have

to

do

it,

depending

upon

the

inventory ,

we

may

have

to

run

the

plant

continuously

to
build
some
inventories
till
the
new
capacity
kicks
in,
so
that
next
year
growth
also
is
taken
care.
Gunjan
Prithyani:
But
how
much
will
this
module
add,
which
you
just
referred
to

in
terms
of
capacity?

Does

1.35

go

up?

That's

what

I'm

trying

to

get

at.

B.

Govindarajan:

Yes,

Gunjan,

it

is

being

looked

at.

It

should

be

higher

than

1.35

lakh.

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Gunjan
Prithyani:

Okay .

Sorry ,

1.35

million

per

annum

or

you

are

referring

to

a

monthly

number?

B.

Govindarajan:

Sorry ,

sorry ,

it

is

1.35

million.

Gunjan

Prithyani:

Okay .

Got

it.

That's

clear .

The

second

question,

sir,

I

had

was

on

the

exports

business.

How

should

we

now

think

of

growth

here?

There

was

a

period

where

we

were

sort
of
managing
the
retail,
wholesale,
trying
to
keep
the
gap
to
the
minimum.

That
sort
of
exercise
of
inventory
cleanup
to
me
seems
like
it
is
behind.
So
how
do
we
think

about

the

demand

growth

on

the

export

side?

And

any

market

color

if

you

can

give?

B.

Govindarajan:

So

our

international

volume

for

this

year

till

date

in

H1,

we

have

grown

almost

about

49%

compared

to

last

year,

which

is

about

78,548

motorcycles.

The

retail

is

higher

than

the

wholesale

once

again,

and

it's

holding

up.

Brazil

is

a

country

where,

once

again,

it

is
really
showing
it's
a
big
market
outside
India
for
us.
Our
CKD
facilities
are
in
operation.
We
are
also
looking
at
establishing
our
own.
And
the
growth
rate
is
very
good.
Our

products

are

getting

accepted

very

well.

Both

in

Argentina,

Latin

America,Ar gentina

and

Colombia

also,

it

is

doing

very

well.

U.S.A.

tariff

situations,

we

are

waiting

and

watching.

Europe's

retail

is

holding,

it

is

catching

up

now.

And

the

APAC

market

is

yet

to

bounce

back.

APAC

is

going

slow

only.

Still

Thailand

is

not

fully,

fully

sorted

in

a

way

as

a

country .

SAARC

has

been
doing
outstandingly
well
for
us.
During
this
H1,
if
I
have
to
tell
you
where
we
are
in
terms
of
market
share,
we
have
moved
to
number
1
position
in
SAARC.
Bangladesh

and
Nepal,
both
the
countries.
We
just
entered
into
this
market
effectively
in
the
last
1
year.

And
we
retained
our
position
in
the
U.K.,
Brazil,
Argentina,
Thailand
at
number
2,
and
we

retained

our

position

in

number

3

in

Australia

and

4

in

Italy

and

France.

And

in

the

EU

and

Germany ,

we

are

in

fifth

position.

And

now

Germany ,

we

are

taking

our

own

subsidiary ,

which

is

going

to

come

in

full

zone

operations.

So

exports,

if

I

have

to

tell

you

in

one

liner,

it's

in

the

recovery

path,

it's

in

the

growth

and

recovery

path.

Gunjan

Prithyani:

Okay .

Got

it,

thank

you

so

much.

I

will

join

the

queue.

Moderator:

Thank

you.

The

next

question

comes

from

the

line

of

Pramod

Kumar

from

UBS

Securities.

Please

go

ahead.

Pramod

Kumar:

Yeah.

Thanks

a

lot

for

the

opportunity

and

Govind

just

wanted

to

continue

the

demand

trend.

If

you

can

just

help

us

understand

with

the

GST

cut,

what's

the

kind

of

customer

profile

walking

in?

I

mean,

have

you

seen

customers

who

had

inquired

earlier ,

who

were

not

converting,

coming

in

and

finally

making

the

purchase?

Or

have

you

seen

a

fresh

wave

of

customers

coming

in,

fresh

walk-ins

or

first

time

walk-ins

into

Royal

Enfield

dealerships?

Just

trying

to

understand

how

much

of

this

is

upgrade

demand

which

is

coming

in

from

customers

after

the

GST

cut

and

how

mu

ch

of

this

was

like

kind

of

a

pent-up

one,

given

that

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you

always

share

that

your,

what
do
you
say,
mind
share
of
a
consumer
is
much,
much
more
higher
than
where
your
motorcycle
market
share
is?

So
just
trying
to
understand
what
are
the
kind
of
qualitative
differences

you
have
seen
after
the
GST
cut?
And
also
I
don't
know
if
you
kind
of
hit
this
number ,
where
exactly
is
the
channel
inventory
ex
of
transit,
the
latest
data,
whatever
you

can

share?

B.

Govindarajan:

So

first

is

Pramod,

about

the

inquiry

and

booking.

If

I

have

to

tell

you,

not

that

pre-festive,

we

were

having

a

host

of

booking

and

we

were

waiting

for

delivery

because

our

production

has

been

very

good.

So

our

inquiry

to

booking

ratio,

we

have

been

monitoring.

Post

GST,

inquiry

to

booking

the

conversion

percentage

has

gone

up.

So

booking

was
better
because
obviously ,
with
the
GST
reduction,
some
purchases
decisions
were
taken
by
the
customers
and
it
has
happened.
But
currently ,
if
I
have
to
look
at
just
to
give
you
some

color
of
what
is
happening
to
the
earlier
booking
to
the
current
booking
and
how
it
is
moving,
the
inquiry
levels
are
continuing
and
the
booking
levels
are
continuing
even
in
the
month

of
November
when
we
are
talking.

So
the
GST
effect
and
the
new
products
and
our
campaign
effect
is
actually
there.

And
the
good
thing
is
even
in
the
rural
markets,
as
the

question....

Anubhav

Bajpai:

There

is

some

background

noise.

B.

Govindarajan:

Yes.

So

the

funnel,

which

you're

talking

about

an

inquiry

to

booking

to

conversion,

as

of

now,

it

is

very

healthy .

The

top

of
the
funnel
inquiry
is
continuing.
So
that's
the
sign
which
we
are
seeing
that
everything
what
we
were
working
on
as
a
lever
plus
the
GST
has
really
helped
for
350cc
motorcycles.

Above
350,
both
450cc
and
650cc,
during
the
GST
announcement
before
September
22,
the
prebuy
has
actually
been
very
high.
So
we
stopped
it
also
very
well
because
we
were
anticipating
it.

So
we
stopped
the
450cc
and
650cc,
which
helped
us
to
retail
very
well,
and
that's
why
we
could
see
a
50%
overall
retail
growth
for
us
during
the
festive
season.

In
fact,

the
September
to
October
window ,
our
450cc
has
grown
by
almost
30%
and
650cc
has
grown
by
almost
11%
compared
to
the
previous
time,
primarily
because
of
the
pre-buy
which
has
taken
place.

Post

that,

there

was

a

slight

dip.

Up

to

650

is

showing

better

and

450

is

slowly

recovering.

It

takes

some

time,

but

we

don't

see

it

to

be

a

major

problem.

As
far
as
first
time
buyers,
age
of
that,
as
Gunjan
was
also
asking,
just
give
some
more
time.
We
are
doing
an
analysis.
Probably
in
the
next
call,
we
will
have
a

detailed
chart
on
that.
Pramod
Kumar:
And
Govind,
the
reason
why
I'm
asking
that
is
basically
there
have
been
talks
about
Royal
Enfield
evaluating
a
250cc
motorcycle.
I'm
just
wondering
given
the
kind

of
demand
lift
what
you're
seeing
and
given
that
you're
saying
even
after
a
record
50%
retail
growth,
you're
still
seeing
sustained
momentum
i
n
November ,
even
as
the
industry
sees
moderation
otherwise.

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Does

it

mean

that

you

probably

as

a

company

need

to

think

hard

on

the

250cc

strategy

because

the

GST

cut

makes

the
350cc
more
affordable?
So
how
should
one
think
about
this?
Because
you're
already
talking
about
a
capacity
expansion
on
the
350cc
side.
So
what
will
be
the
kind
of
numbers
we'll
be

looking

at

in

terms

of

volume

ramp-up

or

capacity

expansion

if

you

have

to

commit

to

a

250cc

foray?

B.

Govindarajan:

So

it's

like

this.

Our

focus

as

a

company

will

be

in

the
middle
weight.
We
always
say
the
middle
weight
definition
is
250
to
750cc.
Currently ,
we
have
products
in
350cc
and
the
Sherpa
platform
450cc
and
twin
650cc.
Of
this
350cc
with
all

the
products
which
we
have
launched
now,
especially
the
Hunter ,
the
new
color
which
we
launched
and
the
Guerrilla
new
color
which
we
have
launched,
the
Meteor
new
variants
which
we
have
launched

and
the
Classic
campaign
which
we
did.

And
on
top
of
it,
the
GST
reduction,
it
all
has
helped
us
to
grow
further ,
and
we
have
been
always
maintaining
that
still
there
is

a
scope
for
our
350cc
products
to
continue
to
grow .
And
the
current
scenario
is
it
is
growing.
The
task
in
hand,
which
we
have
now
is
on
the
450cc
and
650cc
where

there
is
a
higher
GST
rate,
which
has
gone
to
almost
40%,
which
as
I
mentioned,
we
are
working
with
the
agencies
and
the
government
to
reduce
it.

That
is
what
we

are
working.
Our
continue
to
focus
on
the
middle
weight
currently ,
the
focus
is
on
350cc,
how
do
we
get
the
capacity
fulfilling
the
demand
which
is
higher .
So
work
on
the
back

end
so
that
the
350cc
can
be
more
and
more
because
that's
the
split,
which
is
required
to
be
a
higher
number
due
to
the
GST.
So
the
current
focus
is
only
there,

Pramod.

Pramod

Kumar:

And

Govind,

when

you

talk

about

350cc

capacity

getting

rejigged

to

a

higher

number ,

that

ideally

should

come

with

benefits

from

sourcing

and

scale

and

everything,

right?

Because

it's

the

same
as
the
existing
product,
which
you'll
be
able
to
manufacture
more.
So
ideally
that
should
bring
down
your
unit
economics
on
that
particular
line
up,
right?
And
also
any
comment
on
potential

price
hikes
which
you
can
take
in
the
medium
term
because
we've
been
quite
disciplined
on
the
pricing
side
to
make
the
product
more
affordable.
So
but
with
the
kind
of
demand
you're

seeing

and

the

kind

of

traction,

should

one

expect

that

there

could

be

some

pricing

action

starting

with

next

calendar

year?

B.

Govindarajan:

So

first

is

about

the

capacity

extraction,

which

you

mentioned,

Pramod.

Yes,

we

have

to

use

all

the

levers

now.

Though

the

build

capacity

can

be

higher ,

but

the

model

level

350

needs

more.

So

we

have

to

do

all

the

levers

to

be
used,
including
the
value
engineering
activity ,
including
the
productivity ,
including
sourcing,
make
versus
by
discussions
and
some
investments
here
and
there
as
a
low-cost
automation,
everything
have
to
play
in
now
immediately

because

it's

here

and

n

ow.

So

that

activity ,

which

is

taking

place.

As

far

as

price

increase

which

you

talked

about,

just

because

the

demand

is

higher ,

that

doesn't

mean

we

should

go
in
for
a
price
increase
because
that
is
not
what
we
are
as
an
organization.

But
there
is
inflation
and
there
are
costs.

So
we
will
normally
review
it
once
a
quarter

and
which
will
also,
we
will
be
reviewing
it.

Page
15
of
18
Eicher
Motors
Limited

November
13,
2025

In
the
month
of
April,
we
took
a
price
increase
in
a

few
models
and
then
also
in
a
few
models
in
July,
we
took
a
price
increase
as
per
the
plan.
So
we
don't
do
anything
in
the
short
term.
We
will
review
the

price
value
equation,
how
is
the
market,
how
is
the
inflation,
what's
the
potential
which
is
there
and
from
time
to
time
and
quarterly ,
we
will
review
it.
Pramod
Kumar:
Thanks
a
lot.

Wish

you

all

the

best

sir.

B.

Govindarajan:

Thank

you.

Moderator:

Thank

you.

The

last

question

comes

from

the

line

of

Yash

Agrawal

from

Nirmal

Bang

Securities.

Please

go

ahead.

Yash

Agrawal:

Good

evening

sir.

Thank

you

for

the

opportunity .

I

just

wanted

to

know

more

about

the

online

strategy

that

the

company

opted

for

by

selling

its

2-wheelers

on

the

Flipkart.

How

is

the

response?

What
percentage
of
booking
is
coming
from
the
online
digital
channel?

B.

Govindarajan:

Go
ahead,
Vidhya.
Vidhya

Srinivasan:

Yes.

So

basically ,

we

have

essentially

kick-started

an

early

pilot

as

it

were

in

a

limited
number
of
outlets
during
the
festive
season
just
to
see
how
the
whole
price
journey ,
discovery ,
our
traction,
etc.,
is
coming.
So
it's
still
early
days
for
us
to
comment,
but
maybe

you

want

to

add

to

that.

B.

Govindarajan:

So

first

of

all,

as

an

organization,

you

have

to

be

there

in

omnichannel.

So

we

thought

that

we

should

also

be

there

in

the

e-commerce

websites.

So

that's

why

we

signed

up

with

both

of

them.

And

both

of

them,

we

are

working

on

an

exclusive

basis

because

we

have

to

understand

more

who

the

customers

are,

what
are
they
looking
for,
what
frictionless
experience
which
we
can
give
to
them,
what
additional
benefits
they
will
get,
which
normally
they
won't
get
in
our
stores.

So
those
are
all
the

learnings

which

we

have

to

get.

It

is

not

that

we

wanted

to

venture

in

and

then

immediately

get

a

huge

volume.

You

know

us,

as

an

organization,

we

don't

do

like

that.

Even
in
the
international
market,
the
storyline
is
what,
the
storyline
is
we
go
to
the
country ,
we
will
open
up
only
one
store
and
let
it
be
a
pull.

Even
in

e-commerce

work,

it

is

only

like

that

that

we

have

to

learn.

It

is

a

pilot

for

us,

not

in

any

tearing

rush

that

we

have

to

make

it

happen

always.

But

once

we
understand
what
it
is,
then
we
will
come
out
with
our
own
playbook.

But
what
it
was
very
important
to
see
that
you
would
have
noticed
is
that
the
brand
page
of

Royal
Enfield,
even
in
those
e-commerce
websites,
are
completely
managed
by
us
along
with
the
e-commerce
companies.
The
entire
brand
language,
the
way
it
has
to
be
presented,
the
way
no
discounts,
strike-throughs,

nothing

should

be

there

in

the

typical

way,

which

will

be

there

on

an

e-commerce

site.

We

were

very,

very

particular

that

it

has

to

be

represented

in

a

particular

way.

And

that's

why

I

said

it

is

a

pilot.

It's

not

in

a

tearing

rush.

The

pilot

is

showing

some

good

results.

We

are

Page

16

of

18

Eicher

Motors

Limited

November

13,

2025

studying

a

bit

more.

We

are

analyzing

it

to

see

how

we

scale

it,

should

we

scale

it

and

where

do

we

scale

it.

That's

the

discussion

which

is

ongoing

currently .

Yash

Agrawal:

Thank

you

sir.

The

second

question

is

for

VECV .

What's

the

product

road

map

in

CNG,

LNG

and

electric

CVs?

And

how

do

you

expect

them

to

contribute

over

the

next

3

to

5

years?

Vinod

Aggarwal:

If

you

look

at

CNG,

we

are

already

one

of

the

market

leaders.

Our

CNG

trucks

and

buses,

both

are

there

in

the

light

and

medium-duty

range.

As

far
as
electric
is
concerned,
we
have
now
2
to
3.5
tonne,
where
we
started
this
Pro
X
range
with
the
electric
trucks.

And
we
also
have
some
units
sold
in
5.5
tonne,

but
there,
the
cost
of
ownership
basis,
viability
is
a
bit
of
a
challenge.

And
then
of
course,
we
are
working
on
electric
models
for
the
tippers
and
for
the
tractor
trailers.
So

those
will
come
in
future.

For
electric
buses,
we
are
there
in
9-meter
bus,
we
are
there
in
12-meter
bus
and
we
are
going
to
participate
in
the
new
tender ,
which
is

going

to

be

opening

shortly .

And

as

far

as

LNG

is

concerned,

we

are

already

there

in

LNG

trucks.

We

have

sold,

I

think,

good

numbers

in

the

55

ton,

again,

tractor

trailer

segment.

So

we

are

there

in

all

the

alternate

fuels.

And

of

course,

slowly

and

steadily ,

these

alternate

fuels

will

become

more

popular ,

especially

LNG

is

expected

to

become

more

popular .

CNG

is
already
very
popular
for
the
metro
cities
and
distances
up
to
400,
500
kilometers.

Like
for
example,
some
of
the
cities,
the
diesel
sales
are
not
allowed.
Therefore,
like
in
a
city

like

Delhi,

it's

only

CNG

which

sells.

So

it's

going

to

be,

I

think,

slow

and

steady

migration

to

the

better

fuels.

Yash

Agrawal:

And

what

are

the

key

hurdles

you

see

in

their

penetration

going

forward?

Vinod

Aggarwal:

Key

hurdles

in

the

penetration?

Yash

Agrawal:

Yes,

like...

Vinod

Aggarwal:

For

the

long

haul

trucks,

the

key

hurdle

is

definitely

the

one

is

charging

infrastructure.

And

the
other
is
in
the
long
haul
trucks,
when
you
put
more
weight
of
batteries,
the
payload
also
comes
down.
So
therefore,
in
long
haul,
the
popular
models
are
going
to
be
the

tipper
category
where
the
vehicles
operate
in
the
localized
environment
so
that
you
can
do
with
the
lesser
capacity
and
you
can
do
with
more
charging.

And
then,
of
course,
the
tractor
trailers

from
the
port
to
warehouse
movement
where
the
movement
is
only
200
kilometers.
So
those
are
some
of
the
routes
which
are
becoming
more
popular .
Otherwise,
the
smaller
trucks,
of
course,
will
be

more
popular .
But
there
again,
the
migration
has
been
very
slow.

And
the
other
major
hurdle
comes
from
the
financier
side
because
financiers
are
also
still
not
fully
open
to
finance
these

electric

trucks

or

electric

buses.

And

for

the

electric

buses,

of

course,

it

is

the

government

buying

largely.

There,

of

course,

the

government

has

now

given

Page

17

of

18

Eicher

Motors

Limited

November

13,

2025

the

payment

security

mechanism

based

on

which

the

banks

and

financiers

are

giving

loans

to

the

operators.

So

I

think

things

are

evolving,

and

we

have

to

be

patient

in

this.

Yash

Agrawal:

Thank

you

sir,

that's

very

helpful.

Moderator:

Thank

you.

I

now

hand

the

conference

over

to

the

management

of

Eicher

Motors

Limited

for

closing

comments.

Over

to

you,

sir.

B.

Govindarajan:

Thank

you

very

much

everyone

for

attending

this

and

look

forward

to

having

a

chat

with

you

soon.

See

you

all.

Cheers.

Vinod

Aggarwal:

Thank

you.

Moderator:

Thank

you.

On

behalf

of
Eicher
Motors
Limited,
that
concludes
this
conference.

Thank
you
all
for
joining
us,
and
you
may
now
disconnect
your
lines.

Page

18

of

18

Call: Feb 2026

February 16, 2026 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd
Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT

Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam,
Further to our letter dated February 03, 2026 intimating the schedule of the conference call, held on
Tuesday,

February

10,

2026,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

inter-alia

to

discuss

financial

results

for

the

third

quarter

and

period

ended

December

31,

2025,

pursuant

to

Regulation

30

of

the

SEBI

(LODR)

Regulations,

2015.

The

same

is

also

available

on

the

website of the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

Eicher

Motors

Limited

Corporate

Office:

#96,

Sector

—

32

Gurugram

—

122

001

Haryana,

India

Tel

+91

124

4415600

Registered

Office

CIN:

L34102DL1982PLC129877

Office

No.1 111,

11th

Floor ,

Ashoka

Estate

Plot

No.

24,

Barakhamba

Road

New

Delhi-1 10

001,

India

Tel

+91-1 1-41095173

Email:

info@eichermotors.com

“Eicher

Motors

Limited

Q3

FY

'26

Earnings

Conference

Call”

February

10,

2026

M
ANAGEMENT
:

M
R
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B.

G
OVINDARAJAN

—

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XECUTIVE

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H
ITESH
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HAKURANI
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HDFC
S
ECURITIES
L
IMITED

Page
1
of
19
Eicher
Motors
Limited
February
10,
2026

Moderator:
Ladies
and
gentlemen,
good
day,
and
welcome
to
Eicher
Motors'

Q3

FY

'26

Earnings

Conference

Call

hosted

by

HDFC

Securities

Limited.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will

be

an

opportunity

for

you

to

ask

questions
after
the
presentation
concludes.
Should
you
need
assistance
during
this
conference,
please
signal
an
operator
by
pressing
star
and
then
zero
on
your
touch-tone
phone.
Please
note
that
this
conference
is
being

recorded.

I

now

hand

the

conference

over

to

Mr.

Hitesh

Thakurani

from

HDFC

Securities

Limited.

Thank

you,

and

over

to

you,

sir.

Hitesh

Thakurani:

Yes.

Thank

you,

Iqra.

Good

evening,

everyone.

This

is

Hitesh
Thakurani
from
HDFC
Securities.
Appreciate
everyone
logging
into
this
3Q
FY
'26
earnings
call
of
Eicher
Motors.
From
the
management
team,
I'm
pleased
to
host
Mr.
Vinod
Aggarwal,
Vice
Chairman,
Eicher
Motors

Limited,
MD
and
CEO,
VE
Commercial
Vehicles
Limited;
Mr.
B.
Govindarajan,
MD,
Eicher
Motors
Limited
and
CEO,
Royal
Enfield;
and
Ms.
Vidhya
Srinivasan,
CFO,
Eicher
Motors
Limited.

I'll
now
hand
over
the

call

to

Mr.

B.

Govindarajan

for

his

opening

remarks

and

post

which

we

will

begin

the

Q&A.

Over

to

you,

sir.

B.

Govindarajan:

Thank

you,

Hitesh.

Hello,

and

good

evening,

everyone.

Happy

New

Year.

I

hope

it

has

been

a

good

start

to

2026.

Thank

you

for

joining

us

today

at

Eicher

Motors

Limited

earnings

call

for

the

quarter

ended

December

31st,

2025.

December

marked

the

close
of
a
significant
year
for
Eicher ,
one
that
saw
consistent
performance
across
our
businesses.

Important
milestones
for
Royal
Enfield
and
continuous
progress
at
VE
Commercial
Vehicles,
too.
The
third
quarter
was
shaped

by
launches,
events
and
community-led
initiatives,
and
we
continue
to
witness
high
customer
confidence
and
trust
in
our
brands.
Before
we
move
into
the
detailed
business
updates
for
Royal
Enfield
and
VECV ,
I'll

begin
with
a
broad
summary
of
the
overall
financials.
EML
consolidated
financials
for
the
third
quarter
FY
25-26.
Our
revenue
for
Q3
is
at
about
INR
6,114
crores,
marking
a
growth
of
23%

over

INR

4,973

crores

from

Q3

last

year.

EBITDA

stands

at

about

INR

1,557

crores,

marking

a

growth

of

30%

over

INR

1,201

crores

in

Q3

last

year.

PAT

at

INR

1,421

crores,

up

by

21%

from

INR

1,171

crores

in

Q3

last

year.

Please

note

that

PAT

includes

the

share

of

profits

of

VECV ,

which

for

Q3

stood

at

about

INR

183

crores.

This

strong
performance
was
a
result
of
an
all-round
growth,
both
at
Royal
Enfield
and
VECV .

Let
me
begin
with
the
business
highlights
for
Royal
Enfield.
This
quarter
was
yet
another
robust
one
for

Royal
Enfield,
continuing
our
steady
growth
journey
of
the
past
6
quarters.
The
third
quarter
of
this
fiscal
year
saw
robust
volume
growth,
strong
festive
demand
and
meaningful
progress
across
our
products
and

community-led
initiatives.

Page

2

of

19

Eicher

Motors

Limited

February

10,

2026

What

made

it

even

more

special

was

the

commencement

of

our

125th

year

celebration,

a

milestone

that

reflects

the
strength
of
our
legacy
while
reinforcing
our
commitment
to
shaping
the
future
of
pure
motorcycling.

At
the
core,
it's
our
community
that
continues
to
be
part
and
heart
of
everything
that
we

do.

Motoverse

this

year

was

bigger

and

bolder

than

ever,

welcoming

a

record

of

40,000-plus

people

over

the

3

days

event.

We

also

took

another

step

in

expanding

our

cultural

footprint

beyond

the

motorcycling
community
with
the
second
edition
of
Journeying
Across
the
Himalayas,
which
grew
in
scale,
depth
and
impact.
Across
both
domestic
and
international
markets,
we
saw
a
very
healthy
momentum
driven
by
our

refreshed
products,
global
showcases
and
continued
engagement
with
our
riders.
This
collective
effort
helped
us
cross
the
milestone
of
1
million
motorcycles
year-to-date
much
before
the
close
of
this
financial
year,
a
moment

that
truly
belongs
to
our
teams,
partners
and
our
riding
community
across
the
globe.

Coming
to
the
volumes
during
this
quarter ,
we
sold
3,25,773
motorcycles
with
a
growth
of
21%
as
against

2,69,039

motorcycles

in

Q3

FY

2025.

Out

of

this,

in

India,

we

sold

about

3,00,426

motorcycles

with

a

24%

growth

from

the

last

year.

We

continue

to

gain

market

share

across

the

board,

particularly
in
the
middle-sized
motorcycle
segment,
where
Royal
Enfield
has
been
able
to
continue
its
dominance
at
88.9%
exit
market
share.
Domestic
sales
remained
healthy
across
all
3
months
with
a
double-digit
growth,

supporting
strong
year-to-date
growth,
driven
by
sustained
retail
traction.

The
festive
season
was
a
strong
one
for
Royal
Enfield
with
customer
enthusiasm
translating
into
a
robust
demand
across
markets.
We
delivered
our

best
ever
festive
performance,
selling
over
2.49
lakh
motorcycles
during
September
and
October .
Our
focused
strategy ,
combined
with
a
strong
product
portfolio,
and
marketing
activations
have
really
helped
us
deepen
our
presence
in

the
market
in
this
quarter .

Coming
to
the
international
markets,
our
volumes
stood
at
about
25,347
units
versus
27,068
units
in
Q3
last
year.
We
continue
to
maintain
a
strong
growth
momentum
in

retail
volume
across
international
markets
like
Brazil,
Argentina
and
Thailand.
Product
momentum
was
further
strengthened
with
the
launch
of
the
refreshed
Hunter
350
and
the
Scram
440
in
Nepal,
Bear
650
in
Argentina

and
Guerilla
450
in
Brazil
to
resonate
with
the
young
urban
riders.

The
first
Royal
Enfield
exclusive
store
opened
in
Lima,
Peru
in
December
2025.

At
EICMA
this
year,
Royal
Enfield
marked

an
important
milestone
as
we
entered
our
125th
year
of
pure
motorcycling.

The
showcase
reflected
our
journey
and
vision,
bringing
together
our
heritage
with
a
clear
view
of
the
future.

We
presented
several

key
motorcycles,
including
the
special
edition
of
Classic
650,
the
new
Bullet
650,
the
Himalayan
450
Mana
Black,
Shotgun
with
Rough
Crafts
collaboration,
a
limited
edition
and
the
Flying
Flea
S6
on
our

electric
platform,
which
together
highlight
our
approach
to
design,
capability
and
innovation.

Page
3
of
19
Eicher
Motors
Limited
February
10,
2026

The
response
from
the
riders
and
enthusiasts
globally
has

been
encouraging
and
deeply
motivating
for
the
team.

At
Motoverse,
we
launched
the
Meteor
350
Sundowner
Special
Edition,
celebrating
a
global
Meteor
community
that
now
exceeds
half
a
million
riders.
Beyond
motorcycles,
we

continue
to
strengthen
our
pure
motorcycling
ecosystem
with
meaningful
cultural
collaborations.

This
included
a
unique
partnership
with
Royal
Albert
Hall
in
London
and
a
composer ,
Rushil
Ranjan,
for
the
Ballad
of
the
Bullet.

The
official
campaign
film
marking
the
launch
of
the
new
Royal
Enfield
Bullet
650.
We
also
expanded
our
lifestyle
and
apparel
offering
with
Royal
Enfield
Vallon,
Moto
Aviators
collaborations
in
new
lifestyle
eyewear

range,
which
is
a
premium
add-on
for
riders
who
see
their
glasses
as
part
of
their
motorcycling
kits
in
everyday
life.

We
continue
to
create
memorable
riding
experiences
for
our
community .
We

concluded
the
2025
edition
of
Motoverse
in
Goa
with,
as
I
mentioned,
40,000-plus
riders
over
the
3
days
with
builders,
artists,
musicians
and
explorers
coming
together
from
across
the
globe
in
celebration
of

a
pure
motorcycling
culture.

We
also
concluded
the
Season

5
of
Continental
GT
Cup,
strengthening
our
presence
in
grassroots
racing
and
performance-led
motorcycling.

The
edition
grew
over
6,000
registrations,
marking
a
sharp
increase

since
last
year.
And
this
year,
we
went
to
8
cities
to
have
this
Continental
GT
Cup
celebration.
Alongside
competitive
motorsport,
rider-led
journeys
and
community
rides
continued
across
regions,
including
Bhutan
and
Sikkim,

reinforcing
our
belief
that
shared
experiences
and
camaraderie
are
the
heart
of
pure
motorcycling.

To
improve
ease
of
purchase,
we
announced
a
partnership
with
Amazon
India,
enabling
customers
in
select
cities
to

buy
Royal
Enfield
Motorcycles
online
through
seamless
end-to-end
digital
journey
for
the
350cc
range.
This
comes
after
the
successful
tie-up
with
Flipkart.
We
continue
to
be
one
of
the
top
automakers
across
the

leading

ESG

rating.

Currently ,

93%

of

our

electricity

consumed

across

our

facilities

is

green

electricity .

We

achieved

80%

reduction

in

emissions

intensity

in

our

operations,

Scope

1

and

2.

Our

net

water

positivity

continued

to

be

strong

at

4.6

on

the

Water

Balance

Index.

Through

the

Royal

Enfield

social

mission,

we

have

recently

concluded

the

second

edition

of

Journeying

Across

the

Himalayas,

a

week-long

multidisciplinary

festival

focused
on
celebrating
and
safeguarding
the
cultural
and
the
natural
heritage
of
that
region,
launched
the
Great
Himalayan
exploration
with
UNESCO,
reaffirming
our
long-term
commitment
to
cultural
preservations,
responsible
tourism
and
community-led
engagement.

Now
on
capex
Lastly ,
as
you
would
have
seen
in
our
results,
EML
Board
has
just
approved
a
proposal
for
capacity
expansion
at
Royal
Enfield.
This
will
be
achieved
through
a
brownfield

expansion

at

Cheyar

manufacturing

facility

at

Tamil

Nadu,

taking

our

annual

production

capacity

to

20

lakh

units

per

year

from

the

current

1.4

million

to

meet

the

rapidly

expanding

existing

and

the

projected

future
demand.
Page
4
of
19
Eicher
Motors
Limited
February
10,
2026

The
project
is
aligned
with
our
consistent
growth
focus
and
underscores
our
commitment
to
the
evolving
needs
of
our

global
community .
For
this
expansion,
we
will
invest
an
estimate
of
almost
INR
958
crores
over
a
period
of
2
years,
reaching
the
target
capacity
by
FY
27-28.
By
scaling
our
existing
Cheyyar

plant,
we
are
ensuring
a
faster
capacity
ramp-up
and
cost-efficient
operations.

Now
I
will
hand
over
to
Mr.
Aggarwal
to
talk
you
through
the
updates
of
the
VE
Commercial
Vehicles.
Over
to

you.

Vinod

Aggarwal:

Thank

you,

Govind.

I'm

pleased

to

share

that

VECV

has

delivered

its

best

ever

third

quarter

performance,

reinforcing

our

position

as

a

resilient

and

future-ready

CV

player .

India's

macroeconomic

environment

remained

supportive

through

Q3.

Strong

government

capex

in

roads

and

infrastructure,

GST

and

income

tax

reforms

and

contained

inflation

helped

improve

customer

confidence.

With

fiscal

stability

and

continued

policy

support

for

domestic

manufacturing,

the
commercial
vehicle
industry
saw
healthy
momentum
heading
into
the
second
half
of
the
year.
Against
this
backdrop,
VECV
recorded
Q3
volumes
of
26,086
units,
a
24.2%
growth
year-on-year ,
taking
our
YTD
performance

to
69,597
units,
a
growth
of
13.2%.

This
marks
our
strongest
ever
quarter
3.

We
maintained
Number
1
position
in
LMD
trucks
with
Q3
sales
of
12,447
units,
which
is
28.3%
growth

year-on-year

and

market

share

of

34.5%.

The

pro

plus

upgrades

and

uptime

promise

continue

to

drive

preference.

Our

heavy-duty

trucks

sales

grew

14.9%,

reaching

6,850

units

in

Q3,

the

best

ever

third

quarter

supported
by
infrastructure
execution
and
improved
route
economics.

Bus
sales
were
at
3,624
units,
which
were
down
3.3%
year-on-year
on
tender
timing,
underlying
market
sentiment
remains
positive
for
buses
as
well.

In

our
parts
business,
both
Eicher
and
Volvo
combined,
we
recorded
a
robust
growth
of
INR
810
crores,
which
is
14.4%
year-on-year
growth,
aided
by
higher
vehicle
utilization
and
deeper
service
penetration.
Exports
in

Q3

were

2,056

units,

which

is

72.5%

year-on-year

growth

on

better

traction

in

select

markets.

During

the

quarter ,

we

advanced

our

strategy

on

portfolio

readiness.

We

complemented

our

SCV

entry

with

the

launch

of
Eicher
Pro
X
diesel,
powered
by
the
new
E449X2
engine
focused
on
best-in-class
efficiency ,
comfort
and
uptime
for
city
near
city
logistics
and
key
applications
in
e-commerce,
FMCG,
cold
chain,
fresh
produce

and

couriers.

Our

network

footprint

crossed

1,150+

touchpoints

with

continued

East

market

focus,

container

support

across

14

highways,

13

new

service

sites

in

Q3

and

20

operational

Pro

X

setups

and

whereas

letter
of
intents,
we
have
given
for
another
21
setups,
now
servicing
21,500+
vehicles
nationwide.

Page
5
of
19
Eicher
Motors
Limited
February
10,
2026

Throughout
the
quarter ,
pricing
discipline,
operating

leverage
and
cost
reductions
supported
margin
growth.
Coming
to
VECV
financial
performance.

We
continue
to
improve
financial
strength
with
profitable
growth.

Our
revenues
for
Q3
are
INR
7,019
crores
against
INR
5,801
crores

last
year.
EBITDA
margin
for
Q3
is
INR
652
crores
as
against
INR
517
crores
last
year.
EBITDA
margin
for
Q3
9.5%
against
9.2%
last
year.
PAT
for
Q3
INR
338
crores
against

INR

299

crores

last

year.

The

medium-term

CV

outlook

remains

constructive,

supported

by

infrastructure

development,

stable

financing

and

domestic

manufacturing

push.

With

future-ready

products,

expanding

alternative

energy

portfolio,

strengthened

service

coverage,

VECV

is
well
poised
for
resilient
growth.

Thank
you
for
being
with
us
on
the
call
today .

We
can
now
move
to
a
question-and-answer
session.

Moderator:

The
first
question
is
from
the
line
of

Chandramouli

Muthiah

from

Goldman

Sachs.

Chandramouli

Muthiah:

My

first

question

is

just

around

the

margin

performance.

So

this

appears

to

be

the

first

time

in

almost

5

to

6

quarters

where

we've

seen

sequential
improvement
in
gross
margin
and
sequential
reduction
in
other
expenses.
So
I
just
want
to
understand
what
drove
this?
And
also,
if
you
could
elaborate
a
little
bit
on
whether
this
could

be

a

potential

inflection

point

in

your

margin

journey ,

given

that

over

the

past

5

to

6

quarters.

We've

built

up

a

critical

scale

and

volume

now

potentially

comfortably

above

1

million

units

per

annum

and

what

that

means

for

value

engineering

and

sourcing

syner gies?

B.

Govindarajan:

Vidhya?

Vidhya

Srinivasan:

I

think,

Chandramouli,

I've

been

kind

of

consistently

talking

about

the

same

message

from

a

margin

standpoint,

okay?

In

2022,

as

you

know ,

on

the

sidelines

of

the

Hunter

launch,

we

had

pivoted

to

rebalance.

And

there,

we

had

talked

about

our

focus

on

growing

absolute

volumes,

absolute

margins,

and
that's
essentially
what
we've
delivered.

Since
then,
if
I
take
the
12-quarter
period,
our
volumes
have
grown
by
a
CAGR
of
14%.

Our
revenues
have
grown
by
18%,
our
gross
profit

by

20%

and

our

EBITDA

by

22%,

okay?

And

therefore,

consistently ,

we've

kind

of

looked

at

growth.

And

that's

what

the

management

is

focused

on

delivering

even

as

we

go

forward.

So

I

think

that

is

broadly

the

point

that

we

wanted

to

leave.

Specifically ,

if

you

look

at

some

of

the

impact,

obviously ,

we've

had

a

great

quarter

from

a

volume

standpoint.

So

I

think

--

I

mean,

we

can

get

into

the

details,

but

I

think

this

is

the

larger

message

that

I

wanted

to

leave

you

with.

Chandramouli

Muthiah:

Got

it.

Can

you

specifically

comment

on

what

drove

the

margin

improvement

at

a

gross

margin

level?

And

then

also

what

drove

some

of

the

other

expenses

control

in

this

quarter?

Vidhya

Srinivasan:

Yes.

I

think

versus

--

if

you

take
other
income
from
a
--
I
mean,
it's
literally
a
bit
of
timing
also,
which
is
coming
through
bec
ause
we've
had
timing
of
spend
in
different
quarters.
So
--
Page
6
of

19
Eicher
Motors
Limited
February
10,
2026

but
we
can
get
into
more
detail
separately .

There
is
an
operating
leverage
which
is
also
kicking
in,
right?
And
I
think
some
marketing

spends;

we've

had

more

spend

in

the

second

quarter

versus

third

quarter .

So

some

of

that

is

a

timing

piece.

We've

also

had

operating

leverage

as

far

as

overheads

are

concerned.

So

all

that

is

kicking

in

as

far

as

other

expenses

are

concerned.

B.

Govindarajan:

So

primarily

number

one

is

operating

leverage,

as

Vidhya

was

mentioning

and

fiscal

discipline

on

the

expenses,

in

fact,

even

the
marketing
expenses,
we
have
done
ahead
planning
for
this
season,
which
has
also
helped
us
in
looking
at
a
unit
benefit.
Model
mix
has
helped.
VA/VE
has
kicked
in.
So
overall,
it's

been

well

executed

profitability .

Chandramouli

Muthiah:

Got

it.

That's

helpful.

My

second

question

is

just

on

the

capacity

expansion

that

was

announced.

If

you

could

help

us

understand

what

part

of

this

would

be
focused
on
the
350cc
and
sub-350cc
portfolio,
which
is
where
we've
seen
a
meaningful
pickup
in
demand
over
the
past
12
to
18
months.
And
what
part
is
sort
of
the
350cc

plus

portfolio?

And

also,

I

think

as

you've

mentioned

that

this

is

going

to

be

capacity

expansion

over

an

8-quarter

period.

So

is

it

going

to

be

sort

of

linear

through

that

period?

Or
do
you
expect
it
to
be
concentrated
in
certain
points
during
that
period?

B.

Govindarajan:

So
Chandramouli,
first
and
foremost
is,
I
think
you
are
right,
the
350cc
demand
has
gone
up

post

the

GST,

thanks

to

the

reduction.

And

the

450cc

and

650cc

have

slightly

come

down,

but

the

rate

of

recovery

is

better .

We

are

happy

about

that.

So

for

450cc

and

650cc,

there
is
a
capacity
which
is
built,
which
is
good
enough
because
currently ,
the
utilization
is
slightly
lower .

With
the
debottlenecking
and
a
bit
of
automations,
we
can
cater
to
the
coming

year's
growth.
And
350cc,
obviously ,
because
during
the
festive
time
itself
compared
to
last
year,
we
grew
almost
50%
with
the
higher
base
itself.
So
there
is
a
demand
for
the
350cc,
which

is
continuing.
And
back
of
it,
today ,
we
actually
presented
to
the
Board
about
the
capex
requirement,
which
is
there.

The
positive
sign
is
Cheyyar ,
which
is
an
already
existing
place
for
us.

So
that's
why
it
is
a
brownfield
project.
If
you
recall
the
last
quarter
when
we
were
discussing,
we
also
have
gone
ahead
with
one
module
for
about
INR
100-odd
crores,
which
we

have
invested
to
come
out
with
some
capacity
additional
requirement
for
the
Q1
itself.

So
that
is
going
to
kick
in
now.
And
this
investment
which
we
are
doing
in
modules
will

start

kicking

in,

in

various

stages

depending

upon

the

lead

time,

but

it's

all

mapped

to

the

peak

requirement,

which

is

required

for

the

festive

season.

And

to

that

extent,

all

the

other

periods,
the
availability
will
be
better .
So
over
the
period
of
time,
though
we
have
given
almost
about
8
quarters'
time,
it
will
be
slightly
ahead,
we
will
build
the
overall
capacity
to

almost

2

million

motorcycles.

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19

Eicher

Motors

Limited

February

10,

2026

Chandramouli

Muthiah:

Got

it.

That's

helpful.

And

just

lastly ,

if

you

could

give

us

some

color

around

the
EU
trade
deal
and
U.S.
trade
deal.
These
have
in
the
past
been
important
markets
for
the
450cc
and
the
650cc
portfolio.
So
if
you
could
just
give
us
some
color
on

how

you're

looking

at

these

trade

deals

and

what

that

represents

for

your

business

plan

going

forward?

B.

Govindarajan:

So

let's

go

one

by

one.

The

first

is

about

the

U.S.A.,

which

you

asked.

Currently ,

it's

almost

about

50%

plus

there

was

some

speculation

of

higher

taxations

and

this

and

that.

With

the

latest

trade

deal,

which

has

been

done,

the

rate

is

18%.

However ,

there

is
a
steel
and
aluminum
tariff,
that,
there
is
no
clarity
as
of
now.
We
are
waiting
for
a
bit
more
clarity
on
that.
With
that,
the
weighted
average
tariff
is
almost
about

41%

to

42%

currently .

If

that

goes

off,

mostly

it

will

go

off.

That's

what

we

are

expecting

in

the

fine

print,

then

it

will

become

an

18%

for

us,

which

is

a

good
sign.
It
will
open
up
the
market
for
us.
But
the
steel
tariff,
which
is
there,
is
common
for
everybody .
So
whoever
is
importing
into
the
U.S.
So
it's
a
common
denominator

for

all.

As

far

as

EMEA

is

concerned,

currently ,

we

are

at

almost

about

6%

duty

structure.

Once

again,

clarity

is

being

sought.

Mostly

that

will

also

go

off.

It

will

help

us
to
be
accessible
even
in
the
European
market.
So
that
way,
we
are
even
waiting
for
the
fine
prints
to
be
available
with
us
to
get
the
full
clarity .
We
are
assuming

directionally ,

as

I

mentioned,

U.S.

at

18%,

EMEA

knocking

off

6%.

That

will

be

the

scenario

of

the

whole.

Moderator:

The

next

question

is

from

the

line

of

Kapil

Singh

from

Nomura.

Kapil

Singh:

Congratulations

on

a

very

strong

performance.

I

just

wanted

your

view

on

the

industry

growth,

especially

for

the

premium

industry ,

how

are

you

thinking

for

Q4

and

next

year?

And

do

you

expect

growth

in

the

more

than

350cc

portfolio

also

when

you

are

looking

at

next

year?

Or

do

you

need

to

take

some

actions

there

to

come

with

lower

engine

CC

options

to

drive

growth

in

that

segment?

So

just

some

thoughts

there.

B.

Govindarajan:

Yes.

So

in

Q4,

I'm

expecting

the

growth

momentum

to

continue.

Inquiries

are

better .

Conversions

are

better ,

bookings

are

good.

So

there
is
a
positive
trend
which
is
continuing.

So
Q4
also,
we
are
positive
that
we
will
be
growing
more.

Coming
to
the
next
year
question,
which
you
are
talking
about,
I
think

the
whole
industry
is
looking
at
high
single
digit,
that's
sort
of
the
growth.
And
the
premium
segment
will
grow .
We
will
continue
to
outgrow
the
market.
That's
our
ambition.

And
with

all
the
products
which
are
getting
lined
up
and
on
top
of
it,
this
is
the
125th
year
of
our
brand,
and
there
is
going
to
be
a
mother
brand
marketing
campaign,
which

will
actually
take
our
brand
to
a
different
level.
And
we
also
have
products
lined
up
for
the
coming
year.
So
with
that,
we
are
very,
very
optimistic
that
our
growth
will
continue.

Kapil
Singh:
On
the
more
than
350cc
portfolio,
any
comments?

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B.
Govindarajan:
More
than
350cc,
I
mean,
honestly ,
post
the
GST,

there

is

a

huge

drop.

Just

pre-GST

between

August

15

to

September

22,

there

is

a

lot

of

pre-buy ,

which

has

taken

place.

So

the

numbers

may

be

slightly

skewing.

But

at

pre-buy ,

post
that,
there
was
a
huge
drop.
We
have
passed
on
whatever
the
GST
rates,
which
are
there,
we
just
went
into
the
market
as
it
is
at
about
40%.
So
the
growth

was
dipping.
It
went
as
good
as
almost
about
40%,
but
the
rate
of
recovery
of
650
cc
started
showing
a
positive
sign
within
about
a
month's
time
and
450
cc
has
started

showing

the

rate

of

recovery

now.

So

with

the

Classic

650,

which

we

launched,

Bullet

650,

which

we

have

launched,

now

the

inquiries

for

Classic

650

and

Bullet

650

is

also

healthier .

So

that
is
also
going
to
grow .
We
just
finished
the
GT
Cup
racing
across
about
8
cities,
which
has
really
helped
us
to
create
a
sort
of
an
interest
across.
We
launched
the

Mana

Black

in

the

450cc

on

the

Himalayan

platform.

That

has

also

kindled

the

interest

in

the

product.

So

overall,

there

is

a

positivism

which

I'm

seeing

in

the

inquiry

level.

Conversions

are

also
coming
up.
That's
why
I
said
the
rate
of
recovery
is
better .
Have
we
come
to
the
same
level
as
the
earlier
time
pre-GST
level?
No.
But
are
we
seeing
the
traction

that

we

are

reaching

there?

Yes.

650

is

faster

and

450

is

following

that.

Kapil

Singh:

Okay .

Great.

And

sir,

one

question

was

on

the

gross

margin.

Just

trying

to

understand

what

drove

the
improvement.

If
you
could
give
some
color
on
the
commodity
price
movement

for
3Q?

And
what

is
the
outlook

you
are
seeing

for
4Q

and
the
same

for
pricing

as
well?

B.

Govindarajan:

Do

you

want

to

add?

Vidhya

Srinivasan:

Yes.

So

as

far

as

gross

margin

is

concerned,

if

I

take

the

period

from

this

quarter

versus

the

previous

year

same

quarter ,

we've

had

an
increase
in
costs,
overall
improvement
in
GC
due
to
domestic
model
mix
is
about
0.6%.
We've
got
100
basis
points
on
account
of
increase
in
cost
due
to
OBD2B
norms.

We've

also

had

a

70

basis

points,

which

is

a

net

impact

of

commodity

inflation,

which

is

offset

by

around

20

basis

points,

which

is

on

account

of

value

engineering,

etc.

So

the

cost

increase

largely

is

driven

by

the

increase

in

precious

metals,

which

we've

had

aluminum

as

well

as

copper .

Then

we've

also

had

about

40

basis

points,

which

is

the

impact

of

model,

variant,

geography

mix,

etc.

But

all

of

this

has

been

offset

by

about

140

basis

points,

which

is

on

account

of

price

increases

that

we've

taken

in

April

as

well

as

July

on

select

models

case-by-case

basis.

Yeah

B.

Govindarajan:

It's

as

Vidhya

was

mentioning,

there

is

a

price

increase

which

we

have

taken,

in

April,

one

tranche,

then

in

July,

one

tranche.

Then

commodity

inflation

offset

to
some
extent
through
the
pricing
increase,
model
mix,
and
that's
what
has
actually
driven
the
GC
.

Vidhya
Srinivasan:
Yeah.

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Kapil

Singh:

Sir,

any

outlook

for

next

quarter

on

commodities?

B.

Govindarajan:

Look,

to

the

extent

of

commodities,

it

is

not

cooling

off.

Equally ,

I

must

say

it

is

not

also

heating

up.

So

it

is

some

weeks,

it's

neutral,

some

weeks,

it's

certainly

shooting

up.

But

there

will

be

a

bit

of

a

pressure

on

the

commodity

for

some

more

time.

That's

for

sure.

But

we

also

have

a

value

engineering

pipeline,

which

is

kicking

in

continuously .

Kapil

Singh:

Okay .

I

assume

no

pricing

changes

have

happened,

right?

Vidhya

Srinivasan:

I

think

January ,

we've

already

taken

some

select

models.

So

we

are

slowly

looking

at

our

entire

portfolio.

And

obviously ,

as

we've

talked

about

it

in

the

past

also,

we're

not

taking

aggressive

price

increases

and

focus

continues

to

be

on

growth.

But

wherever

we

are

finding

significant

sharp

commodity

movement,

we

are

taking

on

a

case-to-case

basis.

So

yes,

that

we

have

taken

a

bit

in

January

as

well.

B.

Govindarajan:

Price

increase,

the
discussions
all
as
we
have
been
always
saying,
we
are
adding
value
back
to
the
product.
And
that's
why
value
for
money ,
perceived
value
for
money
has
to
be
good
for
Royal

Enfield

products.

Everybody

should

desire

to

own

one

at

an

accessible

price

point.

We

are

very

cautious

of

it.

So

we

will

go

accordingly

at

what

is

right

at

that

point

of

time

in
the
price
increases.

But
yes,
in
January
also,
we
took
a
price
increase
on
select
models.

Kapil
Singh:
Ok.
Thank

you
so
much
and
best
wishes
sir.

B.
Govindarajan:

Thank
you.

Moderator:

The
next
question
is
from
the
line
of
Gunjan
from
Bank
of
America.
Please
go
ahead.
Gunjan:
Thanks
for
taking
up
my
question
.
Just
a
quick
follow-up
to
just
on
Kapil's
question
on

the
pricing
hike.
Is
it
possible
for
you
to
quantify
what
sort
of
increase
we
have
taken?
And
also
on
the
value
engineering,
do
you
mentioned
20
basis
point
Y-on-Y
improvement
that
you've

seen

on

that

front?

If

you

can

just

give

us

a

little

bit

more

outlook

on,

how

do

we

think

about

value

engineering?

Is

there

a

number

that

you

can

put

that

this

is
the
sort
of
benefit
that
can
come
through
with
the
scale
that
we
are
seeing
on
350cc
platform?
Vidhya
Srinivasan:
Yeah.
So
as
far
as
January
price
increase
is
concerned,
I
think

I
would
say
a
blended
model
price
increase
of
about
0.5%.
And
as
far
as
value
engineering
is
concerned,
as
we
said,
we've
talked
about
0.2%.
It's
very
difficult
to
quantify
exactly
how

it's

going

to

pan

out

in

the

following

quarters

because

it

really

depends

on

what

is

going

to

get

implemented

in

each

quarter .

So

I

won't

necessarily

be

able

to

guide

to

that
extent.
And
in
terms
of
what
price
increases
we've
taken
last
year,
which
is
April
and
July,
as
I
said,
we've
talked
about
140
basis
points
that
you
see
both
across
models,

yeah.

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Gunjan:

Got

it.

And

this

value

engineering,

I

understand

no

quantification,

but

directionally ,

can

you

share

some

qualitative

thoughts

around

what

is

it?

Is

it

the

scale

benefits?

Is

the

sourcing

benefits

that

you're

seeing

from

the

suppliers?

Or

is

it

modular

platforms?

Some

qualitative

color

will

help

in

terms

of

directionally

thinking

that

there

is

more

cost

levers

to

play

out

over

the

next

few

quarters?

B.

Govindarajan:

So

yes,

Gunjan,

one

is

the

scale,

which

is

a

straight-line

equation.

And

when

the

scale

comes

in,
we
do
get
something.

The
second
is
we
also
have
identified
low-cost
country
sourcing,
different
places.

In
some
of
the
electrical
items
along
with
Stark,
we
are
also
trying
to
see
which

country

is

better ,

why

it

is

better .

So

we

are

also

looking

at

that.

The

third

element

of

the

value

engineering

is

as

because

the

platforms,

the

J

platform,

K

platform,

T

platform

are

all

very

well

matured

now

in

all

the

products

with

the

bullet

being

the

last

product

for

changeover .

Now

the

value

engineering,

we

can

be

a

bit

more

aggressive

in

terms

of

weight
reductions,
in
terms
of
optimization
and
in
terms
of
the
precious
metal
usage
in
the
catalytic
converters.

All
those
are
different
projects
which
are
done.

The
funnel
is
very
healthy ,
and
it

all

is

under

testing.

So

value

engineering

will

keep

kicking

in

at

different

point

of

time,

but

we'll

be

cautious

in

implementing

it

because

when

you're

doing

a

higher

volume,

we

don't

want

to

have

anything

at

the

front

end

having

2

different

kind

of

a

vehicle.

So

we

have

to

be

careful

about

it.

So

we

will

time

it

accordingly ,

but

the

value

engineering

exercise

is

aggressively

on.

Gunjan:

Got

it.

And

if

I

can

just

ask

the

last

question

on

this

call.

There

used

to

be

a

huge

intensity

of

precious

metals

after

COVID,

right?

And

you

all

were

working

to

optimize

the

intensity ,

reduce

where

possible.

Is

it

possible

to

share

how

much

is

precious

as

a

percentage

of

either

the

total

RM

or

net

sales,

whatever

way

you
can
give
us
some
sense?

B.

Govindarajan:

We'll
probably
send
it
to
you,
Gunjan.

I
may
not
be
having
it
immediately
now,
but

I
can
tell
you
one
thing
is
precious
metal.

We
mapped
it
for
next
almost
4
quarters,
how
it
will
be
based
on
what
prebuy
which
we
can
do,
how
much
we
can
do
as
a
hedging
away .
So
all
those
activities

have
started
because
we
are
expecting
that
to
go
slightly
higher ,
but
we
are
protecting
so
that
it
is
not
hitting
us
as
a
headwind.
Gunjan:
Got
it.
And
just
shifting
to
exports,

if
you
can
--
if
I
look
at
the
last
few
months
of
trends,
as
the
base
has
caught
up,
we
have
clearly
seen
the
growth
also
temper
down
a
bit.
Directionally ,
how

should
we
think
about
export
growth?
Now
you've
of
course,
pointed
out
in
the
past
that
there
is
end
market
weakness
in
some
of
the
mature
markets.
But
how
do
we
think
about

growth?

I

know

the

FTAs

will

kick

in,

but

that's

still

some

time

away ,

right?

But

more

from

the

next

1

year

perspective,

what

sort

of

growth

we

should

think

through

for

this

business?

B.

Govindarajan:

As

I

always

mentioned,

the

international

market

for

Royal

Enfield

has

to

be

seen

from

country

by

country .

It

can't

be

that

one

outside

India,

what

is

the

business.

If

I
have
to
tell
you
some
of
the
markets,
which
are
developed
markets,
let's
take
the
U.S.A.
with
all
the
confusion
which
is
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getting
sorted
out,
probably
once
the
tariff
is
coming
to
18%,
yes,
we
will
see
some
growth,
which
is
happening.

The
product
like
Bear
650,
Super
Meteor
650,
and
now

the
new
products
which
are
lined
up
and
the
Himalayan,
it
has
a
very
good
reception
in
the
United
States
as
a
whole
because
everybody
are
looking
at
only
for
these
sort
of

motorcycles,

which

are

very

accessible

at

a

sweet

price

point

at

the

best

quality .

So

the

Royal

Enfield

cap

is

there.

So

there

is

a

possibility

for

us

to

grow

in

that

market

once
the
market
stabilizes.

Let's
talk
about
Europe
and
the
U.K.
and
especially ,

I
must
tell
you,
it's
internally ,
we
call
it
a
market
adjustment
year.

Probably
I
will
call
it
as
a

calibration

year.

Fundamentally

because

OBD2B,

the

entire

vehicles

which

were

available,

which

I

also

cast

in

the

last

meeting

also

our

last

call,

is

that

there

will

be

huge

pre-buy

and

pre-

registrations,

which

will

be

there,

which

will

all

be

available

at

the

discounting,

which

we

haven't

done.

But

we

are

competing

in

a

market

which

has

a

very

huge

discount

because

of

the

pre-registration

vehicles.

That's

why

I'm

saying

it's

a

year

of

calibration.

We

are

consciously

looking

at

how

do

we

grow

in

that

market.

Italy

is

doing

well

for

us.

So

there

is

a

focus
on
Hunter
hoods
and
all
those
things
in
Italy.
And
as
far
as
the
other
markets
are
about,
LATAM,
Argentina
and
Colombia,
the
growth
is
continuing.
Brazil
is
a
North
Star.
In

fact,
at
Brazil,
our
Guerilla
got
the
Motorcycle
of
the
Year,
Himalayan
won
the
Trial
Bike
of
the
Year.
And
we
are
Number
2
position
in
the
middle
weight
as
of
now.
So

we
have
been
consistently
growing.

And

I
do
see
that's
one
such
market,
which

is
going
to
really ,
really
garner
volume
for
us.

We
are
going
to
have
our
own
CKD
with
the

crew
assemblers,
which
we
are
doing,
now
we
are
consolidating.

We
will
have
our
own
CKD
facility
there
soon.

So
Brazil
is
one
such
big
market,
and
we
are
investing
heavily
in
that

market.

APAC,

it

is

so,

so

because

Thailand

last

year,

which

had

its

own

issues.

Now

we

are

seeing

some

amount

of

growth,

which

is

there.

SAARC

is

another

own

area.

The

terrain
is
very
good.
That's
why
first,
the
basics
have
to
be
set
right
in
that
area,
especially
Bangladesh
and
Nepal.
We
have
signed
up
with
the
distributors.
We
have
identified
the
dealer

locations,
spare
parts,
CKD
facilities.
All
those
things
are
done,
dusted
and
now
the
team
is
in
place,
but
we
are
cautiously
moving
in
our
marketing
campaign
depending
upon
the
political
situations
and

the
unrest
which
are
taking
place.
We
don't
want
to
be
overtly
there.
So
we
will
go
cautious
about
those
areas,
but
that's
another
market.

So
in
the
international
market,
as
I
have

been
always
maintaining,
we
are
cautiously
optimistic.
Market
by
market,
there
will
be
a
growth,
but
we
have
to
continue
to
be
focusing
on
the
brand
building,
which
we
will
use
the

overarching

125th

year

celebration.

So

we

are

going

into

some

markets

like

Brazil.

We

are

going

to

be

there

in

Sao

Paulo

and

Rio.

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There,
we
will
do
the
market
activations
with
maybe
Hunter ,
Himalayan.

And
that's
how
we
feel
that
we
can
be
in
the
market
and
grow
the
market.

So
maybe
in

the
coming
year,
as
I
mentioned,
calibration
and
grow .
That's
what
is
for
the
international
market.
Gunjan:
Got
it
.
This
is
really
helpful.
Thank
you
so
much
and
best
wishes.
B.
Govindarajan:

Thank

you

Gunjan

Moderator:

The

next

question

is

from

the

line

of

Amyr

Pirani

from

JPMorgan.

Please

go

ahead.

Amyr

Pirani:

Hi,

Good

evening

and

Thanks

for

the

opportunity .

Most

of

the

questions

have
been
answered.
So
just
a
few
clarifications
on
the
capacity
expansion
plan.
So
first
of
all,
the
1.45
million
capacity
that
you
have
mentioned,
which
is
currently ,
is
it
the
capacity
like

which

has

just

been

reached

right

now?

Or

this

is

something

that

we

always

had

because

we

are

going

to

do

some

debottlenecking

at

the

existing

lines?

B.

Govindarajan:

So

Amy,

just

a

clarity ,

1.2

million

is

a

declared

capacity ,

if

you

all

know .

We

have

been

saying

1.2

million.

And

about

INR100

crores,

which

was

actually

cleared

by

the

Board

about

2

months

back,

which

we
said
was
the
first
quarter ,
which
will
start
kicking
in.
So
that
will
be
another
about
1
to
1.5
months'
time.
That's
where
the
build
capacity
goes
to
almost
14.5
lakh
--

sorry ,

1.45

million.

But

we

are

seeing

the

growth

momentum

continuing.

That's

why

we

are

not

waiting

for

the

actual

SBP

cycle

and

all.

Today ,

in

the

Board,

we

presented

about

the

capex

requirement

for

further

taking

it

to

2

million.

So

we

are

kickstarting

that

starting

today .

The

board

has

cleared

the

investment

of

about

INR958

crores.

We

have

planned

all

those

things

for

the

expansion.

So

that's

going

to

be

a

brownfield,

but

it

will

be

in

module,

which

is

required

for

every

month

growth

at

what

point

of

time,

what

is

the

bottleneck,

and

that

has

to
be
focused
and
brought
in.
So
we
have
a
principal
clearance
for
about
another
taking
it
to
2
million
motorcycles.
It
will
all
start
this
activity .
That's
why
we
said
in
8

quarters,

it

will

keep

coming

in

because

it's

not

going

to

come

in

1

quarter .

That's

also

not

required.

So

it

has

to

come

in

over

the

period

of

time,

especially

for

the

festive

peak

seasons

and

all.

So

that

will

start

kicking

in

quarter -by-quarter .

Amyr

Pirani:

Okay .

Okay .

And

basically ,

the

whole

2

million

capacity

will

be

available

to

us

in

the

beginning

of

fiscal

year

'29.

Is

that

the

correct

understanding?

B.

Govindarajan:

Yeah.

Your

take,

yes,

Amy.

Amy

Pirani:

Yeah.

Yeah.

Okay .

And

just

as

we

go

from

1.45

million

to

2

million,

I

just

want

to
get
your
sense
as
to,
do
you
have
any
broad
targets
or
plan
as
to
how
much
of
that
could
be
domestic
or
exports?
And
the
reason
I'm
asking
that
question
is

that

for

you

as

well

as

for

a

lot

of

your

peers

from

India.

It

appears

that

a

lot

of

the

export

growth

will

also

happ

en

through

investments

that

one

will

have

to
do
in
all
of
these
markets,
like
some
CKDs
in
some
markets,
some
other
facilities
in
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some
other
markets.
So

just

wanted

to

get

a

sense

as

to

do

we

see

the

export

share

based

on

this

capacity

expansion

also

going

higher

over

the

next

3,

4

years?

B.

Govindarajan:

First

and

foremost,

Amyr,
the
CKD
has
to
go
from
India.
So
the
base
capacity
has
to
be
generated
in
India
because
the
amount
of
work
content
which
we
will
be
doing
outside
India,
it
will

make

no

sense

because

the

cost

will

be

higher .

So

it

has

to

go

from

India,

that's

how

the

cost

advantage,

which

is

there.

So

the

fundamental

base

capacity ,

which

is

required

to

take

it

to

2

million,

majority

will

be

in

India

only

and

in

Cheyar

because

that

is

where

the

brownfield

opportunity

is

there

for

us.

So

we

have

to

go

faster

for

implementation,

we
will
be
doing
it.

As
far
as
the
CKD
investments
are
concerned,
most
of
the
markets,
as
I've
been
saying
in
the
last
2
years,
we
are
setting
the
base
ready

for
the
future
to
-
once
the
market
opens,
we
will
ride
on
it.
One
is
about
Brazil.
We
have
2
assemblers,
but
we
are
consolidating
and
making
it
a
bigger
one.
So

that

is

already

baked

in

those

expenses.

It's

a

cash

flow

for

this

year.

And

APAC

in

Thailand,

we

have.

Argentina,

we

have,

Colombia,

we

have.

Bangladesh,

we

have,

Nepal,

we

have.

And

we
are
also
looking
at
Mexico
and
all
if
it
is
required.
So
in
all
those
areas,
the
playbook
from
us
is
fully,
fully
ready .
But
to
answer
you
in
one
line,
the

base

capacity

enhancement

has

to

take

place

at

Chennai,

India

because

that

is

what

is

going

to

feed

this

plant.

Amyr

Pirani:

That' s

helpful

sir.

Thank

you.I

will

come

back

in

the

queue.

B.

Govindarajan:

Thank

you.

Moderator:

The

next

question

is

from

the

line

of

Pramod

Kumar

from

UBS

Securities.

Please

go

ahead.

Pramod

Kumar:

Yes.

Thanks

a

lot.

My

first

question

is

on

the

current

daily

production

--

your

vendors

supply .

Understand

how

the

next

few

months

will

plan

out...

Moderator:

Sorry

to

interrupt

Mr.

Kumar .

We

are

unable

to

hear

you.

Your

voice

is

muffled.

Pramod

Kumar:

Can

you

hear

me

now?

Is

it

better?

Moderator:

Yes,

please

go

ahead.

Pramod

Kumar:

Yes.

So

my

first

question

is

to

Govind,

on

the

current

production

capacity

because

what

we

understand

is
demand
is
way
higher
than
what
you
can
supply ,
and
there
have
been
some
holidays
and
all
that
last
few
months.
But
where
are
we
on
the
daily
production
capacity
run
rate?

And
how
do
you
look
at
February ,
March
production
run
rate,
especially
given
the
very
low
dealer
inventory?
And
any
thoughts
around
working
the
weekends
or
something
like
that
to
kind
of
improve

the
supply
to
the
market?

B.

Govindarajan:

Thanks,
Pramod.

Yes,
the
plant
is
running
almost
24/7
now,
and
it's
in
full
capacity .

All
the
plants,
we
are
looking
at
wherever
there
is
a

possibility ,

if

there

is

any

leave

or

something

like

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that,

can

we

work

on

it

with

a

special

permission.

Everything

is

being
looked
at
because
the
demands
are
good.
It's
a
better
situation,
and
we
have
been
growing.
So
to
that
extent,
our
team
is
also
fully
geared
up.

As
far
as
the
vendors

which
are
coming,
we
have
identified
all
the
debottlenecked
areas
which
are
required
to
ramp
up
in
the
vendor
and
investments.

We
are
having
pocket
discussions
with
all
the
vendors.

And
from

million

capacity ,

when

do

they

kick

in

and

we

have

given

a

clarity

to

talk

to

their

Board.

In

fact,

today ,

we

shot

a

mail

to

them

to

start

talking

about.

And

we

have
given
a
cadence
of
when
you
have
to
ramp
up
and
all
those
capacities,
it
all
will
get
aligned.
If
I
have
to
tell
you
on
a
daily
level,
I
think
it's

--

if

I

have

to

tell

you,

I'm

sure

you

guys

are

seeing

it,

it's

last

month,

we

have

done

almost

about

110,000

motorcycles.

So

that

is

divided

by

the

number

of

working

days,
Pramod,
yeah.
Pramod
Kumar:
Given
Pongal
holidays,
how
many
working
days
did
you
have
in
January?
B.
Govindarajan:
No,
that's
gone
now,
February
and
March.
We
don't
have
much
of
holidays,
except

the
annual
inventory
which
we
have
to
do.
So
to
that
extent
we
will
--
and
if
I
had
to
tell
you,
we
are
delivering
almost
about
4,300
to
4,400
vehicles
per
day.

Pramod

Kumar:

Okay ,

4,300

to

4,400.

Okay .

And

Govind,

any

change

in

the

demand

context

because

like

we

had

an

issue

with

demand

or

accessibility .

With

post

GST,

what

are

the

kind

of

--

I

don't

know

if

you

answered

this

question,

forgive

me

if

you

already

discussed

this.

But

what

is

the

change

in

the

kind

of

walk-ins

and

the

quality

of

customers

or

the

customer
profile,
which
has
changed
at
what
you're
seeing
at
the
dealership?
And
anything
to
call
out
on
rural
versus
urban?
Are
you
seeing
higher
uptick
in
any
one
of
the
segments?
Or

what

if

you

can

just

provide

some

qualitative

flavor

on

the

kind

of

demand

you're

seeing?

And

because

you're

going

ahead

for

a

big

expansion.

So

I'm

just

trying

to

understand

what

gives

you
that
confidence
that
just
based
on
the
GST
cut,
whether
this
sustains?
I'm
just
trying
to
get
some
confidence
on
the
demand
read
here.
B.
Govindarajan:
Yes.
So
Pramod,
currently ,
the
demand

is
holding
up.
There's
a
good
inquiry .
I
always
mentioned
the
funnel
is
from
the
website
search.
The
search
is
very
good.
It
does
mean
the
interest
in
Royal
Enfield
at
the
overall

level

is

very

good.

That's

a

starting

point

for

that.

Now

when

we

come

back

into

this,

where

is

the

interest

showing?

Is

it

in

urban

market

or

in

the

rural

market

or

in
the
semi-urban
market
during
this
window ,
which
we
have
seen.
And
you
all
know ,
including
the
FMCG,
urban
areas
were
not
growing.
But
now
we
are
seeing
even
the
urban
markets
are

growing.

Urban

markets

are

growing,

could

be

--

we

are

not

able

to

attribute

exactly

to

that,

but

probably

t

he

income

tax

cut,

which

has

come

in,

there

is

a

positive

sentiment

which
is
therein
spend.

So
to
that
extent,
I'm
seeing
the
urban
market
is
also
growing.

Rural
and
semi-urbans
are
really ,
really
growing.

So
when
there
is
a
growth,
then
the
next
cut

which
we
are
talking
about
is
which
product
is
actually
showing
a
lot
of
traction.
Post
GST,
if
I
have
to
give
you
some
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color ,

all

our

350cc

models

are

equally

growing,

including

Classic.

The

age

profile

because

of

the

accessibility ,

which

has

become

better

post

the

GST

is

for

the

Hunter .

So

the

Hunter
age
profile
has
actually
dropped
further .
It
has
come
to
almost
40%
of
the
buyers
who
are
buying
Hunter .
As
of
now,
they
are
at
an
age
group
of
almost
23
to

24.

So

that

has

drastically

come

down,

which

used

to

be

only

almost

about

34%,

35%.

There's

a

huge

jump,

5,

6

percentage

jump,

which

I'm

seeing

in

the

Hunter .

So

as

in

Classic,
walk-ins
are
increasing.

And
that's
why
I
said
when
the
interest
is

better ,
walk-ins
are
increasing,
all
the
products
are
actually
having
the
traction.

Bullet
350,
last
year's
phenomenon
had
been

--

earlier

to

that

when

we

launched,

it

was

only

in

the

Bastian

market.

Last

year,

we

went

in

for

pan-India.

Now

pan-India,

where

the

Bullet

was

not

really

accepted,

also

the

markets

where
the
Bullets
are
having
a
very
high
traction
now.
So
our
Hunter
is
growing,
Bullet
is
growing,
Classic
is
growing.
Now
we
have
come
here
with
the
Meteor ,
on
the
350cc
even

with
the
Sundowner .
So
the
Meteor
is
actually
growing
because
we
completely
did
a
refresh
of
the
Meteor .

It
was
showing
a
dip
once
again
with
the
GST
and
with
the
new
colorways,

it
is
actually
going
up
in
this.
As
I
mentioned,
more
than
350cc,
there
was
a
sharp
decline
post
the
GST
tax
increase.
But
as
I
mentioned,
the
rate
of
recovery
of
that

is
better .
650
has
shown
the
recovery
much
higher
than
the
450.
450cc,
it
is
showing
a
recovery ,
but
it
is
slightly
slower .
For
that
market,
we
have
to
do
activation
a
bit

more.

So

we

are

starting

with

what

is

called

the

Gymkhana

for

the

450cc,

where

we

are

doing

rider

training

so

that

you

can

be

a

better

training

--

trained

riding

personality

and

use
the
motorcycle
to
see
how
best
the
motorcycle
is.

We
launched
Mana
Black,
which
is
also
showing
Himalayan
is
having
some
traction
in
this.

The
Hunter
Hood
as
a
function,
which

we
have
been
doing
now
across
small
towns.
Last
year,
we
did
only
3.
In
the
coming
year,
we'll
be
seeing
it
in
more
places
where
inquiries
are
better ,
and
young
audiences
are

looking
for
something
to
celebrate.
So
we
are
taking
the
street
culture
onto
a
platform
called
Hunter
Hood.
So
with
all
the
activities,
plus
the
125th
year,
as
the
mother
brand
campaign,
which

we
are
going
to
do,
that
is
what
is
actually
giving
us
the
confidence
that,
yes,
the
growth
is
continuing
and
the
momentum
will
continue.

Inquiries
are
better .
Our
dealer
principals
discussions
which

we
had,
all
of
them
are
very
upbeat
about
the
overall
market.

The
middle
size
market
itself
is
also
growing.

That's
a
good
thing.

I
mean
if
I
have
to
talk
about

years
back,
we
discussed,
will
the
middle
weight
be
grown.
At
some
point
of
time,
we
also
said
it
rested
on
the
leaders
who
have
been
having
the
highest

market
share.
But

now

I'm

seeing

the

overall

middleweight

segment

is

growing.

That's

a

good

sign.

Thereby ,

with

the

overall

volume

going

up,

there

is

a

space

for

us

to

grow

with

all

the

activities

which

we
are
doing.
That's
the
confidence.

And
with
that
background
only,
we
requested

the
Board
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Limited
February
10,
2026

for
the
clearance
of
the
capex,

which
the
Board
has
consented
to
go
ahead
with
that
investment.

And
that's
what
we
are
going
ahead
with
for
fulfilment,
Pramod.

Pramod
Kumar:

Thanks
a

lot
Govind.

That' s
very

very
helpful

and

best

of

luck.

B.

Govindarajan:

Thank

you.

Moderator:

The

next

question

is

from

the

line

of

Pramod

Amthe

from

InCred

Capital.

Please

go

ahead

Pramod

Amthe:

Hi,

thanks

for

taking

my

question.The

first

question

with

regard

to

the

capex

amount

and

the

way

you

are

calling

it

brownfield.

You

already

announced

a

20%

rise

in

the

capacity

to

1.8

to

1.4.

Now

we

are

talking

about

1.4

million

to

almost

2

million?

B.

Govindarajan:

Sorry .

Excuse

me,

Pramod,

your

audio

is

not

clear

to

us,

please.

Pramod

Amthe:

Can

you

hear

me

now?

B.

Govindarajan:

Slightly

better .

Go

ahead,

please.

Pramod

Amthe:

I

was

saying

when

you're

calling

it

brownfield,

it's

the

capacity

is

moving

up

almost

like

60%,

70%

if

I

have

to

take

it

from

1.2

million

to

2

million.

And
the
extent
of
capex
is
also
much;
much
leaner
as
compared
to
a
gross
block.
What
are
you
doing
differently
as
compared
to
a
typical
manufacturing
setup
to
expand
the
capacity
to

get

such

efficiency

in

capex

spending?

B.

Govindarajan:

Two

things.

I

think

one

has

to

be

looking

at,

with

the

cafe

norms

coming

in,

how

efficient

and

how

fungible

it

is.

So

any

of
the
investments
which
we
are
doing,
we
have
to
have
that
fungibility
in
mind.
Second
is
that
more
and
more
automations
have
to
come
in,
in
these
areas,
which
will
actually
help

us
to
get
the
cost
advantages
also
because
you
can't
be
looking
at
the
labor
arbitrage
always.

So
we
have
to
be
looking
at
an
IoT
base,
which
--
that's
what
is
the

focus.

Whatever

the

learning

which

we

had

from

our

existing

plants

like

Orgadam

and

Vallam

because

we

are

all

in

one

place

and

the

team

is

the

same.

So

we

have

funneled

out

what

improvements

we

can

do

at

the

manufacturing

facility .

Thereby ,

we

will

give

a

differentiated

product,

flexibility ,

which

has

to

be

built

in.

And

it

has

to

also

be

there

tomorrow ,

when

the

450

goes

up,

what

does

it

mean?

How

do

we

get

the

fungibility

into

this?

Those

are

all

the

contours

with

which

we

are

building

this

newer

capacity .

Pramod

Amthe:

And

the

follow-up

--

yes,

sorry

go

ahead.

B.

Govindarajan:

Go

ahead,

please.

Go

ahead.

Pramod

Amthe:

And

also

in

terms

of

product

profile,

you

feel

the

existing

CC

range

will

fulfill

this

such

a

large

expansion

or

you

would

be

looking

at

downsizing?

Or

how

would

you

be

looking

at

the

product

profile

to

fill

this

entire

2

million?

Page

17

of

19

Eicher

Motors

Limited

February

10,

2026

B.

Govindarajan:

Our

focus

has

always

been

the

middleweight

250cc

to

750cc.

Currently ,

we

are

at

about

350cc,

450cc

and

650cc.

You

will

see

the

adjacencies

which

are

there,

but

the
demand
as
of
now
is
350cc.
So
here
and
now,
the
task
in
hand
is
how
do
I
fulfill
that
demand
and
the
capacity
built
has
to
go
around
that
immediately .
But

there

are

enough

projects

which

are

going

on.

Pramod

Amthe:

Sure.

And

the

last

question

is

with

regard

to

VECV .

What

is

--

considering

that

the

recovery

this

time

seems

to

be

driven

by
ICV,
where
I
think
Eicher
has
a
very
dominant
market
share
position.
How
are
you
positioned
in
terms
of
capacity?
And
what
is
the
plan
for
capacity
buildup
there?
And
second,
in

terms

of

do

you

need

to

launch

new

products

there

to

maintain

the

leadership

because

some

of

the

competitors

are

trying

to

enter

this

segment

or

increase

the

competitive

intensity?

Vinod

Aggarwal:

As

far
as
the
capacity
is
concerned,
we
have
now
2
truck
plants.
One
is
in
Pithampur
and
the
other
is
in
Bhopal.
So
for
the
current
volumes,
we
are
very
well
industrialized.
So

there
is
no
concern
as
far
as
the
capacity
is
concerned
for
the
current
year.
But
of
course,
next
year,
if
the
industry
continues
to
grow .
Then
of
course,
we
might
have
to

increase

the

capacity

in

Bhopal

and

for

which

we

are

thinking

over

it.

And

--

but

that

will

not

be

a

very

major

capex

so

we

will

take

steps

next

year.

If

at

peak
level,
some
monthly
requirement

is
high,
then
we

will
take
those
steps
next
year.

Pramod

Amthe:

Sir,
you
might
be
working

at
85%,
90%
utilization
now?

Vinod

Aggarwal:

Yes.

Currently ,
we
are

producing

10,000

vehicles

per

month,

10,000

plus.

So

we

are

almost

at

80%,

90%.

Moderator:

The

next

question

is

from

the

line

of

Yash

Agarwal

from

Nirmal

Bang

Securities

Private

Limited.

Yash

Agarwal:

My
question
is
for
the
VECV
bus
segment.
As
we
have
seen,
bus
volumes
have
moderated
in
Q3
and
also
for
year-to-date
FY
'26,
accompanied
by
110
bps
decline
in
market
share.
So

could
you
elaborate
on
key
factors
contributing
to
the
slowdown
and
steps
to
stabilize
and
regain
market
share?
Vinod
Aggarwal:
First
of
all,
as
far
as
the
bus
industry
is
concerned,
this
year,

the
growth
has
not
been
that
high
as
we
had
experienced
in
the
previous
years
because
the
base
was
very
high.
So
therefore,
the
growth
rates
have
been
moderate.
And
the
second,
the

reason

for

our

lower

numbers

is

also

due

to

some

lower

orders

from

institutional

sales.

Last

year,

we

had

very

large

institutional

sale

orders

from

UPSR TC.

This

year,

of

course,

we

still

don't

have
very
large
orders,
whereas
the
competition
has
got
larger
orders.
So
therefore,
our
overall
numbers
are
down
a
little
bit.
Yash
Agarwal:
And
my
second
question
is
on
export,
which
has
been

very

strong

this

year.

So

could

you

share

insights

on

key

geographies

driving

this

growth?

And

what

will

be

the

export

momen

tum

expected

for

Q4

and

beyond?

Page

18

of

19

Eicher

Motors
Limited
February
10,
2026

Vinod
Aggarwal:
We
are
right
now
having
very
good
traction
in
the
Middle
East.
We
are
now
exporting
almost
100-plus
vehicles
there
every
month,
largely
buses

and
LHD
trucks.
Then,
of
course,
the
numbers
are
also
better
for
us
in
Bangladesh
and
Nepal.
Sri
Lanka
market
also
has
opened
up
again.
But
there,
of
course,
still
the
numbers
are

very
small.
And
of
course,
the
numbers
in
African
markets
are
also
respectable.
So
therefore,
all
this
has
contributed
to
our
high
growth
in
export
numbers.
And
going
forward,
Q4
also
is
likely

to
be
better
as
far
as
exports
are
concerned.
Yash
Agarwal:
Okay .
And
my
last
question
is
for
the
Enfield
Electric
portfolio.
Could
you
share
more
color
on
the
launch
roadmap
target
customer

segment

and

how

these

products

fit

in

Royal

Enfield

product

portfolio

like

Flying

Flea

and

others?

B.

Govindarajan:

So

Flying

Flea

is

our

endorsed

brand

of

Royal

Enfield

for

the

city,

city

plus

electric
mobility .

We
have

2
products,
which

we
unveiled,
one

is
called

C6,
which

is
a
Classic
style

one,
another
one

is
an

S6,
which

is
a
Scrambler
version.

C6
is
almost
ready

for
production.

You
will
see
it
in
the
market
soon,

but
we
will
be
doing
a
cautious
approach

of
not
going
around
and
then
saying
here

is
a
product.
We'll
build
because
a

category

has

to

be

built,

and

we

will

build

it

slowly

and

steadily .

That

you

will

see

it

in

the

next

quarter

time

window .

And

S6

will

come

during

the

course

of

the

year

around

the

EICMA

time.

That's

the

tentative

plan

as

of

now.

Moderator:

Ladies

and

gentlemen,

we

will

take

that

as

the

last

question

for

today .

I

now

hand

the

conference

over

to

the
management
for
closing
comments.

B.

Govindarajan:

Well,
thank
you
very
much
to
everyone
for
attending
this
conference
call,
and
see
you
all
soon.

Moderator:

Thank
you
very
much.

On
behalf
of
HDFC

Securities
Limited,
that
concludes
this
conference.

Thank
you
all
for
joining
us
today .

And
you
may
now
disconnect
your
lines.

Page
19
of
19

Call: May 2026

May 26, 2026 Online intimation/submission The Secretary BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai-400 001 Security Code: 505200 The Secretary National Stock Exchange of India Ltd Exchange

Plaza,

5th

Floor,

Plot

No.C/1,

G Block, Bandra Kurla Complex, Bandra (E) Mumbai-400 051 Symbol: EICHERMOT

Ref: Disclosure under Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of conference call Dear Sir/Madam, Further to our letter dated May 18, 2026 intimating the schedule of the conference call held on Friday,

May

22,

2026,

please

find

attached

transcript

of

the

aforesaid

conference

call,

held

i n t e r - a l i a

to

discuss

financial

results

for

the

fourth

quarter

and

financial

year

ended

March

31,

2026,

pursuant

to

Regulation

30

of

the

SEBI

(LODR)

Regulations,

2015.

The

same

is

also

available

on

the

website

of

the Company www.eichermotors.com. The conference call started after the conclusion of the Board meeting of the Company. You are requested to take the same on your records.

Thanking you, For Eicher Motors Limited Atul Sharma Company Secretary Encl.: As above

Eicher

Motors

Limited

Corporate

Office:

#96,

Sector

—

32

Gurugram

—

122001

Haryana,

India

Tel

+91

124

4415600

Registered

Office

CIN:

L34102DL1982PLC129877

Office

No.1 111,

11th

Floor ,

Ashoka

Estate

Plot

No.

24,

Barakhamba

Road

New

Delhi-1 10

001,

India

Tel

+91-1 1-41095173

Email:

info@eichermotors.com

“Eicher

Motors

Limited

Q4

&

FY26

Earnings

Conference

Call”

May

22,

2026

M
ANAGEMENT
:

M
R
.

S
IDDHAR THA

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VECV

M
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.

B.

G
OVINDARAJAN

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M
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IRANANDANI

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P
HILLIP
C
APIT AL

I
NDIA

Page

1

of

19

Eicher

Motors

Limited

May

22,

2026

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

the

Q4

and

FY

'26

Earnings

Conference

Call

of

Eicher

Motors

Limited,

hosted

by

PhillipCapital

India.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will

be

an

opportunity

for

you

to

ask

questions

after

the

presentation

concludes.

Should

you

need

assistance

during
the
conference
call,
please
signal
an
operator
by
pressing
star
and
then
zero
on
your
touchtone
phone.
I
now
hand
the
conference
over
to
Mr.
Amit
Hiranandani
from
PhillipCapital
India.
Thank
you

and

over

to

you,

Mr.

Hiranandani.

Amit

Hiranandani:

Yes.

Good

evening,

everyone.

On

behalf

of

PhillipCapital

India,

I

welcome

you

all

to

Eicher

Motors'

Q4

and

FY

'26

Earnings

Conference

Call.

I

take

this
opportunity
to
welcome
the
management
team
from
Eicher
Motors
Limited.

Today ,
we
have
with
us
Mr.
Siddhartha
Lal,
Executive
Chairman,
Eicher
Motors
Limited;
Mr.
Vinod
Aggarwal,
Vice
Chairman,
EML
and
Chairman,

VECV ,

Mr.

B.

Govindarajan,

MD

of

EML

and

CEO

Royal

Enfield;

Mr.

B.

Srinivas,

MD

and

CEO,

VECV ;

and

Ms.

Vidhya

Srinivasan,

CFO.

Now

I

hand

it

over

to

the

management

for

the

opening

remarks.

Thank

you,

and

over

to

you,

sir.

Siddhartha

Lal:

Yes.

Hello,

everyone.

This

is

Siddhartha

Lal

here,

and

thank

you

very

much

for

joining

the

Eicher

Motors

Limited

earnings

call

for

the
quarter
and
financial
year
ended
March
31,
2026.

We've
had
an
absolutely
stellar
year
this
year
at
Eicher
Motors
with
solid
growth
overall.

Both
at
Royal
Enfield
and
VECV ,
we've
delivered

record-setting
performances,
while
Royal
Enfield
achieved
over
1.2
million
motorcycle
sales,
VECV ,
for
the
first
time,
delivered
a
record
100,000
units,
1
lakh
unit
sales
for
the
year.
This
--
the
combined
revenue

of
EML
and
VECV
actually
crossed
INR50,000
crores
last
year
for
the
first
time.

And
on
the
back
of
this
landmark
year
and
a
continued
commitment
to
shareholder
returns,
the
Board
of
Directors

has
recommended
a
final
dividend
of
INR82
per
share
for
the
fiscal
year.
This
year
is
also
very
special
for
Royal
Enfield,
as
we
celebrate
125
years
of
pure
motorcycling,
a
philosophy
that's

held

consistent

across

generations.

And

even

though

--

we're

the

oldest

motorcycle

manufacturer

in

continuous

production,

it

feels

like

we're

just

getting

started.

Making

this

year

even

more

incredible

was

our

entry

into
the
electric
space
with
the
Flying
Flea,
which
is
a
City
Plus
electric
mobility
brand.
In
the
first
week
of
April
2026,
we
launched
the
Flying
Flea,
C6
in
Bangalore
and
the

initial
response
has
been
very
exciting.

Even
as
we
go
from
strength
to
strength,
marking
new
milestones
in
business
and
in
financial
performance,
we
remain
focused
on
long-term
growth.
Recently ,
we
announced
Royal

Enfield's
capacity
expansion
at
our
plant
in
Cheyyar ,
Tamil
Nadu.
And
from
a
longer -term
perspective,
we
have
also
recently
decided
on
plans
for
a
greenfield
facility
in
Andhra
Pradesh.
Page
2
of
19

Eicher
Motors
Limited
May
22,
2026

Today ,
I
would
also
like
to
welcome
very
warmly
B.
Srinivas
to
the
call.
B.
Srinivas,
who's
in
March
2026,
he
has
assumed
the
role
of

Managing
Director
and
CEO
of
VECV .
He
succeeds
Vinod,
Vinod
Aggarwal,
who
was
leading
VECV
for
over
15
years,
and
Vinod
has
now
taken
over
as
the
Chairman
of
VECV
and
of
course,

he's

also

the

Vice

Chairman

of

EML.

And

as

we

step

into

this

new

year,

we

have

also

made

a

significant

new

announcement

yesterday

from

an

EML

perspective.

Expanding

on

our

highly

successful

18-year
partnership
with
Volvo
Group,
we
now
intend
to
set
up
a
new
joint
venture
with
Volvo
to
enter
into
the
vehicle
financing
business
in
India.

And
I'm
going
to
hand
over

now

to

Mr.

Vinod

Aggarwal

for

more

details

on

this

new

proposed

joint

venture

in

vehicle

financing

with

Volvo.

Thank

you

very

much,

and

over

to

you,

Vinod.

Vinod

Aggarwal:

Thank

you,

Siddhartha.

Good

evening,

everyone.

Basically ,

our

intent

is

to

set

up

a

50-50

joint

venture

for

financing,

leasing

and

other

financial

services

business.

And

our

investment

in

this

will

be

up

to

INR750

crores

for
the
50%
stake
in
this
Volvo
Financial
Services
India.
Volvo
Financial
Services
India
is
in
operation
here
in
India
for
last
more
than
10
years,
and
they
have
assets
under
management
of

INR1,806

crores.

And

they

will

issue

fresh

equity

stake

from

the

company .

So

this

money

will

be

put

into

the

company

into

VFS

India.

And

this

JV

combines

Volvo's

global

financial

services

expertise

and
Eicher
global
knowledge
and
network.

This
JV
will
serve
Eicher ,
Volvo
and
Royal
Enfield
customers
in
India,
and
it
presents
an
opportunity
for
EML
to
operate
in
an
important
segment
of

the
value
chain
using
financing
as
a
lever
for
a
supplier
customer
experience
--
for
a
superior
customer
experience.

The
proposed
JV
will
be
the
captive
financing
arm
for
VECV ,
EML
and
Volvo

Group
products
in
India.

The
JV
will
combine
VFS
strength
and
understanding
in
the
financial
services
with
Eicher's
extensive
product
portfolio,
network
and
deep
market
understanding
to
capture
new
business
in
a
more

aligned
and
efficient
manner .
The
proposed
JV
will
also
deepen
integration
to
accelerate
decision-making
and
help
customers
in
easily
accessing
financing
solutions.

Now
I
hand
over
back
to
Govind
for
briefing
on

Royal

Enfield.

B.

Govindarajan:

Thank

you,

Vinod.

Good

evening,

everyone.

Let

me

just

talk

to

you

about

the

Eicher

Motors

Limited

financials

and

performance.

It's

been

another

strong

year

for

Eicher

Motors

and

a
particularly
special
one
for
Royal
Enfield
as
we
celebrate
the
125
years
of
pure
motorcycling.
Our
results
have
been
reflective
of
the
strategic
actions
we
took.
We
are
by
no
means
resting

on
these
achievements.

In
fact,
we
are
gearing
up
to
the
next
phase
of
growth
as
you
have
seen
through
some
of
our
recent
announcements.

Now
let
me
start
with
the
numbers
for

the

fourth

quarter .

Eicher

Motors

Limited

posted

a

record

performance

with

a

consolidated

revenue

at

INR6,080

crores

and

EBITDA

at

about

INR1,514

crores.

Profit

after

tax

stood

at

about

INR1,520

crores.

Not

just
the
past
quarter ,
as
stated
earlier ,
we
maintained
a
solid
growth
momentum
through
the
full
financial
year
as
well
Page
3
of
19
Eicher
Motors
Limited
May
22,
2026

with
revenue
growing

to
INR23,408
crores
with
an
EBITDA
of
INR5,785
crores.

PAT
for
the
period
stood
at
INR5,515
crores.

Coming
to
some
of
the
key
updates
from
Royal
Enfield.
This
has
been
our
strongest

year

yet

and

what

makes

it

even

more

special

is

we

achieved

many

important

milestones

in

Royal

Enfield's

125th

year.

We

continue

to

consolidate

our

leadership

in

the

midsized

motorcycle

segment

as

our

motorcycles

continue

to

perform

well

through

the

fourth

quarter

and

across

the

financial

year.

For

the

full

financial

year,

we

recorded

our

highest

ever

annual

sales

performance

with

12.27

lakh

motorcycles

sold,

making

this
our
second
consecutive
year
of
crossing
1
million
motorcycles.
Domestic
sales
grew
23%
to
1.1
million
units,
while
international
volumes
also
grew
20%
to
120,634
units,
reflecting
the
growing
strength
of
our

international

business,

too.

We're

also

witnessing

the

strongest

festive

season

in

our

history

as

the

second

year

with

the

sales

growing

in

the

last

festive

time

at

26%

over

the

last

year.

And
happy
to
share
that
at
125
years
today ,
1
out
of
every
3
customers
of
Royal
Enfield
is
below
the
age
of
25.

Now
on
the
product
front,
this
year
was
marked

by
thoughtful
upgrades
across
our
portfolio
shared
by
our
community .
We
introduced
the
2026
Guerrilla
450
Apex,
a
sharper
and
more
focused
version
of
an
already
existing
motorcycle
on
the
Guerrilla
platform,
which

has
received
a
tremendous
response.
The
2025
Hunter
350,
Meteor
350,
Goan
Classic
350
and
Himalayan
Mana
Black,
which
all
got
launched
also
saw
meaningful
upgrades
and
have
brought
overall
volume
gain
for

us.

Some

of

our

key

motorcycles

also

achieved

important

milestone

during

this

year.

The

Meteor

350

crossed

the

6

lakh

sales

mark

since

its

launch

in

2020

on

a

cumulative

basis.

The

Himalayan

450

recorded

its

strongest

registering

a

53%

growth

to

achieve

over

38,000

retails

across

the

global.

To

make

our

entire

350

range

more

accessible,

we

also

announced

partnership

with

Flipkart

and

Amazon

in
India.
We
are
working
on
it
further .
We
ended
the
year
by
starting
a
new
journey
with
the
launch
of
Flying
Flea
C6,
as
was
mentioned,
alongside
the
opening
of
our
first

Flying
Flea
store
in
Bangalore
in
April
2026.
The
feedback
on
the
FF
C6
has
been
incredible,
and
we
are
taking
a
deliberate
city-by-city
approach.
And
beyond
India,
we
continue
to
deepen
our

global
footprint
in
Latin
America,
Brazil
led
the
way
with
about
71%
growth
during
the
year.
Brazil
is
now
our
largest
and
the
fastest-growing
international
market,
second
only
to
India,
in
our
overall

global
footprint.

Closer
to
home,
in
SAARC,
Nepal
outperformed
with
the
spectacular
growth
this
year,
driven
by
new
launches
such
as
Classic
350
and
Hunter
350.
Our
allied
businesses
had
a
very
strong

year

across

board.

Our

apparel

business

continued

to

grow

and

saw

a

21%

growth

compared

to

the

previous

year

with

the

launch

of

new

collections

like

Conscious

Collections,

Get

In-Streets

and

Royal

Enfield

VALLON

Moto

Aviators.

We

also

expanded

our

collectibles

portfolio.

Page

4

of

19

Eicher

Motors

Limited

May

22,

2026

Genuine

Motorcycle

Accessories

has

seen

an

exponential

growth

with

the

global

revenue

growing

by
32%
over
the
previous
year,
while
our
spare
parts
business
also
recorded
a
robust
18%
year-on-year
growth.

Beyond
motorcycles,
our
community
grew
stronger
than
ever
during
this
year.

Motoverse
2025
concluded

in
Goa
with
another
unfor gettable
edition
with
30%
higher
footfalls,
brought
together
riders,
creators,
musicians,
artists
and
explorers
from
around
the
world
in
a
celebration
for
pure
motorcycling.
We
introduced
2
new
community-centric

properties,
HunterHood
and
The
Nights
across
multiple
cities
that
helped
us
connect
with
the
younger
and
a
more
diverse
set
of
riders.
The
14th
edition
of
One
Ride
brought
together
more
than
about

40,000
riders
across
66
countries,
reflecting
the
strength
of
global
Royal
Enfield
community .
During
this
quarter ,
we
also
got
J.D.
Power
ranked
as
highest
in
the
overall
2-wheeler
initial
quality ,
a
direct
reflection

of
our
focus
on
the
customer
satisfaction.

And
we
have
secured
the
number

1
position
in

Federation
of
Automobile
Dealers
Association,
FADA,
Dealer
Satisfaction

Survey ,
and

we
ranked
number

3
in
the
world's

strongest
automobile
brand
in
the
Brand
Finance
Automotive
Industry
2026
report.
And
on
the
sustainability ,
our
Oragadam
facility
was
recognized
as
Sustainable
Factory
of
the
Year
by
Frost
&
Sullivan,
an
affirmation
that

our
commitment
to
the
responsible
manufacturing.

The
second
addition
of
Journey
Across
the
Himalayas
brought
together
over
11,000-plus
visitors,
a
reflection
of
how
our
social
mission
is
growing.
On
manufacturing
and
back-end
and

future

readiness,

in

February ,

we

announced

INR

958

crores

brownfield

expansion

at

our

Cheygar

facility

in

Tamil

Nadu

to

further

strengthen

our

manufacturing

capacity .

This

will

take

us

our

annual

capacity

to

almost

2

million

units

and

cases.

In

addition,

earlier

this

week,

we

have

also

announced

our

strategic

expansion

plan

in

Andhra

Pradesh,

which

will

help

us

to

build

future-ready

capacity

and

support

our

long-term

growth.

So

as

you

heard,

we

have

exciting

updates

and

action

across

board,

and

we

are

geared

for

a

growth-led

FY27.

With

this,

now

I'll

hand

it

over

to

B.

Srinivas

to

walk

us
through
the
VECV
performance.

Over
to
you,
Srinivas.

B.
Srinivas:

Thank
you,
BGR,
and
good
evening,
everyone.

The
year
FY26
was
a
landmark
year
for
VEC.

We
delivered
a
record
1,03,404
units,

growing

almost

15%

over

last

year.

Importantly ,

this

performance

was

broad-based

and

reflected

the

increasing

strength

of

our

business

across

all

verticals.

In

Eicher

brand

heavy-duty

trucks,

we

delivered

25,155

units

during

the
year,
registering
14.1%
growth
and
improving
market
share
to
9.1%.
In
LMD
trucks,
we
strengthened
our
Page
5
of
19
Eicher
Motors
Limited
May
22,
2026

leadership
with
46,195
units
while
reminding

ourselves
that
market
leadership
must
always
be
accompanied
by
profitable
growth.
Our
entry
into
the
new
SUV
segment
has
done
well
with
2,452
Pro
X
trucks
delivered,
including
726
EVs,
opening
up
an

important

new

avenue

for

growth.

Eicher

buses

delivered

18,651

units.

Our

Volvo

buses

reached

a

record

712

units

and

Volvo

trucks

closed

the

year

at

1,712

units.

Exports

grew

strongly

by

33.9%

to

6,933

units

despite

a

challenging

external

environment.

Our

spare

parts

sales

grew

13.9%

to

INR3,045.5

crores.

These

numbers

show

that

VECV's

growth

story

is

not

limited

to

one

segment

or

one

business

line.

Let
me
begin
with
the
fourth
quarter
performance.

VECV
posted
a
record
performance

with
consolidated
revenue

at
INR
8,280.6

crores,
EBITDA

at
INR
921.5
crores.

Profit
after
tax
stood

at
INR
595.8

crores.

Beyond

this

quarter ,

we

sustained

a

steady

growth

trajectory

across

the

full

year.

Revenue

growing

to

INR

27,076.6

crores

with

EBITDA

of

INR

2,562.6

crores.

PAT

for

the

year

stood

at

INR

1,471

crores.

At

VECV ,

we

continue

to

develop

our

sustainability

and

inclusion

journey

throughout

the

year

FY26.

Beyond

the

numbers,

the

newly

launched

Eicher

Pro

X

is

assembled

on

all

women

line,

the

CV

industry

first

in

India.

We

strengthened

renewable

energy

adoption

through

a

4.5

megawatt

rooftop

solar

project,

which

is

expected

to

reduce

emissions

by

25%.

We

also

cycled

52

million

liters

of

water
at
Bhopal
plant
through
an
artificial
lake
that
supports
local
birds
and
fish.
Our
carbon
offset
efforts
continued
with
plantation
of
66,000
trees,
which
is
expected
to
offset
about
660
tons
of

carbon
emissions.

VECV
continue
to
get
good
recognitions

at
17th
Apollo
CV
Awards,
VECV

was
recognized
as
CV

Maker
of
the
Year
and
Transport
Solution
Provider

of
the
Year.
Our
newest
offer,
Eicher

Pro
X
was
honored
as
Debutant
of
the
Year.
These
recognitions
reinforce
our
commitment
to
lead
our
vision
to
drive
modernization
in
commercial
transport.
VECV
is
entering
this
new
financial
year
from
a

position
of
strength.
As
we
look
ahead,
the
environment
around
us
remains
dynamic,
global
uncertainties,
geopolitical
developments
and
supply
chain
volatility
will
continue
to
test
our
ability .
But
India's
long-term
growth
drivers
remain

strong.

Infrastructure

creation,

logistics

modernization,

growing

e-commerce

and

the

push

towards

cleaner

and

more

efficient

mobility

continue

to

create

meaningful

opportunities

for

us.

B.

Govindarajan:

Thank

you,

Srinivas.

It

has

indeed

been

an

excellent

FY26

for

Eicher

Motors

Limited,

and

we

are

happy

to

have

started

FY27

on

a

very

strong

note

with

a

good

momentum

in

April

2026

with

a

growth

of

51%.

The

resilience

of
our
growth
over
the
past
8
quarters
makes
us
confident
that
our
strategies
are
steering
us
in
the
right
direction
and
over
the
medium
term,
we
expect
the
trajectory
to
be
upwards.

In
line
with
this
projected
growth,
we
are
preparing
to
be

future-ready
with
strategic
manufacturing
expansions
and
market
relevant
products
planning,
both

at
Royal
Enfield
and

at
Page

6
of
19

Eicher

Motors

Limited

May

22,

2026

VECV

level.

Finally ,

as

Sid

mentioned

earlier ,

we

are

getting

into

a

new

business

vertical

with

a

proven

trusted

partner

and

expect

this

sound

investment

to

create

value

in

the

long

term.

Thank

you

all

for

being

with

us

on

this

call

today .

Now

we

can

move

to

question

and

answers.

Moderator:

Thank

you

very

much.

We

will

now

begin

with
the
question-and-answer
session.

Your
first
question
comes

from
the
line
of

Pramod
Kumar

with
UBS.

Please
go
ahead.

Pramod
Kumar:

Yes.

Thanks

a
lot
for
the
opportunity .

Am

I
audible?

Moderator:

Yes,

sir.

You

are

audible.

Please

go

ahead.

B.

Govindarajan

Yes.

Pramod

Kumar:

Congratulations

to

the

team

for

a

great

performance

and

congratulations

to

Vinod

ji

for

leading

the

growth

of

VECV

for

almost

a
decade
now
as
the
leader .
And
congratulation,
Mr.
Srinivas
as
well
for
the
new
role
and
look
forward
to
interacting
with
you
soon,
sir.
So
moving
on
to
the
questions,
Govind
need

your

help

on

the

--

on

your

take

on

the

demand

for

the

premium

motorcycles

in

India.

One

of

your

peers

actually

called

out

premium

motorcycle

as

probably

the

strongest

segment

right

now

in
terms
of
growth,
despite
the
geopolitics
and
the
macro,
what
you
are
seeing.
So,
if
you
could
just
share
your
broad
thoughts
as
to
given
where
demand
is
and
given
where
inventory

levels

are

in

the

industry ,

how

do

you

expect

the

retail

growth

to

pan

out

in

FY

2027

for

the

premium

motorcycle

category?

And

also

then

share

your

plans

on

the

capacity

expansion,

what
you're
talking
about.
Because
what
we
understand
looking
at
Vahan
and
also
talking
to
dealers
is
that
you're
literally
running
on
with
thin
inventories,
right?
So,
if
you
can
just
help
us

understand

the

growth

outlook

for

the

category

and

your

plans

for

the

capacity

to

begin

with?

B.

Govindarajan:

Yes,

Pramod.

So

three

questions

which

you

have

asked.

First

is

about

the

premium

category

growth.

Financial

year

'26,

we

sold

most

about

1.11

million

motorcycles

in

India.

And

there

was

a

solid

growth

of

about

23%

over

the

last

financial

year.

In

the

month

of

April

2026,

we

sold

about

1.04

lakh

motorcycles,

which

is

actually

a

57%

growth

over

the

last

year.

And

structurally ,

I'm

seeing

the

demand

is

continuing.

Inquiry

levels

are

growing

almost

about

23%

compared

to

the
previous
years
and
the
months.

So
there
is
no
structural
correction
which
is
taking
place
in
the
demand.

That's
continuing.

Inquiries
are
very
good.

Booking
rates
are
very
good.

As
you
rightly

mentioned,
currently ,
Royal
Enfield,
the
inventory
levels
are
almost
about
7,
8
days,
primarily
because
in
the
month
of
May,
you
know
there
are
issues
on
the
manpower
availability
due
to
elections
and

LPG

shortages.

Page

7

of

19

Eicher

Motors

Limited

May

22,

2026

And

those

are

all

the

issues

which

were

there.

Those

are

temporary

about

a

week

to

10

days

phenomenon.

And

that
is
now
back
on
track
and
the
deliveries
are
starting
now.
So
you
will
see
the
growth
continuing
on
the
overall
level.
As
far
as
the
capacity
is
concerned,
we
mentioned
our

capacity

is

about

1.4

million

with

about

500

module,

which

we

explained

to

you

people

in

the

last

call

also,

that's

going

to

kick

in

from

June

and

July.

It

does

mean

the

overall
capacity
will
go
up
to
almost
about
1.6
million
plus.
And
the
INR958
crores
capex,
which
we
also
got
it
cleared,
that
will
kick
in
for
the
overall
capacity
of
2
million.

This
all
will
happen,
as
Siddhartha
also
mentioned
and
as
I
was
explaining,
at
our
Cheyyar
facility
where
we
have
land.
So
that's
a
brownfield
expansion.
That's
about
2
million
capacity ,
which
will

be

there

by

Q2

of

FY28.

Beyond

because

we

are

bullish

about

the

growth,

as

you

also

mentioned,

the

premium

category

segment

is

growing.

And

we

have

all

our

products

which

are

doing

outstandingly

well,

including

the

Guerrilla

Apex,

which

we

have

launched

now.

So

we

have

also

signed

up

with

Andhra

Pradesh

government

for

the

greenfield

project

that's

kicking

in

over

about

2

million

capacity .

That's
where
our
capacity
planning
is
being
done
now.

Pramod
Kumar:
So
Govind,
I
think
to
quantify
the
growth
possibility
for
the
premium
segment,
motorcycles,
is
it
fair
to
assume
given
the

commentary

that

there

could

be

strong

double-digit

growth

for

the

premium

category

for

FY27?

B.

Govindarajan:

Premiumization

in

India

is

continuing

as

a

spree

So,

and

of

all

the

motorcycles

total,

only

the

premium

segment

is

growing.

And

that's

why

I

said

inquiries

are

continuing

the

trend

of

premium

motorcycles

will

grow .

If

I

have

to

give

you

some

references,

Pramod,

the

entire

premium

motorcycle

in

2022,
'23,
the
market
size
was
only
almost
70,000,
now
it
has
gone
to
almost
about
1.1
lakh
per
month.
And
in
that
time
till
now
in
the
1.1
lakh,
we
are
almost

about

90,000

plus.

So

the

entire

premium

motorcycle

segment

grew

and

Royal

Enfield

outgrew

that.

So

that

momentum

is

continuing

as

of

now.

That's

why

I

said

structurally ,

we

don't

see

any

changes

in
the
whole
premiumization
and
the
premium
motorcycle
growth.

Pramod
Kumar:

And
the
inventory
of
one
week
is
including
transit
inventory ,
right?

B.
Govindarajan:

No,
it
is
a
dealer
inventory
and
the
depot

inventory .

Hence

it

is...

Pramod

Kumar:

Depot

inventory .

But

depot

inventory

sits

on

your

books,

right,

not

with

dealers?

B.

Govindarajan:

Yes.

Pramod

Kumar:

Okay .

Okay .

So

dealer

inventory

will

be

even

lower

than

7

days

effectively?

B.

Govindarajan:

That's

right.

That's

right.

Page

8

of

19

Eicher

Motors

Limited

May

22,

2026

Pramod

Kumar:

Yes.

So

--

and

can

I

squeeze

in

a

question

on

margins?

Is

it

possible

or?

B.

Govindarajan:

Go

ahead.

Pramod

Kumar:

Yes.

So

the

next

big

debate

is

the

margins

or

the

cost

when

your

margin

execution

this

quarter

has

been

pretty

good.

I
think
you
managed
commodity
inflation
very
well.
If
you
can
just
help
us
understand
between
you
Vidhya
as
to
how
much
of
the
commodity
impact
in
4Q,
how
much
of
that
you

could

pass

on

to

the

consumers

in

4Q

and

what

the

pricing

taken

up

in

1Q,

if

any?

And

how

should

one

look

at

commodity

as

a

headwind

to

your

margin

profile?

If

you

can

just

help

us

understand

--

explain

your

pricing

position

and

all

the

activities

you're

taking

to

kind

of

--

just

help

us

understand

that,

please?

B.

Govindarajan:

Vidhya,

maybe

you

can

cover

the

Q4.

Vidhya

Srinivasan:

Yes.

I'll

talk

about

Q4.

So

I

think

as

we

said,

we've

been

able

to

largely

mitigate

the

margin

impact

as

far

as

Q4

is

concerned.

Overall,

because

of
the
increase
in
commodity
costs,
we've
had
a
total
of
about
90
basis
points
in
the
quarter .
We
were
--
we
took
a
price
increase
in
January
and
the
blended
price
increase

was

about

70

basis

points.

And

remaining

20

basis

points,

we

were

able

to

address

it

through

value

driven

cost

reduction

as

well

as

model

price

variance

mix.

So

that's

how

Q4

panned

out.

And

then

I'll

hand

it

over

to

BGR

to

talk

about

the

larger

direction.

B.

Govindarajan:

So

you

all

know

the

operating

environment

as

of

now,

the

entire

auto

industry

is

a

bit

complex

because

of

the

war

situation.

One

is

about

the

inflation

increase,

which

is

taking

place.

The

second

is

also

availability

itself

is

becoming

a

bit

of

a

problem.

So

we

are

all

trying

to

do

it

on

a

wall

footing

basis

type

of

how

do

we

run

the

continuity

in

production.

As

far

as

the

commodity

is

concerned,

yes,

there

is

a

huge

headwind.

If
I
have
to
give
you
some
number ,
it
is
almost
about
3
to
3.5
percentage
on
the
material
cost
level
impact
is
expected.
And
what
we
have
done
anticipating
this
and
started

working

on

first

is

before

the

price

increase,

we

intensified

our

value

engineering.

We

intensified

our

cost

reduction

exercises,

some

of

the

austerity

measures

because

it's

a

war

situation,

we

also

have

to

be
prepared
for
it.
And
we
also
did
a
pricing
increase
of
about
1.75%
in
the
month
of
April.
So
we
are
at
it.
We
know
it
is
not
that
the
entire
commodity

inflation

has

actually

covered

up.

But

how

do

we

minimize,

how

do

we

mitigate

this?

We

may

have

to

navigate

the

entire

situation

carefully ,

but

we

are

on

top

of

it.

And

we

are

confident

that

we

will

mitigate

it

to

a

maximum

extent.

Pramod

Kumar:

And

Govind,

just

to

clarify

this

350

bps

is

incremental

or

this

includes

the

90

bps

of

what

happened

in

4Q?

B.

Govindarajan:

It

is

incremental

in

Q1.

Page

9

of

19

Eicher

Motors

Limited

May

22,

2026

Pramod

Kumar:

And

you

have

taken

a

price

increase

of

1.75,

so

under

recovery

is

1.75

or

thereabout?

B.

Govindarajan:

Under

recovery

is,

yes,

if

we

have

to

give

a

slight

equation,

3%

to

3.5%

level,

yes

50%

is

actually

recovered.

Remaining

50%

is

what

I

have

mentioned.

A,

we

have

to

do

some

austerity

measures,

which

are

required

here

and

now.

B,

the

value

engineering

in

and

kick

in

slightly

ahead,

we

would

have

planned

some

projects

which

will

be
kicking
in
by
July,
August.
That
has
to
happen.
So
the
front
ending
of
cost
reduction
has
to
take
place.
And
we
also
have
done
some
prebuy ,
which
is
also
helping
us.

So
the
residual
inventories,
which
will
also
be
used.

So
all
the
levers
of
the
supply
chains
are
being
pulled
because
it's
a
tighter
situation,
which
we
have
to
navigate,
and
we
are

on

top

of

it.

Pramod

Kumar:

And

operating

leverage

benefits

will

be...

Moderator:

Sorry

to

interrupt,

Mr.

Kumar .

We

request

you

to...

Pramod

Kumar:

Just

a

clarification

on

operating

leverage.

Just

operating

leverage

benefits

will

be

over

and

above

that's

right?

What

are

mitigating

factors

from

operating

leverage?

B.

Govindarajan:

Yes.

Pramod

Kumar:

Yes.

That

puts

you

in

a

much

better

position

Govind

as

a

company .

Thanks

a

lot.

I

will

fall

back

in

the

queue.

B.

Govindarajan:

Thank

you.

Moderator:

Thank

you.

Your

next

question

comes

from

the

line

of

Kapil

Singh

with

Nomura.

Please

go

ahead.

Kapil

Singh:

Yes,

good

evening,

sir.

Congratulations

on

a

strong

performance.

Just

on

the

demand

follow-up.

Any

outlook

you

would

like

to

share

for

FY27,

what

range

you

are

expecting

growth

for

the

industry

or

for

Royal

Enfield?

Any

thoughts

there?

And

also

similarly

for

the

export

market?

B.

Govindarajan:

So

Kapil,

we

don't

normally

talk

about

the

forward

guidance

in

numbers.

Currently ,

as

I

mentioned,

in

the
month
of
April,
we
actually
grew
by
almost
31%.
And
as
I
also
mentioned
that
the
demand
is
very
strong.
In
fact,
the
demand
growth,
which
I'm
seeing
is
almost
about
23%

plus

level.

Booking

is

continuing.

The

interest

on

product

from

Royal

Enfield

is

very

good.

All

our

launches

have

done

outstandingly

well.

Very

recently ,

we

launched

our

Guerrilla

APEX

variant.

That

has

really

given
us
a
good
amount
of
an
inquiry
and
booking.

If
I
have
to
tell
you
on
an
overall
level,
there
is
no
structurally
any
changes
which
is
taking
place.
Page
10
of

19

Eicher

Motors

Limited

May

22,

2026

We

are

working

on

fulfilling

the

demand.

And

because

we

had

some

setbacks

because

of

the

elections,

manpower

availability ,

LPG

availability ,

commodity

availability ,

power

issues.

So

those

are

all

the

areas

which

we

are

working

on

it

on

top

of

it,

and

we

are

now

working

on

demand

fulfilment.

That's

about

the

overall

demand

situation,

Kapil.

Kapil

Singh:

Sir,

about

the

international

market

sir?

B.

Govindarajan:

International

market,

Brazil

is

doing

outstandingly

well.

In

fact,

last

year,

we

grew

by

almost

71%

compared

to

the

previous

year.

And

in

Brazil,

we

have

become
the
number
2
in
the
middleweight
and
our
product,
Guerrilla
450
has
won
the
motorcycle
of
the
year.
Himalayan
450
won
the
style
Bike
of
the
year,
Bear
650
launched
in
Libra

in
the
month
of
March.
Overall,
in
the
Latin
America
and
Brazil,
we
have
been
doing
outstandingly
well.
And
that's
--
in
fact,
we
are
now
focusing
Brazil
as
a
next
big
market

to
India.
Currently ,
what
is
happening
in
the
macro,
most
of
the
markets,
especially
United
States,
you
all
know ,
and
there
are
tariff
issues,
confusions,
which
are
all
getting
settled,
but
that's
only

about

3%

of

the

total

market

for

us.

Europe

continued

to

degrow .

In

a

degrowing

market,

we

are

maintaining

our

market

share.

But

I

must

tell

you,

in

Europe,

I

call

it

as

market
adjustment
year.
There
are
degrowth,
which
is
taking
place,
preregistered
vehicle
of
OBD2B,
which
was
there.
So
still
because
of
the
degrowth,
those
preregistered
vehicles
are
not
cleared
off
from
the
floor .

As

a

result,

fresh

billing

is

taking

time.

So

international

market

is

--

we

are

cautiously

optimistic

as

of

that

now.

Kapil

Singh:

Okay .

And

sir,

on

the

financing

JV

that

we

have

done
what
should
be
the
primary
benefit
we
should
expect
from
that?
Will
it
--
do
you
think
it
has
market
share
implications
for
VECV
and
Royal
Enfield
or
will
it
be
more

about

tapping

the

profit

tool

in

that

segment?

Vinod

Aggarwal:

Fundamentally ,

financing

is

important

part

of

the

value

chain.

So

therefore,

apart

from

being

the

important

sales

tool

in

some

of

the

markets

where

financing

may

not

be

available,

this

is

a

separate

business

altogether .

This

will

be

run

absolutely

independently

and

all

the

decisions

will

be

taken

based

on

their

risk

profile

and

based

on

the
actual
financing
model.
So
--
but
at
the
same
time,
you
asked
that
whether
the
market
shares
will
go
up.
Yes,
it
will
definitely
help
in
getting
better
financing
like
it
will

also

help

in

getting

more

innovative

products

because

Volvo

Financial

Solutions

they

are

a

very

large

financing

arm

of

Volvo

Group,

and

they

have

a

lot

of

innovative

ideas,

how

do

we

create

more
customer
satisfaction.

So,
I
think
they
will
bring
in
all
those
products
internationally .

And
the
other
good
thing
is
that
the
VFS,
they
do
only
captive
financing.

So,
they
will
do
only

the

VECV

or

Volvo

products

or

Royal

Enfield

at

a

later

date.

So

th

erefore,

I

think

it's

a

good

business

opportunity

and

at

the

same

time

also

as

a

sales

aid.

Moderator:

Your
next
question
comes
from
the
line
of
Raghunandhan
NL
with
Nuvama
Research.

Page
11
of
19
Eicher
Motors
Limited
May
22,
2026

Raghunandhan
NL:
Congratulations,
sir,
on
stellar
numbers.
Firstly ,
in
last

EICMA

show

many

products

were

showcased,

can

you

talk

a

bit

about

the

upcoming

products?

I

think

Bullet

650,

Flying

Flea

S6.

Some

thoughts

on

where

you're

focusing

on

and

if

possible,

some

timelines?

B.

Govindarajan:

Well,

new

products

have

to

be

open

when

the

new

products

is

really

coming

on

to

the

market,

Raghu.

But

all

these

products

will

--

whatever

we

have

talked

about

or
what
we
have
showed
in
EICMA,
from
the
project
timeline
perspective,
whatever
we
intend
to
bring
it
to
the
market,
it
is
on
track.
There's
no
delay .
But
I'm
happy
to
share

with
you
one
thing,
as
you
all
have
seen,
our
electric
mobility
products,
which
is
Flying
Flea
during
this
quarter ,
we
actually
launched
and
it's
a
City,
City
Plus
motorcycle,
which
won
the

Red

Dot

Award

even

before

it

was

even

launched,

we

have

launched

the

product.

Now

booking

has

just

started.

We

had

gone

into

Bangalore

only

in

one

store,

slowly ,

we

are

building

up

because

we

know

we

are

not

in

a

rush,

but

because

it's

a

product

which

everybody

loves

now.

And

we

did

a

media

ride

and

all

the

journalists

really ,

really

love

the

motorcycle.

There

is

a

very

good

review

we

got.

So,

we

are

building

that

category .

So

that

product

has

already

come

in

the

market.

And

you

will

see

S6

which

was

shown

in

EICMA

that

will

also

come

in.

A

bullet

650

is

on

the

cards.

It's

just

going

to

come

because

that

I

can

share

it

with

you

because

the

dispatch

is

already

started.

Remaining

products,

you
will
see
one
by
one,
which
will
come
into
the
market.

Raghunandhan

NL:

Noted

sir.

Wishing

all

the

best.

One

clarification.

You

said

capacity

near-term

June,

July

will

increase

to

1.6

million

and

all

the

production

or

supply

constrained

labor

shortage,

all

that

is

behind.

Is

that

understanding

correct,

sir?

B.

Govindarajan:

That's

right,

Raghu.

So,

our

capacity

declared

was

about

1.4

million,

and

we

said
with
the
500
module,
which
we
started
off
anticipating
the
growth,
that's
going
to
kick
in
from
July
because
we
had
to
be
prepared
for
festive
season.
So,
with
that,
our
capacity

will
go
to
almost
about
1.6
million.
And
the
investment
which
was
also
clear
INR958
crores
in
April,
that
has
started,
and
that
will
take
us
the
overall
capacity
in
phases
to
2

million

for

future

because

the

growth

momentum

is

continuing.

For

future,

we

also

have

to

secure

land.

That's

why

we

signed

up

our

Greenfield

project

at

Andhra

Pradesh.

Raghunandhan

NL:

That's

very

helpful,

sir.

Just

a

last

question.

welcoming

Mr.

Srinivas

and

best

wishes.

Sir,

can

you

talk

about

MHCV

industry

growth,

how

are

you

seeing

for

FY27.

And

also,

if

you

can

indicate

your

thoughts

on

the

commodity

pressures

for

Q1?

B.

Srinivas:

Start

from

the

latest

one.

I

think

the

commodity

pressure

is

exactly

same

as

what

Govind

has

mentioned.

I

think

we

are

sailing

the

same

boat.

So,

which

is

expected

to

be

in

the

range

of

3%

to

3.5%

and

that's

in

the

first

quarter .

So

that

continue

to

be

in

the

similar

lines

for

the

year.

As

far
as
demand
is
concerned,
I
think
there
is
no
forecast
expected
at
this
moment.

But
however ,
right
now,
the
traction
in
the
market
is
quite
good.

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Eicher

Motors

Limited

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Raghunandhan

NL:

Noted.

Thank

you

sir

Moderator:

Next

question

comes

from

the

line

of

Arvind

Sharma

from

Citi.

Arvind

Sharma:

Good

evening

sir.

First

on

the

model

pipeline,

you
have
a
broader
segment,
and
you've
shared
about
Bullet
650.
Is
it
possible
to
share
if
there
are
plans
right
now
or
once
the
capacity
expands
to
go
below
the
350-cc
segment?

B.

Govindarajan:

So,

Arvind,

as

a

company ,

we

always

say

less

is

more

and

our

focus

has

been

always

250

cc

to

750

cc.

That's

the

middleweight,

that's

where

we

will

play.

And

currently ,
we
have
our
J-Series,
which
is
a
350
cc,
we
have
Sherpa
platform,
which
is
a
450
cc
and
650
cc.
So,
these
are
all
the
platforms
which
are
established.
And
we

have
products
on
the
350
cc,
which
are
Bullet,
Classic,
Hunter ,
Meteor ,
Goan
Classic.
And
in
the
450
cc,
we
have
Himalayan,
Guerrilla
and
Scram
and
now
the
Apex
variant,
which
also
got

launched.

And

in

650cc,

we

have

Continental

GT,

Interceptor ,

Super

Meteor ,

Shotgun,

Bear,

Classic

650

and

the

Bullet

650,

which

is

going

to

come.

So,

we

have

a

product

pipeline

in

a

very

good
level.
Every
product
of
ours,
which
we
have
launched
is
with
the
purpose
which
we
have
always
built
and
the
consumers
were
really
enjoying
it.
We
always
look
at
for
adjacencies,
what

sort
of
an
experience
which
we
can
give
it
to
the
customers.

But
our
belief
is
the
platform
which
we
have
already
launched,
350,
450
and
650
cc
itself
has
a
very
good

potential

to

grow .

Our

focus

will

be

more

on

that.

But

as

we

mentioned

as

an

organization,

our

focus

is

on

the

middleweight

between

250

cc

to

750

cc.

Arvind

Sharma:

Thank

you

so
much
for
this.
Sir
staying
on
the
model
with
the
Flying
Flea,
you
said
it's
very,
very
early ,
but
are
there
any
aspirational
monthly
numbers
or
any
sort
of
a
figure
that

you

believe

you've

pencilled

in

for

the

year?

B.

Govindarajan:

Look,

I

think

it's

a

very

different

product.

People

are

really

liking

it.

Anyone

who

looked

at

the

product

and

tested

the

product,

they

really

said

that

Royal

Enfield

way

of

doing

an

electric,

which

is

a

Flying

Flea

endorsed

by

us

and

that's

got

accepted

as

a

product.

It's

a

new

category .

We

have

to

develop

not

in

an

urgency

of

doing

that.

That's

why

we

have

chosen

city-by-city

approach.

We

have

gone

to

only

one

store

at

this

level.

If

I

have

to

tell

you

in

one

store,

how

is

it?

Test

ride

inquiries

are

very

good.

We

are

very

happy

about

that.

And

we'll

actually

go

city-by-city

slowly ,

and

we

will

build

this.

Arvind

Sharma:

Got

it,

sir.

Just

one

clarification.

I'm

sorry ,

it's

been

asked

twice

already ,

but

from

1.4

million

to

1.6

million,

you

said

something

about

a

500

module.

Could

you

clarify ,

sir,

what

exactly

it

is?

B.

Govindarajan:

That's
per
day
module
of
all
the
manufacturing
facilities.

Maybe
you
should
have
clarified,
it's
about
a
per
day
module,
yes.

Arvind
Sharma:

Okay .
Per
day
module,
okay .

So
1.4
million
to
1.6

million

is

more

of

a

Brownfield

debottlenecking

sort

of

a

thing?

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B.

Govindarajan:

That's

right.

Arvind

Sharma:

All

right.

Thank

you

so

much

for

clarifying.

Thank

you

so

much.

That' s

all

from

my

side.

Moderator:

Thank

you.

Your

next

question

comes

from

the

line

of

Pramod

Amthe

with

InCred.

Please

go

ahead.

Pramod

Amthe:

Yes.

Hi,
thanks
for
taking
my
question.

So
this
is
with
regard
to
the
vehicle
finance
JV.

I
wanted
to
know
in
the
past
also
you
might
have
evaluated
to
enter
this
segment
what

prevented

them

and

now

do

you

see

with

your

portfolio

getting

expanded

into

EVs

and

much

wider ,

you

feel

the

need

for

vehicle

finance

or

you

feel

the

environment

is

now

better

with

digitization.

What

is

the

reason

to

enter

now

versus

historically

which

was

evaluated?

Vinod

Aggarwal:

I

think

earlier

we

had

never

seriously

evaluated

entering

this

business.

So

this

is

the

first

time.

And,

of
course,
this
is
in
collaboration
with
Volvo
Group,
where
we
have
already
very,
very
successful
partnership.
So
looking
at
their
success
in
this
financing
business
worldwide,
I
think
that
was
one
factor

that
if
we
are
able
to
collaborate
in
this
area,
this
could
be
another
good
opportunity
for
creating
a
very
successful
joint
venture.
So
that
is
the
objective.
And
then,
of
course,
it's

also
a
good
way
of
business
--
new
business
line.
And
at
the
same
time,
it
will
help
us
also
to
increase
our
sales
or
provide
more
products
for
our
sales
teams.
Pramod

Amthe:

Thanks,

sir.

And

what's

the

medium-term

capital

infusion

plan?

Initially ,

you

said

you

will

invest

X

amount,

but

if

you

are

to

look

at

it's

a

capital

hungry

business

3

years

to

5

years?

Vinod

Aggarwal:

I

agree,

but

if

you

look

at

the

current

profile

of

funds

there,

we

are

now

going

to

put

up

to

INR750

crores

into

the

balance

sheet

and

they

already

have

net

worth

of

around

INR500

crores

and

their

current

debt

equity

is

only

around

3.

So

with

INR750

crores

--

up

to

INR750

crores

additional

and

existing

net

worth

and

in

the
finance
companies,
if
you
can
go
up
to
debt
equity
of
5
is
to
1.
I
think
we
are
adequately
capitalized
for
the
medium
term.
And
then,
of
course,
we
are
not

in
a
hurry
to
grow
the
business
very
fast.
We
will
adopt
a
very
slow
and
steady
step-by-step
approach.
We
have
to
make
sure
that
we
have
proper
systems
in
place,
proper
risk

management

mechanisms

in

place.

And,

of

course,

there

is

no

hurry

that

we

have

to

bring

it

up

to

a

very

fast

pace

so

that

we

have

to

keep

on

putting

in

more

and
more
money .
We
have
to
I
think
bring
it
up
to
speed
like
current
assets
under
management
are
only
around
INR
1,800
crores.
And
with
up
to
INR
750
crores
plus
another

INR

500

crores

will

be

net

worth.

So

if

you

say

around

INR

1,200

crores,

INR

1,250

crores,

and

we

can

go

up

to

5x

more

or

6x

more

and

then

profits

over

next

3,

4

years.

I

think

there

will

be

opportunity

to

grow

the

assets

under

management

with

the

current

infusion

of

m

oney ,

maybe

up

to

INR

9,000

crores,

INR

10,000

crores

over

a
period
of
next
5
years.
So
I
think
if
we
are
able
to
do
that,
that
will
be
a
good
beginning.
So
therefore,
we
don't
think
that
we
will
be
required
to

put

in

any

additional

money

at

least

for

the

next

5

years.

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Pramod

Amthe:

Sure,

sir.

Thanks

and

all

the

best.

Moderator:

Thank

you.

The

next

question

comes

from

the

line

of

Ritesh

with

BNP

Paribas.

Please

go

ahead.

Kumar

Rakesh:

Hi,

thank

you

for

taking

my

question.

This

is

Kumar

Rakesh

from

BNP

Paribas.

My

first
question
was
around
clarification
for
the
Greenfield
plant,
which
we
are
starting
to
work
on.
Any
timeline
on
that
and
what
kind
of
capacity
is
going
to
come
up
because
1.6
million

capacity ,

assuming

that

you

grew

at

double

digit

for

the

next

couple

of

years

will

start

getting

exhausted

by

fiscal

'28

and

a

plant

typically

takes

about

18

months

to

ramp

up

at

least,
so
it
should
have
already
gotten
started
and
some
timeline
on
that
would
be
helpful
for
us
to
get
some
comfort
around
FY
'29
capacity
situation?

B.

Govindarajan:

So,
I
think
you

stopped

at

1.6

million

capacity

addition

because

that

is

only

with

the

500

module

per

day,

which

I

was

just

clarifying.

But

the

additional

INR958

crores,

which

we

are

putting

in

as

a

capital
or
taking
the
capacity
from
1.6
million
to
almost
2
million
at
our
Cheyyar
facility ,
which
is
a
Brownfield
expansion,
that
we
are
looking
at
Q2
FY28.

As
you
said,
if

the
growth
continues,
then
we
need
for
future.
So
for
future,
as
I
think
we
evaluate
it,
where
do
we
have
the
further
expansion,
which
way
it
will
be
logistically
better .
And
that's

why

we

narrowed

down

on

AP

and

we

got

about

261

acres

of

land,

where

we

will

actually

be

looking

at

further

expansions.

That's

for

the

future,

beyond

2

million

capacity .

Kumar

Rakesh:

All

right.

And

we

haven't

shared

any

timeline

of

that

Greenfield

capacity

and

what

the

first

phase

capacity

would

be?

B.

Govindarajan:

No,

look,

we're

just

in

the

--

we

just

signed

last

week
on
acquiring
the
land.
The
land
has
to
come
into
our
side.
I
mean,
there
is
a
business
case
which
we
have
to
make.
But
why
is
it
like
this,
we
know

we
are
a
growing
organization.

We
have
to
be
prepared
for
growth.

That's
why
we
have
been
strengthening
the
investments
and
going
in
the
capacity
expansions.

The
longest
lead
time
is
always
of

having

a

land

parcel

in

hand.

And

at

some

point

of

time,

that

may

become

a

major

bottleneck.

That's

what

is

the

first

thing

which

we

have

to

secure.

That's

why

today ,

in

the
Brownfield
project
at
Cheyyar
that
we
are
doing
because
we
had
about
65
acres
in
our
hands.
That's
why
we
could
able
to
come
up
to
the
GST
period
increases
and
certainly

what
decision
which
we
can
take
and
where
do
we
invest.
Similarly ,
now
we
have
to
have
a
land
parcel.
That's
why
we
have
signed
up
with
Andhra
Pradesh
government
to
have
a

261

acres

for

our

future

growth.

Just

into

the

sign

of

MoU,

we

will

have

the

land.

Typically ,

it

will

be

somewhere

around

24

to

30

months

window ,

that's

where

we

will

come

out
with
a
new
plant
fully
operational.

Kumar

Rakesh:

Thanks

a
lot.

So

that's

quite

reassuring

on

the

capacity

planning

side.

If

you

could

similarly

give

some

reassurance

on

the

product

planning

side

that

you

see

there

is

any

particular

white

space

or

sub-segment

where

a

product

can

significantly

increase

volume

and

hence

justify

the

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kind
of
capacity
addition
that
we
are
looking
at
or
do
you
think
that
the
incremental
increase
on
the
existing
platform
or
the
existing
products
variants
can
keep
on
driving
outperformance
over
the

industry

volume

growth?

So

essentially ,

what

I'm

trying

to

understand

is

that

do

you

see

there

is

a

large

white

space

still

left

in

which

you

can

launch

a

model

and

expand

your

volume

or

this

is

going

to

be

more

incremental

just

tweaking

the

existing

portfolio?

B.

Govindarajan:

We

have

a

really

diverse

yet

very

focused

differentiated

experience

products

and

that

is

what

is

our

350

cc,

450

cc

and

650

cc

platforms.

Just

to

give

you

an

example

how

things

have

changed.

Hunter

350

when

we

launched,

we

wanted

that

it

should

give

us

an

incremental

volume

that
should
give
us
a
growth.

And
we
launched
it
and
there
was

--
it
was
actually
adding
volume
to
us.

Once
that
has
come
to
a
particular
level,
we
thought
now

urban

is

fine.

Now

we

have

to

go

into

the

rural

area.

So

we

opened

it

in

the

rural

area

that

gave

us

volume.

But

now

next

phase

is,

it

still

has

a

lot
of
potential
to
grow
at
a
very
accessible
price
point,
including
the
GST
impact,
which
has
helped
us
for
our
Hunter .
So
we
have
created
a
platform
called
HunterHood,
where
we
celebrate

the
street
culture.
And
thereby ,
we
are
actually
getting
the
young
audience
into
this,
to
the
platform.
Similarly ,
for
the
Guerrilla,
Guerrilla
Knights
which
we
are
doing
it,
it
is
actually
helping.
And

this
is
the
125th
year
celebration
of
Royal
Enfield.
You
will
see
a
lot
more
activities
which
we
will
be
doing
on
the
brand
building
and
the
mother
brand
level.
So
with
all

our
products
and
the
products
which
are
there
in
the
pipeline,
we
strongly
believe
the
growth
momentum
will
continue
because
premiumization
is
continuing,
premium
motorcycle
as
a
segment
is
continuing.
And
we
have

largest
looking
products
with
a
diverse
product
lineup,
which
are
there.
And
that's
the
confidence
we
have
that
it
will
continue.
But
we'll
always
be
looking
at,
as
I
mentioned,
in
the
middleweight,

is
there
a
white
space
which
comes
up.
In
that
area,
what
is
it
we
have
to
do
because
we
constantly
ride
with
the
community
and
we
get
what
exactly
the
community
wants.

Is
there
a
white
space
emer ging
out
of
that,
that
we
will
work
on.
But
we
do
see
our
Flying
Flea
also
will
create
quite
a
good
volume
for
us.
And
but
we

are
not
taking
that
route
of
just
opening
more
and
more
because
we
have
to
build
it
up
slowly .
That's
what
we
are
doing
in
the
electric
space.
Kumar
Rakesh:
Thanks
a
lot

for

answering

my

questions.

Moderator:

Thank

you.

Your

next

question

comes

from

the

line

of

Yash

Agarwal

with

Nirmal

Bang

Securities.

Please

go

ahead.

Yash

Agarwal:

Hi.

Thank

you

for

the

opportunity .

Could

you
provide
an
update
on
VECV's
positioning
in
the
electric
bus
segment
and
current
market
share,
and
how
do
you
see
the
op
portunity
evolving
over
the
next
3
to
5
years?
B.
Srinivas:

VECV

is

actually

preparing

for

the

EV

space,

particularly

in

buses.

We

are

there

in

9

meter ,

we

are

there

12

meter ,

we

are

there

in

13.5

meter

buses.

It

covers

a

large

spectrum

of

buses

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which

are

required,

both

public

and

the

private

demand.

And

we

go

by

the

current

order

book,

our

current

demand,

but

we

have

a

reasonably

good

order

book

business

right

now.

And

we

are

strengthening

our

portfolio

further .

I'm

very

confident

and

we

have

been

competing

for

various

orders

which

are

emerging

in
this
space
that
will
further
strengthen
our
position
in
electric
vehicles.
Yash
Agarwal:
Thank
you.
And
the
next
question
is
for
Royal
Enfield
basically .
How
do
you
see
demand
mix
evolving
between

urban

and

rural

market

in

FY27?

And

additionally ,

it

could

a

below

normal

monsoon

impact

rural

sentiment

and

demand

growth

for

this

year?

B.

Govindarajan:

As

I

mentioned,

our

growth

momentum

is

stronger .

In
fact,
in
the
month
of
April,
we
grew
by
almost
about
37%.
That's
what
I
mentioned.

And
if
I
have
to
tell
you
about
top
10
cities,
in
top
10
cities,
we

have
grown
almost
about
24%
plus.
And
even
in
the
rural
market,
the
growth
is
continuing.
I
don't
think
now
urban
or
rural
is
there
a
shift
which
is
taking
place.
Even
with

the
income
tax
saving,
which
came
up,
urban
market,
which
has
not
been
growing
for
quite
some
time
and
urban
market
also
started
showing
growth.
So
rural
market
growth
is
the
story
of

India,
that's
continuing,
and
we
are
also
growing
in
that.

Yash
Agarwal:

And
also,
what's
the
role
the
replacement
demand
has
played
over
the
year?

And
is
current
demand
momentum
more
driven
by

the

first-time

buyers

or

replacement

demand?

B.

Govindarajan:

First-time

buyers

are

going

up.

In

fact,

as

I

mentioned,

30%

of

our

consumers

are

below

the

age

group

of

25.

So

the

first-time

buyer

percentage

is

also

going

up.

Thanks

to

all

the

GST,

the

price

reduction,

which

has

also

helped

in

getting

a

lot

more

people

who

are

aspiring

to

own

a

Royal

Enfield

to

take

a
decision
of
converting
us
our
customers.

On
the
replacement
cycle,
as

I
mentioned,
it
is
yet
to
kick
in.

But
in
the
last
year,
if

I
have
to
tell
you,
we
have

gone
to
almost
about
400
cities,
about
710
dealerships.
We
have
created
a
digital
platform,
the
traction
is
slightly
better .
If
I
had
to
tell
you
in
terms
of
growth,
it's
in
double

digit,

but

it

is

still

the

base

is

lower .

So

we

need

to

wait

for

some

more

time.

This

actual

replacement

cycle

to

kick

in.

Yash

Agarwal:

Okay

sir.

That

was

very

helpful

that's

all

from

my

side.

Moderator:

Thank

you.

Your

next

question

comes

from

the

line

of

Sridhar

Kalyani

with

Antique

stock

Result.

Please

go

ahead.

Sridhar

Kalyani:

Thank

you

for

the

opportunity .

So

my
query
is
on
the
MHCV ,
you
did
mention
that
3%,
3.5%
commodity
inflation
is
seen
in
the
commercial
vehicle.
If
you
could
just
help
us
understand
what
are
the
cost
mitigating
factors

that
we
have
taken
in
terms
of
pricing
or
cost
control
and
value
engineering

in
this
space?

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And

also,

if

you

could

help

us

understand

with

the

recent

price

hike

in

fuel

and

also

there

is

expectations

for

further

fuel

hikes,

fuel

price

hikes

might

take

place

in

the

industry ,

so

how

much

the

demand

scenario

pan

out?

Is

there

a

possibility

of

incremental

demand

slowing

in

the

second-hand

market

rather

than

the

primary

market?

Just

if

you

could

share

thoughts

on

the

same.

Thank

you.

B.

Srinivas:

First

is
the
commodity
price
increase.

We
also
announced
appropriate
price
increases

for
that,
which

is
to
tune
of

2%
various
vehicles.

So
that
has
been
announced

from
1st
April.

And
we
also
work

on
a
lot
of
initiatives
of
cost
reduction,
whether
it
is
value
engineering,
whether
it
is
optimizing
the
commodity
use
and
also
improving
the
transaction
prices
in
the
market.
So
all
these
areas,

we
are
focusing
and
we'll
work
on
that
and
that
work
is
already
on.
And
second,
as
far
as
the
diesel
price
increase
is
concerned,
I
think
most
of
the
transporters
have
price

indexing
with
their
customers.
So
we
believe
that
will
help
them
maybe
with
a
tie
up
with
bit
of
a
time
lag,
definitely ,
they
will
get
these
increases
addressed
them.
Sridhar
Kalyani:
Would

you
share
on,
because
there
might
be
a
vicious
cycle
of
inflation
going
ahead.
So
anything
on
the
demand
side
flowing
to
the
secondary
market
rather
than
the
primary
market.
So
there
might

be
some
impact
on
the
primary
market
demand
if
you
could
just
share
thoughts
based
on
past
experience?
B.
Srinivas:
So
it
may
not
be
because
most
of
the
agreements
with
their
customers

are
also
with
time-bound
agreements.

So
the
efficiency
of
the
goods
reaching

on
time
is
also
equally
important.

So
hence,
the
primary
market
is
driven
by
the
segments
where
there
are,
there
is

an
expectation
in
terms
of
the
turnaround
times
and
the
efficiency
of
the
logistics.
So
the
impact
on
this
market
will
be
relatively
lower .
So
we
don't
expect
any
immediate
change
happening
in

the

primary

market.

Vinod

Aggarwal:

I

am

Vinod

Aggarwal

if

I

may

add

in

this

how

the

CV

market

is

likely

to

behave

because

of

these

increases.

I

think

the

fundamental

thing

will

be
the
economy
that
how
the
Indian
economy
is
going
to
behave.
If
the
Indian
economy
continues
to
grow ,
if
we
suppose
government
is
able
to
continue
to
make
infrastructure
investments
and
the

economy

grows,

then

there

is

no

reason

why

the

CV

industry

will

not

grow .

Whatever

diesel

price

increase

or

as

Srinivas

mentioned,

I

think

the

transporters

will

have

to

pass

on.

And

if

the
goods
have
to
be
moved
in
the
country ,
you
see
if
there
is
a
GDP
growth
and
the
goods
and
services
have
to
move.
Then
of
course,
there
will
be
no
choice

with
the
consumer ,
but
to
pay
the
hikes.
And
then
the
CV
industry
also
will
grow .
But
of
course,
if
the
economy
gets
impacted
because
of
all
the
sectors,
then
there
may
be

some
impact
on
the
demand.

And
the
second
thing
is
the
sentimen
t.

As
of
now,
the
consumer
sentiments
continue
to
be
good.

And
April,
if
you
look
at
the
sales
figures
for

April,
I
think
in
April
the
demand
or
the
industry
has
done
extremely
well.
And
May,
of
course,
we
will
still
know
if
we
still
to
go
for
May.
But
as
of
now,

I
think
we
should
remain
optimistic.

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22,
2026

Sridhar
Kalyani:
Thank
you
for
the
feedback.
Lastly ,
anything
on
labour
and
skilled
labour
shortages
in
the

entire
industry
that
we
are
getting
to
hear
a
lot.
How
do
you
see
any,
do
you
see
any
impact
going
ahead
in
both
Royal
Enfield
and
Eicher
and
in
the
commercial
vehicle

space

because

of

labour

shortages.

And

any

like

any

kind

of

actions

to

mitigate

such

shortages

if

you

can

help

us

understand?

B.

Govindarajan:

Two

things

I

think

in

both

the

businesses,

we

are

also

hearing

more

from

that

is

because

of

the

election

there

is

migrated

workmen

movement

from

here

and

there.

That

has

caused

a

disturbance

and

LPG

availability

was

causing

an

issue.

Things

are
settling
down.
As
I
mentioned,
it
was
almost
about
2,
3
weeks
disturbance
were
in
both
the
businesses.
It's
all
settling
in
down
along
to
us
even
at
the
supplier
end..
In

the
last
2,
3
days,
I'm
seeing
the
production
numbers
are
back
and
supply
situation
is
also
becoming
slightly
better .
We
have
to
wait
and
see
for
some
more
time
how
things
are

panning

out.

Sridhar

Kalyani:

Thank

you

so

much.

Thank

you

for

the

patient

answers.

Thank

you.

Moderator:

Thank

you.

Ladies

and

gentlemen,

we

will

take

this

as

a

last

question

for

today .

I

now

hand

the

conference

over

to

the

management

for

closing

comments.

B.

Govindarajan:

Thank

you

very

much.

Wonderful

speaking

to

all

of

you

guys.

Look

forward

to

speak

to

you

next

quarter .

Bye.

Thank

you.

Vinod

Aggarwal:

Thank

you.

Siddhartha

Lal:

Thank

you

all.

Bye

bye.

Moderator:

Thank

you.

On

behalf

of

PhillipCapital

India,

that

concludes

this

conference.

Thank

you,

everyone,

for

joining

us,

and

you

may

now

disconnect

your

lines.

Thank

you.

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